

Cyient Ltd. (CYIENT)

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29 May 2023

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Scrip Code: 532175 Scrip Code: CYIENT

Dear Sir/ Madam,

Sub: Transcripts of the earnings conference call

Please find enclosed the transcripts of the Q4 FY23 earnings conference call conducted after the Meeting of board of directors held on 20 April 2023.

This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 16

"Cyient Limited
Q4 FY2023 Earnings Conference Call"
April 20, 2023

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. KARTHIKEYAN NATARAJAN – CHIEF EXECUTIVE
OFFICER AND EXECUTIVE DIRECTOR – CYIENT
LIMITED
MR. AJAY AGGARWAL – CHIEF FINANCIAL OFFICER –
CYIENT LIMITED [RETIRED]
MR. PRABHAKAR ATLA – CHIEF FINANCIAL OFFICER
– CYIENT LIMITED

Cyient Limited
April 20, 2023
Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Cyient Limited's Q4 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and anyone who wishes to ask a question may enter star and one on their touchtone telephone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu, Executive Vice Chairman and Managing Director. Thank you and over to you, sir.

Krishna Bodanapu: Thank you very much and good evening, ladies and gentlemen. Welcome to Cyient Limited's earnings call for the fourth quarter of financial year 2023. I am Krishna Bodanapu, the Executive Vice Chairman and Managing Director of Cyient. Present with me on this call are Mr. Karthik Natarajan, the Chief Executive Officer and Executive Director, Mr. Ajay Aggarwal, the just retired Chief Financial Officer and Mr. Prabhakar Atla, the new Chief Financial Officer for the company.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which has been emailed to you and is also posted on our corporate website. This call will be accompanied with an earnings presentation. The details of the same have also been shared with you.

Before I begin with the highlights, let me explain some of the terminologies that are used in the presentation. Much of it will be familiar, but we have regrouped a few things, so I want to make sure that we give a clear understanding of what these are. When we say core Services, that's the organic Services business of Cyient. So this wouldn't include any of our acquisitions or the design-led manufacturing business. Consolidated Services is these core Services, plus the acquisitions that were made in financial year 2023. Group, then, is consolidated Services and DLM, the manufacturing business of Cyient. Transportation is the segment that includes aerospace and rail transportation. Connectivity is the segment that includes communication. Sustainability is the segment that includes mining, energy, and utilities, and new growth areas includes medical, semiconductor, high-tech, and automotive, which are essentially the areas that we're investing aggressively in for accelerated growth.

The markets regulator, Securities and Exchange Board of India (SEBI), has provided an observation letter to Cyient DLM Limited to go ahead with the proposed public offering. As you all know, we are in the SEBI-mandated quiet period, therefore the management cannot respond to any queries in connection with the proposed IPO of Cyient DLM Limited or the DLM business and operations.

With this, let me take you through the highlights for the quarter. In US dollar terms, we posted revenue of \$213 million for the group. This represented a growth of 39.1% year-on-year in constant currency, 35.9% in US dollars. This also represented a growth of 6.6% quarter-on-quarter in constant currency, or 8.1% in US dollars. I would like to highlight that what is

Cyient Limited
April 20, 2023
Page 3 of 16

especially impressive is that there were no further acquisitions in Q3, so Q3 versus Q4 is a like-for-like comparison without any inorganic bump that we call.

In rupee terms, we posted a quarterly revenue of INR 1,751 crores, which signifies a growth of 48.3% year-on-year and 8.2% quarter-on-quarter. Consolidated services revenue stood at USD 176.2 million, which is a growth of 38.4% year-on-year in constant currency and 35% in US dollars. This also represented a 3.2%

quarter-on-quarter growth in constant currency. Core services revenue is at 12% year-on-year and 2.6% quarter-on-quarter in constant currency. Normalized group EBITDA margin was at 18.4%, which was up 118 basis points quarter-on-quarter and 30 basis points year-on-year. Normalized group EBIT was 14.2%, which was up 136 basis points quarter-on-quarter but down 21 bps Y-o-Y. I'd just like to highlight that much of this is because of the amortization that has come in in the last few quarters because of the acquisitions. Therefore, if you look at the group EBITDA margin, things look quite good and look quite healthy. Normalized consolidated services EBIT margin was 15.1%, up 117 bps Q-on-Q and down 27 bps Y-on-Y and again for the same reason I mentioned because much of these were services acquisitions.

Normalized free cash flow generation for the quarter stood at INR 261 crores or INR 2,614 million, a conversion of 81.8% on a normalized EBITDA basis and this represents one of the highest cash conversions that we've ever had. Normalized PAT stood at INR 1,760 million or INR 176 crores, which represented a growth of 14.1% year-on-year or 8.1% quarter-on-quarter. Given that this is the end of the year, I will also give you a quick overview of the highlights for the full year.

Revenue for the first time crossed INR 6,000 crores and stood at INR 6,016 crores, a growth of 32.7% year-on-year. In US dollar terms, this was \$746.3 million, a growth of 26.9% Y-o-Y in constant currency or 22.7% in US dollars. Consolidated services revenue stood at \$632.4 million, which is the highest ever and represented a growth of 30.2% year-on-year in constant currency or 25.6% in US dollars. The core services revenue growth is 12.1% year-on-year in constant currency. Normalized group EBITDA margin was at 17% down by 110 bps year-on-year and normalized group EBIT was at 12.8% or down 113 bps, again for the reasons that I

mentioned.

Normalized consolidated services EBIT margin was at 13.7% down 160 bps year -on-year, but normalized free cash flow generation for the year was at INR 547 crores, a conversion of 50.8% on EBITDA and almost 100% conversion on normalized PAT. Normalized PAT for the year was at INR 565 crores, which was up 8.2% year -on-year. I'm also delighted to inform you that we declared the highest ever dividend for the year at INR 26 per share, which included an interim dividend of INR 10, which was declared in October.

I would just like to quickly highlight two things for the quarter. The partnership between Thingtrax, which is a partnership which adds to our digital ER&D focus and helps our customers improve efficiency and reduce operational costs, and the partnership with iBASEt to inaugurate a center of excellence to drive digital innovation, especially in aerospace and heavy engineering industries.

Cyient Limited

April 20, 2023

Page 4 of 16

With this, I would like to hand this call over to Mr. Ajay Aggarwal, who will take you through the detailed financial performance for the quarter. Thank you and over to you, Ajay.

Ajay Aggarwal: Thank you, Krishna. I will also present two segments. One is Q4 and one is the full year. If you look at the Group revenue, Krishna already talked about the number of \$213 million. How we have done compared to the last quarter and how we have done, from where we were about a year back at about \$156.7 million, this means in constant currency, 39.1% growth year -on-year. And quarter -on-quarter, we are looking at 6.6% constant currency growth.

In terms of the breakup of that, you will see that in the current quarter, we have done about 3.2% growth from services and we have got about 28% growth that has come from DLM. Overall, if you see in terms of the share of the geographies, I would say there is some impact of the acquisition and also I think the revenue has been strong. That's what is shown in the

trend when

you look at the bottom of the chart.

For the full year, as Krishna said, we crossed INR 6,000 crores, \$746 million for the full year. As against \$608 million, and we all were very concerned that if you look at the '19, '20, '21, '22, we were stuck at that \$550 million, \$560 million kind of a range. It's quite a nice 27% jump year-on-year and that takes us to the lead and I am sure Krishna will talk about it and Karthik will talk about it. I think whatever expectation we had set looking at the exit quarter of getting to that run rate of \$1 billion, I think we are in line with that. In terms of the consolidated services growth at constant currency, 30.2%, yes, there is an impact of acquisition and if you were to exclude that, the core services have grown by 12.1% in constant currency.

In terms of hedge book, I think quite familiar with what we have been presenting, no change in the policy and total forward contract as of now is about \$154 million and at the current spot position of 31 March, more or less we are neutral. I will talk a little bit more about it when I come to the other income. As of now, the gain is about \$1 million on the total hedge book.

If you look at the income statement, I think really we take pride in the fact that we have reached 16.1% of the margin and there has been tremendous effort in the last two quarters. We have talked about various initiatives even in the Investor Day and the earlier call and that is showing up the impact and we are really looking at good trajectory, 16.1% of the core business which is an improvement of 103 bps quarter -on-quarter and I think number of levers have played. We have got some price hikes, we have seen the environment, we are able to take for some customers price increases, volume impact of SG&A and of course we continue to spend on some investments whether it is technology or other things that are required.

Group EBIT, you have seen is 14.2% and one more thing you will see that at EBITDA level we are at 18.4% and acquisitions, again I think what we said earlier, are accretive at EBITDA level. So when you look at the number of services, you will find that EBITDA is positive for acquisitions compared to the core, but at EBIT level due to the amortization of the investment that we have made, there is a gap at EBIT level. So that is why we started presenting both EBITDA and EBIT to you, so that you can see the operating performance and as we proceed on those acquisitions, you will see that in year 2, year 3 when we start getting the benefit of synergies as well, I think the gap on the EBIT level will also go down.

Cyient Limited

April 20, 2023

Page 5 of 16

Some comments in terms of the other items, I would say on tax, this is the last quarter so we had a true up in terms of the benefits of our special economic zone and other things around the global taxation and while you look at a tax of 21.3%, I would say there are one-offs and what we have to really look at is the tax rate of 24% and that is what is the right tax at current level. And next year I think there is a slight change in the taxation in UK. Apart from that, I think trends will be

similar and the tax for India. The overall thing is to look at 25.1% which is the ordinance rate for the next year in UK .

In terms of the full year, I would say, the full year core margin at 14.2% is definitely lower than quarter 4 but as I said, the trend is really increasing and whatever we are looking at, the various initiatives, we feel that there is further room. Krishna will talk about guidance for the year. There are multiple levers which have acted in quarter 3 and quarter 4 , be it the cost program, be it the pricing, be it the automation. I think we will continue and you will see these numbers to be very nice.

In terms of tax, as Krishna said, INR565 crores is the profit that we have delivered for the full year at a normalized

level and just as a disclosure, in the statements that are there, we have given the EBIT Bridge . We have also provided the reconciliation between the reported metrics and the normalized metrics. Some of you who are regular on these calls are already familiar with what have been these items and there are no new additions during this particular quarter to that category of items.

I will take them. You can read them. And if you have any questions, one of us can take them in terms of the change quarter -on-quarter and full year in terms of profit , and in terms of the margin. In terms of cash generation, you will see that both the last quarter and this quarter have been very healthy. We have generated a cash of INR 261 crores during the quarter. And our conversion, almost we are close to the net profit 100% conversion for the full year . We have a cash position of INR1 ,077 crores. And in terms of the total debt that we have is about INR 900 crores. So, on that basis, we are cash positive. So, the net debt for the company is zero. Actually, we are in excess in terms of cash. And you will see our debt equity ratios are coming down. And you will see that, we are very safe on the balance sheet in terms of the debt. Also, there is enough room on the balance sheet to be able to take care of any investments that come our way. With this, I'll hand over to Karthik to provide the business update.

Karthik Natarajan: Thank you, Ajay. Good evening, everyone. I want to start off by saying that it's been an all-around performance across the sales, delivery, and the operational performance. I am happy to report that our core services have shown eight successive quarters of growth. And if you really look at it based on the business units that we operate , transportation has shown the growth of 12.9% in terms of quarter -on-quarter in constant currency and 13.1% year -on-year. And we kind of guided that we will have double -digit growth. I think that's definitely panned out.

And in connectivity, there is a dip of 3.3% quarter -on-quarter in constant currency, while year -on-year it reported growth of 27.7% constant currency. Sustainability business, which comprises of mining, energy, and utility, has shown a growth of 3.1% constant currency quarter -on-quarter growth and 125.1% year -on-year, with C itec being included as part of this group. And new growth areas, which includes automotive, high -tech, medical devices, and semiconductors, has

Cyient Limited

April 20, 2023

Page 6 of 16

reported a mild decline of 0.8% in constant currency and which has shown 34% year -on-year growth. Interestingly, even the organic core services have shown year -on-year growth across all the four business units that we operate in, resulting in consolidated services at \$176.2 million at 3.2% constant currency growth. And core services growing at 2.6%, and including acquisition s grown by 3.2%. And in terms of year -on-year, we have grown 38.4% in constant currency. Look at order intake, we have done about \$212.7 million, and this showed about 13.3% growth from Q4 of fiscal 2022. In constant currency, this is about 19% growth. And we also announced about five large deals, and this is covering all the four business segments. I think the large deals as a concept is planning out across our business units . I'm happy to report our total contract potential of \$185 million in Q4.

So, if you look at the full year, and similar to what I just covered a few minutes ago, the transport unit, which has done about \$188.9 million, has shown year -on-year constant currency growth of 2.6%. Connectivity at \$181.4 million, 32.1% growth . Sustainability at \$139.5 million , 86.7% growth . And new growth areas at \$122.6 million , at 39.2% growth. I think this also gives us a very balanced portfolio of four different business segments. And we are really poised for accelerating our growth over the next

few years. And for the full year order intake, which is at \$720.5 million, and in constant currency, this is about 18.5% higher than what we have done in fiscal 22. We have won about 18 large deals through the year, totaling about \$412 million. And this is up by 50% compared to what we have done in fiscal 2022.

To move forward to give a larger business outlook, while the challenges continue, dominated by geopolitical issues, wage inflation, interest rates, and also potential signs of economic slowdown . And we do feel that our customers' intent to invest on technology and innovation continue to be high. And we do believe with the technology disruption that is happening around us, including

the generative AI part, which has picked up momentum in the last three to six months, we are really getting ourselves aligned to address the market needs through what we call the mass technology-led growth.

And which is going to be supported by intelligent products and platforms, digital enterprise, which is about digital engineering and technology and sustainable infrastructure & decarbonization. We believe these three technology groups would accelerate our growth moving forward. And we believe this particular concept of three technology groups would drive growth through this decade, and not just for a specific period of time. To get down to specific business units, transportation and recovery of aerospace continue to be there through this year. And also the increase in defense spending, and also some of the advanced air mobility solutions will continue to drive growth. And some of the growth areas we are seeing from our customers include improving their operational efficiency through predictive maintenance and autonomous operations. And how do you think we can really provide solutions on these areas. Hybrid propulsion technologies continue to be critical for both aerospace and rail, and which will bring us additional opportunities for growth.

Connectivity, and we continue to see a demand even through fiscal '24. As you remember, this has become the largest vertical for core services two years ago. They continue to run, and we still hope this will continue to be a growth agent for us even into fiscal '24. Some of the offerings

Cyient Limited
April 20, 2023
Page 7 of 16

that we have been able to strengthen in this area includes network management, network operations and optimization, and digitalization are likely to drive growth in this segment. Sustainability, probably we are the only Indian company which has really created a focus on sustainability as a core business offering. And by integrating various capabilities that we had and we also acquired over the last 24 months. And what we are really talking about, in sustainability, is the energy transition, which is requiring new materials in the form of zinc, cobalt, nickel, and increased growth of copper. And all this would require new minerals to be mined. And our offerings around intelligent, safe, and autonomous mining operations are definitely helping our customers to improve their operational efficiency. And also with energy transition, which is likely to put significant pressure on the utility companies to move away from being distribution network operators to distribution system operators. And this is being funded by various government agencies, and we are confident that some of our offerings will fit into these areas. Apart from what we call them as autonomous plant construction, and enabled plant design, some of these offerings would really be something the customers would be excited to partner with Cyient.

On some of the other growth areas, which includes automotive and led by autonomous and electrification. I think we continue to see momentum in this segment, and we have grown even in Q4. We continue to be hopeful of this being a growth engine for us in fiscal '24. And medical, which

is medical and healthcare, which has taken some pause in the last six months. We expect this to come back to growth path during this year, and which is led by predictive, proactive, and personalized patient care and connected devices. And semiconductors, which has done well for us in the last 12 months and probably may take some softening. And this is led by miniaturization and also creating AI-enabled chips, and that's going to really drive growth for us moving forward.

And I also want to take some quick examples of what we have been able to work on, driving the solutions led by technology. And whether it is on intelligent products and platforms through predictive maintenance solutions for our leading aircraft operators. And working with hydrogen plant projects to build on simulation of electrolysis stack. And carbon capture systems, and power plant projects, which includes the digitalization of plant and helping them to enable 3D

Encore as a service. And this has been one of the asset management platforms we built through Citec acquisition. And next in connectivity, which includes building design and development of security module (e-SIM) to manage authentication and access management. And this is going to be useful for IoT scale-up for one of our customers. Autonomous systems and process, which talks about our ability to build image analytics and integrated with perception systems, has been some of the offerings we have been able to build and demonstrate to our customers.

And also, in terms of digital platforms and customer experience, whether it is about big data management for one of the mining customers for autonomous excavators, or regulatory compliance, which is around the medical device and healthcare. We have been able to bring in a technology-led robust solution platform that really helps us to win more in the marketplace. With that, I will pass it on to Krishna for sharing the guidance.

Cyient Limited
April 20, 2023
Page 8 of 16

Krishna Bodanapu: Thank you very much, Karthik. The outlook for the year is as follows. In FY24, we expect consolidated services revenue growth to be in the range of 15% to 20% year-on-year. I understand that it is a bit of a wide range, but we are being cautious given what is happening in the market. We still have a very good line of sight within this range, but we want to make sure that we give a wider range, but we will of course narrow it down through the year. But I just want to say there is a bit of uncertainty in the market, and while we are positioned in some very good industries and we have a very balanced portfolio with the four pillars that we will talk about of transportation, connectivity, sustainability, and new growth areas, I think it is just prudent to be conservative at this point. And that is why we are using a wider range, which we will continue to refine through the course of the year. We also expect the consolidated services normalized EBIT will improve by at least 100 to 200 basis points year-on-year. And again, that is a bit of a range, but we believe that with the uncertainty, we would rather be prudent and work towards making the range narrower. And hopefully changing some of the guidance ranges, hopefully on the upper side. So, I will leave it at that. This is how we look at the year. Before I turn it over to the questions that you may have, I would like to take this time to just acknowledge a few people. Firstly, I want to acknowledge Prabhakar Atla, who will join us now in these calls as the CFO of Cyient. Prabhakar is somebody that I have worked with for 17 years in Cyient, a thorough professional and somebody who understands our business better than anybody else. So, he will really be able to give not only a financial perspective, but also a very strong business perspective given his understanding of the business. I also want

to thank Shrini

Kulkarni, who many of you know, managed many things in Cyient, including FP&A, M&A, but in the context of this call, Investor Relations. As many of you perhaps know already, Shrini moves on to DLM, the Cyient Manufacturing Subsidiary as the CFO of Cyient DLM. And obviously has a very exciting role with the impending IPO and then hopefully the very exciting growth trajectory that the business is on.

But having said most of it, I would like to thank Mr. Ajay Aggarwal. Ajay has been a friend, a philosopher, a guide and somebody who has worked very closely with me for the last 12 years as we went through this journey of making Cyient a best-in-class company. As many of you will agree, Ajay's dedication and professionalism are second to none. And what he brought to Cyient has really been reflected, not just in the performance and the numbers, but I hope also in the credibility that Cyient as a company holds with all of you. Thank you very much, Ajay. Ajay will continue consulting with the company on a few things, so we will see him, but perhaps less so with you. So, I will quickly hand it over to Ajay to say a few words before we open it up for Q&A.

Ajay Aggarwal: Thank you very much, Krishna. I just would take two seconds for every quarter, so that makes it about 90 seconds. I have a statement to say. I am honored to have the opportunity to serve as the CFO. I would say your CFO to the people on the call. I want to take a moment to reflect the progress that we have made together. During my tenure, we have focused on building a very strong financial function, incorporating feedback from our investors. And this has been the best part, if you ask me. And thereby implementing best-in-class governance practices. We are also committed to transparency and disclosure, ensuring that you have the information you need to make informed investment decisions. In the last 12 years, we have generated excellent returns

Cyient Limited

April 20, 2023

Page 9 of 16

for investors. Our market cap has gone up by 6x, our PAT and free cash flow has increased by 4x and 13x respectively. We are leading our mid-cap peers in terms of dividend payout over the last three-four years. As a company, we have always focused on optimizing our tax rate and augmenting other income through treasury allocation and export incentives.

Let me assure you that Prabhakar will focus on these initiatives with the same rigor. I am proud to say that we have made significant progress in each of these areas. We have built a financial function that is capable of supporting the strategic objectives of the company, while also adhering to the highest standards of integrity and ethics. Of course, Shrini and Mayur here are the examples of two professionals here. We have listened carefully to your feedback. Many of you on the call have been my gurus and have used it to make decision-making internally and we have established robust governance practices that are designed to protect the interests of all stakeholders.

Perhaps most importantly, we have prioritized transparency and disclosure. We believe that providing timely and accurate information to our investors is essential to building trust and confidence. We have been transparent about our performance, our risk and our opportunities and we have provided you with information you need to make informed investment decisions. As I hand over the baton to Prabhakar, my friend sitting next to me, I want to express my sincere gratitude to each and every one of you, your support and feedback have been invaluable to me

and I am grateful to the trust that you have placed in me and the company. I am confident that the finance function is in excellent hands with Prabhakar and I will continue to support Cyient and everyone to make it successful. Thank you for your time, your trust and your partnership, and stay in touch. Thank you

very much.

Krishna Bodanapu: Thank you, Ajay and we will open it up for Q&A at this point.

Moderator: Thank you very much. We have a first question from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: First of all, I wanted to thank Ajay for all his help all through these years and I wish you the best for your future and your retirement. I have a couple of questions on the results. So one is that, first of all, congrats on a good set of results. The first one is with respect to the guidance range that is there of 15 to 20% on services business, I just wanted to understand very qualitatively what are the areas where you would be more cautious through the year, which are baked into the guidance and through the last quarter or maybe in the first 20 days of this particular quarter, have you seen any instances of project ramp downs or client cancellations from the clients? Anything that you would want to highlight there, that's the first one. And the second one, with respect to margin aspirations for next year, you talked about some price increases that have benefited through the second half of last year. Are these already baked into the numbers or you're expecting some more in the margin expansion that you talked about? Plus, what are your expectations for the wage hike going into next year?

Krishna Bodanapu: So I can answer the first question and then request Karthik for his views on that. But I'll say, I think generally there is cautiousness in the market, especially in some of the industries like semiconductor, where we are seeing a bit of slowdown in a macro perspective. And we're just

Cyient Limited

April 20, 2023

Page 10 of 16

being cautious and that's why we still kept the higher end of the range also because we are still not seeing a significant impact on our business or an appreciable impact on our business. But we believe that the macro will impact everybody at some point and that's why we're being cautious. So I think I'll say a couple of industries possibly. One is the semiconductor, the second is medical and the third is there's also a bit of a slowdown in some of the elements of sustainability. So I think it's just prudent given that what is happening in the world that we have a little bit of a pragmatic conservatism going on in the current environment. So that's why we've given that guidance, which is a bit wide, but again that's how we're also managing the business because we don't want to let go of any of the growth. So we can't just take a very conservative view. At the same time have the flexibility that if it is 15, not 20, then we can take some actions to make sure that at least cost is under control. Karthik, if you want to add something to that and also the second part of the question on margins.

Karthik Natarajan : Yes, no, I think you covered the point, Krishna. I think we expect the last three verticals, which is the sustainability, connectivity and transport. We expect all of them to grow in double digits for the next year. I think that is where our optimism comes from. And we are also cautious of the fact that there could be potential issues on some specific projects and programs that we don't have visibility yet, which may get impacted or which may get pushed to the right or which may get delayed to begin. We do expect some of them to show up during the year. So we just want to be cautious. While we are optimistic on our portfolio mix and where we are wanting to play, I think that really has shaped up well. And we are just hoping for a positive optimism through the year and keeping ourselves grounded. And also on the margin question, I think whatever we have guided, we have included the price hikes, also any kind of wage hikes that we have planned for this year.

Sulabh Govila: Understood. Thanks a lot.

Moderator: We have our next question from the line of Sandeep Shah from Equirous S

curities.

Sandeep Shah: Yes, thanks for the opportunity and congrats once again on good execution. All the best, Ajay, for your retirement life, as well as congratulations to Shrini and Prabhakar for the new role. The first question in terms of FY24 guidance, where we have said the consolidated services growth of 15 to 20%. What could be the core services growth? Can it be higher than what we have witnessed, 12% growth in FY23, or you believe it could be lower versus FY23 because of the macro issues as a whole?

Karthik Natarajan : Yes, I think, Sandeep, we are not breaking down by core or consolidated. This was essentially provided to just get a color from Q3 to Q4. But all these businesses are run in an integrated manner and it would be very difficult for us to separate it beyond Q4. So our view is keeping all of them in play and is how we have arrived at this 15 to 20% range. I know it's a broad range and as we learn more about how things happen during the year, we'll try to narrow this range as well.

Sandeep Shah: And just to follow -up, what could be the outlook for the railways? Do you believe it's on a Q - on-Q growth recovery and it can grow at a double -digit in FY24? And what would be the timing of wage hikes in FY24?

Karthik Natarajan : Did you ask the first question to be on NGA?

Sandeep Shah: On railways. Growth outlook on railways.

Karthik Natarajan: New growth areas. I think we expect automotive to continue to be a growth engine for us into the next financial year. And we expect semicon to be soft, at least for H 1. We hope it recovers during the later part of the year. And we expect medical and healthcare and life sciences should start getting into the growth trajectory , but it will be muted. And hi-tech will probably be again soft. So essentially on the new growth areas, we expect the growth to be led predominantly by automotive. And on the wage hikes, we have not quantified the number, but it will be on similar lines like what we have done for the last year.

Sandeep Shah: Yes. I was asking about railways, actually?

Karthik Natarajan : Yes, I think we have turned the corner in Q4, and as part of what we have covered in our previous commentary and we expected this to be recovering well in Q4. I think that has definitely happened. And we do expect it to be a growth engine, but it may not be something which will really drive our growth significantly higher. But the entire transport segment, like we have talked about, we expect it to be in double digit growth for the year.

Sandeep Shah: Okay. Thank you. I will come in the follow -up. Thanks.

Moderator: Thank you. We have our next question from the line of Mohit Jain from Anand Rathi.

Mohit Jain: Hello, sir. One is on the pricing. So there was a steep increase, which you have shown in EBIT margin bridge. And also I saw this increase in on -site presence during the quarter. So when you say pricing, is it the blended rate, or are you referring to like -to-like price hikes?

Karthik Natarajan : Yes, Mohit, it is a like -to-like price hike. And when we talked about it, we have been able to see a strong intent from customers to support on the wage inflation. And this is something which is a critical part. I also talked about the talent shortages globally as a major concern. And they are supporting us with appropriate price hikes in geographies that we operate in.

Mohit Jain: So 4Q is the new base for us from a price perspective?

Krishna Bodanapu : That is right.

Mohit Jain: Yes. Okay. And, sir, last question is, if you could help me understand the breakup, because I think there is some reclassification. You mentioned about it in the opening remarks also, but if you could provide 4Q breakup in the old format like Aero, Rail, ARC, etc. And if you can just explain which segment goes where in the new classification?

Karthik Natarajan

: Yes, I think it is nothing but Aero and Rail get classified under Transportation. And Communications is getting reclassified as Connectivity, along with Celfinet Acquisition that we
Cyient Limited
April 20, 2023
Page 12 of 16

made last year. Sustainability is about Mining, Energy and Utilities. And the new growth areas are Automotive and Mobility, Healthcare and Life Sciences, Semicon and Hitech.

Mohit Jain: Okay. So to that extent, they are comparable with the past numbers?

Karthik Natarajan : Yes.

Mohit Jain: Thank you very much, sir, and all the best. That is all.

Moderator: Thank you. We have our next question from Shradha Agrawal from AMSEC. Please go ahead.

Shradha Agrawal: Congratulations on another good quarter. I have a question on Aerospace and Defense. We have seen many consecutive quarters of good performance out there. Is it more of widespread performance across client buckets or is it one or two clients that is driving growth in this vertical for us? And how do you look at Aerospace going into FY24, given a very good exit in 4Q that we have delivered?

Karthik Natarajan : I think the recovery of Aerospace continues and we are also seeing the interest from customers to improve their manufacturing productivity and their ability to service the customers. And the aftermarket growth is strong. And we are helping them with some of our digital and technology solutions in this segment to help them to improve their productivity and ability to address their customer segments. We do expect it to continue the growth in double digits for this year. But we do expect this segment also is due for a platform upgrade, which is expected to be announced any time in the next three years. We never know when it is going to be announced. But that is going to be the beginning of a super cycle in terms of how this will drive new product investment led by significant capital infusion, which is due any time in the next three to four years. And we hope something happens in the next two to three years.

Shradha Agrawal: Right. On communications, after the very strong growth that we have seen in FY22 and first half

of 23, growth seems to be coming off especially in the last two quarters. So I think you had alluded to some right shifting of orders in the last quarter, if I'm not mistaken. But what drove the decline in communication in this quarter also? And how do we look at this segment in FY24?

Karthik Natarajan : I think it is more of the gap between some of the projects which are closing in the quarter and the new projects getting started. And that is what is really showing in the Q4 result. If you look at full year on the core services part, in communication we have grown more than 18%. I think this is a strong year that we had on the communication or connectivity vertical. And we expect it to again build the momentum through the year. And this was more of some projects that we started working on during the course of last year. And they were coming to an end. And the new projects which started will probably have a ramp up sometime in Q1 and Q2.

Shradha Agrawal: And just one bookkeeping question. I think you had guided to ETR being 27% for FY24 earlier. And are we now guiding to 24%? Is this understanding right?

Ajay Aggarwal : As I said, I think in UK region there is a proposed tax increase. And also we are planning to look at simplifying the tax and adopting the ordinance rate of 25.1%. I would say it could be more between 25 % and 26 %.

Cyient Limited
April 20, 2023
Page 13 of 16

Shradha Agrawal: Okay, sure. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Thanks for giving the opportunity and congratulations on a great set of numbers. I mean, first of all, thanks to Ajay for all the support that he has given to us.

So thanks for that. And wish him good luck ahead. Largely wanted to understand, you know, the aero side of the business. I mean, we have seen good growth over the last two quarters specifically. So wanted to understand fundamentally, how long are the cycles generally. And you mentioned about some upgrade coming in the next 2 to 3 years. If you could throw some more light around that, what kind of upgrade

Ajay Aggarwal : I'm sorry, the voice is not coming very clearly .

Mihir Manohar: So largely, I wanted to understand the aero side of the business. You mentioned as to which areas are driving their growth. I wanted to understand how long that sometimes your cycles on the aero side of the piece, I mean should we see good spend there for the next 2 to 3 years at least. And you mentioned about some big upgrades coming on the new product side, which could happen in the next two to three years. So if you could throw some light around and what kind of upgrades are you talking about? That was one question on Aero. Second question was on the EBIT side of the piece. I mean, we are looking at 100 to 200 basis points expansion on the consolidated services side. So what are the tailwinds that you're looking at for this EBIT margin expansion? And my third question was on the legal cost. And we are having this, the legal lawsuit in the US, and we have incurred roughly INR45 crores, which is like \$5 million to \$6 million in this particular year. So what is the update over there and how long could we keep on incurring this cost? Because that number is looking quite big over there. Yes, so those were the questions.

Krishna Bodanapu: So let me address the legal question and then I'll hand it over to Karthik on the aerospace. But we are still continuing to vigorously defend ourselves in the legal case. The legal case is gone for trial right now. We are defending ourselves as a joint group. And I can say that we will know the outcome within the quarter. And at that point, based on the outcome, we can then give you a better view of any continuing costs that we might incur with the case. So I'd say bear with us for another quarter or perhaps two quarters, and we'll have a much clearer view on the legal costs going forward. Karthik , on the aerospace business.

Karthik Natarajan: Yes, I think what I can answer the question Manohar based on what we have seen in the last three years. If you look at in fiscal 2021, there was a significant dip in terms of revenue passenger miles. I think that is coming back to 90 -95% for most of the domestic passenger miles. But if you look at the international passenger miles, they have significantly opened up after China's zero COVID policy has been withdrawn. And we do expect the growth to recover during this year and early next year. And we expect significant growth around the manufacturing part and the MRO or aftermarket side of the business and enable with some of the digital solutions to help them to accelerate. They need to produce more engines, they need to service more engines or aircrafts . Having said that, I think the super cycle, we don't know when it is due. And there is a significant pressure on the aerospace group to decarbonize the whole industry. And the re is

Cyient Limited
April 20, 2023
Page 14 of 16

likely to be sustainable air turbine fuel, which is going to be another trial that is going to be put out by FY24-FY25. Hybridization of engine to reduce the emission that is being done by the

aircraft industry today. And then the platform upgrade. So we don't know when it is likely to happen. And this is anybody's guess at this point of time. It will be two large players. I think if one announces, it will force the other one also to announce. If you just take 737 or 320, and both are probably 30-year-old platform, and both need some kind of an upgrade. It's only a matter of time during this decade. And for your second

question on EBIT expansion that we talked about for 100 to 200 basis points, I think this is coming from the confidence that we have on our execution capabilities in terms of really running at a very tight shift in the form of utilization level, and also the ability to really draw price hikes. And hyper automation, which is one of the ways to really run more fixed price projects more productively and efficiently. And how do you think we can really manage the cost and the control, which is the wage inflation that's going to happen during this year. So we are confident about the range that we are providing here. And we'll kind of keep you updated as we make progress on this track.

Mihir Manohar: Sure, that's it for my side. Thank you very much.

Moderator: Thank you. We have our next question from the line of Nitin Sharma from M.C. Pro Research. Please go ahead.

Nitin Sharma: Yes, thank you for taking my question. First of all, congratulations on a good set of numbers. Would we want to understand what kind of headcount addition you're looking in FY24, and then I have a bookkeeping question

Karthik Natarajan: Sure, yes, I think I'll try to answer that Nitin. I think you'd have seen that we have added about 509 heads in Q4. And we do have our current plan to fill in what is needed for the next six months. We are continuing to play both on contingency as well as permanent hiring based on what makes sense. How do you think we really see demand panning out? And we are definitely looking at a headcount addition similar to what we have done last year, and which is again, based on how the demand is shaping up. And if you'd have seen, we have dropped about 4.5% on utilization, and we also added about 500 people anticipating growth. And we do have both utilization as well as the headcount that we added as a lever for us to drive the growth in the H1 of FY24.

Nitin Sharma: So the current level of utilization is what you're keeping it around, it's comfortable with?

Krishna Bodanapu: Yes, I think we are comfortable with the current utilization level. And we made some changes to our structure about 15 months ago. I think that's really helping us to drive the right levels of utilization by having the resources being fungible and flexible to be rotated around. And we have run an upskilling and reskilling program over the last two years. I think all of them are helping us to have the resources which can be moved around the projects.

Nitin Sharma: Okay, and a bookkeeping question, can you please share the breakup between aerospace and railway transportation for the 4Q?

Krishna Bodanapu: Sure, Nitin, I'll ask Mayur to be in touch with you to provide more details.

Cyient Limited

April 20, 2023

Page 15 of 16

Nitin Sharma: Perfect, thanks a lot.

Moderator: Thank you. We have a next question from the line of Abhishek Shindadkar from Incred Capital. Please go ahead.

Abhishek Shindadkar: Yes, thank you for the opportunity. I just have one question on the order intake. First, going ahead over the next 3 or 4 quarters, do we have all the investments in place to sustain the order book? And the second question is for the quarter reported in the order book, is the acquisition order book, I mean, how do we plan to club it or is it part of it? If that can be clarified, I missed it in the presentation, so if you can help me with that, thank you.

Karthikeyan Natarajan: Yes, no, Abhishek, good that you asked the second question, I'll answer that. And current order book or order intake do not take any of the acquired entities into account. They are in the process of getting integrated. We'll provide better view during H1 FY24 as we integrate the processes so that we can get an apple-to-apple comparison. Currently, these are all core services that Krishna has defined in the initial part of the presentation. And sorry, what was your other question?

Abhishek Shi

ndadkar: Yes, my apologies. The question was about the investment in the current order book momentum. Do we have everything in place or would there be some investment going forward?

Karthik Natarajan: I hope I understand your question, Abhishek. I think your question is do we have enough capabilities required to deliver for the order book. I would say we are more or less there and wherever we see some gaps, we keep filling them as and when needed. And like we spoke about in the last two years, we have been investing heavily on our technology and digital roadmap. I think that's starting to yield fruits for us in terms of the order intake that we had. And we hope our capabilities that we have already built and the teams that we have invested on reskilling will start helping us during this year. And if there are any gaps that we find as we start executing,

we'll keep filling them as needed.

Abhishek Shindadkar: That's helpful. Thank you for taking my question. My apologies for the weak line. Thank you.

Moderator: We have our next question from the line of Pratap Maliwal from Mount Intra Finance.

Pratap Maliwal: Yes, thank you. And thanks for taking my question. Congrats on a good set of numbers. I just wanted to confirm that last quarter we had said that aerospace we expect 10% growth quarter-on-quarter. So has that been achieved because the reporting structure has been changed? So just wanted to confirm that.

Krishna Bodanapu: Yes, Pratap.

Pratap Maliwal: Okay, we've achieved that. Now, I just wanted to look at in the past year, in FY22, we had said that digital and embedded software, that's where a lot of our growth is coming. And perhaps that's one area where maybe you were slightly late to the party. So, and I think the management had called out that we're giving up maybe 100 to 200 basis points of growth every quarter. So what is our progress here? And maybe could you call out some wins in these areas and relevant deal sizes just to understand if we've actually made up on the lost ground here? Yes, I'll just

Cyient Limited

April 20, 2023

Page 16 of 16

repeat the question that in FY22, the management had said that digital and embedded software is an area where there's a lot of growth coming, but perhaps we were late to that party. And we were late to getting to that vertical. So I just wanted to ask that as we were giving up maybe about 100 and 200 basis points of growth every quarter. So what is our progress here? And could you maybe call out some wins in these areas and if we've made up on that lost ground?

Karthik Natarajan: Sorry Pratap, maybe we can take your question offline and if the question was not clear, and if I understand your point, are we growing on embedded digital and semicon areas that we talked about in FY23. The answer is yes. I think these are the ones which have driven the growth for us in the last 12 months. And we also realized the margin improvement based on our price hikes and our operating metrics like utilization, pyramid and our ability to expand on the automation areas. I think these are the ones that helped us to improve on the margin. And we are continually working on ability to increase our offshoring and that has played out well for us in the last 10 quarters. I think we have improved by 10% in our offshoring. So wherever we see that there are opportunities for us to improve, we keep looking at our ability to improve on the operating metrics.

Pratap Maliwal: Okay, sure. Thank you for your time. And thank you for taking my question.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments. Over to you, sir.

Krishna Bodanapu: Thank you very much. And I just want to thank everybody for your support. As you see, we've delivered a good set of numbers. We're also very confident o

f the momentum that they put for

the business. Even some of the work that was a challenge in the past, like rail transportation has turned the corner and quarter-on-quarter we had good growth. As Karthik confirmed, aerospace is growing in double digits, even a shade over 10%. So we feel very confident and I want to use this opportunity to thank you for the support and for the very good questions that have come up in the call today. With that, for the one last time, I'll thank my good friend Ajay for the journey that we've been on and wish him the very best for the journey he's going to embark on in the second innings of his life. Thank you, Ajay. And thank you everybody for your participation.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2023

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08 August 2023

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Dear Sir /Madam ,

Sub: Transcripts of the earnings conference call

Please find enclosed the transcripts of the Q1 FY 24 earnings conference call conducted after the Meeting of board of directors held on 25 July 2023.

This is for your information and records.

Thanking you

For Cyient Limited

Sudheendhra Putty
Company Secretary

Page 1 of 20

Cyient Limited
Q1 FY 24 Earnings Conference Call
July 25, 2023

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. KARTHI K NATARAJAN – CHIEF EXECUTIVE
OFFICER AND EXECUTIVE DIRECTOR – CYIENT
LIMITED
MR. PRABHAKAR ATLA – PRESIDENT & CHIEF
FINANCIAL OFFICER – CYIENT LIMITED

Cyient Limited
July 25, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Cyient Limited Q1 FY 24 Earnings Conference Call.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu, Executive Vice Chairman and Managing Director. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you, Aman. Good evening, ladies and gentlemen, and welcome to Cyient Limited's earnings call for the first quarter of financial year 2024. I am Krishna Bodanapu, the Executive Vice Chairman and Managing Director. Present with me on this call are Mr. Karthik Natarajan, CEO and Executive Director, and Mr. Prabhakar Atla, President & Chief Financial Officer.

Before I begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which is available on our website and has also been emailed to you. This call will be accompanied with an earnings presentation. The details of the same have already been shared with you.

As you know, Cyient DLM Limited listed on 10 July 2023. I want to take

this opportunity to

thank you for the overwhelming response to our IPO. Over the past several years, we have demonstrated Cyient DLM's credibility and capability in a wide range of design-led manufacturing solutions. And we are now with your support well positioned to leverage the tailwinds in this space. I'd also like to take a moment to thank the Cyient team that made the IPO possible and for doing this in a very short and compressed time frame.

I also wanted to share an important update on the US Department of Justice case. The case against the Cyient's executive on grounds of alleged violation of the Sherman Act has been dismissed in April 2023. Cyient has always conducted business with strict adherence to our 'Values First framework'. The acquittal of our executive further proves the highest standards of ethics our business adheres to. We remain confident that this will have no materially adverse impact on the company's operations, finances or liquidity.

At Cyient, sustainability is also important to the way we operate and underpins our overall vision. It is also one of the five megatrends that we are focusing on. Cyient has demonstrated its dedication to sustainability by participating in the Dow Jones Sustainability Index, a renowned benchmark for sustainable business practices that generate short-term and long-term value. We scored a great score of 66, surpassing the industry average in all categories, and we are confident that we will increase on this number going forward.

With this, I would like to hand over this call to Prabhakar Atla, who will take you through the financial performance for the quarter. Thank you, and over to you, Prabhakar.

Cyient Limited
July 25, 2023

Prabhakar Atla: Hello everyone. Firstly, let me thank you for joining the call today. We greatly appreciate your time, we greatly appreciate your interest and very importantly your active participation in today's call. Before I proceed to present the results, please allow me to provide a quick overview of how Cyient's business is currently classified into various segments today.

In this page, you will find the nomenclature and current classification of Cyient's business segments. As you can see, we now have three business segments into Cyient Group - Cyient DET, which is a short form for Digital, Engineering and Technology segment at Cyient, Cyient DLM, and Others. On Cyient DET, the rationale for this nomenclature is that most, if not all, of what was traditionally engineering and engineering services has already significantly transformed in the recent past with adoption of digital transformation and this is now further rapidly evolving into adoption of advanced technology such as generative AI. Therefore, as we stand here at a point of inflection, we see ourselves as a strong and growing player in the rapidly evolving space and therefore, also the evolution of nomenclature at Cyient as Cyient DET.

Cyient DET, as we will represent this segment from today includes the erstwhile Services business of Cyient that includes core services plus acquisitions as we were calling it before, plus a small portion of engineering parts business, which was earlier classified under DLM. I repeat Cyient DET business as we will represent this segment from today, includes the erstwhile services businesses of Cyient plus a small portion of engineering parts business, which was earlier classified under DLM.

Apart from evolution of segment nomenclature from services to DET for reasons explained earlier, the additional item here is the reclassification of Engineering parts business and this reclassification is based on business and client adjacency and was done prior to DLM

divestiture. This reclassification does not have a major impact on Cyient's DET business, just as a measure of quantum, engineering

ring parts business, which is now merged into DET has a revenue of about \$0.9 million per quarter, I repeat \$0.9 million per quarter, which is about 0.5% of Cyient DET revenue.

We have not reclassified the previous periods for this segment, given that the impact is minor and then some comparison may not be like-to-like, and we will attempt to provide a clarification in such instances in this call. The second segment is Cyient DLM which is a DLM part of our business, which was divested after the reclassification of engineering parts business as above and the third segment is others, which now includes Cyient's Aerospace tooling business, which was earlier classified under DLM and has been reclassified prior to the divestiture.

The classification of business units within Cyient DET remains the same as earlier in services, which are basically Transportation, Connectivity, Sustainability and NGA. Today's presentation and discussion is on Cyient DET only. All the numbers and the data are for DET only, unless mentioned otherwise as Group. We have received quite some valuable feedback from most of you on the content of this presentation with a request to simply and focus on
Cyient Limited
July 25, 2023

Page 4 of 20

highlights. So going forward, we will adopt a dashboard model for this presentation and financial performance with relevant details already shared in annexure. In the dashboard model, you will see that we are revisiting our performance across six key metrics, which basically are revenue in US dollar terms, revenue in INR terms, EBIT in percentage terms, PAT in INR terms, EPS in INR terms, and FCF in INR terms. And for each of these metrics, you'll also see that we have depicted the movement on Q-o-Q and Y-o-Y basis. Before I walk you through the commentary, let me just summarize that we strongly believe that our Q1 FY 24 witnessed a well-balanced performance, which was in line with our expectations. In terms of Q1 FY 24 revenue, the Q1 FY 24 revenue for DET stood at \$177.1 million and a growth of 0.3% quarter-on-quarter in constant currency and 30.6% year-on-year in constant currency. This, of course, includes the engineering parts business. We have not restated the previous period numbers since the impact was not significant. But the like-to-like movement for what was Services revenue earlier would be the movement of minus 17 bps quarter-on-quarter in constant currency on sequential quarter basis. In INR terms, the Q1 FY 24 DET revenue stood at INR1,455 crores with a growth of 0.4% quarter-on-quarter and 37.2% year-on-year. I repeat, the growth of 0.4% quarter-on-quarter and 37.2% year-on-year. We have two key growth drivers behind this performance. The first is that our core segments aerospace, automotive and sustainability, continue to witness a very strong growth Q-o-Q and Y-o-Y. And also our key clients, top 5 and top 30 continue to witness strong Q-o-Q and Y-o-Y growth. Mr. Karthik Natarajan will address these in more detail in the business outlook presentation.

In terms of normalized EBIT margin, the Q1 normalized EBIT margin for DET business stood at 16.1%, which is the highest we've had in the last nine years, and also grew by 93 bps quarter-on-quarter and 327 bps year-on-year. I repeat, this services EBIT margin, which was called Services earlier, DET, is at 16.1%, which is the highest in the last nine years, which expanded by 93 bps quarter-on-quarter and 327 bps year-on-year.

In Rupee terms, the Q1 FY 24, DET normalized EBIT is highest ever at INR 234 crores with a growth of 72.1% year-on-year. This margin expansion is driven by continued improvements in SG&A costs, resulting from optimization initiatives that we've undertaken in the previous quarter. In terms of normalized PAT, the Q1 FY 24 normalized PAT stands at INR170 crores, translating into a normalized PAT growth of 6% quarter-on-quarter and 56.3% year-on-year. I repeat, the normalized PAT growth for this business is at 56.3% year-on-year. And this then translates into normalized EPS of INR15.5 for Cyient DET.

In terms of free cash flow, the Q1 FY 24 FCF stood at INR176 crores, a growth of 150.5% year-on-year. This translates into a conversion of 108.9% on reported PAT. As I close this chart, I also like to draw your attention, that the balanced performance that one can see across several metrics, with revenue growth of 30% year-on-year in constant currency terms and EBIT expansion of 327 bps Y-o-Y, the PAT grew by 56% Y-o-Y while retaining focus on FCF, which also handsomely grew by 150% Y-o-Y.

Cyient Limited
July 25, 2023

Page 5 of 20

And hence, our opening comment on this being a balanced performance in the beginning of my presentation. In terms of group numbers, the group numbers we see here are a combination of all three segments we spoke before and I will just call out a few comments. At \$205.3 million, group revenue for Q1 FY24 grew by 28.6% year-on-year in constant currency. And the sequential growth was impacted by cyclicalities in DLM business, which would recover in the subsequent quarters. The Q1 FY 24 normalized EBIT margin is at 14.7%, higher than what we've had in the last nine years, up by 322 bps year-on-year and Q1 FY24 PAT stands at INR177 crores, up by 52% year-on-year, while the FCF has also improved by 60% year-on-year. And therefore, also at the group level, we believe that this is well rounded performance in line with our expectations, and this also gives us with a very strong start into the financial year. With this I now hand it over to Karthik Natarajan for an update of the business performance and outlook.

Karthikeyan Natarajan: Thank you, Prabhakar, and good day, everyone. I'm trying to deep dive on some of the vertical performances that I will cover in the next few minutes. And we had an all-round operational good quarter for us. And if you look at the four segments that Prabhakar detailed out as part of the Digital, Engineering & Technology business. And starting with Transportation, which has grown by constant currency, 3.2%, and year-on-year 19%. Connectivity business, which is affected by the wireless telecom operator business has shrunk slightly compared to Q4. So that has taken about 2.4% degrowth in Q1. Sustainability business, enabled by growth in energy, mining and the utility business has had a solid quarter of 4.5% growth quarter-on-quarter. And this business has grown, including Citec at 11.2.3% year-on-year. And New Growth Areas, which are at \$30.5 million in Q1 FY24, has had a degrowth of 6.5% QoQ. And this is attributed to the high-tech and semiconductor degrowth that we have seen, while we continue to see momentum in our automotive business, which has really grown very well as compared to the last quarter.

In terms of order intake, and this is more of a seasonality that we see on Q-o-Q. Y-o-Y is the right measurement to be compared with and we had \$193.2 million of order intake, which has grown by 32.5% year-on-year in terms of constant currency. Our offshore mix continued to stay at 44.4%. As we remember, the earlier core business of Cyient, which has moved to 54% over the last eight quarters to 10 quarters. We have an opportunity to improve on this with all the acquired entities put together, which is back to 44.4%.

We won six large deals in the last quarter, which is amounting to about \$49 million. And interestingly enough, some of these deals include the software defined vehicle for trucks and autonomous perception systems for construction equipment and grid analytics and also floating production, storage offloading for LNG and for one of the oil and gas customers. So a very interesting quarter in terms of our performance on large deals and what we have seen on the operation.

To move on and to share more of outlook for rest of the year. We continue to see investments around the Green Transportation, Energy Transition, Defense & Security, Digital Health and Cyient Limited
July 25, 2023

Page 6 of 20

Automotive as well as on the decarbonization areas. We have seen a significant momentum on the Aerospace growth, which will probably continue to be there throughout this year. And both on new aircraft demand as well as on the MRO side of the business, I think both are looking strong for the rest of the year. We also started seeing momentum around advanced air-mobility solutions and this is one of the diversifications from our core Aerospace business into urban air mobility, and this probably gives us an acceleration over the next three years to five years as the business evolves.

In terms of Connectivity business, I think wireline business, which is definitely on a stronger footing with some of the funding coming from the US government on RDOF, which is called as the Rural Digital Opportunity Fund, and BEAD, which is the Broadband Equity Access Deployment programs, where there are likely to be about \$60 billion-plus spend over the next three years to five years, and these continue to be the drivers of growth apart from the public and private wireless that we have spoken about in the past.

In terms of Sustainability, the energy minerals are at an all-time high in terms of demand, whether it is lithium, nickel, cobalt, copper. And also the decarbonization related investments are continuing to increase from our customers. And we've also seen hydrogen and ammonia based green energy and carbon capture utilization, and these are the investment areas we are seeing momentum and we'll talk about more in the subsequent slides.

And New Growth Areas, and this is -- the growth is led by automotive, again, by software-defined vehicle and the electrification. And we have seen some softness in the semiconductor business. We hope that gets better during the later part of this year. And semiconductor business is expected to see momentum from high-performance computing, artificial

intelligence and auto segments. And Healthcare and Life Science business has been flat as compared to the last quarter. We expect that to start getting into the growth trajectory in the second half of this financial year.

With that said, our investments around technology solutions and digital areas continue to really yield better results for us and to share some of the success stories. We won a very large program on semi-autonomous drive, collision and obstacle avoidance system for a construction equipment major from Europe. And this is one of the prestigious programs for Cyient-based on the capabilities that we've built over the last three years, and we are actively working with the customers to convert most of the products to be enabled for autonomous systems. And we also have won some of the projects from customers on ADAS feature development and integration with the EV truck and software-defined vehicles, our core embedded vehicle application software for one of the European truck manufacturers. And these are some of the terrific wins that we had in the last quarter, and we expect the growth in automotive and off-road highway, we will continue to expand based on some of the recent wins.

Network analytics and automation led by cloud-enabled and AI-driven analytics and zero-touch provisioning have really given us some of the results and new wins that we had. The pipeline that we have seen in this area is very strong. Enhanced grid analytics to integrate AMI

Cyient Limited

July 25, 2023

Page 7 of 20

data with some of the ESRI tools that we have created some integration programs. I think they are continuing to play well for us, and we continue to build momentum on the creativity business that we are in.

Generative

AI. This has been one of the interesting areas of topic over the last six months to nine months, and we started seeing a lot of interest from our customers in terms of implementing conversational AI systems and distributing that contextual content to various stakeholders in a human-like natural language. And whether this is about product support, customer experience and trying to help them through the complete aftermarket life cycle. And CyVision, which is one of the video intelligence platform that we have built and how this can help to identify the objects such as vehicles and persons from live videos using deep learning modules. And we are continuing to make progress on AI-powered software testing and industrial data fabric with AWS as one of the key partnerships that we've built and also continue to make progress on operational grid analytics.

So with that, I will just move on to the next topic, which is about our guidance that we have shared in the past and for DET business, which is Digital Services-plus a very small parts business. We are keeping our guidance at 15% to 20% year-on-year in constant currency terms. And in terms of EBIT margins, and we have guided earlier at 100 basis points to 200 basis points improvement. And based on the operational efficiency that we have seen in the first quarter, we are revising it upwards to 150 basis points to 250 basis points year-on-year. With that, we'll stop here, and probably throw it open for Q&A.

Moderator: Thank you very much. The first question is from the line of Mukul Garg from Motilal Oswal Financial Services.

Mukul Garg : Karthik, firstly, on the growth outlook. Given that the first quarter was fairly muted, where are you getting the confidence for delivering that 15-20% type of growth in services. Especially if you can speak about the Connectivity part of the business because that's an area where we are seeing weakness across regions from companies in the space. Is that something which will remain a drag and you will kind of deliver weakness in that space?

Karthikeyan Natarajan: Thanks, Mukul. To answer your first question, I think we understand the ask rate would be anywhere between 2.5% to 3.5% Q-o-Q for the next three quarters. I think that's definitely in the reach of what we are looking at. That's the reason why we kept our revenue guidance intact. And to answer your second question, Connectivity has two parts - One is the wireline. The second is the wireless part. The wireless is only about 20% of our business. And what we are seeing is the softness is from one of the customers. And we hope we can probably see a pipeline that we already have, getting converted during the later part of Q2, which will probably give us a reprieve in H2 of this financial year. On the wireline part and some projects which got shifted to the right and the investment still continues to be robust. And especially the government funding, which has been talked about a year ago, has been assigned to all the

Cyient Limited

July 25, 2023

Page 8 of 20

states and the states are in the process of being able to distribute the work during some time in Q2 and Q3. We expect to see the growth coming back in the second half of this financial year.

Mukul Garg: Right. But just a follow-up on that. Is there a risk in case that space remains under pressure to

our full year guidance, or we have built in some buffers? And then I have a follow-up for Prabhakar.

Karthikeyan Natarajan: Yes. I think whatever we see at this point of time, we are keeping that 15% to 20% range, Mukul. That's the reason why we are keeping a wide range. So I would just hold at that level.

Mukul Garg: Sure. Thanks. Prabhakar was there any reclassification during this quarter, the gross margin were down very sharply on the Services side. And similarly, your G&A was also kind of

down

almost 300 basis points?

Prabhakar Atla: So Mukul, thank you for the good question. No, there was no reclassification during the quarter. Firstly, like we spoke, the significant improvement we have seen in the EBIT in the quarter is basically because we've been driving SG&A improvements for the last several quarters. We've been doing this expense for most of last year, but we also had costs that we incurred in the last year as we drove this initiative. And now we start seeing the full benefit of what we have done last year in the current year. Therefore, you see the improvement in SG&A translating into EBIT. That's the first part.

In terms of gross margin movement quarter-on-quarter, this is basically coming out of two things. One is the merit increase that we had to counter in Q1, and also a little bit of unfavourable revenue mix we had in Q1 based on how the global scenario is evolved. But this was two different things, there was no reclassification in the quarter.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain: First is on New Growth Areas. I got some of the commentary, but can you just split the growth rate there because we were down sequentially in a big way. So that's one. And second, our margin outlook got revised, meaning the initial guidance was also on the higher side compared to peers, but now it got revised further up. So where are we in terms of utilization, and it appeared to me that attrition is still high. So how do we get such high synergies or say margin expansion opportunities during the year?

Karthikeyan Natarajan: So Mohit, I'll answer the first one. Maybe I'll pass it to Prabhakar to answer the second one.

On the first one, there are four subsegments as part of the new growth areas. One is Automotive and second is Healthcare & Life Sciences and third is Semiconductor and fourth is HiTech. Like what I shared in my brief, in HiTech and silicon they had a weak Q1, and that's the reason why you're seeing the drop in terms of minus 6.5%. And Healthcare & Life Sciences has been flat, and Automotive has seen a significant growth compared to last quarter. So sum of all this is what I've described it as at minus 6.5%.

Mohit Jain: Sir, Automotive is flat, is it?

Cyient Limited

July 25, 2023

Page 9 of 20

Karthikeyan Natarajan: Automotive has seen a significant growth

Mohit Jain: Okay. Got it. And broadly, how is the split between these four? Like should we assume more or less equal? Or do you think it will be tilted towards one particular segment?

Karthikeyan Natarajan: Yes, you can assume it to be almost all in the similar range of probably about 7.5 million to 8.5 million.

Mohit Jain: Okay. Got it. And second one for Prabhakar?

Prabhakar Atla: Thank you for the question once again. See if you recollect the commentary we made in Q4 investor call, Krishna used the words pragmatic conservatism when you were given the outlook for the full year in terms of revenue and margin guidance. I'd say the pragmatic conservatism we had in terms of the full year outlook for margin has played in our favor, as you could see, we already delivered a good quarter, 327 bps year-on-year.

And we also see the potential roadmap ahead of us to extract the value of the various initiatives which we are running in SG&A. But also, as you've seen, this performance in Q1 is even when -- back to earlier question, there was a marginal degrowth in the gross margin, but we still maintain the numbers that we have maintained right now in margin front. Therefore, as we recover across those gross margin segments and as we continue to extract the margin from the SG&A initiative, we feel fairly confident with the upgraded guidance that we've covered earlier so. Still being a bit pragmatic, conservatively, I would say.

Mohit Jain

in: For the wage hikes, will it hit us in Q2, or are you going to spread it across multiple quarters?

Prabhakar Atla: We would spread it across multiple quarters. Part of it is already coming in Q1. The rest of it we'll spread across various quarters.

Mohit Jain: So, we may not see that one quarter hit is what you're saying. It should gradually improve.

Prabhakar Atla: Yes. You will not see a one quarter hit like what we have seen in the previous years earlier. It will be spread throughout the year.

Mohit Jain: Right. And last one, I could not find utilization. Do you have a ballpark number where are we currently?

Karthikeyan Natarajan: Yes, I think we are about 86% in terms of our utilization and apple-to-apple comparison from last quarter. As we are in the process of getting all the companies that we acquired to be integrated, and we will probably not provide the detailed breakup like what we have done in the past. And since this process will take some time in the quarter of Q2 and we would just state as the overall margins and gross margin, which kind of indicates the level of utilization. Mohit Jain: Including the target, 86% consolidated -- utilization is broadly what we should assume for the quarter?

Cyient Limited
July 25, 2023

Page 10 of 20

Karthikeyan Natarajan: Yes.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal: So just -- I know you've built a bit upon it, but just wanted to understand a bit more about the optimism that we have about the Transportation segment. I mean the last call also, we've kind of spoken about a very strong demand environment coming up in the aerospace vertical. So how do you see this industry demand shaping up let's say, in the remaining part of this financial year, not I think for a quarterly number, but do you think it's going to be a positive momentum as we have seen in this quarter to continue in the remaining part of the year? And specifically in the Aerospace vertical, do you believe this cycle could actually last beyond FY24 as well in terms of the opportunity that we see and capitalize on?

Karthikeyan Natarajan: I think the momentum on the Aerospace business, if we were to really classify into three subsegments, whether it is commercial aerospace - new aircraft, new engines, new sale. And second is the MRO part, and third is the defense business. I think all three businesses have come back with a bang as far as this year is concerned. And there is definitely a very robust and strong demand, and with China joining this party about six months ago and the number of aircrafts that are flying at any given point of time is probably closer to what we have seen in 2019. So the similar levels of air passenger miles is similar to what we have seen in 2019. So that's definitely driving the demand. However, the customers are continuing to face challenges on the supply chain and labour productivity. And those two are definitely plaguing the growth that they want to achieve during this year. And we hope it gets better during later part of this year. And in terms of demand outlook for the next 18 months, we are positive about how this segment will look for us.

On the defense side, we have seen significant growth in defense because of the conflict that we've seen in Europe. I think that has really made every government to spend significant amount of money around the defense and security part, and that is likely to continue for a few more years as the internal security is becoming one of the key challenge for many countries. They want to strengthen their internal security part.

Vibhor Singhal: Got it. So as a broad number, if I were to ask, I mean, in our guidance of 20% growth, would the Transport vertical be higher than the company average, or do you believe it could probably

be in a similar range?

Karthikeyan Natarajan: I think we are interested to really make all of these four segments to grow in double digit. I think that's the intent on which we are operating. Some would be on the higher end and some would be on the lower end.

Vibhor Singhal: Got it. And on the Connectivity side, if I were just to maybe pick your brains for a couple of minutes. I think we've seen this vertical actually being the problem area for almost all the companies, be it in the IT services business or in the ER&D space. I think the telcos are globally are continuing to bleed and there's not much of a spend either on technology or on the research part that they're undertaking at this point of time. Do we also see the same things

Cyient Limited
July 25, 2023

Page 11 of 20

driving this segment and it should probably keep this vertical under pressure in the near term as well?

Karthikeyan Natarajan: I would say, as I mentioned in the previous question, Vibhor. I think specific to wireless part, we have seen some softness. And with some of the pipeline that we have today, and we hope it will come back during the later part of this financial year. Broadly, what you are seeing is correct across the CSPs. The communication service providers are muted in terms of their spending around wireless and 5G, as they've already started spending money on it for the last five years, they want to monetize some of them, while there is a pause that is seen on the wireless side. But like what I mentioned, the wireline part, which is continuing to see momentum and supported by the government funding programs on RDOF and BEAD. And these two in US are likely to create significant demand over the next 18 months to 24 months.

Vibhor Singhal: Got it. And just like Transportation, you expect Connectivity also to be, in a positive growth

territory for the full year?

Karthikeyan Natarajan: Yes, which is expected to be back ended, as compared to what we have seen on the Transport side.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Thanks for the opportunity and congrats on the good execution especially on the margins.

Sandeep Shah: Yes. The first question is in terms of the guidance again. As per my calculation, the ask rate is actually 2% at the lower end and 5% at the upper end. So even 2% is not conservative looking at the macro environment and your commentary about semiconductor, high-tech and communication may have some gradual recovery rather than a fast recovery. So how confident we are in terms of growth pickup starting from Q1. Do you believe 3Q, 4Q growth rates would be higher versus 2Q?

Karthikeyan Natarajan: Yes. At this point of time, Sandeep, like, what I guided on each of the sub-segments and the growth is aided by what we have seen in aerospace, automotive and energy and utility segment. And we expect the growth in these segments and supported by health care and life sciences and Connectivity during the second half of this year. We expect to keep our guidance in the same range of 15% to 20%.

Sandeep Shah: Okay. So whether growth rates could be slightly back-ended this year versus maybe 2Q may have slightly gradual recovery as of now?

Karthikeyan Natarajan: So we are not guiding specific on Q2. And I understand the ask rate that you talked about, and we are aware of it and we are working towards meeting our overall guidance of 15% to 20%.

Sandeep Shah: And Prabhakar, just in terms of question on nature of SG&A optimization. Why I'm asking this is actually the support staff has not gone down in Q1, Q2. What is the nature of such a big optimization which we have achieved in the 1Q and your expectation to continue going

Cyient Limited

July 25, 2023

Page 12 of 20

forward? And your 1Q EBIT margin is a lot

ready 240 bps higher versus your FY 23 EBIT margin

for services business. So that means on the next three quarters, margin may be more or less flat, which is still a very good execution, but that is the way directionally one should think about despite wage hikes?

Prabhakar Atlal: I think this cuts across a number of levers, Sandeep, which we've already worked in the last year. But you've not seen the impact of it last year because there were also costs that we incurred around it, you have seen the full benefit or the fullish benefit in the current quarter. Therefore, our construct that whatever we have done, we'll continue to maintain if not further improve on that. Therefore, we will continue to realize same benefit to the full year. And you're right, it's also caused for continued execution excellence of which we are confident of.

Moderator: The next question is from the line of Shradha from Asian Market Securities.

Shradha: Hi, congrats on a good quarter. A couple of questions within transportation, would it be possible for you to split the growth between aero and rail transportation?

Karthikeyan Natarajan: No, Shradha, we are not breaking down beyond what we have categorized in these four areas.

Shradha: No, sir, the reason I'm asking is because we were facing some issues with one of our top accounts in rail. So, are we out of that issue or are we still facing some softness in that particular client leading to overall subdued growth in rail transportation?

Karthikeyan Natarajan: No, we are not seeing any issues that we have spoken about on this customer over the last two quarters. I think that continues to be doing well. And we don't see any negative surprise as far as the customer is concerned.

Shradha: Great. And another question on sustainability, given the fact that we've shown a very strong 4.5% growth. Is there any seasonality in the Citec business wherein 1Q is higher and -- or is it business as usual growth in the sustainability segment for us?

Karthikeyan Natarajan: Sorry, can you repeat the question, Shradha?

Shradha: I'm asking whether the 4.5% growth that we reported in sustainability, does it have to do anything with the seasonality in this Citec portfolio or is it business as usual growth for us in this segment?

Karthikeyan Natarajan: Yes, I think it is business as usual. And typically, what we have seen for Citec, they tend to have a high impact on Q4 that seems to be their best quarter. So, Q1 is not necessarily their best of the quarters based on what we have seen in the last three years of data.

Shradha: Right. And just one thing on the minority interest I think the minority interest number seems to be a bit lower than what comes from calculation of what you reported for DLM financials. So, I was just checking if there's anything else in minority interest that has gone beyond DLM?

Cyient Limited

July 25, 2023

Page 13 of 20

Prabhakar Atlal: Shradha, there is nothing beyond minority interest in the calculation, but our team will reach

out to you to see what numbers you have.

Shradha : Sure.

Krishna Bodanapu : I think, Shradha, just to add quickly on that, if you look at what has happened . Only a very small amount would have come because that's from the pre -IPO placement . The majority would only start from July 10. That's why you'll see the full impact only in this quarter . Last quarter, only that sort of small percentage of IPO or pre -IPO placement that had happened would have come, and that too for a short term.

Moderator: The next question is from the line of Abhishek Shindadkar from InCred Capital.

Abhishek Shindadkar : Hi. Thanks for the opportunity and congrats on a good quarter. This may be a repeat question. I'm sorry I got dropped in between I was not clear why the gross margins dropped this quarter. So that's one question and the second thing

is on the SG&A rationalization, Karthik, I recollect

that we had been investing in SG&A after you came in in 2020. So, is it like we have reached or completed that program in terms of investment in SG&A, or is it that we view that the macro is challenging and that's why we are driving this SG&A rationale? How should we read the SG&A rationalization. Thank you for taking my questions.

Karthikeyan Natarajan : Sure. Thanks, Abhishek, and I'll answer the second part, and request Prabhakar to answer the first one. Yes, the second one, whatever investment that we wanted to make towards growth in terms of sales and technology and digital investments, they continue to be there and we will continue to make those investments, which are very critical for our journey for the next 3 years to 5 years. So, that is absolutely intact. And as you remember we did Investor day sometime in November last year and Krishna did talk about how we wanted to look at some of the spends that we have on G&A related to the buildings and computer hardware, software. We made certain investments around COVID, and some of them are not necessarily, for example, everybody had two laptops, one in the office, one at home, and some of them are getting rationalized in terms of what we wanted to do. So that exercise has begun almost 8 months ago. They are starting to see results in terms of the output from Q1 onwards.

Prabhakar Atla: And Abhishek, to your question on gross margin movement, right ?

Abhishek Shindadkar : Yes.

Prabhakar Atla : The gross margin movement between two quarters is because of primarily two reasons. One is the merit increase that we had in Q1 and also an unfavourable revenue mix in the current quarter that we hope that we expect to renormalize in the rest of the year.

Abhishek Shindadkar : Okay, that's helpful.

Management: Thank you Abhishek.

Cyient Limited

July 25, 2023

Page 14 of 20

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar : Hi, thanks for giving the opportunity. Sir, just largely wanted to understand on the aero side, I mean, are customers talking about any major programs being undertaken, any major development or any major upgrades happening, just wanted to get an understanding around that on the aero side?

Karthikeyan Natarajan : Mihir, I think, I'm sure the entire industry is waiting for upgrade of what is called as the single aisle program. I think both A320 and 737 from Boeing, I think both are almost 25 -30-year old platforms and they both need upgrade. And interestingly, what I was hearing from some of our customers I've met in the last 8-10 weeks, they were really looking for a decision around the sustainability initiative that is going to impact the commercial aerospace industry, whether it is using more of a sustainable air turbine fuel or whether it is about hybrid, whether it is electric or hydrogen. I think some of those bigger decisions have not been made and that is one of the reasons why the programs are getting delayed. And we do believe it's a matter of time in the next couple of years that there will be announcement around new programs. And the super cycle, which happens once in every 10 years is likely to kick in any time between 24-26, and both the platforms definitely require significant upgrade, and I'm sure it's a matter of time before both of them will come forward with the upgrade programs.

Like what I also mentioned, this is the first time many of the customers are seeing the robust demand coming from both commercial and defense side. And this is something they always manage one being on the high, one on the lower end, they can really manage the demand. And now they have definitely seen significant demand on both defense as well as on the commercial side. Just to

put things in context, if you really look at the F -35 program launched by Lockheed Martin, and they are coming up for MRO now. In the next 5 years, there will be at least about 500 aircrafts to 600 aircrafts will come up for maintenance, repair and overhaul . So, that's the level of demand that is coming from defense side on top of some of the new

programs that are being announced to upgrade F-35 over the next 5 years to 7 years. Krishna Bodanapu: If I may just add, if you circle back to 2007-08 timeframe, that was the start of a super cycle essentially in the aerospace design business, and we're seeing a lot of the signs of that now happening. And I think this time, there's also a bit of a -- sort of a happy convergence in the sense that both defense to Karthik's point about F-35, the tanker, mid-range transport, etc. happening. And also on the commercial side, they're teeing up for some of the new programs. So, we're quite confident that the aerospace sector will go through that super cycle in the coming years.

Mihir Manohar: Sure. That's absolutely helpful. Thank you very much.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: Thanks for the opportunity. Two questions. First of all, just want to understand the new breakup which you provided, what Cyient others include because if I want to add Cyient Cyient Limited
July 25, 2023

Page 15 of 20

DET, Cyient DLM, then there is some gap. So, if you can provide some sense about it and why we are keeping it separate? Second question is about the new growth areas. Now HiTech, I think some of your peers indicated some kind of recovery is playing out. So, if you can provide some sense about how you expect HiTech recovery to play out over the next few quarters and semiconductors, sir, I think earlier, you indicated second half of recovery. So, any tangible kind of things or it is more hope than tangible kind of outcome which you are expecting?

Krishna Bodanapu: So I'll answer the first part of the question before handing over to Karthik. So, basically within our-- if you look at it, there are two sectors here, one is DLM, which is Design Led Manufacturing and the second thing is DET, which is Digital, Engineering and Technology, which is essentially the Services type of businesses that we have.

Now the Others, basically, if you look at the Cyient DLM business, there is one business within that, which is a tool manufacturing business primarily centered in North America, which is about USD10 million yearly run rate, slightly lower than that, but about there, which does not fit into the DLM framework nor within the DET framework. So, we've kept it as Cyient Others because we did not want to put it in either organizations because, obviously, we need to first figure out where the fit is and strategically what we want to do with that business. It is potentially a business that we will consider for a carve-out sale in the next few quarters, but we are evaluating the options for that. When we had acquired the business, there was a certain hypothesis around design of tools and manufacture of tools, which has not played out. And when we did this split, we found that it didn't really fit into either businesses in the split and therefore, we've held it in a different unit to figure out what the options for that business are.

Karthikeyan Natarajan: So, Dipesh, to answer your second part of the question, and in the new growth areas, I think your question was on two parts. One is the HiTech. And we do expect HiTech be flat and soft throughout this year, and we don't expect that to really recover back based on the customer profile that we have and the pipeline that we see. As far as semiconductor is concerned, we do see momentum from semiconductor for automotive and driven by si

gnificant demand on

ADAS and the electrification. And we are seeing -- we have won one of the large deals that we announced last quarter and that is ramping up. And we have seen softness from consumer and data center part, but we do expect that the automotive business to be the robust during the rest of the year. We have seen momentum from some of the pipeline that we have seen and how they are moving through the decision-making cycle. And we are confident that, that should probably bounce back during the second half of this year.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Goldfish Capital. Please go ahead.

Prolin Nandu: Hi, team. Thanks a lot for taking my question. Couple of questions, again continuing with the previous question on new growth areas. Now the reason we have probably put in this as a new growth areas is this is something which we are venturing in to. Then when we talk about some of these macro weakness, I mean, I'm just trying to figure out whether there is a scope to gain Cyient Limited
July 25, 2023

Page 16 of 20

market share here. And again, I mean, as some of the larger peers have mentioned that HiTech is probably recovering and that we have seen in some of the HiTech stocks as well. And we are still guiding for a flat kind of a year. So just on an overall basis, can you just comment on -- I mean, is there not a scope to gain market share. I mean will the macro weakness continue to hit us for the entire year across all the different four new growth areas?

Karthikeyan Natarajan: Yes. I think Prolin like what we mentioned, I think automotive business is on a very strong

growth momentum that we have seen over the last 18 -24 months . We continue to see momentum there and like what we talked about two of the large deals that we announced this quarter come from automotive and especially on software define vehicle for a commercial truck as well as the autonomous perception system development for a construction equipment major. So, that indicates the robustness of growth that is seen from automotive.

Healthcare and Life Sciences, like what I mentioned, we see softness in Q1. We expect that to recover in the second half of this financial year. Semiconductor, which has shown a muted Q1, we expect to recover again in the second half of this year, aided by automotive and artificial intelligence, edge compute based silicon that need to be built up and thus driving the growth during the second half of this year.

And HiTech is one of the four businesses in NGA . We expect that to be soft during the year.

And when you talk about HiTech, just to remind you that this is part of the erstwhile geospatial businesses and we are also wanting to really not focus a significant amount of growth in that area, while we wanted to drive more around customers from utilities and communications and mining and how do you think we are able to cross-sell and drive growth in those segments and starting to see that as a horizontal and more and more than a vertical moving forward.

Prolin Nandu: Yes, thanks a lot, that clarifies the HiTech part. Now second is on this legal charges, right? In some sense, as we - I mean, what I understand is that one of the cases is over and one of the cases is still going on. So, how do we see this legal charge is spanning out for the remainder of the year? Do we see them coming down significantly or do we still need to incur the kind of legal charges that we have incurred this quarter and in the last financial year as well?

Krishna Bodanapu: So, if you look at the two elements of that case, there was a criminal element and a civil element. The more sort of risky one and the more sort of serious one was the criminal case. The criminal case is the one where -- again , Cyient was never charged as Cyient was never accused of

anything. It was one of our executives, but that's been cleared. So, that takes out a humongous risk from the business. And therefore , -- it also gives us a much stronger basis to fight the civil case. So, from a risk perspective, I want to say, the matter is closed and we find ourselves in a good spot because the matter was not just closed, but it was closed very strongly in our favour where the judge even dismissed the case .

Now coming to the civil matter, it will take another quarter or two to resolve. We will have some legal fees still for the next -- we believe, for the next two quarters, that's for Q2 and Q3 at a level that is lower than what we've seen in the past. We are working on expeditiously resolving it. But I want to say we don't anticipate any great risk . And also, we don't anticipate a

Cyient Limited

July 25, 2023

Page 17 of 20

very large quantum of legal fee for the foreseeable future. It will continue for another quarter or two at least.

Prolin Nandu: Cool. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: I have one strategic question. After this corporate event, like we listed separately the DLM vertical. What are the growth areas in the long-term strategy and place to grow this Cyient Limited business. I understand that we have a presence in the high-growth areas, be it aerospace, automotive, defense and all. But from a long-term perspective, like, let's say, three years, four years down the line, when this cyclical sector starts getting flat curve on growth side, how would we see this company as a standalone entity?

Krishna Bodanapu: Are you talking about Cyient or Cyient DLM?

Chirag Kachhadiya: I'm talking about Cyient .

Krishna Bodanapu: Sorry.

Chirag Kachhadiya : Cyient Limited.

Krishna Bodanapu: Okay Cyient Limited. So see I think the idea that we had is that there are two elements to our business. There's the manufacturing element and again, not to talk about that here, poised for some good growth. It finds itself in a good spot. The market that it operates in is going through a transformation, and we want to make sure it has its capital structure and ability to grow.

Now coming to the Cyient business, I think the key element if you look at there is the way that we've classified the businesses as digital engineering and technology. Engineering is the core to what we do. That is what we do well, be it mechanical engineering, electronic , network design, etc. we do various elements of engineering there . But the two elements that are converging with engineering as a digital, again, you may have heard a lot of technology speak like an IoT or machine learning, etc ., but really, there is a lot more there in terms of the application of technology and how we convert this with engineering and the product. So, that's the whole digital play.

And then, of course , putting all this together is the technology play, which is pointed solutions

that we can take to the customer, I think Karthik recently talked about. We won our first deal for a very large perception management system but this is taking all the skills and technology that we have. On one side, there is a whole engineering piece that we brought to the table with mechanical -embedded software, etc. And on the other side, we brought the digital piece to the table with the elements like artificial intelligence and connected devices and so on and so forth.

Cyient Limited
July 25, 2023

Page 18 of 20

So, technology really brings the digital element, digital and engineering elements together. So, net-net, while we were in various industries and all of them go through their various trajectories -- these industries are seeing a very significant convergence

of digital, which is the technology piece with engineering, which is the core of what they do. And they have been very strong at enabling the convergence between digital and engineering. So, if I were to summarize it, I would say, this convergence is what we're accelerating.

And okay, pure engineering might go up and down, technology might go up -- or digital technologies might go up and down, but this reality of convergence between digital and engineering is only going to accelerate, and that's what we do for our customers. And therefore, we're quite confident in the next 4 years, 5 years, as more and more technology convergence happens into products and networks, we are very well positioned in that convergence.

Moderator: All the participants are requested to limit your questions to one per participant. The next question is from the line of Vikrant Gupta from ICICI Prudential.

Vikrant Gupta: So I just have a couple of questions. The first one is on the wireless or rather the wireline part of our connectivity portfolio. So, as per my understanding, at least in U.S., it seems like the fiber rollout targets sort of peaked out in calendar 2022. They don't seem to be getting revised downwards at least by the major telcos over the last three months. So, if you could provide some color whether my understanding is correct and what you are seeing on the ground? And secondly, what would be our geographic exposure within the wireline portfolio? Are you seeing the same tailwinds that you have seen in U.S., maybe also in other geographies, your major geographies?

Karthikeyan Natarajan: Thanks, Gupta, for putting these questions. And to answer your first question and what we have seen is the fiber penetration today in North America is about 50-55%. And what is happening with cable and media and plus the wireless connectivity enabled through 5G and all of them need fiber as a backhaul for the last mile. So, that's going to be critical. And three, enabled by the rural connectivity initiative from the U.S. government, along with rural plus the urban low-income area, which is covered through the BEAD program. And these are government-funded programs and these are going to be awarded to many companies beyond the large telcos and based on the location that they operate in, and they go through a bidding process.

And that is underway as we speak. And that's likely to drive this penetration of 50-55% to probably 65% to 70% over the next two, three years. And interestingly, we are also seeing similar initiatives across U.K., Germany and Netherlands and even in European geography. And this is going to be a global initiative in terms of increasing the fiber rollout. And as you cannot really say whether it is wireline versus wireless, I think you need both even for wireless to be successful.

And with cable and media companies trying to ride on the streaming initiatives through wireline. I think it makes a lot more important across all the geographies and everyone realizes
Cyient Limited
July 25, 2023

Page 19 of 20

the critical infrastructure cannot function just through wireless, and they definitely want to depend on creating redundancies with wireline as well as wireless. So, we do believe this will probably run for a few more years before it really runs out of steam. And also, there is a significant initiative around replacing copper with fiber optic. So, that's something which is like a legacy modernization, which is happening. Even within the existing fiber which has been done over the last 15 years would need an upgrade, and that's another cycle that is happening across many of the geographies.

Moderator: Thank you. The next question is from the line of Nitin Sharma from MC. Pro Research. Please go ahead.

Nitin Sharma: Hi, thanks for taking my question. So, can you please

help us understand if you're seeing any deal closure delays in any of these segments?

Krishna Bodanapu: Sorry, can you repeat your question.

Karthikeyan Natarajan: Yes. So, I think that's going to be a start stop, right? What we also looked at was out of our top 40 customers, there are 5 or 6 of them are going through some unique issues which are not necessarily industry specific, but it is customer specific. So, some of them, we do see delays. And we started seeing better decision-making maybe in the last 4 weeks or so as compared to what we have seen in the initial part of Q1, and again, this is too difficult to generalize across all segments. In some segments like what we have seen on aerospace, automotive, energy, I think they definitely have a compelling reason for the monetize, and some of the discretionary areas where they can defer, and we have seen some delays and not necessarily significant delays.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Krishna Bodanapu: Thank you very much. Thank you for joining the call this evening. It has been a very important quarter for Cyient. As we've talked about, we've been able to list the DLM business and now have a clear focus in both our businesses on this side with Digital, Engineering and Technology, and on the other side, with manufacturing. So we're very excited about where things stand. We had a good start to the quarter. Revenue moderated a bit, but that was expected, but we're still holding to our guidance from the revenue perspective and also the 50 bps or so increase in guidance from a margin perspective. We are very confident where things stand. Thank you for the support, and we'll again speak next quarter. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Cyient Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Cyient Limited
July 25, 2023

Page 20 of 20

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2023

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31 October 2023

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Dalal Street Bandra- Kurla Complex, Bandra (E)
Mumbai 400001. Mumbai-400 051.
Scrip Code: 532175 Scrip Code: CYIENT

Dear Sir/ Madam,

Sub: Transcripts of the earnings conference call

Please find enclosed the transcripts of the Q2 FY24 earnings conference call conducted after the Meeting of board of directors held on 19 October 2023.

This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 14

Cyient Limited Q 2 FY24 Earnings Conference Call

October 19, 2023

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN & MANAGING DIRECTOR , CYIENT LIMITED
MR. KARTHIK NATARAJAN – CHIEF EXECUTIVE
OFFICER & EXECUTIVE DIRECTOR , CYIENT LIMITED
MR. PRABHAKAR ATLA – PRESIDENT & CHIEF
FINANCIAL OFFICER , CYIENT LIMITED

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Cyient Limited.

As a reminder, all participant lines will be in the listen-only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu – Executive Vice Chairman and Managing Director of Cyient Limited. Thank you and over to you sir.

Krishna Bodanapu : Thank you very much and good evening, ladies and gentlemen. Welcome to Cyient Limited's Earnings Call for the Second Quarter of Financial Year 2024. I am Krishna Bodanapu – Executive Vice Chairman and Managing Director. Present with me on this call are Mr. Karthik Natarajan, CEO and Executive Director and Mr. Prabhakar Atla – President and Chief Financial Officer .

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available on our investor update, which has been e-mailed to you and also posted on our website. This call will be accompanied with the earnings call presentation, the details of which have been already shared with you.

Coming to the quarter, some of the highlights:

Firstly, I'm excited that Nitin Prasad has joined our board as an Independent Director, and we look forward to benefiting from his experience. Nitin is a dynamic and accomplished business leader who has over 25 years of experience. He has developed, launched and operated new business verticals in semiconductors, chemicals, energy and clean energy across geographies. As you know, sustainability and the associated industries of energy, utilities, mining are very important focus areas for our business, and we believe that Nitin will provide a unique perspective on solving sustainability challenges in these industries having worked with some very large corporates. So, we are excited to have Nitin join our board and please join me in welcoming Nitin to our board.

I'm also proud to announce that we won two prestigious awards at the NASSCOM Design & Engineering Summit. One was in the area of enabling the blue economy via last mile hydrogen fuel delivery for marine and automotive application. And the second was for designing and engineering, the world's most fuel-efficient aircraft engine.

Again, these are the areas that we take a lot of pride in, and we put a lot of effort in because sustainability and the related industries are a big focus area for many of our customers and for Cyient Limited

October 19, 2023

Page 3 of 14

all of us in general and I'm very proud that we have been recognized as leaders and for having done some cutting-edge projects in these areas.

In addition to these awards, we also received the Modern Network Management Award at the 2023 ESRI Infrastructure Management and GIS Conference. ESRI is a global leader in locational intelligence and this recognition is an acknowledgement of our capability and prowess in this space.

Before I hand over the call, I just want to highlight that in the last quarter we have seen the aerospace business grow 27.5% year-on-year. As many of you know and as many of you have followed us for a long time, aerospace is a key part of our business and it is a business that has gone through a significant challenge. Especially in 2019 because of some industry-specific issues, in 2020-2021 and parts of FY22 because of the impact that COVID has had on travel. So, I'm very proud now to report that not only has the business grown 27

.5% compared to the

same quarter last year, but it has also grown for six consecutive quarters. That gives me immense confidence that we're in a very strong footing in one of the most important verticals that has a huge bearing on our growth and where we are clearly the acknowledged leaders.

Having said that, as you would have followed some of our competitors, the communications industry is going through a bit of a lull. In our case also, there was about an 11% degrowth in communications for the quarter under discussion. But we're quite confident that this is a short-term blip.

So, in summary, I would say that I feel very, very confident about the de-risking that we've done on the portfolio and where things stand. That confidence will now translate to very good visibility for the rest of the year, which I will allow Prabhakar Atla and Karthik Natarajan to take you through with more details. With that, I would like to hand over the call to Prabhakar, who

will take you to the financials.

Prabhakar Atluri: Thank you, Krishna. Hello, everyone. I hope you're all doing well, and I hope you're all having a good day. The Management Team of Cyient is joining this call today from our offices in Hyderabad, India. I would like to first update you that we're having a pleasant day at Hyderabad; temperature is moderate 27 deg. C, humidity is about 45%, wind speed is at 10 kilometers per hour and visibility is a clear 25 kilometers. All of these I guess can be considered as healthy operating metrics of a pleasant day, especially in tropics. Under even perhaps what are typically termed as lead indicators for a pleasant evening ahead.

With a small digression for which I seek your pardon, please allow me to present the financial results of the Cyient for Q2 of FY24. Before we start, just as a small recap from our previous earnings call, i.e., the Q1 FY24 Earnings Call, Cyient business has been reclassified since Q1 FY24 into three segments which you can see on the screen. The presentation now under discussion is for the Cyient DET segment only. All numbers, unless mentioned otherwise as a group, are for Cyient DET only. Some of the prior period numbers have not been reclassified given that the impact on DET is minimal.

Cyient Limited

October 19, 2023

Page 4 of 14

With a quick recap, let us move on to the next chart, which is in a dashboard format for Cyient DET performance. Before I walk you through the commentary, let me just summarize that we believe that our Q2 FY24 witnessed a balanced and healthy performance which is broadly in line with our expectations and is also tracking to the evolving industry scenarios and dynamic macroeconomic scenarios.

In terms of revenue, Q2 FY24 U.S. dollar revenue for DET stood at 178.4 million, a growth of 1% quarter-on-quarter in constant currency and 17.1% year-on-year in constant currency. In rupee terms, the revenue stood at Rs.1,476 crores with the growth of 1.5% quarter-on-quarter and 22.3% year-on-year. We have two key growth drivers behind this performance. Firstly, our core segments continue to witness strong growth QoQ and YoY including the key segments of aerospace, automotive and sustainability. Our key clients, top ten and top 30 continue to witness strong QoQ and YoY growth. At the same time, like Krishna mentioned earlier, we do see softness in communication space in the short-term impacted by the macroeconomic scenario. And this softness played out in this quarter for connectivity segment. Mr. Karthik Natarajan will provide a detailed commentary on this topic later in the call today.

In terms of EBIT margin, Q2FY24 DET normalized EBIT margin stood at 16.5%, highest in the last 11-years and grew by 47 bps quarter-on-quarter and a healthy 406 bps year-on-year. I would also like to mention that this QoQ expansion of 47 bps that we had in Q2 is on the top of the 93 bps QoQ expansion

we saw in the previous quarter. In rupee terms, Q2 FY24 DET normalized EBIT is highest ever at Rs.244 crores, a growth of 4.5% quarter-on-quarter and 62% year-on-year. The continued margin expansion despite the impact of wage hikes is driven by improvements in our operational performance along with the cumulative benefit coming in from the optimization exercise we've undertaken before in the previous quarters, which we have addressed in the previous earnings call as well.

In terms of Q2FY24 PAT, the normalized PAT for DET stands at Rs. 173 crores translating into a normalized PAT growth of 1.5% quarter-on-quarter and a healthy 70.8% year-on-year. This translates into normalized EPS of Rs.15.77 for Cyient DET.

In terms of free cash flow, Q2FY24, DET free cash flow stood at Rs. 154 crores, a growth of 156% year-on-year, and this translates into a conversion of 89% on normalized PAT for Q2.

As I close this chart, I would like to also draw your attention to the balanced progression among the several metrics. With revenue growth of over 17% year-on-year in constant currency terms and EBIT expansion of 400 bps, normalized PAT grew by 70% year-on-year while retaining focus on FCF improvement which also grew by 166% and hence my opening comment on balance and healthy performance in the beginning of my presentation.

Group numbers are a combination of all three segments we spoke about earlier and I'll just call out a few comments. At \$ 214.9 million group revenue for Q2 FY24 grew by 22.3% year-on-year in constant currency. And the Q2FY24 normalized EBIT margin is at 14.6%, up by 232 bps year-on-year. Q2 FY24 PAT stands at INR183 crores, up by 56% year-on-year while the FCF

Cyient Limited

October 19, 2023

Page 5 of 14

has degrown year-on-year by 47.7% owing to planned cash consumption cycle we have seen in DLM business which we will recover in H2 of FY24.

I'm also very pleased to inform you that we're announcing an interim dividend payout of INR12. On behalf of the Cyient board, the management team and all our Cyient colleagues across the

globe, I would like to thank all the investors for the continued support for the valuable counsel and very important ly, your kind trust, for which we're indeed very grateful. With this, I would like to thank you all for your time, for your attention , and for your interest. And I will now hand over to Mr. Karthik Natarajan for an update on the DET business performance ou tlook.

Karthik Natarajan: Thank you , Prabhakar. Good day , everyone. Hope all of you are having your fantastic festive season, especially in India. I'm pleased to share the details of the quarterly performance as discussed by Prabhakar and Krishna and happy to say that this is the 11th successive quarter of growth out of 13 quarters that we have been reporting for the last 13 quarters from Q1 of fiscal '21. We had two quarters of flattish revenue and 11 quarters of successive growth that we have seen, which has been a steady performance for many quarters.

Having said that, I'll just pick up two of the key columns here which are essentially the constant currency numbers for four of the business segments. I think we have talked about building a balanced portfolio. I think this is really starting to play off well. And if you look at transportation, which has shown 2.7% quarter -on-quarter constant currency growth with about 22.1% constant currency growth year -on-year and as Krishna mentioned , aerospace continues to see the 6th successive quarter of growth and for this quarter it stands at 27.5% growth year -on-year. Connectivity, which has seen softness in Q2 , has degrown by 8.1% and year -on-year at 12.3% . Sustainability, which is starting to play off well based on some of the investments that we made over the last 12 -18 months has grown by 4.9% quarter -on-quarter and 71.6% in constant currency year -on-year. We were to n

ormalize it for an apple -to-apple comparison, which is close to about 20% that we have seen the growth on the sustainability business .

New growth areas, which is comprising of semiconductor, medical devices, automotive and hi -tech, has shown a growth of 5.7% quarter -on-quarter and 5.1% year -on-year in constant currency, translating into overall DET growth of 1% in quarter -on-quarter and 17.1% year-on-year.

We also have seen robust growth in our order intake, and which has grown 40% year -on-year while seasonally Q3 and Q4 are better than what we have seen in Q1 and Q2 and which gives us confidence that there is definitely a stability that is coming back for most of our businesses except some parts of the communications business, which we'll talk about in the next few minutes .

Our offshore revenue mix stands at 44.2%. We have closed five deals in terms of large deals , that's 51.4 million total contract potential and three of them from sustainability which is coming Cyient Limited

October 19, 2023

Page 6 of 14

with digital factory and the plant engineering and asset management around the sustainability vertical and one deal on patient health monitoring from healthcare and life sciences and one deal for North American OEM for a certification support that we are extending to them.

We go to the deep dive of each of the business segments and we continue to see growth across the board and led by three pivotal areas that we started working on for the last two years - digital engineering, autonomous work , and sustainable planet . I think these are the three favored areas that we are working on . I think that continues to play off well. While we continue to see some macro challenges, the geopolitical issues and conflicts arising from Israel -Hamas and what we have seen for the last two years from Ukraine, Russia, I think they're continuing to put challenges, but we are still confident about what we see the future , which is looking bright and we are confident about how we will create a sustainable growth for many years.

And to start deep diving , transportation as air travel keeps growing, aerospace industry continues to embrace more of digitalization, we need to deliver more aircrafts and engines . The global demand for air traffic likely to double in the next 15 -years, and this has taken 23 years in the previous doubling cycle, and now it may happen in the next 14 to 15 years. And plus, some of the growth that is happening through the geopolitical conflict that is happening globally from the defense side and these two are essentially driving the growth as far as transportation is concerned . Rail would be moderate, and we still see growth based on software and digital areas from rail.

Connectivity and this has been challenging for many of our peer companies as well, and this is led by some of the 5G investments still not paying off and also their own investment towards fiber investments is being slowed down. While we expect the government spending around RDOF and BEAD programs to continue to drive the growth starting later this quarter or early next quarter . We are expanding on our acquisition that we made in Portugal into North America and Australia markets. I think that is paying off with an entry into Australia operators in the last quarter.

Sustainability , I think this continues to really build the momentum as we expected and led by energy transition and some of the new -age minerals like lithium, nickel, zinc, cobalt . I think that continues to drive significant demand and led by the energy transition which is happening across

global segments. And we also see the utilities market which is getting transformed towards the grid normalization, digitization and that's going to be a biggest growth engine for the next three to five years. Apart from the hydrogen ammonia-based green energy and carbon capture utilization and

storage, they continue to lead the growth and we'll talk about some of the key wins in many of these segments in the next few slides.

New growth areas, I think this is still led by automotive. We have seen a robust 30% growth in automotive business, and we continue to see growth around electrification, autonomous and connected vehicles, and we have seen momentum in some of these areas.

Cyient Limited

October 19, 2023

Page 7 of 14

And also, in semiconductors where we have seen a softness over the last six months due to the macro issues, we do expect that the demand should start coming back by latter part of this year.

And this is going to be led by high performance computing, artificial intelligence and auto segments that are likely to drive the growth from this year.

So just want to pick up a few of the examples of the deals that we won last quarter. Semi-autonomous drive, pollution and obstacle avoidance for industrial construction equipment. And this is an interesting project where we are trying to build autonomous construction equipment for our customers. First time we are really engaged working on a full-blown program for an industrial customer.

Moving on, technology announcement for the entire navigation system and using embedded services including android, auto and connectivity, and enhancing the customer and team management experience through technology and analysis from knowledge management solutions and through corporate fiber network and carbon capture solutions, balance of plant for the hydrogen-based green ammonia production.

If I move on to the next slide, a data platform that enables customers to see real-time onboard in terms of the ir batch data from multiple sources to provide insights and prediction. We also partnered with Microsoft that we announced last quarter and this is paying off with generative-AI based programs that we are taking into our customers and this is one such thing that we have to report from the last quarter.

Digital platforms and customer experience, we are developing an asset management solution integrated to a PLM system for a mining customer. And we also have won a project on AI power software testing using the solution we built called Cy FAST and this is for a framework that is built for automated system and software testing, and this is AI powered.

So, with that, I would just conclude from my side of updates and we are confident about what we see the business to shape us for rest of the year. On the fiscal '24 guidance, we are keeping our 15% to 20% guidance that we have given earlier with the commentary that we expect it to be around the lower end of the range and EBIT margins we have guided about 150-250 basis points improvement as compared to fiscal '23 and we are holding on to the same numbers. With that, we'll throw open for question-and-answer.

Moderator: We will now begin the question-and-answer session. We'll take our first question from the line of Ruchi Burde Mukhija from Elara Capital.

Ruchi B Mukhija: I have two questions. First, what has led to the margin expansion? Second one, could you please share what you see as outlook for your Communications vertical as we move ahead?

Prabhakar Atla: Our quarter-on-quarter margin improvement has two key drivers. The first is that we have had an improvement in the operating performance. Our gross margin improved quarter-on-quarter and this is happening from improvement in utilization and also from continued rate hikes which

Cyient Limited

October 19, 2023

Page 8 of 14

we spoke up in the previous call. The second is we continue to have benefits from in direct cost optimization, which we have done previously. So, these two are the key drivers for the quarter-on-quarter continued margin expansion. And I hand over to Karthik to address the question on communications.

Karthik Natarajan: Ruchi, I think

we have talked about last quarter, and we said we do expect softness on the communications segment driven by the broader capex cycle that has happened over the last 2-3 years. It's taking a breather with the higher interest rates and probably this may take some time before it starts recovering. Specific to the fiber business that we do have significant exposure too. We are starting to see in few pockets and there was a slowdown that we did not anticipate earlier and some of those projects have been put on hold. We do expect that they should really jump back sometime in early Q4. At this point of time H1 to H2 would be flat in terms of

communication s business and w e will start seeing some of the growth by early next financial year.

Prabhakar Atla: Let me just also add that within this framework, our largest customer in communication s continues to grow quarter and quarter and year -on-year.

Moderator: We have our nex t question from the line of Sula bh Govila from Morgan Stanley.

Sulabh Govila: So, the first question is more of a clarification from one of the remarks that you made. So , is there any sort of an impact from the geopolitical issues that we are facing in the Middle East on the sector or Cyient in anyway ?

Krishna Bodanapu : Yes, absolutely. On the Cyient DET business, we do not have much business in Israel . Of course, DLM, we do have business in Israel and about 20% of our revenue and 20% of our supply chain comes from companies in Israel . So, there is a bit of dependency. Of course , the first concern that we had was the safety of our employees, not that we have many , but we have a few in Israel in the DLM business , of course , our suppliers and customers. So that was the first concern and I'm glad to say that everybody is safe, though of course everybody has an impacted family member or an impacted colleague. Having said that, w e don't believe that there is going to be much of an impact on the D ET business in any way in Israel . Similarly, on the DLM business , like I said, 20% of business comes from there . But we're also quite confident that Israel is actually a very resilient cou ntry. Of course, there is going to be sign ificant disruption in what we do in Israel, but we focus on our employees and their families are really safe.

Sulabh Govila: My second question is with respect to the guidance that we have in which we've tended to guide towards the lower end. So , for us to do the bottom end of the guide, the as k rate if I am not wrong is upwards of 3% in the next two quarters. So , just trying to understand how confident are we in terms of delivering that sort of a growth rate in the environment we are in? Whether would you expect that to gradually pick up, which would mean that 4 Q would be better than 3Q, just some understanding th ere?

Cyient Limited

October 1 9, 202 3

Page 9 of 14

Karthik Natarajan: Like what I shared, our order intake has grown by 40% year -on-year, and this is led from aerospace and sustainability, and we do expect that this will continue to grow . That's the confidence on which we are trying to hold our guidance to the lower end of the range.

Sulabh Govila: Would you expect the growth to gradually p ick up in 3Q versus 4Q?

Karthik Natarajan: I hope so.

Sulabh Govila: My last question is on the margins bit . We are already at 250 basis point s higher than last financial year. So just trying to understand given that we are expecting strong growth in 2H, are there any margin headwinds that we are facing due to which we're keeping the margin flat from here on ?

Prabhakar Atla: We're still holding on to the previous margin guidance. There is still some work to do for the rest of the year . So, at this point in time we'll hold on to the previous guidance as we work through various thing s, we have to work through the following two quarters.

Moderator: We have our next question from the line o

f Ka waljeet Saluja from Kotak Securities.

Kawaljeet Saluja: I have a couple of questions for Karthik. The first question is that you have seen the recent announcement of Ericsson or other comments of Ericsson wherein they expect the network spending to remain muted in calendar year ' 24 as well. I think we do have exposure to that market . Now, assuming that the market remains muted, do you think that the impact will filter through your communications performance or are there offsets available ?

Karthik Natarajan: I'll answer this in two parts. One is , we have made an acquisiti on called Celfinet about 1 5 months ago and they do have the wireless side of the business and some part of the business which got impacted in Q2 . We expect that part to recover in Q3 and Q4 as we see today. And because of some of the key spend that is requ ired from the customers in UK and Europe, led by the platforms that Celfinet team has been able to build over the last three years and that has been definitely successful with many of the customers which helps in reducing their cost of operations. And two, they are also supported by the energy savings platform , which is the secondary one that we've worked on for the last two years, which is more relevant today than ever before because of the energy crisis that has been in the UK and Europe. So , those two things would lead us to see a kind of growth in Q3 and Q4 . On the fiber side of the business , significant capex that has been budgeted by the government about 18 -months ago and this has been distributed to all the states. I'm talki ng about it in the US . And that is likely to start getting into contract awards later in Q3 or early Q4. And we also expect that funding will drive at least significant growth over the next six to 12 -months on the fiber spending. And we are betting on that . Many customers who are spending on their own, I think that is going to be curtailed in the near term and they do expect that government -sponsored or government -supported initiative will help them to spend that money over the next six to 12 months.

Cyient Limited

October 19, 2023

Page 10 of 14

Kawaljeet Saluja: The second question is that any line of visibility on the refresh of the narrow body aircraft platform and let's say if you don't have visibility, then you know without that what's the kind of run rate and longevity of growth that you can have in it?

Karthik Natarajan: I think we still don't have any clear visibility of when the narrow body refresh will happen, definitely in queue, at the same time when you have duopoly situation, one is doing very well unless there is a compelling reason why both of them need to really get into a new upgrade. So that may probably happen over the next two to three years. We are still waiting for a firm decision from one of them soon. I think that will force the other one also to follow through. Meantime, what is likely to happen is that with spending in defense likely to be a key issue, and whether it is about aftermarket, MRO, all of them are likely to see some momentum and we do expect the defense spending will continue to rise over the next two to three years given the conflict situations that we are seeing across many geographies worldwide. We do expect that this will probably take the growth for a while. Having said that, the commercial side of the business has not really fully recovered, and the supply chain challenges still remain and that needs to be resolved over the next 12-24 months. So, we hope all of them will start converging into some of these new upgrade programs in the next two to three years to continue to grow beyond that.

Moderator: We have our next question from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: First is on the pricing benefits that you spoke about. So, is it complete as of Q2 or we should expect some benefit in Q3, Q4 as we

will? And the related thing is, should we assume pricing

benefits are largely narrow or is it broadly spread across verticals? And then I have a follow up.

Prabhakar Atluri: There is still some more work that is left for us to do to see that we continue to receive the price benefits received so far. We will continue working on that. To your second question, not specific to aerospace only, these are broadly spread across the few segments.

Mohit Jain: Second was related to Q3 furloughs. I think you spoke about some slowdown in Q3 and then picked up in Q4 or do you expect growth to be more evenly spread given we are anticipating telecom recovery?

Karthik Natarajan: Mohit, I think we still don't have a clear view on how the furloughs would play out and given the demand situation on the aerospace side continues to be robust and we don't expect to be any different as compared to what we have seen in the last year and the supply chain issues for the last few years.

Moderator: I'm sorry to interrupt, sir. You're not clearly audible. Can you come closer to the microphone?

Karthik Natarajan: So, what I was saying that is we don't have a clear view on the furloughs yet and the aerospace industry has robust demand and they continue to see as all of us are experiencing on a daily basis. I think most of the flights are running full and probably the capacity is still not available to meet the demand that is rising in the aerospace domain. So, that would really require some

Cyient Limited

October 19, 2023

Page 11 of 14

additional work that needs to be supported. So, we still hope that some of the projects will still continue to be helped during the holiday season. And we still don't have a clear view. We will kind of keep you updated. Just to share additional information, we do expect Q4 to be better than Q3 and maybe it would probably skew towards Q4 more than Q3, and we don't expect any other impact on the furloughs from other sectors.

Mohit Jain: You're also anticipating some recovery in communications vertical also in Q3. Is that what you said earlier in one of the remarks?

Karthik Natarajan: I would say we will recover by Q4 compared to H1 we will be flat on the communications vertical.

Moderator: We have our next question from the line of Sandeep Shah from Equi rus Securities.

Sandeep Shah: Sorry to again ask a question on the guidance. How confident are we even for the lower end of the guidance because the closest peer has downgraded growth guidance for FY24 with expectation of macro impacting the client decision-making in the last few weeks, which may impact the growth in the Q3, Q4. So, my question is, what are the assumptions in terms of rate of 3.3% compounded QoQ even grow at 15%, what are the assumptions baked in? Because in one of your statements on communications, you said that 2H for communications would be flattish versus 1H. So, are you baking in almost a flattish QoQ growth in the communications?

Karthik Natarajan: I don't have specific number to offer on the communications for QoQ, Sandeep. But like what I said earlier, we have seen our order intake growing by 40% year-on-year. This is essentially led by the transport and the sustainability segment. Within sustainability, we see that mining and energy both are looking good. Mining customers are having difficult period because of the pricing issue, but that is also making them to drive some cost out and that would help us for the

next two, three quarters . And from the energy side, some of the programs that we already won, and we are likely to win during Q3 would help us to see the growth for both Q3 and Q4. So , that's where our confidence comes from . We have not assumed any disproportionate furloughs from aerospace for Q3 because of the demand situation that we see and how our customers are asking us to provide additional help during this quarter .

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Sandeep Shah: Karthik, just wanted to understand, do you believe CY24 could be the year where new engine or aerospace design phase could be launched or it may be in CY25 rather than CY24, and will it further elevate the growth prospects of aerospace starting from next year?

Karthik Natarajan : I'm not sure whether there is any new program that is going to be announced unless the OEM is going to lead the way . There are multiple concepts that are being worked upon and there is no firmness in terms of specific program launch . I would also add on top of that, there will continue to be derivative programs that continue to happen as the need to reduce the emissions and increase the efficiency of engines and some form of electric -supported engine which will reduce the capacity of the engine that is needed . I think sustainability is going to drive significant changes to the aircraft and the engine programs and that is where we will see the demand in the

Cyient Limited

October 19, 2023

Page 12 of 14

near term , as well as the MRO and aftermarket support. And with most of the aircraft running overtime, they need to be maintained and supported and this would be the second growth engine that we see in the near-term.

Sandeep Shah: The last question is to Prabhakar . Just wanted to understand what are the headwinds , tailwinds which would be there especially on any pending wage hikes in the second half ? One of the participants has already asked , I think , in the first half we are at 16.3 versus upper end of the guidance at 16.2 at the EBIT margin . So, is it fair to assume directionally still there is an upward bias in Q3 , Q4 versus first half margin?

Prabhakar: As we spoke in the previous call, the wage hikes this year are annualized and spread throughout the year . So, we can expect to see some more wage hikes to be coming in the next two quarters.

There is still some more work to do on the price increases as indicated, and other operational levers we're still working on. So therefore, I'm saying a number of moving parts out there. We are very confident of the range that we have given in the previous call and at this point in time with your permission we would stay with that guidance range.

Moderator: We'll take our next question from the line of Nilesh Jethani from BOI Mutual Fund.

Nilesh Jethani: My first question was from a two or three -year perspective considering a lot of demand for MRO etc., What can be the revenue assumptions directionally not required to quantify, but directionally what can be expected beyond '24 or you believe this MRO requirement is just in the interim period and you could see some declining trends?

Karthik Natarajan: Nilesh, I would just say that we don't have any view for fiscal '25 yet. So, as we start building up, we'll share the details with you. But we do expect that the cycle may last few more quarters before it really flattens out and because of what I shared both on commercial as well as the defense program , and one of the large fighter aircrafts which has been put into service about seven to eight years ago is coming up for service and they will get the first engine being serviced in this quarter . They said in the next five years , they need to service about 1,000 plus engines. So, which essentially means there could be a short to medium term demand that will continue and we do see that we are able to grow at double digits. We don't have any specific home view of whether it would be in the early teens or late teens, we are not able to make that assessment yet .

Nilesh Jethani: Second question was on the transportation piece. There were earlier comments that Europe , etc., the rail department or work towards that is seeing some basically bottoming out. Wanted to understand after bottoming out, are we seeing any trends of growth or number stays there itself ?

Karthik Natarajan: See, what is ha

ppening is for many of the governments, they have fixed budgets and they need to really prioritize where they need to spend on . With some of the challenges that are seen over the last two years , I think the homeland security or defense getting prioritized over other public infrastructure and that is a broad view that we saw . There are many programs that have been won by our customers. They're waiting for clearances or funding to be approved for them to

Cyient Limited

October 19, 2023

Page 13 of 14

jumpstart the program . So, there could be some unpredictability in the near term because of what we are seeing on a broader geopolitical issue seen globally.

Nilesh Jethani: One last question would be on the order wins and revenue conversion. A lot of peers in the IT

services commented that there has been some delay in offtake of those recent deal wins. From a Cyient perspective, the recent order wins, wanted to understand how is it translating into the revenues for us?

Karthik Natarajan: Yes, I think while they do take time to make decisions which may get moved to the right and there could be delays. But once they make a decision, they want to execute them faster. So, you have seen both sides of the point where they said some of the programs are shifting to the right. But once they make a decision, they want to make sure that the timelines don't change for the end date. So, they really want to execute them faster, so which is definitely what we see and there could be uncertainty around based on higher interest rates and with inflation being high and I think everybody's trying to prioritize certain investments for the near-term as compared to the long-term and those decisions are on a regular basis. We don't see any significant change in that over the last two or three months that we have seen. But you never know how things will pan out for Q3 and Q4. We don't know whether the Fed would increase the interest rates again and would it really create a soft landing or hard landing, there are a lot of discussions that are happening around the world. So, we don't know how things will pan out for Q3 and Q4. Based on our current confidence we do see that once the project is awarded, they want to really get them on a faster execution side.

Moderator: We have our next question from the line of Shradha from AMSEC. Please go ahead.

Shradha: Hi, Karthik. On the transportation bit, in one of the large rail transportation clients, we were seeing higher offshoring which was impacting revenue for us. So, have we gotten to a stable run rate in that account or are we still seeing the impact of higher offshoring in that particular account?

Karthik Natarajan: Shradha, we don't want to respond on specific customer-related issues. I would just say broader commentary that I gave for rail is still valid and we do see some unpredictability because of the project start from their customers and that's one of the key issues that is facing the segment. And two, there are some specific customer issues and some of them getting merged and integrated, and some of them have gotten approval to get it integrated. So that's going to be part and parcel of the regular routine task. We don't expect any significant change in the near term as far as the rail business is concerned.

Shradha: How big would auto be in new growth area and how do we see the visibility of growth rate in auto going into next year?

Karthik Natarajan: I think we do have an aspiration of getting this to be at least about double-digits percentage to the revenue over the next few quarters, I think that's definitely is our aspiration, and we have seen growth as we announced a few deals last quarter and we have talked about one of the

Cyient Limited

October 19, 2023

Page 14 of 14

perception system we are building for an industrial equipment major this quarter. We continue to see across

the embedded digital services, cyber security, cloud. I think those areas continue to see interest from automotive customers. We do hope this will continue for a few more quarters.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments. Over to you sir.

Krishna Bodanapu: Thank you very much for your support, ladies and gentlemen, and taking the time out to be here this evening. As you know, we are facing some very uncertain times in the world with some of the geopolitical issues that are going on, but I want to assure you that we've built a very robust portfolio and also we've built a very de-risked portfolio as many of you know, while we've had some challenges in aerospace previously, there were other businesses like comms that picked up and now that there are challenges in communications, aerospace is really picking up this time. So, I just want to also highlight that we feel quite confident that we've built the de-risked portfolio, and as Karthik has said, there is some very good visibility towards the guidance that we are providing. So, thank you very much for all the support that you have provided. I also understand that it's been a busy couple of days with a lot of other calls, but may I just take a moment to invite you to our Investor Day, which will now be held on 8th December 2023 in Hyderabad. It will be an all-day session for those of you who have attended our previous investor days, you will recall that it is a great platform to understand our evolution, performance, aspiration and execution plan. On behalf of the entire Cyient team, may I extend our warm invitation to all of you to join this event. It will be our pleasure to host you at the event and hear your perspective and feedback. Our team will be in touch with you to coordinate the logistics. Thank you once again. I look forward to seeing you in December.

Moderator: Ladies and gentlemen, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made

to ensure high level of accuracy

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Dear Sir/Madam,
Sub: Transcripts of the Earnings Conference Call
Please find enclosed the transcripts of the Q3 FY24 earnings conference call conducted after the Meeting of board of directors held on 25 January 2024.

This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 16

Cyient Limited
Q3 FY24 Earnings Conference Call
January 25, 2024

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. KARTHIKEYAN NATARAJAN – EXECUTIVE
DIRECTOR AND CHIEF EXECUTIVE OFFICER – CYIENT
LIMITED
MR. PRABHAKAR ATLA – CHIEF FINANCIAL OFFICER
AND PRESIDENT – CYIENT LIMITED

Cyient Limited
January 25, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY24 Earnings Conference Call of Cyient Limited. As a reminder, all participant lines will be in the listen -only mode and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krishna

Bodanapu, Executive Vice Chairman and Managing Director of Cyient Limited. Thank you, and over to you, sir.

Krishna Bodanapu : Thank you very much, and good evening, ladies, and gentlemen. Welcome to Cyient Limited's Earnings Call for the Third Quarter of Financial Year 2024. My name is Krishna Bodanapu, Executive Vice Chairman and Managing Director of Cyient. Present with me on this call are Mr. Karthik Natarajan - CEO and Executive Director; and Mr. Prabhakar Atla - CFO and President. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which has been e-mailed to you and is also posted on our corporate website. This call will be accompanied by an earnings call presentation, details of which have already been shared with you.

Coming to the highlights for the quarter. In relation to the associated civil class action antitrust lawsuit filed by plaintiffs in the U.S. District Court, we wish to inform you that Cyient Limited's U.S. subsidiary, Cyient Inc., has entered into an agreement to settle and dismiss the class action civil antitrust lawsuit for an amount of \$7.4 million. We will utilize insurance amounts to the extent available, which we are still discussing with the insurance providers towards the payment of the settlement amount. We have taken a provision of \$6 million in Q3 FY24 for the same. We anticipate that this will not require any further normalization on this project with this provision. This settlement is without any admission of liability and the plaintiffs have agreed to release and discharge all claims associated with this lawsuit against Cyient Inc. and its affiliates, including Cyient Limited. The settlement is subject to approval by the presiding judge and the timing of this is at the discretion of the Court.

This will not have any material impact on Cyient Limited's operation, financial condition, or liquidity. This is a great development for us and we are very relieved as it is a key step in the right direction for us at Cyient. It also vindicates our position on this topic from the start. The settlement allows us to continue to focus on creating value for our customers and investors while adhering to our values-first framework. This is something that we always take a lot of pride in, and I'm exceptionally proud that we have been able to settle and close this matter as such. You may recall that there was also a criminal lawsuit that was associated with this case. This lawsuit was dismissed by a U.S. judge in April of last year and that was informed to you earlier. Now we're very happy that this is fully settled and this is behind us and we won't require -- or we don't anticipate that it will require any further cost or normalization after the provision of this \$6 million.

We've also entered into a partnership with SkyDrive Inc., a leading Japanese eVTOL aircraft manufacturer, to cater to the growing urban air mobility market, including India. eVTOL stands for electric vertical take-off and landing, essentially a large drone. Rising urbanization, growing

Cyient Limited
January 25, 2024

Page 3 of 16

population and an e-comm

merce boom necessitate a modern, safe, and affordable mode of transportation for people and goods. UAMs offer seamless, secure, and rapid transportation, helping to mitigate current and future challenges faced in urban areas. This commitment not only demonstrates our dedication to our communities and environment, but also positions us very strongly as a pioneer in driving sustainable mobility.

We also inaugurated the Cyient IQ Experience Center, the CEC, in our Hyderabad campus in December 2023. CEC is an experiential demonstration of 100-plus intelligent engineering and technology solutions built in collaboration with more than 10 partners. The state-of-the-art facility will serve as a hub for innovation, collaboration, and cutting-edge research, reinforcing our promise of designing tomorrow together. It symbolizes our collective imagination, investment, and commitment to solve problems that matter for our clients, communities, the planet, and leverages the expertise of our innovation ecosystem, including startups, partners, academia, industry associations, labs, and studios. Thanks to some of you who attended our Investor Day where you would have also had a demonstration of some of the cutting-edge solutions that have been innovated and created in the Cyient IQ Experience Center.

Thank you very much for your time. I greatly appreciate all your support, and I also just want to reiterate and thank you for all the support that you provided us during the process of the lawsuits, both the criminal and civil. And today, it gives me a great deal of pride to say that we were vindicated in this case and can really move on with our business. With this, I would like to hand over this call to Prabhakar, who will take you through the financial performance for the quarter.

Prabhakar Atla: Thank you, Krishna. Hello, everyone. Firstly, thank you very much for your participation in the call today. Thank you for your time and thank you for your engagement, which we greatly appreciate. On behalf of entire Cyient team, I wish you all a happy, healthy, and equally importantly an interesting and exciting new year ahead.

As with the previous earnings calls this year, the focus of this call is the Cyient DET business and this first chart presents the key elements of our Q3 FY24 DET performance. Q3 FY24 U.S. dollar revenue for DET stood at \$179.2 million, a Q -o-Q growth of 1.1% in constant currency and a Y -o-Y growth of 5.4% in constant currency. In rupee terms, this revenue stood at INR1,491 crores with a Q -o-Q growth of 1% and a Y -o-Y growth of 8.1%. I'm happy to report that this revenue is the highest ever we had for DET business. We had multiple growth drivers behind the strong performance year -on-year. Our core segments continued to witness strong growth Q -o-Q and Y -o-Y, especially the key segments of aerospace and sustainability. Communications segment, which experienced softness in the previous quarter with a degrowth, has reported a flat performance this quarter, actually with some marginal growth quarter -on-quarter in constant currency. This supports our outlook of a recovery and growth in near term for this segment, which we believe is a positive lead indicator for our overall DET performance going forward into the current calendar year. Mr. Karthik Natarajan will cover a detailed commentary on the segment performance later in the call.

The Q3 FY24 DET normalized EBIT margin stood at 16%, down by 53 bps quarter -on-quarter and up by 205 bps year -on-year. This positive expansion of EBIT year -on-year was possible due to continued benefits from the cost optimization exercise we undertook in the previous quarters.

Cyient Limited

January 25, 2024

Page 4 of 16

The Q -on-Q movement in EBIT was along expected lines as we continued to adjust for wage hikes, which as you know now, are phased through the year across quarters and we also had to mitigate

the payday versus build -day impact specific to Q3. This quarter, we also invested further in the supporting growth, which we anticipate in the following quarters.

The Q3 FY24 normalized PAT stands at INR173 crores, translating into a growth of 11.5% year -on-year. This also translates into a normalized EPS of INR 15.74 for Cyient DET. In terms of free cash flow, the Q3 FY24 DET free cash flow stood at INR192 crores, a growth of 51.3% year-on-year, translating into a healthy conversion of 111% on normalized PAT for Q3.

Before I close this chart, I'd also like to comment on a few items which are not covered in this chart. As Krishna spoke earlier, the first is around the disclosure we made recently regarding the settlement of the civil case, which we have in the U.S., is subject to the approval by the respective court. The settlement amount we have agreed for is \$7.4 million in the interest of moving forward and to avoid a prolonged legal engagement leading into further additional costs. Again, it's the settlement amount. We need to finalize the exact amount of insurance support that we would repay, and pending that, we have now taken an exceptional provision of \$6 million in our books for the current quarter, which we'll normalize. We anticipate that this provision will be adequate to cover all upcoming costs regarding this matter until final closure.

I'd also like to say that we are quite pleased that we can now move beyond this case and focus our energies to drive growth. The second comment is around outstanding debt of DET. We're happy to report that our debt position has come down by \$6 million quarter -on-quarter and down by \$15 million year -on-year. As I close this chart, we'd also like to draw your attention to the balanced progression among several metrics. With revenue growth of over 5.4% year -on-year in constant currency terms and EBIT expansion of 205 bps, PAT grew by 11.5% year -on-year while retaining focus on FCF, which also improved by 51% year -on-year, which we believe is a reflection of the balanced and healthy performance of Cyient DET.

Moving on to the group numbers. The group numbers are the combination of all the three segments we have, including Cyient DLM, and I will just call out a few comments. At \$218.8 million, group revenue for Q3 FY24 grew by 10.1% year -on-year in constant currency, and I'm happy to report that this revenue is the highest ever we had for the group. Q3 FY24 group normalized EBIT margin is at 14.3%, up by 138 bps year -on-year. And the Q3 FY24 PAT stands at INR186 crores, up by 14% year -on-year while the FCF has also improved year -on-year by 38%. Overall, I'd like to say that this performance was along expected lines and forms a very good foundation to build further in the coming quarters, especially with the growth momentum that we see with us. I would like to thank you all again for your support and for joining this call today. And with this, I will hand over the call to Mr. Karthik Natarajan for an update on DET business performance and outlook.

Karthik Natarajan: Thank you, Prabhakar. Good day, everyone. Wish you all a very Happy New Year since we are talking into the year for the first time, and also happy to report the business performance for each of the business segments. This is also the 1.1% constant currency growth that we have seen. This is 10th successive quarter of growth and also 11 out of 13 quarters of growth that we have seen for the last three years. And the growth was led by, if you were to really look at the third

Cyient Limited

January 25, 2024

from the left column and the constant currency Q -o-Q, and transportation has degrown by minus 2.2% and year -on-year by 16.9%. And aerospace led the growth with close to about 24% -plus. Connectivity, which is like what Prabhakar talked about, has grown by 0.2% and year -on-year down by minus 13.9%. And as we guided earlier

r, we expected a turnaround from Q3 to Q4 and that's something we'll talk about in the next few slides.

Sustainability, which has been a segment that has been growing for the last 11 successive quarters, has seen a growth of 8.2% in quarter -on-quarter constant currency and 22.1% in constant currency. Happy to see that . The second growth engine from sustainability joining our growth bandwagon, as we talked about even during our Investor Day, and we expect four growth engines led by aerospace for transport and sustainability as second one. Connectivity , which has seen some softness during the initial part of this year, hopefully, should recover during the second half; and the new growth areas still have some challenges. We have some work to do. And new growth areas have shown minus 3.4% in constant currency growth and minus 5.5% in terms of year -on-year.

And in terms of order intake, I'm happy to see that we have received about \$29 7.3 million worth of orders in Q3. This is, again, highest ever . And while it shows 21.9% in terms of year -on-year growth, adjusting for like -to-like comparison, which is about 13% growth that we have seen for Q3. We have also won eight large deals of \$136.8 million and comprising of four from aerospace, two from communications and one from sustainability and one from new growth areas.

Moving on to the business performance and outlook. We continue to see the macro issue of challenges from economic slowdown along with interest rates and the inflation, the pressures that are seen by our customers globally. But also, we do see that some of green shoots starting to emerge and maybe second half of 2024 , will be much better. The ER&D spend is definitely resilient for the medium to long term while there are some priorities from customers, which are changing or they are making some decision delays and that's shifting projects to the right. As far as transport is concerned, the air travel keeps growing and the global passenger volume is likely to cross 2019 levels in CY24. We also see the MRO and the manufacturing production rates are expected to grow significantly over the next two years. This segment continued to face some of the supply chain issues, and that's likely to ease out in the next 12 -18 months as we start making progress on that. The segment for transport for us will see a growth from aerospace, as we guided earlier. Rail would see a softness as we expected given even in the earlier call. As far as connectivity is concerned, and we talked about some of the government spending like RDOF and BEAD programs to start kicking in, and we started seeing signs of RDOF . We are yet to see some of the BEAD programs to kick in. But we are confident about the recovery in Q4 and which will also flow into the next year. The key segments of growth for comms continue to be the fiber expansion and -- along with some of the wireless -based premium customer experience programs and cost reduction have been leading the kind of deals that we start seeing in play.

Cyient Limited
January 25, 2024

As far as sustainability is concerned, I think this is a segment, which has seen all -around growth across , be it energy , utilities, and mining. We are seeing the demand in terms of cost reduction, asset management and alternate energy sources, including hydrogen, ammonia, carbon capture and nuclear essentially to see demand momentum. We do expect that this would be a multiyear growth segment for us. I'm happy to see that this is getting closer to the transport segment and the second engine that is starting to kick in for the last 11 quarters.

New growth areas, and we have seen growth momentum from auto, and we still have seen challenges from semiconductor and high-tech segments. We hopefully see semiconductor turning around during later part of this year. And we are continuing to see momentum in the form of high -performan

ce computing and generative AI driving the growth for semiconductor.

We want to share some of the new wins and happy to make progress on newer areas, whether it is about software -defined vehicles or whether it is about accelerators on digital engineering, data and AI and we made some of these wins from autonomous systems and process. Intelligent and connected products - We have seen wins from CyMedge, which is one of the technology solutions that we build. I think Krishna talked about the CyientifIQ customer Experience Centers , which is a place -- culmination of all the solutions that get built across Cyient.

And it's starting to see traction with customers and we are working with the customers on integrating hardware and software platform framework and also building the middleware software for them. This is for a medical device customer. And also one deal, which is on design and development of smart energy meter SOC and this a complete end-to-end responsibility that we have taken for the customer.

In terms of next-gen connectivity, we are seeing momentum on the network analytics and automation. These are some of the cost-out program's customers are driving. The CSP segment, the customer -- the communications service providers have seen softness in the last one-year post 5G implementation. They are really using a lot of automation and analytics to drive cost out and we are participating in some of these programs, which also helps them to achieve the zero-touch provisioning.

The managed services program using generative AI to help to roll out and integrate radio access, core, and IP transmission and this is another win that we had last quarter, which is leveraging the VISION platform that we acquired through Celfinet, and this is something which is starting to show progress with some of the new wins.

Sustainability, I think very interesting in terms of the kind of projects that we are winning and which cuts across many areas in terms of carbon capture, low-carbon footprint, design using the FPSOs and design of dual fuel engines or what we call them as a combined-cycle power plants. I think these are helping to reduce the carbon footprint globally, and we are participating with many of these programs across the geographies.

Generative AI, and we have been working on them for the last six or nine months. And we also trained about 1,500-plus engineers on basic awareness on generative AI. We are also excited about some of the wins that we had, and across automotive, aerospace and energy customers.

Cyient Limited

January 25, 2024

Page 7 of 16

And interesting to see some of the wins like the first one that you are seeing here of using open AI APIs and also CyVision, which is about video intelligence platform; and CyText, which is about OCR-based platform to extract text data from PDF documents. Many of these initiatives are going across text, audio, video, and any kind of images that need to be processed. I think that is the use case that we are seeing in terms of traction with our customers.

Last but not the least, which is about the digital platforms and customer experience. We are making progress on regulatory compliance using intelligent regulatory framework that we built and also AI-powered software testing, which is leveraging the CyFAST. All-in-all, we are happy with the progress that we made for the quarter and we are continuing to see momentum for the growth that we have guided during our investor meet for the next three years.

Specific to FY24 and we said we still wanted to be around 15% to 20% on the lower end of the guidance, as we mentioned last time, and we have seen that, which is likely to get delayed or likely to be shifted to the right. We expect the revenue growth to be tad lower than the earlier tighter range. We expect it to be in the range of 13% to 13.5% year-on-year in constant currency term. And we expect our EBIT margin

for fiscal 24 normalized to be higher by 200 to 250 basis

points year-on-year as compared to what we guided earlier, 150 to 250 basis points. And with that, I'll close and open it for question and answers, and wish you all a very happy Republic Day for tomorrow.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question, and congrats on a solid performance in a very weak environment.

So Karthik, two questions from my side. One is on our performance and one is on the overall segment-specific, per se, that is aero. We have recently heard multiple media news and articles about the mid-air accident with Boeing and a lot of safety precautions and norms are now being basically strengthened for the industry per se. How do you think that impacts us and also the industry? I know maybe the client might not be that big of a client for us. But does it in any way impact the aerospace industry as a whole and in terms of could alter the direction or maybe make some impact on that direction of the spend that the industry might be looking at to maybe focus on more on safety issues and those kinds of things. And my second question was on the company per se. We've downgraded our guidance to 13% to 13.5% this quarter. But if I were to ask, let's say, from the beginning of the year till now, in the last nine months, which exactly were the pockets that led to maybe a miss in the revenue vis-à-vis our expectations when we started the year.

Karthik Natarajan: Yes. Thanks, Vibhor. And to answer your first question, I think it is unfortunate in terms of what it is that we are seeing here. I think this is going to be the nature of the beast, right, when you are dealing with a safety-critical product. I think the scrutiny will be much higher and there will be need for more rigor in terms of process, compliance and automation, ability to really track

some of them digitally. Probably we will see more requirements in terms of work for service providers, and we have seen across many of our customers, not just because of the current one, over the last 12-18 months with increased rigor that has come from FAA and these and other certification agencies globally.

Cyient Limited

January 25, 2024

Page 8 of 16

That rigor will continue and this will also increase more auditing, inspection, and the ability to really predict some of the failures. How do you think you can really put better control on some of the non-conformances. I think that's going to be the nature of work that we expect to see. Some of the cost of certification for any new aircraft will increase because of the rigor that is expected out of it, and any of the existing aircraft that is completed for design. If they need to go through a certification process and the certification costs are likely to increase with more requirement for documentation and supporting evidence to ensure that the aircraft are absolutely safe. So that's the answer that we have on the first question.

On the second question, I think we have probably expected the rail to be slightly flat compared to what we have seen as a degrowth. And we also see that if you look at from the broader industry standpoint, most of the governments have to prioritize if they want to continue to expand on the rail infrastructure or different spending. And if you have seen for the last 12 months, the geopolitical conflicts that have risen across Asia, Europe is something that's definitely made them to choose the priority of defence as compared to the rail infrastructure. That is making them to defer some of the program or shift them to the right, and that's something which has affected us a bit.

The second one was something on the new growth segment. We expected some of them to recover earlier and

that is still getting shifted to the right. As you would have seen, our healthcare and life sciences business has done well for the last two years. Thanks to the pandemic and health concerns that were raised, I think a lot of money was spent on health and safety, and I think that is probably taking a breather. Some of the investments from hospitals for upgrades is getting shifted to the right and that's making that segment to slow down.

And third would be, I think, in a broader sense, we did not expect that communication will go down in the first half of this year. And that was definitely something that we thought will at least be flat, if not degrown. And that's probably what led us to give a guidance of 15% to 20% in the early part of the year.

Vibhor Singhal: Got it, got it. Thank you so much for that comprehensive explanation. But if I could just have a couple of follow-ups of each of my two questions. So the first part that you mentioned that maybe that would lead to more incremental spend, but on the other hand, do you believe that there could be a case in which these manufacturers could actually start more in-sourcing that they don't want to. I know they haven't named any vendor per se because of which -- or blame any vendor for the mishap or the incident. But do you think this might trigger a kind of a wave of in-sourcing amongst these -- in these manufacturers that they now want to do all the things themselves and not rely on third-party vendors like us or global vendors as well?

And to the second question again, in terms of -- you mentioned that healthcare and telecom was where we missed. How is the auto segment looking like? Was degrowth in the auto segment, which is part of the NGA, of course, in line with our expectations? And do you expect us to continue making inroads in that segment?

Karthik Natarajan: Yes. So I think to answer your second question, automotive has seen year-to-date growth of 25% year-on-year compared to the first nine months of last year. So we have seen a growth in automotive as what we expected and we may see some softness for a quarter or so, but we expect

Cyient Limited

January 25, 2024

Page 9 of 16

2025 should be a growth segment for us even from automotive. And for your other question, I think this is more broader issue that the industry has to deal with, right? I think outsourcing is definitely not new for many of our customers. They've been working on it for the last 20 years. And some of the quality issues related to the manufacturing process is something, which is not necessarily outsourced and which is done in-house. It is about bringing tools, bringing an ability to automate the process so that you kind of make them fail-safe or fool-proof. And I think some of those digitalization activities will probably increase and that is where we see an opportunity for us to partner with our customers.

Vibhor Singhal: Got it. Thank you so much for taking my questions and wish you all the best.

Moderator: Thank you. We have a next question from the line of Abhishek Pathak from HSBC.

Abhishek Pathak : I have a couple of questions. Firstly, on the connectivity vertical, heartening to see that the vertical has bottomed out. Could you break down the outlook between wireline and the wireless business? And specifically for wireline, do you see the U.S. elections meaningfully influence the outlook, if at all? That's one.

And the second question is around sustainability vertical, which is doing phenomenally well. If you could go deeper into what's leading to this growth? And can we expect this quantum of growth to sustain in FY25? Is this coming from Citec? And if yes, any color on how we are sort of taking whatever capabilities we have acquired through Citec to other clients? And is that part growing equally as well?

Karthik Natarajan: Sure. Thanks, Abhishek. To answer your second question, I think we definitely expect

sustainability to be a multiyear growth prospect for us. And we are happy with the progress that we've made with Citec. And interestingly, Citec has hit their all-time high in Q3 in terms of their revenue. We have seen some kind of cyclical in Q2, as we reported earlier.

And we will continue to see momentum from sustainability growth across the geographies. The interesting opportunities for us is to take some of these opportunities from Europe to North America, to Japan, to other geographies and Middle East. There are enough and more opportunities that are coming up. The energy transition is a multi-decade opportunity and multitrillion dollar spend that has to happen. And 60% of the energy, which is likely to get into some form of renewables in the next 10 years and the 40 % of the fossil fuel that has to get converted to 25 - 30% of renewable plus plus. Whether it is hydrogen, ammonia or carbon capture, battery storage, nuclear, I think all options are likely to see a significant traction. Also the Inflation Reduction Act from U.S. is a key enabler and many of the customers in North America are trying to leverage this IRA as a potential subsidy that they are trying to look at. So this is going to be many years of opportunities that we are seeing. And we are also seeing opportunities around not only doing the plant engineering and also digitalization of the plant and the ability to help them with digital twins and help them with asset management and the ability to operate the plants efficiently. And also that once process control that is being brought in by us as a digital solution is likely to see a traction where we help them to track the productivity, quality and how do you make sure the different -- the best configurations that will give them a highest yield. And what can be done to replicate this across many days and weeks of the year.

Cyient Limited

January 25, 2024

Page 10 of 16

Some of these solutions are definitely picking up momentum with our customers. And we are really excited and happy about the progress we've made on sustainability, which is going to be a growth engine for many more quarters to come. Sorry, I missed your first question. What was that Abhishek?

Abhishek Pathak: Just to break down also between wireline and wireless and whether U.S. election will have a meaningful impact on the wireline piece. I mean, can we expect a push after the elections are over in the U.S. for wireline business?

Karthik Natarajan: Yes. So we don't have any clear view of how the elections would impact the fiber business, and we are seeing traction both on fiber and wireless. And as I mentioned, the wireless is led by cost takeout as well as premium customer experience. And what do I mean by that? They are expecting the ARPU, the average revenue per user, did not go up after 5G being implemented. And if they want to retain some of the premium experience for the customer, which is likely to increase the ARPU to \$ 120-140 a month compared to \$40 -45 a month on an average. So they're trying to create a premium experience and they want to keep the premium customers not to change their operators just because they get a few dollars of savings, but they want to provide a premium experience. The second one as the communication service providers have gone through a significant cost reduction and layoff for the last 12 -18 months, they want to automate their network life cycle. And we are playing a critical role with the platform that we've built through Celfinet and that's really creating traction with our customers. So most of the projects that we are working on are led by cost reduction. And on the fiber side, as we mentioned earlier, the average coverage today is about 55 -65% depending on the geographies that we operate in. This is really requiring it to be about 80 -85% in the next two years. There were some capex programs that were put on hold

in the early part of this year, which is coming back. Almost

fiber is becoming a backbone for any kind of cable or wireless or fixed wireless programs. And you can't really defer it for too long, and we do expect the momentum to continue for another year or so.

Moderator: We'll take our next question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Karthik, the first question, if I look at this year has been a challenging year for all the players,

including us. And if I dissect the organic/inorganic, the organic growth looks like could be mid to high single digit. And your commentary about the demand revival is also mixed with some segments doing extremely good, with some segments still not out of the woods. So in the Analyst meeting, you shared the slide about 10% to 20% growth outlook in the DET sales over next three to five years. Do you believe even the double-digit growth can be possible in the forthcoming year? Or this may be slightly back-ended rather than front-ended?

Karthik Natarajan: Yes. So Sandeep, that's a fair question. I think we are like what I covered during my performance outlook. And we are seeing medium - to long-term engineering and R&D spend is intact. We started seeing the second engine firing on all cylinders. And the third engine is likely to get back to that it was helping us in the initial two years after pandemic. And we hope that Q4 will be a turnaround for connectivity. And we have a few things to do on the new growth areas and anything that is related to the economic issues like Semicon and Comms as we expect that they should probably improve during the later part of the year. We expect that the semiconductor

Cyient Limited

January 25, 2024

Page 11 of 16

should get back to the growth trajectory in second half of fiscal 25. And we are continuing to see momentum from the Automotive & Mobility segment. And we do see that Healthcare and Life Sciences should start joining the growth trajectory, if not at a very high level, at least start getting into the single-digit growth for the first year. So we do expect in the new growth areas if we get two out of four segments start growing, we should start seeing that to be in the double digit. So we are still holding on to the view saying that the medium to long term of 10% to 20% that we guided is still intact.

Sandeep Shah: Okay. Fair enough. The second question is in terms of margins. So on an adjusted basis, we have had a strong execution in FY24. And Prabhakar has mentioned in the Analyst meet that it can be further increased to 18% to 20%. So Prabhakar, just the question is whether this journey of a YOY improvement, operational rigor will continue even in FY25? Or you believe growth is a precondition now because the kind of margins we are operating in is more or less optimal to the cost initiatives and further improvement is dependent on growth revival.

Prabhakar Atla: Sandeep, thank you for asking that. We do believe that the growth journey that we articulated in the Investor Day for the growth of our margin is still intact. That is the framework that we already put to rigor, and that is what we will execute towards.

Sandeep Shah: Okay. Okay. So growth and margin now will go hand in hand?

Prabhakar Atla: Yes. It was a part of the entire equation anyway, but yes. The three horizons of the margin expansion we spoke of on the Investor Day along with the growth that Karthik talked about will go hand in hand, and that is what we currently very strongly and firmly believe in.

Moderator: We have our next question from the line of Mohit Jain from Anand Rathi.

Mohit Jain: Sir, two questions. First is on this order backlog. So the growth that we are talking about, the 25% number, I'm assuming this is purely organic. Like given the year, you have not included quarterly intakes from other entities.

Karthik Natarajan: Yes. What we are reporting

for Q3 fiscal 24 is all inclusive.

Mohit Jain: And Q3 23?

Karthik Natarajan: Q3 23, we just completed the acquisition of Citec. We did not track the order intake like we track for the organic part of it. So like -to-like comparison still 13% year-on-year what we mentioned in the footnote.

Mohit Jain: Okay. So order intake is 13% higher. And by that logic, should we assume a slight pickup in growth next year because our guidance this year is curtailed, which I'm assuming is this slip -- or maybe, as you mentioned in the opening remarks, it could be shifting to next quarter or next year? Or should we assume that demand overall has slowed down, therefore, order intake is not a correct representation of growth ahead.

Karthik Natarajan: Yes. So definitely, order intake is a leading indicator and we are also using that in the same manner, but there are few customers who may have orders secured, but they may want the projects to be shifted to the right or they want to take a pause for a couple of months. So that may still happen. We still operate anywhere between 1.2 to 1.3 in terms of bill-to-book ratio.

Cyient Limited

January 25, 2024

Page 12 of 16

Mohit Jain: Okay. And last one, Prabhakar sir, like we have taken this provision of \$6 million. Now are we done with it? Or do you think Q4 will have the balance, \$1.4 million? Or how do you plan to book the entire amount?

Prabhakar Atla: No, we believe what we've taken will be adequate to cover all these future costs on this topic.

Mohit Jain: So from Q4, no more provision?

Prabhakar Atla: That's what is our intent. We strongly believe we've taken all possible variables into consideration and made provision at one go.

Moderator: We have a next question from the line of Shradha from Amsec.

Shradha: Yes, I was asking if I heard you right, you did mention -- did you mention that Auto could be soft for few next quarters?

Karthik Natarajan: I said for the next one quarter and based on what we see at this point of time, yes.

Shradha: Okay. So it could be soft, then we can expect some bounce back from a 1Q in auto?

Karthik Natarajan: Yes.

Shradha: Okay. And sir, you stopped giving the on-site/offshore mix split. So just directionally, any sense can you give around on-site/offshore mix?

Karthik Natarajan: Yes. So I think if you look at, our offshore has dropped to 41.5% in Q3 and we are studying the seasonality pattern between our acquired entities and organic, and we'll probably come back and share some directional view on it by Q4. And as we have said in the Investor Day, I think our intent is to deliver growth through offshoring. I think that's definitely going to be the key agenda that we'll have as part of our margin improvement as well as what we want to do in terms of increasing our offshore percentage. And we made significant progress in terms of integrating our acquired entities, and we have a common view in terms of how the operating model will evolve and we'll have a better view by Q4. Directionally, our intent is to see how we think we really take this a round at least for the next few quarters.

Moderator: We have our next question from the line of Dipesh from Emkay Global.

Dipesh: A couple of questions. First of all, the new growth areas. Now new growth area, considering the smaller size, there is enough scope for higher growth, but even on YOY basis it appears to be negative growth. So can you help us in just an overall thought process on new growth area not for a quarter or two, but slightly medium term? Where are we lacking and what course correction action we are taking to make it a growth engine for the next 3-5 year perspective?

Second question is about the Q3 growth. I think in the prepared remarks, you indicated Q3 growth was in line with management expectation. So in a way, it implies Q4 is weaker than what we expected when we guided at the end of Q2 for full year.

I just want to understand some clarity

or maybe you can offer some clarity what you mean when you said Q3 was in line with expectations.

Cyient Limited

January 25, 2024

Page 13 of 16

And last is about clarification. When we report our total TCV intake, whether we consider potential contract price as a part of total deal intake. I'm referring to a large deal what we report and potential contract size.

Karthik Natarajan: Yes. Thanks, Dipesh. To answer your first question, the new growth areas, we coined the term as new growth areas because we expect us to provide better clarity or bring more strategic direction on these parts. And we are working through some of the actions what we want to do to set some of the areas, especially in Automotive & Mobility and semiconductor. And we would expect them to continue to see growth even into fiscal '25.

And how do we really bring in high tech, which will probably have lesser focus moving forward.

And we want to take geospatial as a horizontal rather than keeping them as a vertical. And Healthcare and Life Sciences, we are still evaluating many options and set the direction what we want to do in that area. We see a significant traction in terms of what we can do with our DLM business by way of doing build to spec and we have seen interest from many customers.

And we are still working through the process and what is the right thing for us and we'll have a better view probably in the next two, three quarters. But we are confident about growth that we want to achieve in the next 12 to 18 months from Automotive and Semiconductor segment is absolutely intact. To answer your other question on the TCV and TCP, look at orders intake that we talk about, that is purchase orders, we have it in our system.

And when we talk about total contract potential, it may not have all the orders that is in our system, which has a potential to have the total contract value based on whether it is two years or three years and many -- multiyear contract that we signed, which has the potential and not that all of them will be received as purchase orders. As we start executing, the orders will start coming in.

Dipesh: Can you address the third one?

Karthik Natarajan: Can you repeat the third question, Dipesh? You said something about in line and then...

Dipesh: So in prepared remarks, you indicated Q3 growth was in line with management expectation. So in a way it implies guidance that is largely because of Q4 softness. I just want to understand that remark.

Karthik Natarajan: You want to go, Prabhakar?

Prabhakar Atla: Dipesh, yes the current quarter, given the macro in which we were operating, this is in line with our expectations. And yes, you're right, given how the macro has played out throughout the year and Karthik explained its impact on various segments, which did not grow the way we anticipated in the current year, some of them are coming back. Most of it is what is playing out in Q4. And therefore, that's the guidance we have given for the full year.

Dipesh: Okay. So sir, just to get more clarity, some of the things what you are expecting in Q4 to have implications, do you expect it to be short term or you expect it to be slightly longer duration kind of impact?

Cyient Limited

January 25, 2024

Page 14 of 16

Prabhakar Atla: So Dipesh, the question was that if whatever recoveries we start expecting in Q4 or short term or medium or long term, our view is, for example, when we anticipate -- when we believe that Communications will start coming back, that will be a medium to long-term cycle is what we anticipate.

Dipesh: Okay. So you are referring to largely right shifting, no material changing in terms of overall momentum?

Prabhakar Atla: Yes. That's what we said that we believe -- the momentum is still with us compared to how the year began to how the year played out throughout -- there was a moment because

of the macro

playing in a couple of segments. That said, we also see two things coming into play. Even if macro played out in a couple of segments, because we had a balanced portfolio, we were able to tide through the year, still continuing to grow quarter-on-quarter. And with whatever momentum we are building right now and with whatever positive trends we are seeing in key segments that Karthik talked about earlier. We believe the years ahead, the medium-term view that we have, both on revenue and also on margin, are still very, very much intact.

Moderator: We have a next question from the line of Sanika from Sapphire Capital.

Sanika: So my question was like this year we missed our guidance because of Healthcare and Telecom slowness. In the coming year, which is FY25, do you expect the demand to come back? And like can we also expect a 15% to 20% growth coming back in FY25?

Karthikeyan Natarajan: Yes. I think, Sanika, sorry, we still have another quarter for us to complete our budget exercise for fiscal '25. We'll have a better view by same time next quarter. But directionally, we do expect that some of the spend patterns should come back as the interest rates start coming down, the inflation is already showing signs of heating up. I think all of them should play into the macro, which should also make our customers to start improving their spend. Finally, at the end of the day, ER&D spend is also a percentage of the revenue for our customers. When they start seeing the growth coming in, they also will have confidence to invest and that is something which is very critical for them to acquire in the next three to six months.

I would also look at some of the key leading indicators of the first point of interest rate reduction that's going to happen in U.S. and continued tracking of the inflation that has to cool off compared to the current rate. I think those will be the leading indicators before we start seeing whether the growth would be higher than this year or it will be closer to the 20% area. But we do expect the growth for the next 12 months will definitely be around double digits. But as we start making progress, we'll keep the amendments whether it is on the lower end or on the higher end.

Sanika: And just last question, right, except this antitrust lawsuit and the provision for that, do we have any other one-offs in our income statement?

Krishna Bodanapu: No. That was the only one-off. The settlement amount that we have provisioned for the lawsuit.

Moderator: We have our next question from the line of Ranjeet Bhalerao, an Individual Investor.

Cyient Limited

January 25, 2024

Page 15 of 16

Ranjeet Bhalerao: One quick question. Boeing has opened a new R&D center in Bangalore, which is reportedly largest outside the U.S. I believe Airbus also has a presence in India. How do these affect future business of Cyient in the Aerospace sector. And what business relations Cyient may develop with these OEM design centers?

Karthikeyan Natarajan: Yes, Ranjeet, I think we continue to have this global captive center presence for many years. In fact, most of them have completed 20 years, 10 years, and 25 years. So these continue to exist and they have certain priorities that they want to focus their capital centers on. They continue to work with partners like us on many other areas.

So there is a complementarity that they do bring into play. And we also work with many of the captive centers with many of the customers to date. So this is not going to change anything in

the near term. And that is something we have always seen as an opportunity for us to work on some activities in the global headquarters and some through the captive centers. So we don't see any change in the near term. And as they go through some of the challenges over the next 12 to 24 months, they also leverage a lot of the partners' help in terms of helping them t

hrough the

complete life cycle, the center is for engineering today. But what we are supporting our customers is across the life cycle, whether it is engineering, manufacturing, supply chain inspection and aftermarket MRO. So we kind of have a complete cycle of support that we extend to them. So that is still intact, and we do expect that some of the momentum we have talked about will continue for another 12 months, for sure.

Ranjeet Bhalerao: And a follow-up question to that is do you expect any attrition? Do you have any agreement with the union on no-poaching?

Karthikeyan Natarajan: I don't think we want to comment on any of those aspects of it, Ranjeet. I think it is very contractual specific to our customers and we don't comment on any specific customer contracts.

Moderator: As there are no further questions, I now hand over the call to Mr. Krishna Bodanapu for closing comments. Over to you, sir.

Krishna Bodanapu: Thank you, and thank you very much, everybody, for attending this call. As Karthik and Prabhakar took you through the details, you will see that the business momentum looks quite good. As with any business, there are certain parts of the business that are doing well. There are certain industries where maybe they have a bit more challenges. But that's the whole idea why we're consciously building a balanced portfolio.

If you look at it, two out of the four engines are firing very well, Sustainability and Aerospace both having grown over 20% year-on-year. And we believe that the third engine, connectivity, is also starting to ramp up. There might be a quarter delay, but we're very confident that during the course of next year, the third engine will also start firing, and of course, now the objective is to get the fourth and fifth which is part of NGA right now to start firing. So we continue to be quite confident. I will again reiterate what Karthik had said in the Investor Day and then again reiterate it now that 10% to 20% medium-term growth is what we believe the business will deliver. Not just a hope, but we're quite confident based on where we stand with them. So thank you once again for all your support, for all your questions.

Cyient Limited

January 25, 2024

Page 16 of 16

And again, for the last time, I'd say thank you very much for your support when we navigated through the lawsuits that were associated with the antitrust case, both criminal and civil. I'm very glad that we resolved them as they are. We have not admitted any guilt. And also, I'm proud to say that we did not do anything wrong, and therefore, did not admit to any guilt, but we wanted to put the issues behind and move on. So thank you for your support, and we will again speak at the end of next quarter. Have a good long weekend and speak soon. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2024

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Dear Sir,
Sub: Transcript of the Earnings Conference Call
Please find enclosed the transcript of the Q4 FY24 earnings conference call conducted after the meeting of Board of Directors held on 25 April 2024.
This is for your information and records.
Thanking you
For Cyient Limited

Ravikumar Nukala
Dy. Company Secretary
Page 1 of 17

"Cyient Limited
Q4 FY24 Earnings Conference Call"
April 25 , 202 4

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. KARTHIKEYAN NATARAJAN – EXECUTIVE
DIRECTOR AND CHIEF EXECUTIVE OFFICER – CYIENT
LIMITED
MR. PRABHAKAR ATLA – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CYIENT LIMITED

Cyient Limited
April 25 , 202 4

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Cyient Limited Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and anyone who wishes to ask a question may enter star and one on their touchtone phone. To remove yourself from the queue, please enter star and two. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the Executive Vice Chairman and Managing Director of Cyient Limited, Mr. Krishna Bodanapu. Thank you, and over to you, sir.

Krishna Bodanapu : Thank you very much, and good evening, ladies, and gentlemen, and welcome to Cyient Limited's Earnings Call for the Fourth Quarter of Financial Year 2024. I'm Krishna Bodanapu - Executive Vice Chairman and Managing Director. Present with me on this call are Mr. Karthik

Natarajan - Executive Director, and CEO; and Mr. Prabhakar Atla - President, and CFO. Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainty. A detailed statement in this regard is available in our investor update, which has been e-mailed to you and is also posted on our website. This call will be accompanied with an earnings presentation and the details of those have already been shared with you.

If I may take a minute to quickly highlight some of the key achievements for this quarter. We signed a strategic partnership with Deutsche Aircraft Group or DAG, which will include detailed design for manufacturing of the rear fuselage for the new 40-seater aircraft, the turboprop aircraft that DAG is now building. We're excited for this partnership to support the development of this new aircraft, which is a once-in-a-lifetime new development that is coming up. And our involvement underscores our commitment and our capability and support rendered in delivering innovative engineering services in the aerospace sector, which as you know, is core to our organization and core to our strength. Our expertise in this area will play a critical role in the development of this new aircraft. And it's also very gratifying to hear from them that much of this aircraft will be designed and manufactured in India before its finally system integrated in Germany. So that's a very key win that we're very proud of.

We also signed a new long-term relationship with Airbus where we will partner for the CIDS or the Cabin Information Display System. This is a 15-year contract. So, it's a very long-term contract. And Airbus is moving towards intelligent and digital cabin management they've chosen us as a partner based on our capability and ability to generate intelligent engineering solutions. And this will be above and beyond our current engagement with Airbus, which is more in the traditional engineering hardware, software development phase.

We have also been ranked as a leader and a noteworthy player for the overall ER&D in North America and Europe by Zinnov Zones for ER&D services. We were recognized for our innovation and solution development in a range of industries, spanning aerospace, automotive, semiconductor and telehealth, among others. In a significant achievement, we also debuted in the data analytics and AI with a leadership ranking. And this recognition is another great testament because as many of you know, it has a very comprehensive assessment and ranking. And it's a great testament of our capabilities and our industrial expertise and, of course, the innovation that we bring to the table.

Cyient Limited
April 25, 2024

Page 3 of 17

I'm also happy to announce a final dividend of INR18 per share which the Board has approved and will recommend

to the shareholders for their approval. It's INR18 which brings the total to INR30 per share, which is the highest dividend that we have ever paid.

So overall, things look quite good for the future. Of course, we will talk about the Q4 numbers and give you a bit of background to the Q4 numbers, but more importantly, to give you the view for how the next financial year will evolve and also give you some details behind what gives us the confidence that we will continue to execute at an excellent level. With this, I'll hand over this call to Prabhakar, who will take you through the financial performance for the quarter. Prabhakar Atla: Thank you, Krishna. Hello, everyone. I hope you're all doing well. Thank you very much for your time today and for your kind participation in the call today. Given that this is the end of the year earnings call, we will present two types of data – one for the quarter ending March 2024, which is essentially Q4 FY24 and the other for full year FY24, and the focus of this call will be Cyient DET. Just so that we have enough time for Q&A, I'll only call out the key numbers on each page instead of a full and detailed commentary. The nomenclature of our businesses remains the same as in the previous call.

The page in front of you presents the key metrics for DET for Q4 FY24 in dashboard format. The Q4 FY24-dollar revenue for DET stood at \$179.3 million, a Q-o-Q degrowth of 0.5% in constant currency and a Y-o-Y growth of 1.8% in constant currency. In rupee terms, this revenue stood at INR1,489 crores with a Q-o-Q degrowth of 0.1% and Y-o-Y growth of 2.8%. The Q4 revenue was lower than our expectations and this is because the Aerospace business after seven continuous quarters of growth had flattish quarter in Q4 and the recovery in communications business was backended during the quarter. Karthik will cover these movements in more detail in the later part of the call, but I would like to underline that in our view, the underlying medium and long-term opportunities and momentum in DET space remains quite solid and very much intact.

The Q4 FY24 DET EBIT margin stood at 16%, up by 90 bps year-on-year. And as you will notice, there is no normalization done in this quarter, in line with the commentary provided in the previous quarter. And also, you will see that we were able to hold the EBIT line despite the Q-o-Q movement in revenue. While this then makes it the fourth consecutive quarter of 16%

EBIT for DET, I'd like to mention that going forward, we intend to sharpen our focus on further strengthening our investments towards growth.

The Q4 FY24 PAT for DET stands at INR173 crores translating into a growth of 9.1% year -on-year, and this also translates into an EPS of INR15.79 for Cyient DET. The Q4 FY24 DET FCF stood at INR232 crores, our best ever quarter with a growth of 25.6% year -on-year. And in the next chart, you'll also see that our full year FCF has significantly improved year -on-year.

The next chart presents the full year numbers for Cyient DET, the full year FY24 numbers. The DET FY 24-dollar revenue stood at \$713.9 million, a year -on-year growth of 12.6% in constant currency. And in rupee terms, this revenue stood at INR5,911 crores, with a Y -o-Y growth of 16%. Given that the Q4 revenue was lower than our initial expectations, the full year revenue performance was also below the previously guided range, while we've endeavoured to ensure that the margin momentum and the earnings trajectory are intact.

Cyient Limited
April 25 , 2024

Page 4 of 17

The DET FY24 EBIT margin stood at 16.1%, up by 246 bps year -on-year. And as we discussed in detail in the previous earnings call and our Investor Day, the significant expansion was made possible due to the number of focused initiatives we executed through FY23 and FY24. We will now endeavour to maintain this as a platform for FY25 with a sharpened focus

of investing

further into growth. The DET FY24 normalized PAT stands at INR689 crores translating to the growth of 31.6% year -on-year, and this also translates into an EPS of INR62.84 for Cyient DET, on a normalized basis. The DET FY24 free cash flow stood at INR754 crores, our best ever, a significant improvement of 71% year -on-year.

Before I close the full year chart, I'd like to draw your attention to the balanced progression of various metrics through the year. With the revenue growth of 12.6% in constant currency, EBIT margin expanded by 246 bps year -on-year, and earnings grew by 31% year -on-year. While retaining focus on free cash flow.

Moderator: Ladies and gentlemen, please stay connected. The line for the management has dropped, we'll reconnect the line quickly. Thank you. Ladies and gentlemen, we have the management line reconnected. You can go ahead, sir.

Prabhakar Atla: My apologies for the drop-off. I'd like to continue where we left. Before it was the full year chart for DET, I'd like to draw your attention to the balanced progression of various metrics through the year, with the revenue growth of 12.6% in constant currency. EBIT margin expanded by 246 bps year -on-year, and earnings grew by 31% year -on-year. While retaining focus on FCF, which also improved by 71% year -on-year. We believe that this is a good demonstration with a balanced performance, especially in the face of what was an uncertain and challenging operating environment in FY24.

The group numbers that you see in the following page, are a combination of all 3 segments we have, including Cyient DLM. Group revenue stood at INR1,861 crores for Q4 FY24, which is a growth of 6.2% year -on-year in constant currency with an EBIT growth of 7.4% year -on-year and PAT growth of 7.5% year -on-year. With the recovery of FCF in DLM business, which we have commented upon in the previous call, you will also see that the Q -o-Q movement in FCF is very significant with a year -on-year growth of 45%.

Now in the next page, for a quick look at the full year numbers for the group. FY24 was a very interesting and a very exciting year for Cyient as a group. This year started making clear choices of who we want to be, where we want to play and how we execute our strategy. Some of the important milestones for us around this chosen path, as you all know, are one, the DLM divestiture; two, the development of the balanced portfolio for DET business; three, conscious focus on margin improvement; and four, focusing on investing into future growth. Therefore, for us, FY24 group performance in some sense was a testing ground, a testimony and perhaps we have the trajectory of our long -term approach.

As you can see from the numbers on this page, group revenue for FY24 stood at \$863 million, a growth of 15.6% year -on-year in constant currency driven by balanced growth across our portfolio of DET and DLM. This is the highest ever revenue for the group. And while at that, the group EBIT stood at 14.5% with a healthy expansion of 173 bps year -on-year, which is the highest EBIT we've had for the group for the last 10 years. Group PAT stood at INR735 crores,

Cyient Limited
April 25 , 2024

Page 5 of 17

representing the growth of 30% year -on-year, and this is the highest ever PAT for the group. The FCF also has increased significantly by 32.6% year -on-year. While these are objective

metrics, we also have sharpened our focus on building the longer-term sustainable core to our business, especially in the areas of ESG and financial discipline, which we will talk a bit more about in the next page.

The next page presents the progress we are making along three important dimensions of our business and much of this commentary is specific to DET. The first is on ESG. As you all know, being a responsible corporate business, has been the guiding principle of business philosophy since our inception 33

years ago. Our social consciousness has always been an integral part of our purpose and has played an important role in how we shape our business and our culture. The Dow Jones Sustainability Index, DJSI as it is called, as you all know, is a highly trusted and a very comprehensive index that captures the ESG focus of various organizations across the globe. We're happy to report that Cyient score this year in this index stood at 72 and within that, we were in the industry best quartile on the social front. This score of 72 is also an improvement over the score of 66 we had last year. And that last year was also the first year we were rated under this index. We also continue to focus on our passion to support education of underprivileged children with special focus on girl child education and empowerment. We are very happy and if I may say, we are also very proud to report that we now support over 21,000 underprivileged children their education endeavours, and we are looking forward to welcome some of them into our future workforce. A more detailed report on Cyient ESG initiative and the progress we made has already been published and made available on our website, and I would like to invite you all to go through this.

The second dimension, as you can see from this chart, we will focus on free cash flow. We've already talked about it in previous pages, especially on the improvement. So, I'll not comment further on this, except to say that cash generation is and will continue to remain a key focus area for us going forward.

I will try to spend a bit more time on the DE ratio improvement year-on-year. The DET DE ratio, which was 0.24% at the end of FY23 has now improved to 0.12% at the end of FY24. The DET debt position, which was \$94 million at end of FY23, now stands at \$54 million at the end FY24. This was made possible since we retired about \$40 million of debt in FY24, and we have leveraged our focus on cash generation, which we talked about earlier to retire debt proactively. And we will continue to focus on this in FY25 as well. We're also very happy to announce a final dividend of INR18 per share, which translates to full year dividend of INR30 per share. With this, I would like to thank you again for your time and for all your cheer and support as we navigated an interesting and equally challenging FY24. We look forward to your continued support and your engagement, and I do hope that we have earned the privilege of your time and your attention. With this, I'll hand over to Karthik for a more detailed commentary on DET performance.

Karthikeyan Natarajan: Thank you, Prabhakar. Hope all of you are doing well. Hope you can hear me. On top of what we started working for the last 2.5 years about getting our Digital and Technology solutions team in place and our ability to really have more customer conversations around the transformations that they are going through and how we think we are able to bring some of the Cyient Limited

April 25, 2024

Page 6 of 17

solutions, which are cutting edge. We inaugurated our customer experience center during last quarter, and that's one of the key milestones for us. And moving forward, like what Krishna talked about, as we bought in partnerships in Aerospace, with Airbus and Deutsche Aircraft and all the intelligent connected cabin platform development as well as supporting one of the new aircraft platforms. And also, happy to share the 2 large deals that we have been able to deliver in Q4 on top of the line that we delivered for Q4, overall.

I just want to highlight on the 2 of them, one is about the digital aftermarket platform, mapping the customer journey and this is with one of our top customers, and this is going to be run over the next 5 years, and it's a very interesting project that would really establish us as the digital engineering leaders in this segment, and we would also be able to take some of t

his offering to

the entire set of customers that we operate in today.

And also, the second deal that I would like to highlight is about next-generation intelligent smart meter which has edge compute platform, and we will build the complete SoC and the software that goes around it. This is one of the end-to-end deals that we have been engaged with the customer for the last 6 months, and we have been able to close on this deal last quarter.

On back of what we have seen in the entire 12 months and the growth was led by Aerospace Sustainability and Automotive. And we are pleased to note that we have been able to see the growth of 12.6% year-on-year constant currency growth and also some of the investments that

we started making are starting to play out. Also happy to report about 1,000 -plus leaders who have been certified on generative AI and this is one of the key initiatives we started working for the last 6 months. And we have also engaged some of our key decision makers and happy to share that 60% of our key decision makers, which is from top 40 customers who see Cyient as their strategic and advisory partner in their transformation journey that they are likely to take for the next 5 to 10 years.

So, with that and quick view on the BU performance. As you can see from the chart, I'm going from left to right, I'll focus on the constant currency column and transportation has degrown by about minus 1.5% on the back of the challenging rail vertical that we have seen for the last few quarters. And connectivity has shown minus 2.3% degrowth at \$40.7 million and sustainability at \$54.1 million, which has grown about 0.7% quarter -on-quarter. And this is eighth consecutive quarter of growth as far as sustainability and vertical is concerned. New growth areas, which has not done well in the initial part of the year has come back to growth. We hope that we will continue to have the momentum for the rest of the fiscal 25.

And if you translate this at the DET level at \$179.3 million, it's about minus 0.5% constant currency growth. And if we translate into year -on-year, this translates into 1.8% growth, a strong growth delivered from sustainability vertical at 19.3% and transport grew by 2.1%, while connectivity and new growth areas have declined year -on-year.

We also have secured orders worth of \$227.8 million in Q4, which is reported numbers at 7.1% year-on-year growth. Like -to-like, this is about minus 6.2%. And we also won about 9 large deals worth about \$197.6 million in Q4. This is one of the highest ever large deals that we booked in one quarter.

Cyient Limited
April 25 , 2024

Page 7 of 17

Moving on again for the full year. And we have seen Transportation, which ended up at \$216 million. We've shown a growth of 14.5% in constant currency year -on-year. Connectivity which has been challenged in fiscal 24 has ended up with \$169 million with minus 7.1% year -on-year degrowth. And Sustainability, which ended up at \$204.1 million and it grew by 45.6% year -on-year. New growth areas at \$124.8 million. And on the full year basis has shown a growth of 1.5% resulting into 12.6% year -on-year growth.

For the full year order intake, we ended up at \$902.2 billion, which has shown 25.2% year -on-year growth and a like -to-like basis, this is about 15% growth. And for the full year of fiscal 24, we have closed to 28 large deals with the total contract potential of about \$435.4 million. So, this is one of the key achievements that we had, and we continue to make progress on the large deals, and we hope we'll continue to build on the momentum.

And moving to look at the business performance and outlook. As all of you are aware about the macro and challenges due to the high interest rates and geopolitical uncertainty and the global demand slowing down, we do feel ER&D services is resilient and it is likely to see an increasing demand with smart and connectivity

ecosystem, software platformization , digitalization and

sustainability as the modern themes. And we do believe some of the initiatives that we started working on, will start yielding results even in this typical environment.

We continue to see momentum in Aerospace led by manufacturing in the aftermarket more than the engineering part. And we also see increased spend in defense as well as our urban air mobility and digitization continue to be one of the key topics. And we also talked about some of the deals that we closed in Q4.

Connectivity, and we had a rough start for the last 12 months, and we hope it will start getting back to growth in the next financial year and led by RDOF and BEAD . We do start seeing, as Prabhakar indicated, some of the wins that we started seeing late Q4 will start playing out in Q1 and Q2 of fiscal 25. And we continue to see from the connectivity standpoint, the software -defined networking and autonomous network operations and premium customer experience are the areas customers are willing to spend. I think there's definitely a lot of cost out programs many of the telecom operators are focused on.

Sustainability, which has done well for the last 8 quarters, we continue to see a momentum among energy transition and carbon capture and alternate energy sources and decarbonization asset management . They continue to be the key focus areas of growth, and we continue to strengthen our ability to address the sustainability opportunity not only from US and Europe, we are also expanding into Middle East, and we will talk about some of them in the latter part of the discussion.

New growth areas and Automotive has done well for this year with the software -defined vehicle and connected platforms and semiconductor, which is likely to see a growth due to high -performance computing and AI -led data center and cloud . Healthcare is likely to see a growth from patient monitoring customer experience and connected devices .

With that, happy to share some of the deals that we won, and I just want to pick up on a few things. And as part of what we've started investing on the technology solutions and advisory group, Cyient Limited
April 25, 2024

Page 8 of 17

which leads with customer workshops, helping the customers to define the road map and some of the key wins that I would like to highlight include all the autonomous systems and process, design and development of perception system to increase safety of operator and machine through various set of sensors that will avoid any pollution and can be alert.

And we also are building the aftermarket kits that can be added on to retrofit of the existing products as well. And I'm just moving on due to lack of time, and I'll just pick up something about the next-gen connectivity and where we talked about next-generation IoT gateway and edge-computing capabilities using LoRaWAN technology. We have also built a platform which is AI-driven rule-based algorithm to detect anomalies in the network and configure the network elements for zero touch configuration trips.

And on the generative AI part, which is one of the key areas of investment over the last 12 months, and we started seeing some of the interest from customers, using generative AI to help them to improve the collaboration from entering to all other functions and also streamlining some of the processes impact the organization as well as helping them with vision-based LLMs to comprehend the image and drawing content. And some of the areas that we are starting to see definitely looks very interesting and generative AI will have a role to play in engineering, and we are excited about what we have been able to do in the last few months.

With that, I just want to conclude by saying that what are we looking in for fiscal '25. We understand the challenges that are seen from the industry, and we are confident that we should be in a high single

-digit DET revenue growth year-on-year in constant currency terms, and we expect the margins to be in the range of 16% for the financial year 25.

With that -- and thank you for your time. I'll hand it over to the Operator for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sulabh Govila from Morgan Stanley.

Sulabh Govila: My first question is with respect to the revenue guidance. So, I just wanted to understand how should we think about this guidance panning out across verticals with respect to which verticals would you expect to do the heavy lifting for the year? And which verticals would relatively lag. So, whatever is the current expectation as per the guidance?

Karthikeyan Natarajan: Yes. As we talked about, we continue to see momentum from sustainability and aerospace, semiconductors, automotive, and we do expect connectivity to come back to the growth terms during this year as compared to what we have seen in fiscal 24, almost in the same order.

Sulabh Govila: Okay. Understood. And with respect to the quarterly trajectory of this guidance panning out, should we think about this year to be a back-ended growth year with respect to this guidance? Or you think that the growth would be equally panned out across quarters?

Karthikeyan Natarajan: We do expect some softness in the early part of the year, and it depends on how things pan out, and we should probably do well for the rest of the year. And that's the current view that we are carrying.

Cyient Limited
April 25, 2024

Page 9 of 17

Sulabh Govila: Understood. And given that this year is a high single-digit growth year as of now, how should we think about the medium-term guidance that we had provided on the Analyst Day, which is from a 3- to 5-year perspective? Does that also undergo a change or that remains intact as of now?

Karthikeyan Natarajan: No, we do feel that I think based on what we heard from our top 40 customers, and they are going through their own challenges, and they do see this is going to be a potential growth segment as we've envisaged earlier. I do feel that our medium- to long-term growth prospects are absolutely intact. And we do expect with demographic changes that are seen in Europe and this is going to be a great opportunity for a company like us, having invested in the last 2 years with a lot of capabilities in Europe. And we've started doubling down in Japan. And as we talked about our entry into Middle East, and some of these areas will continue to see momentum. And when we talked about energy transition, we will expect while there is significant investment growing from Europe and the U.S., we do feel that Middle East could be another potential growth opportunity that we are planning to invest on. So, we do see that for the medium to long term, the growth aspects are absolutely intact.

Sulabh Govila: Understood. And then last on margins. I just wanted to understand what are the areas of

investments for growth that we called out in our opening remarks, which we will be investing from incremental margins that we get this year?

Prabhakar Atlu: Sulabh, I'll take this question. As in relation to what Karthik said about your earlier question on the medium-term trajectory. In our view, the underlying drivers for the ER&D space remain very much intact. Whether it is ER&D spend growing year-on-year, if the addressable market growing year-on-year, the partnership propensity increasing year-on-year or the technology evolution driving the pace of ER&D acceleration. Those underlying drivers and therefore the medium-term trajectory we see completely remains intact as we have previously spoken. Within that, the investments that we have made in the past in the technology space to accelerate the margin and revenue trajectory is where we will continue to invest in FY25.

We're talking

basically organic investment in technology that will accelerate our revenue growth and the margin trajectory. And this is what we've showcased also during the Investor Day as a part of the experience center visit that we have demonstrated.

Moderator: The next question is from the line of Kawaljeet Saluja from Kotak Securities.

Kawaljeet Saluja: My question is for Karthik. Karthik, the back-ended guidance never works for the industry, the environment is challenging. You have missed your guidance perhaps possibly in three of the last four quarters. I mean, what gives you the comfort of going out and giving such a guidance which is back-ended all over again?

Karthikeyan Natarajan: Kawaljeet, I think we also see that many of the conversions that we have with our customers, and they do see some of the deferrals that are happening or getting started, which happened from Q2 to Q3 in Q4 and some of the deferrals that they are asking us to move through Q1, Q2, we hope some of them will still materialize. We do see that it becomes too difficult to start getting the specific quarter guidance right because of the kind of challenges that we have seen from projects getting moved to the right and getting pulled back. But we do see that the trajectory for

Cyient Limited

April 25, 2024

Page 10 of 17

the next year will definitely be a growth year and based on the momentum that we have seen in few of the segments and the lack of it from other segments.

Kawaljeet Saluja: Karthik, correct me if I'm wrong, but I thought that normally in this industry, your normally -- visibility is the highest for the immediate quarter and the visibility reduces as you progress through the course of the year. What you're indicating is possibly quarterly trajectory, which is uncertain. So, if quarterly trajectory is uncertain, how does one give an annual guidance here?

Karthikeyan Natarajan: Yes. I think this is definitely a challenge that we have deliberated internally with our teams, Kawaljeet, and what we believe is something that we'll have to work towards during the first half of this year to ensure that we are able to define it as we move forward. And that's the reason why we want to keep it at a broad level instead of a specific number.

Kawaljeet Saluja: Okay. And what are the underlying assumptions that you have made? Given your experience on the guidance last year, what are the underlying assumptions and fine-tuning that you have done to ensure that you'll end up with a better outcome on your guidance this year related to last year?

Krishna Bodanapu: Sorry, Kawaljeet, before Karthik answers, that I just want to also say that what you addressed is very right. I mean, how do we get to that number and that guidance. And the Board also had those questions. And therefore, we did quite a bit of a deep dive internally to look at how the buildup happens. Because what can happen in Q4, really, nobody really knows, but then there are a certain set of assumptions. And we got to the second degree of those assumptions to say what are the orders that we need to win, what is the probability. And therefore, can we come up, can we commit to a number. Of course, it's a bit of a range. but can we commit to a number based on the buildup.

So, I think your question is very valid. And also, I just want to highlight that the Board also shared that concern at the budget point and therefore, we went into quite a bit of deep dive both with the management team and then presented the summary to the Board to say how does it add up. Because, of course, to your point, there's absolutely no 100% confidence in this industry or for that matter any industry, but the confidence comes from the fact that we've done a bottom-up rather than just an aspirational top down. I just wanted to leave it at that because I thought that was a good question, but since we also had it and we addressed it.

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Kawaljeet Saluja: That's fair. I just wanted to get -- I mean, where in the assumptions that you have made this year and given your experience last year, how is the process of guidance and the underlying assumption is different there? Sorry Karthik, I interrupted you, go ahead, yes.

Karthikeyan Natarajan: Kawaljeet, I'll just add to what Krishna said. So, if you look at last 12 months, where did we miss our forecast versus the initial guidance. But essentially, we did not anticipate the drop in Connectivity and Rail. I think those are the 2 surprises that we saw during the year. And that's

one of the key inputs that we have taken into account when we really wanted to plan for fiscal 25. And again, we tried to map out based on order backlog, order intake, the pattern of what customers do. But I think it's the best estimate at this point of time is where we have arrived at.

Prabhakar Atla: Kawaljeet, if I may step in. Firstly, thank you for the candid question. I'll just add a few notes from my end to what Krishna and Karthik also mentioned. To your question on Q1, there are 2 things that we are going to watch out, the flattishness of Aerospace in Q4 was essentially because

Cyient Limited
April 25, 2024

Page 11 of 17

we won a lot of new business, lot of new contracts. Now the supply that we are building has to catch up with the demand that we have raised. And that will take for us at least 1 more quarter before we see how this transfers for us to translate to revenue. Similarly, all the contracts we won in the end of Q4 for communication, we have to execute them in Q1 and to realize what is the growth that we can see in Q1 compared to Q4.

Those are the variables as we're concerned for Q1. But if you take a step back and the good question you had on the full year guidance, there are 3 things in our mind. Firstly, if you see the order book we had for FY24 is fairly strong. We closed FY24 with the order intake, which is 15% above the previous year. The order book grew by 15% year-on-year. That's a positive time as the one might say. But that said, you also rightly pointed out a key learning there in FY24 is the degree of macro uncertainty that we are handling. When you combine that with the 2 topics I mentioned before about Aero supply catch-up and Comms watch for Q1, that's the second thing I'd like to say. And therefore, thirdly, we've taken a cautious and pragmatic approach for the outlook, and we will go through this for Q1 and will come back at the end of Q2 and make an update to the trajectory as we see things progress.

Kawaljeet Saluja: Yes. On that Prabhakar, is the book-to-bill ratio different or basically the ACV number of the order book different in FY24 relative to the last year. So, when you're saying 15% growth in order book, is it really like-to-like? Or is there a change in the tenure of the deals that you have signed in FY24?

Prabhakar Atla: Okay. This number is like-to-like, Kawaljeet. An interesting development that we see, and Karthik talked about spend being moved a round in the quarter. We see a propensity of customers cutting smaller PO's for shorter term as compared to longer PO's for a longer term. So therefore, in a way if you were to look at it from a pragmatic perspective in a way, the order book we have in hand should be more executable in the short term than in the previous year. But that's it, I also go back on earlier comment on the degree of macro uncertainty which can move things a bit around. Therefore, the cautious pragmatism. So, the answer to your question is like-to-like but we see much more shorter-term PO's right now compared to the past.

Moderator: The next question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain: Sir, just one question on Transportation, like we were hoping for some growth in 4Q. So, what happened here and why the 6 months of flattishness in that particular verti

cal, while we have won few large deals.

Karthikeyan Natarajan: I think this is -- again, we still have not hit the bottom on rail. I think that is still the challenge that we are dealing with when we talk about transport, and we do continue to see the momentum as far as Aerospace is concerned and also add to what Prabhakar mentioned, we've seen seven consecutive quarters of growth in Aerospace. There is definitely a breather and we do hope this starts getting back to the growth trajectory in the latter part.

Mohit Jain: So now for transportation, we are building in Q4, Q1, Q2 more or less range bound and then look at it from a third quarter standpoint?

Karthikeyan Natarajan: We are not saying specific on how the Q1, Q2 will pan out, and we do see there could be continuous growth. There are 2-3 issues that I want to highlight that the Aerospace industry is.

Cyient Limited
April 25, 2024

Page 12 of 17

What we have seen from 2019, I think the demand for air travel has come back and the customer's ability to cope up with in terms of manufacturing components and products as well as the regulatory to service. I think there is a huge demand that's piling up. And the supply chain issues have not been fully rationalized while maybe I would say, 85-90% of the issues have settled, but there are still issues on the supply chain and constraints on them to produce is more than the demand side and which is definitely good news. So, we do expect the growth will be led by manufacturing, engineering and aftermarket and we've talked about one of the large deals, which is won on the digital aftermarket side.

So, we do expect the aftermarket MRO growth is robust for a few more years, and manufacturing

has to cope up . If go to most of the aerospace customers today , the biggest challenge is they have more orders than what can they fulfil it. Still look for solutions to improve the productivity, their ability to digitize the existing process and ability to get better visibility on supply chains. I think those issues are still hitting them and they need help in all those areas.

Mohit Jain: And 4Q decline is purely on the Rail side?

Karthikeyan Natarajan: Yes.

Mohit Jain: Okay. Last is on order backlog. We had this Y -o-Y decline despite signing these 2 orders. So why would we have a Y -o-Y decline in order intake?

Karthikeyan Natarajan: Yes. The order intake is a confirmed purchase order . And when we talk about large deals , they are total contract potential, all of them have to get converted into purchase orders. They will get converted in the due course of the year end.

Mohit Jain: I was referring to the like -to-like Y -o-Y number that is given minus 6 for 4Q 2024 on order intake.

Karthikeyan Natarajan: Yes. So, I think Q4, like what Prabhakar said, interestingly, when we looked at Q4 of fiscal 23, we saw at least about 5 deals of about \$40 million, which may be beyond 12 -18 months, 24 months TCP. The customers were willing to give their purchase order and the customers are cutting short in terms of the POs in Q4 of fiscal '24, which is an interesting observation that we saw. And we hope this is only an aberration and it seems to get corrected as we move into the year.

Mohit Jain: And the two deals that you have announced, TC V is already included in 4Q number?

Karthikeyan Natarajan: Not, yes. Let me put it this way. The order intake of INR227 million we are talking about, they do not include the TC P of INR197 million we have reported as part of the large deals. Some part of this INR197 million of large deal, if it would have come as a purchase order could be included in that.

Krishna Bodanapu: Look at it as a change in portfolio, right? Because the growth is coming from varying locations. So we also have to look at it in the conjunction that there is a change in our portfolio, I think like-for-like, because some of the acquisitions are going q

uite well, and that it was a sort of deliberate choice to go down the path of acquiring because those were the growth areas that will make up to some of the softness that we're seeing in other areas, like Rail or Communication.

Cyient Limited

April 25 , 2024

Page 13 of 17

So, I think you've to see it in that conjunction and the fact that it's gone up 7.1% year -on-year is a good sign.

Moderator: The next question is from the line of Vibhor Singhal from Nuvama Equity.

Vibhor Singhal: Sir, just a couple of clarifications from my side. Just -- I couldn't really get the math of this deal flow that you mentioned. So, in the quarterly deal flow, so you're saying part of the INR197 million is included and part is not included?

Karthikeyan Natarajan : So Vibhor, this INR197 million is the total contract potential that we signed as large deals for Q4 fiscal 24. Out of that, part of the purchase orders that we would have received is included in the order intake number.

Vibhor Singhal: Okay. And if this would be a recurring in the sense you've included that in the purchase order I mean, in the deal flow for this number ?

Karthikeyan Natarajan : Sorry, maybe about, I would say, roughly about INR30 million would have been included in the order intake and the remaining INR160 million would be delivered as part of the purchase order .

Vibhor Singhal: Whatever the period of the deal is?

Karthikeyan Natarajan : Yes.

Vibhor Singhal: Got that. And also, just coming to a little bit more on the Transport division, both Aero and Rail.

In Aero, you mentioned that you're expecting a good demand from air travel coming back and supply chain issues also not having rationalized. So, in nutshell, do we expect Aero to be a growth vertical in FY25. I'm not looking for a number, but just the direction. And similarly, in terms of the Rail, has the issues with the top client been sorted or when do we expect that Railways vertical could actually bottom out and we could see that going into the green again.

Karthikeyan Natarajan: We continue to hold the view that Aerospace should be a growth engine for us even in fiscal 25. And we also expect hopefully that Rail bottoms out sometime in this year and lot of order book that is built in by the customers is definitely being taken into account. And we also feel it's a matter of time that they start engaging with executing on them. I also want to call out one of the aspects that we have heard from many of our customers over the last 2 years, especially with the political and geopolitical uncertainty, a lot of money that is getting moved towards defense to ensure that the security is being the priority as compared to infrastructure. I think some of that should probably ease out maybe later part of this year and hopefully that should start getting us some growth. But having said that, we have also seen most of the rail degrowth is also led by what we have seen is offshoring. And most of the on -site work has moved to offshore. And that

is one of the reasons where we have seen that drop in the revenue volumes.

Vibhor Singhal: Got it. Just maybe one bit more on the rail segment, again. Net on -- I mean, excluding the top two clients which merge together and which are basically responsible for the large part of the degrowth, the remaining vertical, is that growing? Or is that also seeing challenges from the on-site to offshore transfer that we are seeing.

Karthikeyan Natarajan: So, there is definitely a significant money that needs to be spent in terms of credit signalling in Europe. I think that's going to be a massive investment that is coming up. Only issue is it is not

Cyient Limited

April 25 , 2024

Page 14 of 17

clearly defined yet, when is it likely to start, when is it likely to end. And some of the infrastructure that we heard from customers are 30 to 40 plus years old, and they definitely need modernization and maintaining

uptime and making sure they're able to deliver on-time

performance has taken a hit. And this probably should get fixed in the next few years for sure.

And we will see some of this growth coming back maybe in the next few quarters as we anticipate.

Moderator: The next question is from the line of Vihang Subramanian from Zaaba Capital.

Vihang Subramanian: So, I think our constant guidance has previously been 10% to 20%. And I think recently, you confidently even said that it wouldn't be below 10% for the next few years. So, I'm just trying to understand what has really changed here in 4 weeks? And which segment has led to this change in view?

Karthikeyan Natarajan: No I think we've talked about -- we have seen maybe 20 -25 customers in the last 3 -4 months that we have engaged have kept moving things around in terms of how they really want to prioritize certain projects compared to the list of projects we are supporting them and moving some of the projects to the right, or cancelling a few of them. And I think this is part of the portfolio that we are trying to prioritize . We can understand where they come from and some of our customers, the top 40 customers that we work with, we have seen that they reduced their guidance for the next 12 months, given the macro uncertainty they are likely to face . That is another leading indicator, which gives us the view saying that while they do see growth coming probably in the next financial year and some of the issues around -- uncertainties around the elections and -- plus some of the interest rate reduction, that is expected at this time this year, I think they were trying to really time it maybe later part of this year on some of the investment plans. So, I think those are the indications that we have from our customers, and that's the basis on which we are trying to look at. I think the same question was asked by the Board to Krishna. How do you make sure that we still keep our medium to long-term growth intact? And we still hope that we should get back into that range. And I think what we have seen in the last 3 to 6 months is definitely something that we have not seen in the last 2 -2.5 years. So, it is definitely a surprise for us, and we do hope things get better as we start getting in.

Prabhakar Atlal: Let me also add to that, Subramanian, thank you for the question. I'll just say three things. If we dive back to the commentary we've been making. Our view was that and remains that the four themes that we have picked up, transportation, sustainability, connectivity to new growth areas that is seen, have the potential to grow double digit over a period of 3 to 5 years. And that still remains very strong in terms of the potential that we see and the indicators that we see.

The second thing we also cited that an annual number, to extract from these multiple themes an annual number will be in the context today in which we operate, which is where we currently are. The third thing I would say, at the expense of repeating what I mentioned earlier, my apologies for that, is that order book for us is very strong for FY24. But at the same time, we have learnings from FY24 in terms of the degree of macro uncertainty and we also have to watch Aerospace and communications for Q1. And therefore, we're taking a cautious and pragmatic approach as we currently guide revenue for FY25. And as we execute through Q1 and Q2, we will come back at the end of Q2 and make an update as we see it appropriate contextually for the current year. So, in summary to your first question, we are extremely bullish on the four

Cyient Limited

April 25 , 2024

Page 15 of 17

themes that we have picked up in the medium term in terms of what we see around, what we hear and what we're also seeing in the order book.

Vihang Subramanian: Understood. And just a follow-up on that. I think the two large deals, which you mentioned, is that in

cluded in the guidance?

Karthikeyan Natarajan: Part of it is included in that and how it ramps up, we will probably evolve as the program ramps up.

Prabhakar Atla: The degree where we had the order intake available is baked in, Subramanian. To the degree where the order is still not part of the TCP that is not baked in. To Karthik's earlier clarification, we won a number of large deals in Q4. Some of them have also come with purchase orders. So, the degree we have a PO we have baked into the options. Where we don't have a PO, we haven't baked in the options.

Vihang Subramanian: Given this kind of macro uncertainty, I don't really understand why are we even guiding for something in the range of like 20% and so on, right? Like I mean, I think 10% was supposed to be floor that we had previously guided to the Street, right? And now it seems like the floor is out of the picture, right? So just to add to that, the last question I have is if you have done 2% this quarter, what gives you the confidence of even achieving high single -digit here?

Prabhakar Atla: So, I'll take that, Subramanian. I think you are referring to the guidance that was provided in April of 2023, which was updated at the end of the calendar year, that is the first thing. The second thing is our confidence comes from 2 things, I'd say. So, the degree that we can have a confidence in the world we are living today, our confidence comes from 2 things. One is a strong order book, especially the key wins we had in Q4 for Aerospace, which is a growing sector for us. And the second thing is we are also present in all the right segments, which are poised for growth in the medium and long term. The 4 segments I spoke about before. These 2 are the elements on which our current view of the FY25 outlook is based on.

Krishna Bodanapu: And I think if I also may add to that the outlook is really based on what we see as at the point in time, right? Because we also had a lot of debates around give guidance or not and unfortunately, there was too many different schools of thoughts. And again, we're trying to give you a view and say, more than a guidance, it's the view of how we see the world right now. I mean that we're happy to be transparent to that degree to say that's what we see in the world right now or that's what we see in our customer world right now. So again, if you look at the medium to long term that Prabhakar talked about, we are just as confident in our business as we were 12 months ago or 24 months ago. But the reality of how the purchase orders come, when it comes, how it comes change, so if I -- again, it might not help with the immediate case, but I'd say if I were to venture again and say, over a 5 -year period, would we deliver that double -digit number? Absolutely. There's no doubt in my mind that we will. It is just the nature of the business where you are going to have ups and downs. So, we're just trying to give you a view of what we see at a point in time. And of course, we expect that you will use your judgment on top of it, because this is what we see at this point in time.

Moderator: The next question is from the line of Abhishek Shindadkar from InCred Capital.

Cyient Limited
April 25, 2024

Page 16 of 17

Abhishek Shindadkar: Sir, can you just quantify or break the growth between organic and inorganic for 24 as a whole. That is first. And second, to Prabhakar when you mentioned that we'll revisit investments, are we referring to M&A at this point in time.

Prabhakar Atla: Abhishek, to your second question first. No, we're not referring to investments and M&A. We're talking about organic investments we make in technology that will accelerate the revenue and the margin trajectory we find. So, this is all organic, the first thing.

Abhishek Shindadkar: My first question regarding the growth, if you can break that between organic and the inorganic component.

Prabha

kar Atla: So, in this case, I have to say, very fortunately, the integration of all the entities that we acquired is completely complete. The well integrated part is Cyient ecosystem. Even for FY24, a number of deals that we won were together, both in terms of order intake and revenue. So, we don't have nor we should actually have any separate view of organic versus inorganic component, integration is complete. And if we have them, I personally believe as a finance person, we haven't achieved the objective of the acquisition. So, I would like to see it also as much as anybody else. But fortunately, for us, it is all well integrated and we're operating as one machine right now.

Moderator: Next question is from the line of Nitin Sharma from MC Pro Research.

Nitin Sharma: First of all, there seems to be some client loss since 3Q in a \$1 million and \$5 million bucket. Which vertical this belongs to?

Karthikeyan Natarajan: I think we have looked at this data, I think there are about -- it's more of a seasonal variation we look at from the last 12 months, and there are a few customers who fell to 900k -plus bucket and that's the reason why you're seeing the drop. And some of the other buckets have moved from one to another. So that's a shift that you'll see there.

Nitin Sharma: Can you please explain what led to decline in the headcount in Q4? And for how one should see it in FY25 in terms of headcount addition?

Karthikeyan Natarajan: Yes. So, I think we also looked at based on where the demand is, and we are trying to bring in

as close to the agile ramp up as possible. Also, some of the attrition that we did not replace in Q4 and is the reason why you see headcount reduction and also, we have completed our performance management process as of Jan. And we also have taken some action on poor performers. I think all this added up to what you see as a negative headcount. We do expect that we should start really getting into the growth trajectory during FY25.

Moderator: The next question is from the line of Bhavik Mehta from JP Morgan.

Bhavik Mehta: Just one question going back to the guidance. I think Prabhakar, you said that you're taking a cautious view on the high single-digit guidance what you have provided right now. But I just want to understand what are the risks that this high single-digit goes to the mid-single digit over the next 3 to 6 months. So, what are the verticals that you see things don't play out as per your expectations currently?

Prabhakar Atla: Bhavik, thank you for the question. Yes, you're right. We are being very cautious and pragmatic about the business learning we had in FY 24 as we provide the outlook for FY25. We would like

Cyient Limited
April 25, 2024

Page 17 of 17

to watch out for Q1 in terms of how these 2 segments we have, basically Aerospace in terms of the supply catching up with demand and connectivity in terms of translating orders wins we had in Q4 into revenue in Q1. I think then we will be able to look at a much more clearer picture for the full year. Those 2 are the variables that we are tracking right now, the two important variables.

Moderator: The next question is from the line of Suraj Malu from Catamaran.

Suraj Malu: Sir, I just wanted to understand when you mentioned like-for-like degrowth in the order intake. Can you just help me understand what do you mean by like for like?

Karthikeyan Natarajan: Yes. Suraj, when we looked at Q4 of fiscal '23, we have not established a clear system of the order intake from the acquired entity, and that was still coming in based on revenue equal to order intake versus some of the assumption that was made. So, when we were to really neutralize for it. I think that's where we kind of came up with this like-to-like model. It is still an estimate, but we do feel that as we start rolling through this year, we'll have a better view of a single number, which

is integrated with acquisition as well as the organic part.

Moderator: Ladies and gentlemen, that was the last question for the question-and-answer session today. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments.

Krishna Bodanapu: Thank you very much. Thank you, everyone, for your time and being on the call. While Q4 was a tad bit lower than what we expected, as we explained, we're quite confident on what the financial year holds for us. We take your feedback on the ask ahead of us and how we also provide the view going forward, which, of course, we will be incorporating that. But thank you very much for the support. Thank you very much for the questions. Of course, if there's anything else, please do reach out to Mayur or Vish and we can provide an answer. But with that, thank you very much. Have a good day and thank you for the support.

Moderator: Thank you. Ladies and gentlemen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2024

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7 August 2024

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Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call

Please find enclosed the transcript of the Q1 FY25 earnings conference call conducted after the meeting of Board of Directors held on 25 July 2024.

This information will also be hosted on the Company's website, at www.cyient.com

This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 18

"Cyient Limited Q1 FY25 Results Conference Call "

July 25, 2024

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR , CYIENT
LIMITED
MR. KARTHIK NATARAJAN – CEO AND EXECUTIVE
DIRECTOR , CYIENT LIMITED
MR. PRABHAKAR ATLA – CFO AND PRESIDENT ,

CYIENT LIMITED

Cyient Limited
July 25, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Cyient Limited Q1 FY25 Results Conference Call. As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krishna Bodanapu - Executive Vice Chairman and Managing Director. Thank you and over to you, sir.

Krishna Bodanapu : Thank you very much and good evening, ladies and gentlemen, and welcome to Cyient Limited 's Earnings Call for the 1st Quarter of Financial Year 2025. I am Krishna Bodanapu - Executive Vice Chairman and Managing Director of Cyient. Present with me on this call are Karthik Natarajan - CEO and Executive Director and Prabhakar Atla - CFO and President.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which has been emailed to you and is also posted on our corporate website. This call will be accompanied with an earnings call presentation and the details of which have been already shared with you.

In DET to say the least, we saw a significant number of operational challenges this quarter, resulting in weaker than expected performance for this quarter. However, we are very confident, I would say, of a robust recovery starting Q2, which will continue throughout the year and this is backed by a strong order book which includes a double digit growth in order backlog and engagement health across our top customers and also a robust addition of new clients in the last couple of quarters. Karthik and Prabhakar will cover these aspects in much more detail in the next few minutes.

However, coming to the significant highlights for this quarter, our credentials in the semiconductor electronic segment both through Cyient DET and Cyient DLM, have enabled us to set up a wholly owned subsidiary to drive dedicated focus on turnkey ASIC design and chip sales through a fabless model for analog mixed-signal chips. What this means is if you look at the growth in the semiconductor business today, a lot of the chips that are being used are chips that take an analog signal, i.e., a real world signal, sensory signal, be it based on light, sound what have you and converted into a digital signal that can be processed by some computing equipment. By turnkey, what we mean is we are able to design these chips, we are able to fabricate these chips, test these chips, prototype these chips and sell these chips to our customers. We already have this ability within Cyient to provide an end-to-end service offering for these turnkey chip design and now we believe that there is a significant opportunity along the lines with the value unlock of Cyient DLM to actually create a separate business that can exclusively and dedicatedly focus on turnkey ASIC.

This decision marks a significant leap forward in our commitment to innovation and excellence within India's growing semiconductor landscape. You may have also seen a number of announcements that have been made in the last couple of months on various elements of Cyient Limited

July 25, 2024

Page 3 of 18

semiconductor, be it semiconductor FABs or semiconductor OSATs, but we believe that we are one of the few and unique companies that are able to provide an end-to-end solution by leveraging various capabilities including design FAB, OSAT, testing etc. As you know, the global semiconductor market is in a significant growth pace and it is expected to hit a trillion dollars by 2030, IESA, which

is the Indian electronics and Semiconductor Association, forecasts the industries growth to be \$100 billion by 2030. We are well positioned to capitalize on these vast opportunities for growth and influence in this evolving market. Our portfolio of over 600 intellectual properties covering the range of functions and technologies, longstanding engagements with key clients and global capabilities gives us a strategic edge to achieve significant growth in this market. This unit will report to me and I believe this move has immense potential like I said, along the lines of Cyient DLM to unlock value for our shareholders. With this, I would like to hand over this call to Prabhakar who will take you through the financial performance for the quarter.

Prabhakar Atla : Thank you, Krishna. Hello, everyone. Thank you very much for your kind participation on the call today. Before we proceed with the financials, allow me to make a comment on the segments and reporting. For the current quarter, the nomenclature and the segment under which we report

our group performance will remain the same as the previous quarter, i.e., DLM, DET and others. With the announcement that we made on the setup of the subsidiary to focus on our turnkey asset business going forward in the year, we intend to report that business as a separate segment, but for the current call, the reporting will continue as earlier and the focus of this call will remain the DET segment.

Just so that we have enough time for Q&A, I will only call out the key numbers on each page in the presentation :

The Q1 FY25 dollar revenue for DET stood at 169.6 million, a Q-o-Q de growth of 5% in constant currency and a Y-o-Y de growth of 3.6% in constant currency. In rupee terms, this revenue stood at Rs. 1,414 crores with the Q-o-Q degrowth of 5% and a Y-o-Y de growth of 2.8%. Later in the call, Karthik will provide more color on the key drivers for the Q-o-Q revenue movement along with the full year view. The Q1 FY25 DET EBIT margin stood at 13.5% down by 256 bps quarter-on-quarter. This Q-o-Q movement was largely driven by the absorption impact arising from the Q-o-Q revenue movement and also our continued investments in sales and technology to support future growth. We also focused on building capacity and capability in Q1 to service deals won in the previous quarters, which will flow into revenue in the following quarter that had some impact on the above movement. The Q1 FY25 PAT for DET stands at Rs. 141 crores translating into an EPS of Rs. 12.86 for DET. The Q1 FY25 DET FCF stood at Rs. 164 crores with a negative movement of 30% quarter-on-quarter owing to the seasonality of the accrual and release cycles in this business. Q1 FY25 DET debt position stood at USD 46.7 billion, a reduction of 14% quarter-on-quarter and a reduction of 44% year-on-year in line with the focus that we have to retire debt proactively.

Moving on to group numbers :

Cyient Limited

July 25, 2024

Page 4 of 18

Group numbers are a combination of all the three segments we have, including Cyient DLM. The group revenue stood at INR 1,676 crores for Q1 FY25 which is degrowth of 0.6% year-on-year with an EBIT degrowth of 281 bps year-on-year and a PAT de growth of 18.6% year-on-year. The PAT movement on Y-o-Y basis is not like since in Q1 of FY24 we only had partial dilution due to minority interest in DLM, i.e., only for one month in that quarter while in Q1 FY25 we have the full quarter duration computation of minority interest. The group FCF for the quarter stood at Rs. -15 crores INR and the Q-o-Q movement is primarily due to the cash consumption cycle in DLM business, which continues to grow at a steady and healthy pace. With this, I would like to thank you again for your time and attention and I will hand over the call now to Karthik for a more detailed commentary on DET performance and outlook.

Thank

you.

Karthik Natarajan : Thank you, Prabhakar. Good evening. Good day everyone. And on top of what Krishna and Prabhakar had talked about and I will kind of give a color for each of the verticals and how did they do for Q1. We had a challenging quarter for sure and I will provide more details about it in each of the slides that I plan to cover in the next few minutes.

Transportation, which has come at 49.3 million revenue in Q1 Fiscal 25 had degrowth of 7% quarter-on-quarter and I will focus on the constant currency column and year-on-year -8%. And just to recap, Aerospace had seen the growth over the last 12 quarters, 9 of them and the challenge continues to remain in rail and that is the reason why we have seen a degrowth in Q1. Connectivity, which has come at 37.5 million has seen de-growth of 7.6% QoQ year-on-year - decline of 16.9%. The good news is we have the highest order intake for connectivity in Q1 and we expect a strong recovery for the remainder of the year and we are confident that this would really start getting into the growth trajectory soon.

Sustainability, has come at 56.2 million and which has seen QoQ degrowth of -2.8%, year-on-year growth continues to be at 8.8%. Just to recollect that this particular segment has seen 10 out of 12 quarters of growth and we do expect that the growth momentum will continue even in the future. New growth areas, which has come at 26.6 million has seen a de growth of 1.6% in quarter-on-quarter and 3.8% in year-on-year. We do expect the highest order backlog from new growth areas. This gives us confidence that it will start growing at double digits as we close the year.

In terms of order intake, we ended up at 182.7 million and this is with -5.4% in year-on-year growth. We also closed 5 large deals with the total contract potential of 52.4 million and two from connectivity, two from sustainability and one from Aerospace. The connectivity deals have already started ramping up at the end of Q1 and that is one of the reasons why we had a miss in Q1 because we expected them to start almost at the end of the first month, but we ended up starting the project by third month and which is something that we couldn't avoid.

Cyient Limited

July 25, 2024

Let us go to the next slide and also we continue to make progress in terms of our innovation and especially led by Technology Solutions team and I just want to highlight a few wins that we had for the last quarter. Starting with modernizing the enterprise usability platform for the Hospital Patient monitoring system and to improve the clinical workflow efficiency for the healthcare customer. And followed with Automation and Process optimization solution for an industry 4.0 and MES system for an energy processing plant, it is a great win for us and we expect this to scale up. And the third one which I will highlight is on the win with the global automotive OEM to achieve the regulatory compliance on cybersecurity and this is expected to grow as a practice as well as a growth area with automotive.

And the other one which I want to highlight is a very interesting project on developing an ASIC for an intelligent neural systems with advanced electronics that gets into the neuro application device and we expect this to be significant win in terms of revenue as well as capability that we will work on as part of the brain mapping program. And highlighting few things, we had made significant progress on Generative AI and we have won about (+15) projects in the last quarter and covering various elements of product, data management, engineering, information management, AI assisted PMO, customer experience, customer support, product support and we are continuing to see momentum as far as Generative AI is concerned.

Now going back to Outlook and as you would have heard in the last few minutes, Q1 was

weaker

than expected and we expect a strong recovery to begin in Q2. We already started seeing that and we do expect our H2 to be strong. Given the weak Q1, high single digit growth for the year will be a stretch that we mentioned in our last earning call. We are being prudent and transparent in providing you with the guidance in Q1 that it will be flattish year-on-year in constant currency terms. In terms of EBIT margin, as this is the function of revenue trajectory, we will update in Q2 and Q3, but we are confident of reaching the margin range of previous yearly level of 16% by end of Q4 Fiscal '25 as the revenue growth starts.

To provide a little more color on the business indicators, just want to reinforce what Krishna started out this discussion, to throw more light on key things that contributed to the Q1 performance than what we anticipated. The major factors are unanticipated delays or project shifting to the right in Q1 and also ramped up in later part of Q1. I think that really caused us something that we couldn't predict earlier. And also Rail as the sector continues to be under stress and we are seeing some of the challenges continuing for us in terms of the spend is shifting and the uncertainties continue.

As far as Fiscal '25 lead indicators for strong performance in H2 and also medium-term outlook is concerned, having said that there are encouraging trends and factors that give us comfort and confidence for a very good recovery through the year. We are seeing double digit growth in the order book as compared to Fiscal '24 and we are also seeing our top 10 customers have seen significant growth in year-on-year terms, in terms of double digit. And also the core segments, be it in terms of Aerospace, Energy on top of the connectivity recovery that I talked about, looks very encouraging. We already ramped up two other large deals in connectivity that we signed during the quarter 1 of FY 25.

Cyient Limited

July 25, 2024

Our medium-term outlook of 3 years remain intact as we don't see any shift in the fundamental growth and the core segments of growth that we have outlined earlier. And we are also investing in technology areas that matter for our engineering business, which will also position us as an innovative partner for our customer.

With that, I will probably hand it over back to the moderator for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: So first question, just starting with the obvious. In this quarter the performance this quarter as well as the guidance, so what has surprised us negatively in 1Q versus what we were expecting at the beginning of the 1st Quarter which led to the high single digit guidance and versus the current guidance because it doesn't look like it can be a specific client or a vertical issue. So just wanted to understand what has gone wrong in our process and what has negatively surprised?

Karthik Natarajan: Thanks Sulabh for getting this question. Like what I highlighted, I think we did expect it to be a soft Q1 and that is what we guided as we knew at that point of time. And some of the projects which were supposed to ramp up and the deal need to get closed, got shifted to the right by about 6 weeks, at least about 4-5 projects and that really created an unexpected delay in terms of revenue recognition and within the quarter. I think that is definitely what has contributed. We didn't anticipate some softness in terms of Rail business. I think that was definitely what we had used in our guidance as Q1 being soft.

Sulabh Govila : So if I understand this correctly, what we are saying is this is a one quarter blip and that is what has happened and 2Q should normalize, that is the correct understanding ?

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Karthik Natarajan : Absolutely, Sulabh, I think you summed up rightly and we do expect the recovery already begun in Q2 and we expect to see a sequential growth for the next few quarters .

Sulabh Govila : The second question is that we mentioned that the growth will start from 2Q onwards while the presentation is saying that the outlook is strong for 2H, so does that mean that 2Q outlook is better than 1Q, but it will be weaker than 2H and if that is the case then this guidance itself is implying a 3%-3.5% CQGR, so what is giving us confidence on delivering this guidance as well?

Karthik Natarajan : Yes, based on the order backlog that we spoke about and top 10 customer 's growth being intact and some of the deals that we signed in Q1 and we expect a stronger recovery from connectivity . I think that is where we are saying our Q 2 would be strong and we do expect H2 would be better than H1.

Sulabh Govila : We mentioned in the presentation that we have taken steps to align the supply to the demand. So is that relevant to Aerospace as a vertical or the company in general?

Cyient Limited

July 25, 2024

Page 7 of 18

Karthik Natarajan : Yes, that was specific to Aerospace and where we have seen the demand shifting to on site and across the geographies beyond what we have seen in the last 2 -3 years from North America to Europe to Japan. And we are building up the supply that is required for us to step up and which is the part that we have mentioned as far as Aerospace is concerned .

Moderator : Thank you. The next question is from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja : My question is also on the obvious over here . I mean, Karthik, I remember asking this question about guidance because it seemed a little bit aspirational when we basically, I asked the question last time around . I am still trying to get my head around , how could the magnitude of miss be so large? You did talk about perhaps 4-5 projects getting delayed , but even 4-5 projects in itself cannot lead to such a disastrous 1Q. When I look at the composition of revenues, the decline is broad based across verticals . So couple of things , one is that I am just trying to understand whether there have been any lapses in sales execution or processes? Or is it the fact that the entire guidance process in itself had significant slippages? Help me reconcile the math over here ?

Karthik Natarajan : Kawaljeet, I think I do acknowledge that this is definitely a miss and in terms of our forecast accuracy, our ability to really link it back to the guidance, I think that was definitely visible in the quarter. And also, given the macro uncertainties and broad based issues that we have seen from customers and project decisions and delays that we are seeing and it really becomes difficult to ascertain for a specific quarter , how much of revenue will come and what we need to do to ensure that we are able to deliver on them , especially if we get a letter of intent from customer, we are ready to ramp up and the customer wants to defer the project by 4 , 6, 8 weeks, it is difficult to anticipate some of those issues. I think that has what really played out and we are trying to refine the process and we are trying to see how do we factor in some of these issues . Especially what we have seen in the last 6 months is something that we have not seen in the last 4 years and I think we hope this is something which we are really able to improve and we apply some of the learnings in the last 6 months to really refine our ability to predict and guide the market.

Kawaljeet Saluja : So have these learnings been incorporated in the new guidance of flattish revenues ?

Karthik Natarajan : Yes, Kawal .

Kawaljeet Saluja : And can you just help me in what areas have you incorporated these learnings?

Karthik Natarajan : I think it is about how do you really create a

very firm view of our forecast and trying to look at

the probability adjusted ones that we are trying to cover from various business unit heads that come in and where do you think we need to really apply some discounting factors . And how do you think we have a better view of confirmed one as close to the reality as possible? I think that is how we are trying to really refine them and also some of the sales leaders have been aggressive in terms of their forecasting and what do we need to do to apply some gauge R&R to really make sure that we are able to rationalize them as part of what we need to factor in our guidance .

Cyient Limited

July 25, 2024

Page 8 of 18

Kawaljeet Saluja : And second is that you just speak about macro challenges , but when I look at the performance of all your peers etc ., none of them had a performance, which was remotely as weak as yours. So what kind of macro challenges are you referring to? Or once again, my question is that are

there sales execution challenges or process lapses?

Karthik Natarajan : So I think I would say if you look at, I think this was one of the questions sometime last year from one of the analysts. When you really look at what kind of annuity businesses that we have versus project based businesses and the challenges come from project based businesses. Whenever the project gets completed, the next project that will come on time or it gets delayed that seems to causing gap and we are trying to really strengthen those segments, especially sustainability and connectivity where we have huge dependency on project based business and how do you think we bring in better predictability into that. On top of that certain seasonal issues that come in, for example, Europe has more holidays and vacations in Q2, what do we need to do to factor them in on top of what we have just talked about in the last few weeks.

Kawaljeet Saluja : And you mentioned that the order book has grown, but when I look at the order wins in the quarter, it has declined Y-o-Y, so where is disconnect?

Karthik Natarajan : So if you look at what we are talking about order backlog, which is another part that we are also seeing, when we have this order book that we have taken in the last 9 months and what is executable order book that we are carrying today and we have seen that growing by double digit and that is what that gives us confidence. Yes, I think there is a year-on-year drop, which is seen as far as Q1 is concerned. I think that we do expect should get normalized during the course of the year.

Kawaljeet Saluja : The final question is, I think connectivity the weakness has been ongoing for the last 2 quarters, 3 quarters, 4 quarters, I don't know what it is, but it has been for some time and every quarter the discussion has been and things may pick up in the subsequent quarters. So is basically the environment, of course I understand the environment is difficult, but are there again changes or improvements that you need to make in connectivity to get a better handle of business and growth prospects?

Karthik Natarajan : I think there are 2-3 things that we did make during the last 6 months, including strengthening certain leadership across the sales as well as on the delivery side. And we also brought in better predictability in terms of how these models are being constructed along with customers and starting to engage the customers, more to assess their plan for the year and what is the certainty of it. I think all of this gives us confidence that we do see a growth for the remainder of the year. And we are also factoring in certain risks in terms of how we think we need to anticipate certain project delays and what do we need to do to baked it in as part of our forecast.

Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Cyient Limited

July 25,

2024

Page 9 of 18

Sandeep Shah : Question relates to the previous two participants. Karthik, I think last time when we gave the guidance it was 25th of April. We were already one month into the quarter. So we should be knowing about the delay in the projects, right. So why still we guided for a high single digit and there is a big miss. I have been surprised to see the reason sighted being railways. Railways as a percentage to revenue, if I am not wrong, is not a needle mover. So even if it declines by 20%, it will not impact the revenue growth very high. So it looks like there has been a miss in these segments outside connectivity and railway which we did not anticipate. What has led to this?

Karthik Natarajan : Yes. Sandeep, again, so try to repeat the same messaging, but if you look at the project delays and difference and there are two business units which has heavy dependency on projects both on connectivity as well as sustainability and transportation and we talked about the softness in rail. And the good news is new growth areas started firing and we do hope that continues for the rest of the year. And to your point, I do acknowledge that it was a miss in terms of the forecasting accuracy that we had and that is what we are trying to correct as we move through the year.

Sandeep Shah : And the ask rate to achieve the guidance is 3.2% and generally Q3-Q4 are not seasonally great quarters for Enterprise IT as well as Engineering R&D with one of your peers already calling out unseasonal furloughs to start in the 2Q itself? So how are we confident about even achieving 3.2% kind of ask rate, which looks not an easy task?

Karthik Natarajan : I think with also mix of businesses that we are in and the kind of holidays and vacation season that we have factored in, we do expect that the H2 will be a stronger than H1 for us and for our portfolio of businesses. And we also have the validation from the leaders across the company along with the customers that they are working with. So that is what gives us confidence that H2 will be stronger than H1. Coming back to furloughs, if you look at some of the segments that we are in and be it on Aerospace, Energy and Connectivity and other parts and we do see that the momentum is already seeing from Q2 and we expect that to continue. And if you look at specifically in Aero space, the supply chain issues that had significant challenge and the demand is very robust for most of our customers. They are not able to meet their demand because of the supply chain and some of the new employees that they got on board and related to the production and quality issues. So they want to fix most of these issues and we don't hear the furloughs from

many of the customers that we work as far as Aerospace is concerned . We do expect H2 to be stronger than H1 as far as the other business segments are concerned .

Krishna Bodanapu: And if I may just add one more thing to the sort of in some ways while the project based business has hurt us this quarter because of the delays and moves . The good news with some of the project based businesses, it is also under our control in the sense that we get a PO for the project and therefore what we are seeing at least in the last couple of years is our ability therefore to manage furloughs is a little bit easier because we have a project rather than a set of tasks that we are performing. So in that sense we have reviewed this and in that sense, I think it also gives us a little bit more confidence that we can manage the furloughs that have typically hit us, because if you then go back into some of the more traditional historic aerospace businesses, which were more task based . There, the impact was much higher, whereas with the project based businesses, the impact is a bit more manageable.

Cyient Limited

July 25, 2024

Page 10 of 18

Sandeep Shah : And just a related

question when you say H2 stronger, that doesn't mean 2Q Q-on-Q growth would be lower than the Q-on-Q growth which you expect in 3Q and 4Q because you are also commenting a strong 2Q, right?

Karthik Natarajan : Yes.

Sandeep Shah : And just in terms of capacity, so is it fair to assume the capacity issue is more in onsite location versus offshore, but your employee add still shows a decline on a Q-o-Q rather than a ramp up?

Karthik Natarajan : Yes, I think to answer the same question like what we answered in the previous question, we are also trying to build the flexibility of contingent versus permanent hire and especially on project based businesses. I think that gives us confidence in terms of how we think we can meet and we still have some unutilized capacity as far as Q2 and Q3 is concerned , so that will start being put into use for bringing us the revenue for the next 2 quarters .

Sandeep Shah : And last question on margins, I think your initial remarks implies that now 16% would be achievable only by 4Q of FY25 rather than the whole year because of the weak start at 13.5%.

Is it a right understanding?

Karthik Natarajan : Yes, that is correct , Sandeep .

Moderator : Thank you. The next question is from the line of Aaron Armstrong from Ashmore. Please go ahead.

Aaron Armstrong : Can you talk a little bit more about the challenges that you had this quarter faced in terms of how many of those related to in-house execution, so availability of manpower onsite versus not onsite mix, those kind of things within the control of the company versus how many of those kind of delays , those projects moving to the right, how much of that was driven by corporate s wanting to kind of delay or postpone for their own kind of reasons ?

Karthik Natarajan : Aaron, I would it is difficult to put a specific number, but I would just roughly say about third of each of these issues of project deferrals and delays about third of them and about third of them we didn't anticipate and about third of them is a combination of supply demand matching especially with some of the demand that we started seeing from onsite locations.

Aaron Armstrong : And could you give a little bit of context in terms of addressing some of these in Q2, so for example, on onsite locations, could you talk about some of the kind of new hiring that you have made or kind of project deferrals, is that now kind of slowing down kind of early indication it is very early in Q2, but what kind of visibility you have on that side of things ?

Karthik Natarajan : We are confident about how this quarter looks at this point of time and we have already started ramping up some of the projects from June as we indicated in my earlier comments. That gives us confidence that this quarter would be a growth quarter for us and strong growth quarter.

Cyient Limited

July 25, 2024

Page 11 of 18

Aaron Armstrong : Maybe final follow up if I may please , just in terms of kind of headcount availability, how much that impacted you in Q1 and so for Q2, how many hires have you made onsite ? Are you putting more people in US, Europe, Japan, any of those more? So is it mainly on the aerospace or is this also relevant for the connectivity piece? Anything you could share there that will be a little bit more specific please ?

Karthik Natarajan : Aaron, I would say it is more of a broad based headcount addition that we look at and we don't share specific numbers at which locations and how many are we adding every quarter, but we are prepared for the supply and capacity that is required for us to really show a bounce quarter - on-quarter growth for Q2.

Aaron Armstrong : Could you share employee headcount number quarter -on-quarter ?

Karthik Natarajan : Maybe we can take this offline Aaron if you are okay with that .

Aaron Armstrong : Sure.

Moderator : Thank you. The next question is from the line of Vibhor Singhal from

Nuvama Equities. Please go ahead.

Vibhor Singhal : Sir, my question was on the margins. Now I understand that on the revenue growth part, if the growth is not in this quarter, our entire full year guidance gets shifted by let us say, couple of quarters and that is why we are cutting the guidance. But missing margins in this quarter would have been because as you mentioned, some of the projects were deferred, they were not billed, you had employees who were not being billed and that is why the drop in the margins and if you are expecting those projects to recover in Q2, why the deferment of guidance for margins. If we have already reduced the headcount in this quarter, quarter 2 and H2 should be strong and it should be growth in the quarters again. So the projects which were deferred, they should start billing again and the employee utilization and all those things should pick up and hence your margins, I understand maybe a bit here and there, but reaching the 15% margins by the end of Q4 seems a bit, I am not able to reconcile the math. Will you please help me understand this?

Prabhakar Atla : So Vibhor, just couple of things on this. For the current year FY25 from where we currently are, our margin will be a function of our revenue. Quite simply put from our perspective. Because the cost we have ahead of us is a given, we will have the wage hike, we will continue to make technology investment, we will continue to have sales investment. All the right things to do, we will continue to do. Therefore, the comment that we made was margin is the function of revenue trajectory and we are therefore confident of bringing it back to where we were in the previous year range towards end of the year.

Vibhor Singhal : So the wage hike, investment in technology would have been part of our business plan, which we drew at the beginning of the year when we gave the guidance for the fully flat year margins for the full year. That doesn't change the math, right that is basically prevents status quo as it was 3 or 4 months ago?

Cyient Limited
July 25, 2024

Page 12 of 18

Prabhakar Atla : You are absolutely right and therefore the arithmetic also works in that way. When we start putting the sort of step ladder together ahead of 13.5% where we are in Q1, you also have to go through all those numbers to get back to you earlier now. So anyway, the summary of the things is that we want to put revenue as the primary marker for us going forward in the next couple of quarters. We are confident of getting back to the previous year's margin range towards the end of the year, but we can make it quick update as we get into Q3. This is the trajectory of revenue growth we see in Q2 and Q3 of which we are confident. So we are being cautiously pragmatic on the margin is what I would say.

Vibhor Singhal : Sir, on the order book side, I think we mentioned that the order book saw double digit growth, but the order intake for the quarter was weak at around -5% Y-on-Y, so any color on why the order inflow in this quarter was on the softer side, which specific verticals and how do you expect the order inflow to pan out over the next remaining quarters of the year?

Karthik Natarajan : I would say at a broad level, we have seen a strong order intake as far as connectivity and new growth areas are concerned and some of the orders from sustainability and transportation, I think they will probably come through during the part of the year. We do hope the order intake will start converting into order backlog that we will start executing and as I again stated in the beginning of the call, we are still at double digit order backlog as far as executable orders are concerned. And we do hope it catches up during the year from where we are seeing today from Q1.

Vibhor Singhal : Just one last question, sir. I think we have given revenue guidance part and just one small question

on my side. As Sandeep mentioned in the earlier comment, CQGR required for the next 3 quarters is around 3.2%, how strongly have we stress tested this number? What could potentially lead us to basically miss this number as well? Are there other projects which you are expecting to maybe start in Q2 and Q3 which can potentially get the delayed and could cause us to slip again? Or do you think we have stress tested this guidance and it should be doable for us from where we are sitting today?

Karthik Natarajan : We have been prudent about how we want to guide Vibhor and we understand the challenges that we had in the last quarters. I think that is why we are confident about getting this being flattish for the year. I think it takes in certain elements of risk and opportunities which are balanced in terms of what we are really providing in the guidance.

Moderator : Thank you. The next question is from the line of Shradha from Asian Market Securities. Please go ahead.

Shradha: Couple of questions. Would it be possible for you to break down the decline in revenue in Aerospace and defense within transportation specifically?

Karthik Natarajan : Sorry, Shradha, we are not breaking up from the four business units that we are providing the

color on and we are not breaking up for each of the business units with sub segments. I think
Cyient Limited
July 25, 2024

Page 13 of 18

that is something too detailed for us to share and you can assume that bulk of the revenue that is there in transport is coming from Aerospace .

Shradha : And secondly, if I look at your top client revenue contribution, it suggests that the weakness in revenue came from clients beyond top 10. So it is understanding right that the top 10, top 5 clients held up well and weakness was more beyond top 10 or top 15 accounts for us ? And are those accounts significant for us to have a 5% decline in revenue in one quarter ?

Karthik Natarajan : Yes. So we did have one or two accounts from the top 10, had a minor decline, but if you look at all the top 10 account revenue that has grown year -on-year in double digits and we don't see the top 10 accumulated revenue of all the top 10 customers as the concern. And yes, you are right in terms of just arithmetic works out that there must have happened some kind of a decline in one or two of these customers from top 10, but it is not significant enough when you really try to accumulate the revenue for all the top 10 clients when you compare from Q1 of Fiscal '24 to Q1 of Fiscal '25.

Shradha : And just the last bit, I understand that you are talking of increasing your investments in sales and technology, but I also see an increase in your G&A expenses and the logical thinking is one when you are going into a back cycle , probably you would want to keep the control on the overhead expenses , so why this increase in G &A in this quarter?

Prabhakar Atla : You are right, some part of the technology investment , we make may go into G &A. There are a few one -off in this quarter too, not significant, but they are still there.

Moderator : Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh : I just want to understand first about the reclassification , so geospatial vertical now it is part of services. So can you help us understand implication on the reported four business unit s because of that?

Karthik Natarajan : It is marginal , Dipesh, it cuts across more than one or two business units, and it is marginal in terms of how it is distributed across segments.

Dipesh : No, because sustainability , let us say, for example , you reported 3 .5% decline. If I look the reported number, it seems to be growth , so there is a sizeable difference. So that is why if you can provide some detail about it or maybe if you can provide comparable number for prior quarter ?

Karthik Natarajan : I will

I'll ask Mayur and Vish to work with you offline.

Dipesh : Second question is about the guidance , I think earlier participant tried to get sense about downside. If you can help me understand what can bring upside , in terms of now , let us say , you are saying good recovery , double digit demand intake , order book growth , top 10 clients doing well, so if you can give me the sense about what can bring upside ?

Cyient Limited
July 25, 2024

Page 14 of 18

Karthik Natarajan : Yes. So we don't want to be too optimistic at this point of time since we are coming off from a low Q1, I think it is very important for us to execute well for the next 2 quarters and before we get too optimistic about how things would look. But I think given the nature of where we stand and understand from our customers and we are confident about the growth for the next 3 quarters and the recovery that is going to happen from Q2 and we are very confident of it. How will it manifest for the upside? I think we do see an upside for sure in many areas and it would require few things to happen well in Q2 and Q3 and most of our customers continue to start opening their purse or decision making has to accelerate sharply given that we have seen the deferrals to the extent of 3-6 months in some of the areas . If they really start reducing that gap, I think that would probably give us an upside during the later part of the year.

Dipesh : What will be the contribution from railway now for us?

Karthik Natarajan : We are not really calling out any sub segment breakup Dipesh and it is part of the transport vertical and like what I covered earlier, the bulk of our revenue comes from Aerospace and that is where we will leave it .

Moderator : Thank you. The next question is from the line of Nitin Sharma from MCP Research. Please go ahead.

Nitin Sharma : Most of my questions have been answered. Just one question on the semiconductor business , what are the timelines and the investment requirement?

Krishna Bodanapu : So we are still working on those. The timeline is probably going to be towards the end of this financial year just looking at the various things that we have to do in terms of splitting the business and many other steps to it . In terms of funding requirements, also we are working on it. We are both working on what are the funding requirements and also of course the source of

funding. So I would say we will have a better update for you towards the end of the calendar year with a target of the execution towards the end of the financial year .

Moderator : Thank you. The next question is from the line of Mihir Manohar from Cernelian Asset Management. Please go ahead.

Mihir Manohar : Karthik, I wanted to understand structurally on the aero side, is there a structural change acting on the outsourcing you can clear some air around this? There are talks that OEMs have called to reduce the outsourcing, but is there a structural change on the outsourcing side that will be helpful ? Second question was on the guidance part and the guidance that we have given now flattish kind of revenue, how much is there in the books? What part of the guidance is coming from the order backlog which is already there in the books and what part of the guidance are you considering from new deals which you will win in this particular financial year and that you expect to ramp up , some clarification around that will be helpful ?

Karthik Natarajan : To first point, we don't see any structural change and if it was there is anything I can only tell you that most of our customers need a lot of help. And there are first time employees of 600,000

Cyient Limited

July 25, 2024

Page 15 of 18

covering both blue color and white color in Aerospace which is more than 40% of the workforce . This is the first time that is seen after 1942 as shared by one of the customers. And I think we have to really get them

trained, get them digitalized tools and processes and get them ready to deliver on the right quality and production schedules. I think that is the challenge that exists for this industry and we don't expect this should get any better, at least for the next 2 -3 years and it will at least take 2 -3 years . And we are seeing a lot of interest from customers around the manufacturing, engineering , aftermarket, digitalization, integration with various tools and systems. I talked about some of the AI assisted PMO. I am trying to help them through the supply chain. I think a lot of this is the request that come from customers and I don't think there is any change that we are seeing which is structural in nature . Having said that, supply chain issues and the top 2 clients in the Aerospace and do have their own challenges, but they need a lot of help as far as engineering, manufacturing and aftermarket is concerned .

Mihir Manohar : Just one extension to this, is there any pressure on reducing outsourcing?

Karthik Natarajan : I don't think so, Mihir, and there is nothing that changes structurally for them to really make those changes. And one thing that we are also seeing like what I covered in my initial comment. It is also expected to be a little more onsite centric for the next few quarters as they are going through their challenges on manufacturing and aftermarket, which are more closer to the brands helping them to improve the productivity and quality of the employees. I think that would really require more on site intervention .

Mihir Manohar : My second question was on the guidance part, this latest guidance, which is there, how much is coming from the orders that you have already won in part of the backlog and how much of part of the guidance is coming from new deals that you will win and you expect that to ramp up in the balance part of the year ?

Karthik Natarajan : Typically , our order backlog covers about 6-7 months of work ahead, and this has been the trend that we have seen over the last 3 years and rest of them still needs to be won and added to this backlog.

Mihir Manohar : So 60 -70 is roughly the split?

Karthik Natarajan : Yes.

Mihir Manohar : And just one last question was on the semiconductor business, you mentioned you would be taking the end to end responsibilities. I just wanted to get a clarification , what is going to be our roles and responsibilities and what part of the value chain will we ourselves be doing on Cyient Limited books and what will be done under the manufacturing to other contractors?

Krishna Bodanapu : So it is actually quite similar to what happens in DLM in the sense that if you look at today in DLM also where we have end to end projects that is we have the design responsibility and the manufacturing responsibility , design is being done in Cyient Limited or in Cyient DET and manufacturing is being done by Cyient DLM, but the overall responsibility is with Cyient DLM.

Cyient Limited

July 25, 2024

Page 16 of 18

So the responsibility, liability etc ., are with Cyient DLM . So in the semiconductor, Cyient semiconductor also will follow a similar kind of a model where the whole idea is that there is a lot of chips that newer companies or non -semiconductor companies are using, examples of which are automotive companies, medical companies and so on and so forth. So Cyient semiconductor will take the overall ownership for the entire project , starting from design all the way to sourcing and supplying . Of course , sourcing in that case will be typically through a FAB like TSMC or a global company. So Cyient semiconductor would take the overall ownership.

We still anticipate that much of the design will still be done in Cyient. So we don't anticipate the design capability to be built out of Cyient, that capability will be still leveraged very much like what is happening in Cyient DLM.

Moderator : Thank you

u. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya : I have two questions, in one slide in our presentation you mentioned that India's ER&D contribution is 3x. So the current delay doesn't change the long term outlook and second for FY26, any color if you can share on demand front and what is the discussion ongoing with the client for FY26?

Karthik Natarajan : We are currently working to ensure that we are meeting our guidelines that we have set out for Fiscal '25. As we start developing our plans for '26, we would definitely share the outlook maybe by end of this financial year and like what I shared in the next 3 years, we do see that the recovery is coming back strongly and we do hope the US election would be behind us and the interest rates should start going down. The inflationary pressures should start getting eased. I think all of them should help us start spending on innovation and I think that has been something which is muted for a while. We do hope some of those investments that are on hold should start coming back. From the long term outlook, I think we do see that this is going to be much more critical than ever before with the softwareization of products and digitalization of the entire value chain and how the impact of automation and AI will have a role to play. And I do see that India has a very important and pertinent role to play in terms of serving the customers on ER&D. Given that there is a demographic change that is at play and with baby boomers retiring, as well as the increase in spend towards software and digital, I think key levers are still intact. It is only going to accelerate if not staying where the current levels are.

Chirag Kachhadiya : And just one more last question, in the aerospace and defense side, some of our client facing the engine part and component related issue on timely manner, so is that situation normalized or better than before or still they are facing similar issue on supply side?

Karthik Natarajan : We don't want to comment on any specific customer issues, but if you look at the broad challenges for the industry remain, our customers demand is very robust and they have demand in excess of 20% plus. But the challenges are led by what I talked about in terms of supply chain, fairly young workforce and was required to be trained and lack of digitalization that they have not invested in the past. I think all of them are contributing factors why they won't be able to

Cyient Limited

July 25, 2024

Page 17 of 18

realize their demand. And I think that is where they are seeking our help to manoeuvre with these challenges that they have.

Moderator : Thank you. The next question is from the line of Karan Uppal from Philip Capital India. Please go ahead.

Karan Uppal : First question is on the margins. So Karthik, you mentioned that you are anticipating pick up in Aerospace as well as in Connectivity and specifically in Aerospace you mentioned that the deal ramp ups are happening onsite. So would that be a pressure to the margins, given that wage hikes will also be there and you have also talked about investments in technology and I can see that your S&M spends have also gone up. So are there risks to margin guidance as well and what are the levers to offset these headwinds?

Karthik Natarajan : I think that is what Prabhakar talked about Karan and whatever that we are talking about for Q4 and we have factored in all this that you mentioned and that is the reason why we are not giving specific number for Q2 or Q3.

Karan Uppal : And when are you planning to give wage hikes?

Karthik Natarajan : Starting this quarter.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments.

ts. Over to you, sir.

Krishna Bodanapu : Thank you very much and thanks everybody for being on the call this evening. As we talked about, it has been a tough quarter and it has been a series of events that we did not anticipate at the beginning of this quarter, especially in terms of some of the project closures etc. But what I do want to reiterate and give confidence on is much of what we were expecting to happen in the beginning of the quarter has happened towards the end of the quarter. Therefore, that gives us a very strong confidence that we will see good growth starting from Q2 onwards, because I think to one of the comments, it just cannot be back ended, we will see growth, starting good growth, actually robust growth starting from Q2 onwards and based on the order backlog and what we are seeing from our customers we are quite confident that the rest of the year will be quite good. Unfortunately, the compounding effect of Q1 is what it is and that is why the guidance might

not look so appealing. But I just want to assure everybody that the rest of the year is quite in order. And we are also quite confident that we will be out of here is quite comforting to all of us here and both from a revenue and margin perspective, we will have a good set of quarters going forward . With that thank you very much for your support. And if there is any further questions, if you reach out to Mayur , one of us will answer the m for you . Thank you.

Moderator : Thank you. Ladies and gentlemen, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Cyient Limited

July 25, 2024

Page 18 of 18

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2024

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Dear Sir,

Sub: Transcript of the Earnings Conference Call

Please find enclosed the transcript of the Q2 FY25 earnings conference call conducted after the meeting of Board of Directors held on 24 October 2024.

This information will also be hosted on the Company's website, at www.cyient.com

This is for your information and records

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 13

Cyient Limited
Q2 FY25 Earnings Conference Call
October 24, 2024

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. KARTHIKEYAN NATARAJAN – CHIEF EXECUTIVE
OFFICER AND EXECUTIVE DIRECTOR – CYIENT
LIMITED
MR. PRABHAKAR ATLA – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CYIENT LIMITED
Cyient Limited
October 24, 2024

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to the Cyient Limited Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu, Executive Vice Chairman and Managing Director at Cyient Limited. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you very much, and good evening, ladies and gentlemen. Welcome to Cyient Limited's earnings call for the second quarter of fiscal year 2025. Present with me on this call are Karthik Natarajan, CEO and Executive Director; and Prabhakar Atla, President and Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available on our website, in our investor update, which has been mailed to you and is also posted on our corporate website. This call will be accompanied with an earnings call presentation. The details that have been shared with you already.

Coming to the highlights for the quarter. As you may be aware, we, Cyient Limited recently concluded part divestment of our stake in Cyient DLM Limited. We sold about 11.5 million shares for a consideration of approximately INR875 crore. Our stake in Cyient DLM now stands at 52.16%. We plan to use the proceeds from the stake sale towards fulfilling our capital requirements across organic and inorganic initiatives, in our recently

launched semiconductor

business to drive accelerated growth. We will also partly use some of this consideration towards the retirement of Cyient Limited's debt.

I'm very pleased to announce that we're making strong and continued progress towards unlocking the potential of our semiconductor business. In this quarter, we set up a wholly owned subsidiary, CSPL or Cyient Semiconductors Private Limited to drive dedicated focus on turnkey ASIC design and chip sales through a fabless model.

Towards this initiative, we have reached an agreement to acquire 27.3% stake in Azimuth AI, a fabless custom ASIC company known for its expertise in energy and industrial applications with a focus across global markets, including the Indian market. This investment aligns perfectly with our strategic growth objectives for the semiconductor sector.

The focus on sustainability has heralded a transformation in the energy sector. In line with building further on our expertise in the energy business and on expanding our global footprint, we have set up a dedicated entity in the United Arab Emirates to cater to the Middle East region, which, as you know, is the world's largest energy market. To accelerate this initiative, we have reached an agreement to acquire Abu Dhabi & Gulf Computer Establishment, (ADGCE), an Abu Dhabi-based technology consulting and digital services provider primarily Cyient Limited

October 24, 2024

Page 3 of 13

catering to the energy sector. This strategic move will further strengthen our presence in UAE and help Cyient access one of the largest markets for the energy business.

I'm very happy to report these two initiatives to you because they are very important for the long-term strategic vision of Cyient in two very important markets, semiconductor and energy. And I'm happy to report that we have made significant progress in a short term, and we will see some very good initiatives and actions and, of course, growth coming from these two initiatives.

With this, I would like to hand over this call to Prabhakar, who will take you through the financial performance for the quarter.

Prabhakar Atla: Thank you, Krishna. Hello, everyone. Thank you very much for your kind participation in the call today. Thank you for your time and thank you for your attention. Before we proceed with the financials, a quick comment on the nomenclature. The nomenclature and segments under which we report our group performance will remain the same as the previous quarters, i.e., DET, DLM and others. The focus of this call will remain DET segment, which also includes the semiconductor business, and therefore, all metrics are like-to-like the previous quarters. The Q2 FY25 U.S. dollar revenue for DET stood at \$173 million, a Q-o-Q growth of 1.3% in constant currency and a year-on-year decline of 3.3% in constant currency. In rupee terms, this revenue stood at INR1,450 crores with a Q-o-Q growth of 2.5% and a year-on-year decline of 1.8%. This revenue performance for the quarter is in line with our expectations. As we commented previously, we have ramped up and specific client-related issues in Q1 for Connectivity and Transportation segment, while in Q2, the segments have demonstrated healthy growth. Connectivity business grew by 3.9% Q-o-Q in constant currency.

Transportation business grew by 3.4%, while NGA grew by 9.7% Q-o-Q in constant currency. This robust growth in our key segments helped us mitigate the seasonal headwinds in Sustainability segment, which owing to vacation period in Europe, declined by 6.4% in constant currency along expected lines for the quarter.

The Q2 FY25 DET EBIT margin stood at 14.2%, up by 75 bps quarter -on-quarter. This quarter -on-quarter positive movement was driven by revenue growth and efficiency improvement which helped mitigate the wage hike s during the quarter for enabling margin expansion.

The Q2 FY25 PAT for DET stood

at INR177 crores, a growth of 25% quarter -on-quarter and 2.3% year -on-year translating into an EPS of INR 16.07 for DET for the quarter. The significant improvement in PAT during the quarter was due to a combination of revenue growth, EBIT improvement, reduction in interest costs and positive movements in other income, especially from unrealized FX gain due to significant currency movements in the quarter. The Q2 FY25 DET FCF stood at INR177, a positive movement Q -o-Q, translating into 100% FCF to PAT conversion for the quarter.

Cyient Limited

October 24, 2024

Page 4 of 13

As mentioned earlier, with 1.3% DET revenue growth Q -o-Q, 75 bps improvement in EBIT Q -o-Q and 25% earnings growth and 100% FCF to PAT conversion , we consider DET's performance to be along the expected lines , albeit aided by some point in -time currency tailwinds supporting the significant earnings growth in the quarter.

Moving on to the group numbers. Group numbers are a combination of all 3 segments we have, including Cyient DLM. For Q2 FY25 , group revenue stood at INR1,849 crores, which is a growth of 10.3% Q -o-Q and 4% year -on-year, with EBIT margin up by 58 bps quarter -on-quarter and down by 147 bps year -on-year, while PAT expanded by 24.5% quarter -on-quarter and 4.6% year -on-year. You will also see significant positive movement in FCF, both Q -o-Q and Y -o-Y. We 're also very pleased to inform you that we're announcing an interim dividend payout of INR12 for FY25.

Before I conclude the financials, allow me to present a few quick other update. As you're all aware and as Krishna mentioned earlier, in course of the quarter, we have raised capital through partial divestiture of Cyient stake in Cyient DLM. Part of the proceeds from this transaction was utilized to retire long -term debt which helped optimize our debt position from \$47 million at the end of Q1 FY25 to \$9 million at the end of Q2.

As you would also recollect, our debt position was \$94 million at the end of FY23, which we were able to bring down to the current level s through consistent focus on cash generation. While a part of the sales proceeds were utilized for debt reduction, most of the sales proceeds have been allocated to support investment which we inten d to make in our semicon business, which we believe has significant growth potential in the turnkey ASIC space as our next growth engine. From an accounting perspective, this divestiture is considered as a n equity transaction with no impact on Cyient DET P&L , however, with an impact on consolidated P&L and balance sheet.

With this, I'd like to thank you once again for your time, and I will now handover the call to Karthik for a more detailed commentary on DET performance for the quarter.

Karthikeyan Natarajan: Thank you, Prabhakar. Good evening, everyone. On top of the commentary that you heard from Prabhakar ; I just want to share some of the updates about individual business units. And to start with transportation, which has seen a growth of 3.4% in quarter -on-quarter in constant currency and has also shown a degrowth of 7.3% year -on-year. This is strongly the recovery shown from aerospace and I think that's something which we have guided earlier . We're happy with the progress that we made in the Transportation segment.

Connectivity, we have seen a growth of 3.9% quarter -on-quarter and about minus 6.1% in year-on-year. North America led the growth, and we continue to see Europe recovering in H2. We are confident that the communications segment will continue to grow for the rest of the year as well.

Sustainability, which has seen a seasonal impact due to the holidays in Europe has shown a degrowth of 6.4% in quarter -on-quarter and minus 2.2% year -on-year. We expect

Cyient Limited

October 24, 2024

Page 5 of 13

Sustainability to be better in H2 as compared to H1 as well. New Growth Areas has shown a significant growt

h of 9.7% in quarter -on-quarter basis and 6.7% year -on-year basis . The growth was led by healthcare and life sciences, automotive and semicon. All 3 subsegments have shown growth, and we do expect that this will continue to live up to the expectation of being called as New Growth Area s. We are very confident about the growth even in H2 as well. All -in-all, we have seen a growth of 1.3% in constant currency quarter -on-quarter with

minus 3.3% in year -on-year.

As far as order intake is concerned, we have received over \$156.8 million order intake, which is about minus 14.7% compared to the last year same quarter. We expect this to significantly improve during H2 . We will see that some of the seasonal changes that we're seeing here should get corrected in future.

Also moving on , some of the interesting areas of progress that we made and happy to share some of the new wins around the technology solutions and programs that we launched over the last couple of years and led by some of the deals that are highlighted here . Digital PLM platform migration and digital enhancements for our MedTech customers to improve the process simulation. And followed by digital platform implementation and process enhancements for a defense customer as well as some mixed signal ASIC for medical analysis and DNA sequencing for a MedTech leader . I am happy to report a deal of design and development of connected IoT analytics SaaS platform for mid -sized utilities player to provide real-time monitoring and data driven insights. This is an interesting deal, and we do feel some of these opportunities will continue to grow, and we are confident about winning more such deals in the similar area.

And followed by the last one which I'll highlight is about the AI enabled intelligent content platform solution and for automating the technical publication for a large aircraft manufacturer out of Europe. I am also happy to report we have been recognized by ISG as a Product Challenger for Strategy and Consulting and Development and Deployment of Gen -AI platforms for mid -sized providers globally . We are also recognized by Microsoft as a Solution Partner designation in 2 areas, Data and AI as well as Digital and App Innovation.

With that, I'll hand it over to the moderator for Q&A.

Moderator: The first question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: A couple of questions. Firstly, how should we think about growth and margin trajectory in the second half in terms of 3Q versus 4Q? Because basically 3Q tends to have seasonality, but given your business, should we expect Q3 to be lower than 4Q? Or should we expect similar kind of growth and margin expansion in both the quarters?

Karthikeyan Natarajan: So we expect Q3 to be stronger than Q2, and we also guided in the past that our H2 will be better than H1. I think we still hold on to the same view now.

Cyient Limited

October 24, 2024

Page 6 of 13

Prabhakar Atla: And the previous guidance we have given, Bhavik, on the Q4 exit margin at 1.6% EBIT , we're still sticking with that. We still have a line of sight to that. That is what we believe we will exit Q4.

Bhavik Mehta: Okay , got it. That's helpful. The second question, if I look at the headcount, it's actually been coming down over the past 3 -4 quarters. So can you throw some color in terms of are we seeing increasing utilization level which is driving -- or which is not driving the need to add more people given the growth is expected to improve in the second half?

Karthikeyan Natarajan: Yes, Bhavik, we also talked about this earlier. We also started using the contingent workforce where the project -based engagements need a kind of flexibility in the workforce. I think that is definitely one of the elements that we spoke about it during last quarter and also led by some of the initiatives to improve the productivity and automation . I think that's r

eally starting to

play off. So with those 2 things, we would really look at areas where we need to add headcount vis-à-vis how do we think we can tap to the contingent as well as the automation initiatives .

Bhavik Mehta: Okay. And just lastly, if I look at your client buckets, the 20 million -plus clients have come down from 7 at the beginning of last year to 4 in this quarter. So what's the outlook on those lines? I mean, is there a particular ramp down which happened? Is there some renewal which didn't come through? How should we think about the trajectory over there for those particular clients?

Karthikeyan Natarajan: I would just say, if you look at, I think whether it is 5 million plus or 10 million plus or 20 million plus , I think some movements will keep happening here and there, given the drop that we have seen in the last quarter. But I do expect that by Q4, I think some of them should get corrected and should be in a better shape as far as these buckets are concerned.

Krishna Bodanapu: I think one other point to look at is our business is a bit project -based . So because of how the project starts and stops happen, there are projects where we will bill - individual projects where we will bill \$5 million, \$6 million, \$7 million even in a quarter. So because of that project based nature and when the start -stop happens to these projects, you will always see that movement happen.

Moderator: The next question is from the line of Sulabh Govila from Morgan Stanley.

Sulabh Govila: So my first question is more of a clarification. We mentioned that the revenue growth in this particular quarter is in line with our expectations, what we had thought of at the beginning of the quarter. So is it fair to assume the guidance that we had given last quarter , that stays or is

there any change in the outlook for 2H versus what you had thought at the beginning of the last quarter?

Krishna Bodanapu: So we are still confident that we have a line of sight towards a flattish year. So the 2 things that we talked about, the flattish year and a 16% EBIT margin. We do have a line of sight towards that, and we're quite confident that we will get to flattish and 16%. It was expected that Q1, Q2 were going to be a little bit weaker. H1 was going to be a little bit weaker. H2 is going to be

Cyient Limited

October 24, 2024

Page 7 of 13

much stronger, but also in H2, as I think we pointed out that Q3 is seasonally weak. But having said that, I think that's where some of the project nature of the business actually kicks in because it's not really furloughs or closures that impact. The work is already there and it's really about the execution. And if you look at, I think last year also, we had a fairly strong Q3.

So taking all that into account, the growth outlook stays.

Sulabh Govila: That's great to hear. And the second question is on the Sustainability vertical. So just wanted to understand, in this particular quarter, the degrowth that you mentioned, is it entirely driven by the holidays or the seasonality that you mentioned? Because the reason I'm asking is, the trend was very different last year when this vertical actually grew by 5% Q-o-Q in the same period last year. So has anything changed this year? And will this be an annual phenomenon going forward from that perspective?

Karthik Natarajan: I would just say that I think a couple of points there, Sulabh. One is there is a seasonality that is coming up, which is going to be true for every Q2 moving forward. Two, on top of that, we also have seen a softness from the consulting business in Q2. So those 2 things added to it to really see the effect of what we have seen.

Prabhakar Atla: As Krishna said earlier, in Q2 of last year, we had a major program in a ramp-up phase in Sustainability, which we won in the previous quarter, which was not stabilized. So therefore, what you see right now is a true seasonality i

mpact in the current quarter, which was not

evident in the last year owing to a 1 client ramp-up we had at one point in time.

Sulabh Govila: Okay. Understood. And is it fair to assume -- I know you mentioned that this vertical will be better in 2H versus 1H, but is it fair to assume that it will be on a growth path sequentially from next quarter itself?

Prabhakar Atla: Certainly.

Sulabh Govila: Okay, understood.

Prabhakar Atla: We can say so for all the segments going forward for H2.

Sulabh Govila: Sorry, can you repeat that?

Prabhakar Atla: To just extrapolate it we can say the same thing that all segments will experience, or we expect all segments to grow in H2.

Sulabh Govila: Okay. Understood. And the last question is that on this project-based nature of work, would you classify your current position as a percentage of your overall revenue? Would you say that over the last couple of years has this gone up or gone down with respect to how they're contributing to your revenue?

Prabhakar Atla: This shift has been happening across the board, across the industry which was traditionally in a T&M model in the past to fixed price later to outcome-driven project driven engagement in engineering as you know. That is what we are seeing manifesting more and more right now. So

Cyient Limited

October 24, 2024

Page 8 of 13

at this point in time, we do a lot of work in fixed-price model. Within that quite some work gets right now done in a project-specific model, especially as we ramp up as we build our business, as we acquire entities. That's what you're seeing right now as a part of our business.

Krishna Bodanapu: And I think we'll also have to look at the Citec acquisition where Citec's business is quite project centric. So therefore, when we acquired Citec, the proposed portion changed quite a bit and that will be a big change basically.

Prabhakar Atla: Which we are comfortable with because this is also a significant growth driver for us.

Sulabh Govila: No, understood. Very clear. Thanks for taking my question.

Moderator: Thank you. We have the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity and congrats on good execution. Just we are reiterating the guidance. So the typical question which comes every quarter is the ask rate being 5% in Q3 and Q4. So you believe based on the order pipeline because order wins in the last two quarters were also not great. And Q3 generally sees a furlough. So are we expecting a broad-based growth or are we expecting some skewness in terms of performance in the second half?

Prabhakar Atla: So Sandeep thank you for the question. See, the growth will still be more back ended towards

the year. We currently expect Q3 to be much stronger than Q2, like Krishna mentioned before. And therefore, given what we have in hand in terms of order intake, given as we see the execution happening in the current quarter, we are already in Q3 as we speak. We're very confident of Q3. Therefore, we're still holding on to the internal view that we have a very strong enough set for a flattish year. That's the first thing. The second thing is you also made a very valid comment on the order intake changing quarter -on-quarter compared to the previous year, but for the reflection of -- we spoke about this in the beginning of the year that this year, owing to whatever macroeconomic situation that we are currently handling, the deals are being truncated into smaller tranches. This basically means order intake might look different compared to previous year, but the execution runway also is shorter compared to the previous year. So the dynamic as to which in terms of how we are managing the business.

Sandeep Shah: Okay. Thanks for this clarity. So this second half performance based on the implied guidance is based on the orders won or you expect

some orders to come in the order win in Q3, Q4 and

some of them would be executed as part of the revenue to achieve the guidance in Q3 & Q4?

Prabhakar Atlal: The strong confidence from Q3 comes with what we already have in hand and execution that is already in process or in progress. There is some more growth into Q4, but we're confident of getting there.

Sandeep Shah: Okay. And just on a strategic question on semiconductor business. So what could be the total opex and capex which we aspire to invest in the next coming few quarters? And when will you expect this business to commercialize because organically also, we are in this business for the Cyient Limited

October 24, 2024

Page 9 of 13

last 6-7 years. And I don't think organically we are able to scale up. So why this confidence is suddenly coming into play?

Krishna Bodanapu: So I'll say two things. I think in terms of opex and capex, I don't have an immediate number on hand because what we've said is to start with the stake sale in the DLM, a significant majority of it which was close to \$100 million. So a significant majority of that will be deployed into the semiconductor business. So that's the first element. I'd say we'll start with this number and then we will figure out the capital structure, of course, this number is a decent number, especially -- I'll say it will be mostly capex in the sense that it will be towards acquisitions, inorganic, etc. Our own capex, much of it is already in place because a lot of the equipment, etc that we need, we already have in Cyient which will be transitioned. And beyond that we would really won't need any great amount of capex. So one is we'll start with this number, the Board has approved the \$100 million outlay close to \$100 million outlay, I'd say. Some of that money is also being used for debt repayment. So that's one element. Now the second element is if you look at why the business has not grown according to its potential, it's because the real value in this business is not just in the design, but it's in the design and supply of chips. The supply of chips is something that has a very different cost equation, very different dynamics, not unlike what had happened in the past with the DLM business. So we believe that if we can run this as an independent business, our ability to take on a lot of these chip sales-related deals because a lot of times we've lost deals because we wouldn't take on the chip sales or we put irrational margins as the market sees it, all that can stop and we can get a lot more aggressive with the design and sourcing of chips.

So that's really the confidence that I'm getting on this business. Actually, in many ways the chip -- the turnkey ASIC business, the design and sourcing of chips is a business that's not very dissimilar to the DLM business with its economics cycles, etc. Therefore, we weren't able to really be aggressive in growing in Cyient because that would have played havoc with our margins with the lumpiness of the business, cyclicity, etc. but as an independent business, I'm very confident that we can grow much faster than what we've grown in the past.

Sandeep Shah: Okay. And just the last question. In terms of any investments in this business in terms of talent or some other opex, this year may not impact the Cyient DET margins because we are already calling out 16% by Q4. But do you expect FY26 margin may get impacted because of this business being in an investment mode?

Krishna Bodanapu: I would say not necessarily. I think there is a way to segregate this. When we say 16% -- so this year, the investments that we'll make will be minimal and I don't think it even makes sense to call them out. From next year, of course, the Board if you may recall, last quarter, I think during this quarter like you said, the Board also gave us permission or the approval to create Cyient semiconductor which will be

a separate step-down subsidiary. So we will report those numbers in the step-down subsidiary. And again, we don't see any material impact at least in the foreseeable future.

Sandeep Shah: Okay. Thanks and all the best.

Page 10 of 13

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal: I was just trying to understand the seasonality that we spoke about in Q2 in the sustainability vertical, I went through the transcripts of the last 4 years of the company, and I couldn't find anything that we would have mentioned about the seasonality in the business ever before, any of our peers in IT services or ER&D they haven't spoken about any kind of seasonality because of European holidays also either this quarter or in Q2 before this as well. So could you just help us understand what is the kind of clients that we are talking about, which is leading to this kind of seasonality? And will this be a recurring phenomenon going forward as well?

Karthik Natarajan: Vibhor, I will start with that and also ask Prabhakar to chime in. So if you look at, we acquired this company called Citec way back in August 22. So you cannot have seen it on a full year basis in that quarter as much as what you are seeing now. Last year, as Krishna mentioned, we had a ramp-up of one of the projects which is probably not given the impact of the challenge that we had because of the holiday. So this is a very common thing for this business that we have heard in the last 5 years how the business was run. So their best quarter has been Q3 and Q4 in the last 5 years. And Q2 has been seasonally weak because of the holiday season that is there in Europe. Any business which has a significant bias of countries like Finland, Norway, Germany and France and Sweden, I think you will find that most of them have a significant vacation period between July to September. And that is something that we have seen that if you look at, we are not seeing at overall Cyient level, but the sustainability level, this business has a significant impact on the European side. So that's the reason why we are calling out for that business unit.

Vibhor Singhal: Got it.

Prabhakar Atlal: This is about seasonality coming in because of, let's say, the furlough equivalent of US and people talk about it in Q4 -Q3 typically that people typically tend to go on vacation. Therefore, we do not produce in that period.

Vibhor Singhal: Got it, sir. Basically, it's an acquired seasonality because of the Citec business?

Prabhakar Atlal: Absolutely. Not a client-specific thing or industry-specific thing, this is basically geographic specific, vacation specific seasonality. Not unlike - in December or whatever impact many companies have in the U.S. market.

Vibhor Singhal: Got it. And this will be a recurring phenomenon because Citec is now part of integrated completely. So we will have a softer Q2 in the sustainability vertical specifically going forward as well?

Prabhakar Atlal: Absolutely and this was what was forecasted by us earlier. We were aware of this even earlier. That's why we also commented earlier on a softer H1 compared to H2 when we began the year.

Cyient Limited
October 24, 2024

Page 11 of 13

Vibhor Singhal: Got it. So going forward, we will have Europe seasonality in Q2 and U.S. seasonality in Q3. So two of the four quarters we'll have seasonally the seasonality impacting our business which we will have to mitigate through other businesses.

Krishna Bodanapu: And also, yes, but also it depends on what part of our business, right, because sustainability has a large European on-site content, so that will impact in Q2. But if you look at large U.S. content that is primarily aerospace and maybe a little bit of semiconductor. So I mean, the reality is there will be seasonality if you look at it at a micro

level, but at the macro level most

of these things should iron out. I mean that's the reason why we've worked quite hard at building this balanced portfolio because then some of these things automatically get ironed out and that's what we're going for. So yes, certain businesses and certain quarters will get impacted, but not necessarily overall in the business just because of the balance that there is also in the portfolio.

Vibhor Singhal: Got it. Just my second and my last question is on the auto vertical. I think a lot of our peers have basically highlighted weakness in the tech spending in the auto vertical. We've heard about profit warnings by the likes of Mercedes and other OEMs as well, what is our reading of this macro development? And how are our clients talking about it? And what could be the potential impact on our auto vertical or subvertical I would say because of that in the coming quarters and, let's say, for the next financial year?

Karthik Natarajan: Yes. So Vibhor, I'll take this point. I think if you look at what we have started seeing in the automotive side, we guided earlier saying that the growth will be led by silicon software and digital. And we are continuing to make progress on silicon as well as on the digital side, while software is something which is likely to have an impact in the medium term. And for the size

of our business, we do feel that we'll continue to make progress, and we do expect the growth to continue for the rest of the year as well. For the next financial year, maybe give us another couple of quarters for us to give a view for the fiscal 26.

Vibhor Singhal: Got it. I understand that for our size of our business, the overall macro might not be a challenge. But do you see the macro being a challenge, I mean, for an industry as an overall it might be more relevant for larger players which are more dependent on them. Do you see that, or do you see this could be a temporary blip and the auto industry to just I mean they could possibly come back in maybe a few quarters time as well?

Karthikeyan Natarajan: See, I'm sure auto industry goes through this every 5 years for about a year, 1.5 years and then they do recover. So I do see something which should bounce back sometime next year. But having said that, this time I think German companies are likely to see more pressure because of the competition from China as well as lack of growth from the developed markets, I think that continues to be a challenge with electrification being challenged and people are going back to their diesel engine and how do you think this hybrid version is likely to take off. So I think there is a lot more concerns around the future of this industry and how will it take shape and what is going to be the future model in terms of alternate fuels and as well as the growth of volume that is going to be seen from various geographies. So there are multiple things at play
Cyient Limited
October 24, 2024

Page 12 of 13

and there could be potential softness for the next three, four quarters and hopefully it comes back by next year.

Vibhor Singhal: Great. Thank you so much for taking my questions and wish you all the best.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments. Over to you, sir.

Krishna Bodanapu: Thank you very much and thank you for making the time this evening. As we spoke about in the presentation and the Q&A, we're quite excited about a lot of things that are happening. I will summarize that on three buckets. The first bucket is, of course, the revenue, the revenue growth, the top of mind for all of us and associated with it is margin. As we reiterated, I think the second half continues to look much better in the first half.

We are quite confident of the outlook that we gave, the flattish for the year we took

with the

16% exit margin and we believe that a few things are coming back into line which will help us just bring back stability and more importantly bring back growth and revenue and bring stability at a margin level. So that's the first bucket. For the second bucket, the investments that we're making are also playing out. Semiconductor is a very important sector. It's going through an inflection point, and I believe we're going to position ourselves very strongly in this inflection point to take advantage of the growth in the investments that are going to happen in this sector.

Similarly, energy is a very important sector. We spoke a little bit about our acquisition of Citec in Finland about 24 months ago, Citec is now fully integrated into Cyient. We're delivering a lot of value there and we believe that we will also deliver some very good value into the Middle East market. So all these things will really help with the perhaps not with the immediate growth, but definitely will be short to medium term - a couple of quarters, we'll start seeing the outcome of a number of these and a lot of other initiatives that we have highlighted in the past.

The third thing which we didn't talk about is the strength of the balance sheet. One is, of course, we continue to maintain a strong balance sheet in terms of how we're audited, etc, but more importantly this quarter also we cleaned out all the debt. We had USD 94 million of debt after the acquisition of Citec. And purely from organic cash generation in the last 18 months, we were able to clean out that debt. Of course, we took some money from the DLM acquisition, but that's only a stop gap just on how we manage our investments and cash flows. So also, I'm very happy to report that there's a very strong balance sheet in place. And now for us to again, perhaps lever up and perhaps do even more acquisitions, we would definitely do more acquisitions, perhaps lever up to do those acquisitions, the dry powder and the financial muscle and wherewithal that we have is significantly higher. So on all these three accounts the here and now of revenue and growth, the strategic investments that we're making, and the strength of the balance sheet gives me immense confidence that we're going to see some very
Cyient Limited
October 24, 2024

Page 13 of 13

good quarters ahead of us. With that, thank you very much for your support. As always, thanks for the great questions, and we'll again speak in about a quarter or so. Thank you.

Moderator: Ladies and gentlemen, that concludes this conference. Thank you all for joining us. You may

now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

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Dear Sir/Madam, Sub: : Transcript of the Earnings Conference Call
Please find enclosed the transcript of the Q3 FY25 earnings conference call conducted after the meeting of Board of Directors held on 23 January 2025. This information will also be hosted on the Company's website at www.cyient.com

This is for your information and records.
Thanking you For Cyient Limited

Ravi Kumar Nukala Dy. Company Secretary
Page 1 of 18

Cyient Limited
Q3 FY25 Earnings Conference Call
January 23 , 202 5

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED

MR. PRABHAKAR ATLA – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CYIENT LIMITED

Cyient Limited
January 23, 202 5

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to Cyient Limited Q3 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Krishna Bodanapu, Executive Vice Chairman and Managing Director, Cyient Limited. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you very much and good evening, ladies and gentlemen. Welcome to Cyient Limited's Earnings Call for the third quarter of Financial Year 25. I am Krishna Bodanapu, Executive Vice Chairman and Managing Director and present with me on this call is Mr. Prabhakar Atla, the President and Chief Financial Officer. I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available on our investor website, which has been e -mailed to you and also posted on our corporate website. This call will be

accompanied with an earnings call presentation, the details of which have already been shared with you.

Before we begin the highlights for this quarter, I want to share an important organizational update. Mr. Karthikeyan Natarajan or Karthik has decided to step down as the Executive Director and Chief Executive Officer of Cyient effective immediately. I have taken charge of the operations of the business in the interim and we'll revert to you once we have further developments. I want to place on record my gratefulness to Karthik for his contribution and commitment to the long-term success of the business. And I wish him the best for this future endeavours.

Our commitment to accelerate Cyient's growth and maximize value for our shareholders remains firm and focused.

We have built a proud legacy of leadership and I'm confident that together, we will continue to strengthen our position through the execution of our strategy and delivery of strong operational performance. I assure you that this transition will be seamless, and our future holds even greater potential. The management team is fully prepared to lead the company during this transition period. And the board, of course, will continue to provide oversight, guidance and counsel. My team and I will be available should you need any clarifications on this development. But thank you for your patience and thank you for your continued support and trust.

Continuing to the highlights of this quarter. We opened a new center of excellence along with a number of state-of-the-art labs for Allegro MicroSystems. Our relationship with Allegro has flourished over the past 2 years and we're incredibly proud of the team and the contributions that they have made to Allegro MicroSystems product portfolio. Semiconductors, as you know, are at the heart of innovation across industries and the Center of Excellence strengthens Cyient's position as a leading partner for companies seeking to develop, manufacture and sell cutting-edge semiconductor products. Further, I'm delighted to announce that we have secured approval from our Board of Directors to explore additional capital raise options for our Cyient Limited

January 23, 2025

Page 3 of 18

recently acquired semiconductor subsidiary. This is in line with our strategy for the semiconductor business towards capital readiness to drive accelerated growth in the near and medium term.

Semiconductors is a very important market around the world and there's a lot of things that are happening and a lot of acceleration in the market. As you know, when we announced the setting up of a dedicated business and spinning off our business into that unit, the intent was to leverage on our unique capabilities that can address this very fast-growing market.

We also opened a new office in Sydney. This is located in one of Australia's most dynamic business districts and we will have over 100 associates who will form a critical part of our growth strategy. This investment also reaffirms our commitment to delivering cutting-edge solutions to our customers while establishing a stronger localized presence. In addition to bolstering support for Cyient's connectivity clients or the communications clients, the new office will help us explore and expand opportunities in new sectors.

Our Founder Chairman's unwavering vision, spirit and commitment to excellence have not only shaped Cyient into a global leader but also left an indelible mark on technology and innovation landscape. He was recognized with the Golden Peacock Award for Lifetime Achievement and Leadership in Technological Innovation and the ICSI Lifetime Achievement for translating excellence in corporate governance into reality. Both are well deserved recognition of his extraordinary contributions, and we are immensely proud to celebrate these. These awards are a further testament to the value that we place on corporate governance, which I hope is reflected in all our interactions with our investor community.

With this, I would like to hand over the call to Prabhakar, who will take you through the detailed financial updates for the quarter.

Prabhakar Atla: Thank you, Krishna. Hello, everyone. Thank you very much for your kind participation in the call today. Thank you for your time and thank you for the attention. Before we proceed with the financials, a quick comment on the nomenclature. The nomenclature and segment under which we report our group performance will remain the same as the previous quarter, i.e., DET, DLM and others. The focus of this call will re

main DET segment which also includes

the semicon business, and therefore, all metrics are like-to-like to the previous quarter. The Q3 FY25 dollar revenue for DET stood at 175.2 million, a Q-o-Q growth of 2.4% in constant currency and a year-on-year degrowth of 1.9% in constant currency. In rupee terms, this revenue stood at INR1,480 crores with a Q-o-Q growth of 2.1% and a year-on-year degrowth of 0.8%. This revenue performance for the quarter is broadly in line with our expectations. Our

two large business units, transportation and connectivity continued their growth journey with 3.7% and 5.7% Q -o-Q growth in constant currency while sustainability unit remained flattish quarter -on-quarter in constant currency, and we see continued growth in the cluster of new growth areas.

The Q3 FY25 DET EBIT margin stood at 13.5%, down by 72 bps quarter -on-quarter and this Q-on-Q movement was driven by wage hike impact, which was the highest we had for any

Cyient Limited

January 23, 2025

Page 4 of 18

quarter in FY25, along with currency headwinds which was partially mitigated by revenue growth and efficiency improvements. The Q3 FY25 PAT for DET stood at INR124 crores, a degrowth of 30% Q -o-Q and 28% year -on-year, translating into an EPS of INR11.25 for DET for this quarter.

This significant negative movement in PAT during the quarter was largely due to significant negative movement in other income, especially from unrealized FX losses arising from major currency movements during the quarter. As you would recollect, we commented in the previous quarter's earnings call that there are significant tailwinds towards Q2 PAT from unrealized FX gains due to favourable currency movements in that quarter and our other income for that quarter was INR47 crores, of which unrealized FX contributed to about INR34 crores gain in that quarter. And in this quarter, this line item has turned unfavourable, even beyond the gains we made in the previous quarter, leading to unrealized FX losses to the tune of INR50 crores which is a Q -o-Q movement of minus INR84 crores, resulting in a sharp Q -o-Q and a Y -o-Y negative movement for PAT in the quarter. The Q3 FY25 DET FCF stood at INR245 crores, a positive movement of 39% Q -o-Q translating into close to 200% FCF to PAT conversion for the quarter. This INR245 crores remains our best quarter to date in terms of FCF performance. In our view, the Q3 FY25 was a quarter of resilient performance for DET. We did quite well in terms of revenue growth and extremely well in terms of cash conversion, while the PAT was impacted due to FX movements in other income.

Moving on to the group numbers. Group numbers are a combination of all three segments we have, including Cyient DLM. For Q3 FY25, group revenue stood at INR1,926 crores, which is a growth of 4.2% Q -o-Q and 5.8% Y -o-Y with an EBIT degrowth of 108 bps Q -o-Q and a degrowth of 288 bps year -on-year. PAT degrew by 28.4% Q -o-Q and 31% Y -o-Y. The group EBIT and PAT are normalized for one-off M&A expenses incurred in the recent Altek acquisition by Cyient DLM and you'll also see significant positive movement in FCF both Q -o-Q and Y -o-Y. I would also like to add that from this quarter, our group PAT and EPS will include the impact on the investment we made in Azimuth, which was announced in the previous quarter. Given that we own a 27.6% stake in Azimuth at current valuation, we will treat them as an associate company and add their profits or losses in the group earnings in line with the accounting standards.

With this, I would like to thank you once again for your time and hand over the call to Krishna for a more detailed commentary on DET performance.

Krishna Bodanapu: Thank you, Prabhakar. I'll quickly give you an update on the DET performance from the BU perspective and Prabhakar alluded to some of this already. On transportat

ion BU, we're seeing

some good growth at 3.7% quarter -on-quarter. It is because of the ramp -up in new deals in aerospace in the last 1 year, combined with some good steady demand from existing customers, including our largest customer who is the aerospace customer. The rail transportation business remains flattish. At least we believe that all the challenges we had are over from that perspective. So, net-net, we're seeing some good growth here and quarter -on-

Cyient Limited

January 23, 2025

Page 5 of 18

quarter, it's a 3.7% growth. And, of course, there's a little bit of degrowth compared to the year, but we will make that up in the fourth quarter.

Connectivity is another sector where we're seeing very good growth. Quarter -on-quarter, we are seeing 5.7% growth on account of strong execution and ramp -up, especially in some of the North America deals. We continue to have some very good orders in hand, and we'll continue to execute this, and this vertical will continue to witness growth in the short and in the medium term.

Where we do have a bit of a challenge is in the sustainability sector. This sector is down 1.3% quarter -on-quarter. And much of it is because of the project -based nature of work in this vertical. A couple of the large projects that we've been working on are at the end of their life cycle and some of the newer projects are yet to gain scale. I'd still say that the good news here is some of the newer projects have been won. There was a little bit of a delay in winning some

of these projects and that's why the ramp -up has not happened like we thought it would, but we will see the equal impact of this towards the end of this quarter and into in Q1. The external environment for sustainability is very strong and the macro demand for energy remains healthy for us to focus on this. You may have heard President Trump on Monday after his inauguration during the speech, drilling in the U.S. is going to be a big focus area and energy sufficiency for the U.S. is going to be a big focus area. And our capability really centers around that with our ability to design and build plants. And therefore, we believe that we're very well positioned. In terms of new growth areas, we had a 2.1% growth in constant currency. Semiconductor business which I talked about is doing well. We have some nice deals there. We'll continue to announce some good progress including, of course, on the capital side, but more importantly on the business side with some new deals that we're winning. Automotive remains flattish, but that's also because the automotive environment is a tough environment. So, we're happy that we're able to maintain our business. And healthcare was marginally down quarter -on-quarter, but year -on-year with a healthy double -digit growth.

I also want to highlight that we are also winning some very good deals in some of the emerging technologies and the emerging areas. In applications of AI, we've seen at least USD 11-12 million of deal wins, which are going to be quite important to sustain the technology momentum going forward. So, I also want to highlight that the technology -based deals are doing quite well. And lastly, if we come to order intake, the order intake is the highest ever at USD312 million. It's double of what it was in Q2. It's almost 50% higher than our typical quarterly run rate and 5% growth year -on-year despite all the macro challenges. This Q -on-Q growth in order intake was across this business. It was in transportation, sustainability and in connectivity. We have won 13 large deals, and the total contract potential of these deals is 234 million. So, I want to highlight that after some challenging times, order intake is at an all -time high, order backlog is at an all -time high. So now it's back to what we do best which is execute through this order intake and order backlog.

Cyi

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January 23, 202 5

Page 6 of 18

With that, let me move on to the guidance for the rest of the year and how the rest of the year looks. I want to say that we are taking the prudent view, obviously. We have had a challenge this year. It's not been our best year. So, we do want to take a prudent view and be transparent with you in terms of what the rest of the year looks like. There will be a degrowth. And if you look at the first three quarters revenue that does suggest that we will have a degrowth and the degrowth will be in the 2.5% or so range. We are being prudent and therefore we're saying 2.7%, but it will be about the 2.5% range. What has also happened is a lot of the deals that we originally were anticipating will ramp up in Q3 and therefore deliver in Q4 are now right shifted. I do want to assure you though having said that, that these deals are won. We will see the ramp -up in Q4 towards Q1. Therefore, we're very confident that FY26 or at least the first quarter of the FY26 looks very strong. That also has a bearing on margins. We have given an aggressive salary increase because we're at the cusp of executing to a good growth and we don't want to lose people at the moment. So, we've also made sure that all the salary increases have been effective , which was impacted in Q3. And there's further salary increases which will happen in Q4. And that's why we're saying Q4 exit margin will be 13.5% range, which will be what it will be for the year. But having said that, I want to say that's also important because with the growth that we're anticipating in Q1, margin will also improve quite significantly. So, we want to set ourselves up for a good pace before we go into the next financial year. So obviously, we'll pause here and take some questions. But I'll once again say thank you very much for the support. It's not been the best of the quarters -- sorry, it's not been the best of the years, but I do want to say that we are seeing some very tangible opportunities in Q1. And while it is a little bit disappointing that things didn't work out in Q4, they have just shifted a little bit and that is true both from a margin perspective and from a revenue perspective. So, I just want to assure you, things look fine, and we are going to execute towards this growth and we're preparing ourselves for this growth that will start to happen in a very meaningful manner from Q1. Lastly, I also want to say that while Karthik is moving on, we have a great leadership team. We have an absolutely committed, fantastic industry -leading leadership team and we are all committed to making sure that we deliver on our promises and our commitments. With that, I'll hand it over for Q&A.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Sir, just looking at the guidance , in the fourth quarter also you may have a marginal dip on a Q-on-Q basis. So, fourth quarter, we may again see a decline in the revenue marginally maybe to the extent of flat to 0.2 -0.3% and that's not a good exit rate for the next year in FY26. And we started the year with a high single -digit growth. Now we are guiding for -2.7%.

So, what is exactly happening apart from the right shifting of the deals and the macro . Are there any learnings which we have to tighten up going forward and even on the margin, it's not a good exit rate at 13.5% in the fourth quarter. So that seems the impact on FY27 could be big?

Cyient Limited
January 23, 2025

Page 7 of 18

Krishna Bodanapu: Sandeep, thank you for your question. Firstly, I'll say, we will not decline under any circumstance in Q4. Q4 will be a growth quarter. I'll say it's not going to be a huge growth quarter, even as things stand, it is a growth quarter, we will see a bit of growth. We are now working on how we can maximize

the growth. So, I want to assure you that Q4 will be a good solid growth quarter.

Now the second thing, okay, why did we then say 2.7%, you might do the math, there's also a lot of currency movements that are going on. There is a lot of currency issues that we're dealing with. So, we just wanted to be prudent to say that this is a worst-case number. We will only do better than that. The second thing is on margin also, yes, 13.5% is a bit lower than what we would have liked it to be or it is lower than where we thought it will be, but again the revenue has right shifted .

And I think the biggest challenge that we see in this year has been -- we did not start off the year with the order book that we needed to execute to that single digit, and we thought that we will be able to win deals through the year and execute and so on and so forth. So, the key takeaway for me when I say that we have a very strong visibility into FY26 which is the next year is because the order book has already built up. This USD312 million or so of order intake. And then we'll again have a decent or a good order intake number in Q4.

So, the order book has built up. Yes, we have had some execution challenges where some of the projects have been right shifted, especially in sustainability. But if I look at what is in the pipeline and what's already booked, I can say that, yes, it mathematically might not work out, but I can assure you that looking at the situation on the ground we will have a very good FY26.

Prabhakar Atluri: Just to continue on the margin discussion and I'm assuming many people in the call will have this question on the margin exit for Q4 FY25. If you see, we already commented in the previous calls also that for FY25 the margin will follow the revenue trajectory. And as you also know in the previous year, FY24, we have shown that we have got a good control on the margin levers. We took the margin all the way up to 16 in the year, 16.2% in one particular quarter. So, we said that for the current year, margin will follow revenue as a trajectory. And we also know that we have control of the levers.

We're not slowing down our investments right now. Like Krishna spoke about investments we are making in people, we're also making investments in sales. And at the same time, we're also going to move towards -- if you remember in FY23, we did the Phase 1 of cost optimization for Cyient which also led to significant margin improvement in FY24. The Phase 2 of that will also kick in right now for us from Q4 onwards. So, all put together, it is from where we are looking at, this is a solid platform for us as we get into Q1. As we execute the orders that we got in Q3, which will flow through to Q1. As we continue to invest in people and also work on the levers and optimization of costs, we're looking at very strong Q1 in terms of margins. You're right, Q1 to Q4 exit is going to be softer than what we thought it would be, but at the same time that leads to a stronger Q1 in terms of margin performance.

Cyient Limited
January 23, 2025

Page 8 of 18

Sandeep Shah: Okay. And just second question in terms of resignation of Karthikeyan as a CEO, so what are the plans? Are we looking to elevate internally or you may bring outsider . What are the plans because I think what Krishna sir has said that he may be taking care of the operations in the interim only?

Krishna Bodanapu: Yes, Sandeep, we're evaluating all the options. As you can imagine, the Board is quite involved in a decision like that. So, it's a bit premature to comment on that, but I will just assure you that I'm here fully. I mean, I've always been here fully, and I'll continue to be here fully. So -- and the leadership team is exceptionally motivated and committed at this point. So, we have some runway. We will evaluate all the right options. But for now, I believe, or we believe including the Board believes that we have

a good option in place and therefore we don't have any need to accelerate any decision, we will take our time and come to the right conclusion.

Sandeep Shah: Okay. We will come in the follow up. Thanks.

Moderator: Thank you. The next question is from the line of Aniket from DSP Mutual Fund.

Aniket: Thank you for the opportunity. I have a couple of questions. First question is on the order book. So historically, sir, we have always seen that second half for Cyient has always been strong when it comes to order inflow. But historically also, we have lacked in execution in the first half of the year. So, I just wanted to understand what is giving you confidence that this time the execution of this order book would be better in the first half of next FY?

Krishna Bodanapu: No, that's a fair question. And I'd say that what gives us the confidence is how the order book has built up because we -- it's just not a number. Behind the number is when does the project start? What is the capacity that is required for the project? What are the capabilities? So, when we look at those and we map out to what is possible in the first half of next year, I feel very confident. I mean, it's not as if the Q3 orders were typically driven by one or two customers. This time the Q3 orders are across the Board. Of course, Pratt & Whitney, who are our largest customers is a big part of that, and their orders are coming to expectations, but there's a lot of others that have come in. And when we map out because you have to also take that number and map it out against a timeline. And when we map it out against the time, there is a very good opportunity to execute to that timeline. So therefore, it gives me a lot of confidence to say that the order book it is through the course of the year.

And that's why I'm confident because see, yes, historically our second half has been better than our first half. But that is something that we've actually -- for the last couple of years have worked quite diligently on to make sure that some of this evens out and we're now starting to see that. This year also, if you look at Q1 was tough, but Q2 onwards things were much better.

So, we are working on that to make sure that it evens out through the course of the year.

Prabhakar Atla: And Aniket, to add to Krishna just said, you rightly pointed out it was a strong order intake for us in the current quarter or at least Q3 of the year. But at the same time, we also commented previously that in FY25, we've been seeing truncation of PO. We are getting POs in tranches

Cyient Limited
January 23, 2025

Page 9 of 18

which basically means that if we do a like -to-like comparison of the current OI with the previous year's OI, it will be much different. We currently are having a much shorter execution timeline for the POs that we have compared to longer duration we had in the previous year's order intake. So that's what gives us the confidence of Q1 more strongly than what we had in Q3 FY24 but also the fact that the timelines are very different. These are shorter timeline execution orders compared to the previous years which were longer in terms of duration for execution.

Aniket: Okay. Prabhakar, just to get more clarity on -- if I look at your four verticals, transportation, connectivity, sustainability, new growth areas at current order book which you are having right now and which you might -- and which will have in next quarter also which vertical like which two or three verticals would be high growing vertical for your next year according to you as of now?

Prabhakar Atla: So, for FY26, Aniket, we are very confident of all the four verticals. Transportation, you've seen that the momentum is back in business. We've been growing consistently quarter -on-quarter. Connectivity is also back into business in terms of quarter -on-quarter growth. On both fronts, we have very strong visibility for FY26. Su

stainability, there is some more runway that we have to build in the next two quarters for us to continue to grow significantly next year, which we believe we can because it's also very project -centric business, unlike communications or aerospace which are fairly longer -term businesses for us, this is very project centric.

So there, we will require one or two quarters of runway to once again put the order book for continued growth in FY26. But we still see that vertical also growing next year. So, all the three large verticals, we are very comfortable with the scenario we're seeing for next year. And the comfort comes not only from the order book in hand, but also the sales pipeline that we track across various stages, which also has seen a significant decrease year -on-year as we stand today compared to the previous year. On the previous call, we've always been cautious in commenting in terms of sentiment we see globally that is leading to some softness in our commentary for the future. But as we look at today, as we look at the pipeline on the order backlog and the order book that we have in hand, that conservatism, that caution we had, it was a well -founded caution to start with, but we feel more confident today with the things that we currently have in hand across all the three areas.

Aniket: Sir, is it right to assume that the nature of deal or the change in tenure of order book actually is also bringing more confidence in you that this year execution would be better?

Prabhakar Atla: Absolutely. You summed it up right. While the extra tenure would be in topic of discussion, longer is always better is what we would always believe. Shorter also means that we can be lot more clear about what we will do in the next and the following quarters as against what we would have in other scenarios for the longer tenure period.

Aniket: Okay. Thank you so much for answering my question patiently. Best of luck for next year.
Cyient Limited
January 23, 202 5

Page 10 of 18

Moderator: Thank you. Next question is from the line of Kawaljeet Saluja from Kotak Securities.

Kawaljeet Saluja: My first question is that what is the reason for Karthik's sudden resignation?

Krishna Bodanapu: Karthik wanted some time personally and professionally and we thought with where things were in the organization that is the best way forward.

Kawaljeet Saluja: And I mean, would you look for a replacement or do you intend to carry on with that goal for the future?

Krishna Bodanapu: So, Kawaljeet I think right now, obviously, we have a good opportunity on hand. And I'm choosing my words carefully because I think we did have challenges last couple of quarters and we have converted some of those challenges into opportunities. So, the intent is at least for the immediate term, I'm going to run the business along with the rest of the leadership team because we don't want to derail from executing to these challenges in any manner by defocusing any of us. So, this is the current view from the Board. This is what the Board wants me to do and I'm very happy to do it. Again, I think we see a fantastic opportunity to execute out of the challenges. So, we want to put our heads down and get this done. In due course, we'll decide what we do. And very candidly, obviously, that's an important decision and that's something that the Board will get very involved in taking so. Unfortunately, I won't be able to say very much more because that's all there is to address.

Kawaljeet Saluja: Okay. The other question, Krishna, that I had is that reflecting on the last 12 months, what is that Cyient could have done better and what are the remedial measures taken to ensure to get back to the growth trajectory that we aspire to?

Krishna Bodanapu: So, I think we had a long conversation on the Board, and I request Prabhakar to add to this after. I think there are two or three elements that we need to focus on. One

is sales force

efficiency and we've done a lot of work in the last 3 -4 months around sales force and getting the right sales force in place. The second thing is the solution portfolio. I think we've built some very good solutions and some very good capabilities around technology around digital around and so on and so forth. But I think we were a little bit broad based. We needed to get a little bit more focused on what our particular set of customers needed, not just a generic offering. And I think over the last 6 months or so, our CTO and his team have done a very good job in terms of fine tuning them. And that's why I said we've won a few million dollars' worth of deals on AI and engineering already, but then the pipeline is very impressive. And we have about a USD20 million pipeline of just AI deals and engineering, which is very big. So, I'll say -- if I were to simplify it and say it, I'd say we needed to sell better and we needed to execute better and more relevantly. For me, these are the two things, if I reflect back that we should have done better, not just in the last 12 months, maybe in the last couple of years because what plays out to date is what was done in the last 12-18 months.

Kawaljeet Saluja: That's quite clear. Just a final question, Krishna that I had for you and Prabhakar is that when you look at our telecom portfolio, are there any risks to the revenues from change in the

Cyient Limited

January 23, 202 5

Page 11 of 18

administration in the U.S., especially when it comes to funding of some of the telecom fiber optic rollout programs?

Krishna Bodanapu : So, I take that Kawal. As we stand today, we don't see any significant risk or actually any risk for two reasons. We believe that the digital infrastructure story of U.S. will continue irrespective of administration change, that is important for a digital economy, which also is the important agenda for the current government. That is the first part. And the second part is quite some clients that we know, or we work with don't always depend on the federal funds to fund the network. That's optional for them to take if they wish to. But most of them prefer to fund those network rollouts on their own because the monetization can become unhindered with any regulations that come along with. So, we're not seeing that as any challenge.

Prabhakar Atla : And I'll also add to that the opportunity further we're seeing is that with all the satellite communications now becoming more and more mainstream. We're also seeing opportunities with some of the large satellite communications provider. So, I think what -- the reality the way it also worked is the large CSPs, the communication service providers will continue to invest on their network. And we're seeing that -- we're seeing that in the things that they're putting out because this has no bearing with the government. But the government will also now start to supplement some of these satellite communications, et cetera which is the growth area for us and we're very, very well positioned in that area also. We have seen some good capacity and capabilities.

Kawaljeet Saluja: Just a quick follow-up on your reply and Prabhakar's reply. Prabhakar, can you remind me if your entire U.S. revenues are funded directly by the telcos as opposed to any federal funding. Is that what you're hinting at? So, my understanding was that a fair bit of it was federal funded there are alternatives like sat communication, et cetera to substitute fiber optic with alternative communication channels which I think some people in the current administration are very well geared to?

Prabhakar Atla : So, you're right, Kawaljeet, the first statement that you made that most of the work we do for the clients we work with are not for programs that are funded by the government that's funded by the federal authority . It's a self-funded program.

Kawaljeet Saluja: Okay. Got it. Thank you s

o much.

Moderator: Thank you. Next question is from the line of Shradha Agrawal from Asian Market Securities. Please go ahead.

Shradha Agrawal: You indicated, sir, that execution timelines on the current order book are much shorter than what we had seen in the previous years. So, would it be possible for you to define the ACV in the current order book number? So that we get a better sense of what is the executable order book over the next 12 months?

Krishna Bodanapu : The annual contract value will be a significant part of it. It will be about 70% of that is typically now in the ACV. Historically, it would have been lower. Historically, it would have

Cyient Limited

January 23, 202 5

Page 12 of 18

been more in the 60% range, whereas what the order book has built up in the last couple of quarters is really 70%. That's because the -- as we talked about the execution, what used to be 2-year orders will be -- have been now curtailed to 1 year. A good example of deal that we signed just before the end of the year, which I was involved in. The total contract value is 75 million, but we're only counting 25 million of that. So, this is sort of the flip of it, but this is just to give you a sense of how customers are thinking about because they have a 75 million intent over 5 years, but this commitment is 25 million of 2 years, but 325 only 25 is included I just want to be clear on it.

Shradha Agrawal: And your commentary on the transportation segment seems to be pretty positive. Unlike, some peers which have indicated continued caution in aerospace due to supply side challenges. So, what gives you confidence of maintaining this trajectory in aerospace vertical and what are your hopes, and do you think this vertical can be growing at above industry -- above company average growth number in FY26 as well?

Krishna Bodanapu : No, absolutely. I think what gives me confidence is what our customers are telling us, but more importantly just the purchase orders that -- some of the ones with a longer -term view has given us. So one is from existing customers, we're seeing good deal flow. Also, I'd say that we are taking a good share from some of our competition. For example, with a particular customer total spend on outsourcing is down 20%. Our POs were up about 5% which means that we took a lot of share from others. So, one is our positioning and we're doing quite well from that perspective. And at least these customers, all the programs that we're working on are quite bullish and therefore are spending the money. The second thing is we've also signed up some new customers. One announcement that we made recently is Deutsche Aircraft Corporation that's a great new customer for us. They're one of a few OEMs that's in the design phase and most of the other OEMs even the work that we do is more on the MRO phase, whereas that is in the design phase. So both the combination of the new deals that we've won, but I'd say most importantly is what our customers have given us from a PO perspective that gives us the confidence that however the sector is, our business in this sector looks quite good.

Shradha Agrawal: Right. And just last question for Prabhakar. Prabhakar, now that you've kind of downgraded your margin guidance for 4Q, but when we talk of a strong execution on growth on revenue growth in 1Q, so do you think we can aspire to get back to that 16% exit margin that we had initially envisaged for 4Q to come through in 1Q for us? And also, with the salary hike would also be behind mostly?

Prabhakar Atla: We will get to that number in FY26 again Shradha of that we're very confident. Because like I said before, we have done this before. We've done this for four consecutive quarters every quarter, quarter-on-quarter. We focus on those levers, and we know exactly what and where it has to be done. That is something that doesn't bother us. I will take it back, something I am not

overly concerned about. And like we spoke also in earlier conversations we are focusing on what can we do to accelerate revenues.

Cyient Limited

January 23, 202 5

Page 13 of 18

If it means we need to continue investing in sales, we will do. If it means we need to continue investing in technology, we will do. If it means we need to continue investing in people, we will do. If it means we have to put 1 percentage of points of margin towards growing revenue, we will do that. Our focus right now is to monetize the opportunity we have in hand and extrapolate the growth and drive revenue growth and ensure margin pick up as the result of what we do for revenue growth.

Shradha Agrawal: Got it, sir. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Thanks for giving the opportunity. I wanted to understand on the right shift of revenue which was happening. I mean at the start of the year; you were looking for ramp -up to happen in 3Q then in 4Q and now eventually that expectation is there in 1Q. So just wanted to understand what kind of projects and in which area or which vertical are leading to this right shift and what exactly is leading to right shift. Is it like client budgets getting squeezed or the project not being important or is he evaluating alternate vendor, how to get understanding around that? And why you get confident now that there have been two, three quarters where we were expecting the project to ramp up. So how to get confidence that this will happen in first quarter FY26?

Krishna Bodanapu : Absolutely. So, I'd say if you look at the growth and if you look at the quarterly numbers, the two businesses that are -- or the two big businesses are doing quite well. If you look at both aerospace and connectivity, both of them have shown some decent growth quarter -on-quarter growth and that momentum continues there. I would say maybe we are a little bit behind where we have been or about where we would want to be. So, the one that has driven a little bit of the challenge is the sustainability sector because that is a project -based work that we do and a lot of work that is over has to be backfilled, and we've had a challenge in some of the back filling. So, where I'm saying -- where my confidence comes from for the first half of next year is both of these businesses which is transportation, connectivity and of course new growth areas, three of them are in a very positive trajectory. Now what has dragged us down if you look at it this quarter and we won't fully recover in Q4, that's why Q4 growth also is a bit muted. What has dragged us down in this time frame is really the recovery in sustainability because sustainability -- we were hoping that the project wins will happen early in the year. So, we can -- as some of the large projects were ramping down that we will ramp up into some of the newer projects. That hasn't happened. But sustainability order book went up reasonably well in Q3 and we are working on further -- actually significantly increasing it in Q4. So once sustainability also kicks in. And with these numbers, then we will see quarter -on-quarter growth that is really meaningful because if we remove sustainability and, of course, I don't want to be selective, but as you say, if we remove sustainability, our growth was close to 5% quarter -on-quarter.

Cyient Limited

January 23, 2025

Page 14 of 18

So that means that there is enough momentum and there is enough growth in the other three BUs. Sustainability, we're seeing the order book build up and that would translate into growth overall to the next quarter. So that's why, again, not to be selective, but if you remove sustainability growth is quite good.

Mihir Manohar: Okay. Sir in sustainability, is the challenge -- I mean, concentrated -- I mean, is it let us say challenge in

two clients, three clients or is the challenge across the sustainably board and is it a case that client budget is a problem or is he evaluating alternative vendor, some color on that?

Krishna Bodanapu : Sustainability works in a unique way because sustainability clients will -- the way it works is, we win a large contract. We execute it for 12 -18 months. Typically, it will be 15 million, 20 million, 30 million, even kind of a number. And then at the end, it will ramp down because the design is done. Much of the work that we do in sustainability is design related. Now once that is done, we needed to make sure, for example, there was one client which was even probably a top three or top four client from sustainability, which will ramp down to zero because that's the nature of the work. We were doing a design of a large FPSO for them, which is a floating oil platform, the design was done. And therefore, now they're going to move on into the construction phase, et cetera. It's not that we've lost a client. It's just that that's the nature of the project. Now we need to win the next project in backfill. That backfill took a little bit of time.

Now we understand the business also quite well. So, we're making sure that the sales pipeline builds up in such a way that we have back -to- back projects. So, it's not that the customer has lost in any manner. It's just that the work is a project -based work. And lastly, I want to say on that is again coming back to what President Trump said on Monday. There is going to be a lot of new energy projects, especially in the U.S. and we're very well positioned for this. So, while much of our capacity and capabilities is in the U.K., we are working on war footing to make

sure that, that translates to quick capacity to support the American market also.

Mihir Manohar: Sure. Just a second question was on with the change in the organizational update which is there. Are there any specific areas that we will be trying to fix?

Krishna Bodanapu : Sorry say that again.

Mihir Manohar: I mean, with the change in the organizational update, which is there, are there any specific areas, either in terms of pyramid or in terms of sales pipeline that we will be trying to fix?

Krishna Bodanapu : I think there are two things that we're working on. One is on the sales side to make sure that we have the right sales team. There have been a lot of changes, and we are working on making sure that these people are more effective than the previous people. So that's one thing. And the second thing, like I said, is just making sure that we're selling the right things to the right customers. There are customers that still use a lot of traditional services, plant engineering, mechanical design in aerospace, geospatial data and utilities, but there are also customers who need more evolved technology -based services . When I say technology, putting through digital, it includes cloud computing, what have you. So, we are getting a lot more focused on selling what the customer needs, not what we want to sell to the customer.

Cyient Limited

January 23, 2025

Page 15 of 18

Moderator: Thank you very much. Next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities.

Rishi Jhunjhunwala: Thanks for the opportunity. Most of the questions have been answered. Just one question, if I may, Krishna. So, when we started the year, we had a high single - digit growth guidance and at that time I think you had made a comment that we have done a bottom -up assessment of clients and deals and everything rather than aspirational top -down assessment to arrive at the guidance. And from there on, we have had almost a 10-percentage point drop in what potentially the revenue growth could be. So, it looks like beyond the bottoms -up analysis, there is clearly an issue with the industries that we are operating in or the kind of businesses that we are doing

g because of which visibility doesn't necessarily pan out the way we expect. So, with that kind of a backdrop, just trying to understand whether even having a guidance is helpful at all or not. If you look at mid -cap IT companies except a couple of ER&D players, most of them don't even provide that. So, do you think it might just be a better way to just have that pressure out of the way by not having -- being tied up to a number and deliver as things pan out?

Prabhakar Atla : So, what you said was absolutely right. If you look at our own evolution over 5 years of hard work, we built a balanced portfolio by choice because we wanted to make sure that we have a sustainable growth for a period of time. One key takeaway we had in FY25 and Kawaljeet also had the same question once again earlier was that building the balanced portfolio is one part of the growth. Balancing the portfolio performance in the second part of the growth, that is what we are currently working on. You rightly pointed out these four themes that we have built, while there are some common elements of what we do for these themes . There are different industry cycles in each theme . Our value prop can be different in each theme and the execution cycles can also vary among those themes . So, our job in hand right now needs to make sure that we synchronize in other words, having built a balanced portfolio, balancing the portfolio performance that we replicate the template of what we delivered in Q3 as what you can see. Despite the largest vertical, we have the sustainability not having a strong quarter. We still had 2.5% growth quarter -on-quarter in revenue. That is a template that we have to replicate going forward, not necessarily on a quarterly basis, but on yearly basis. If you can get to that point which we will get to as we execute all the things that we currently have in hand. That is when we can truly see the value of what we have in the portfolio that is the work ahead of us.

Rishi Jhunjhunwala: Right. No, I was just coming from the fact that while you've pointed out the weakness in 4Q, you sound pretty positive about 1Q FY26. And if there are certain elements which are not in our hands, which are material enough to deviate from your commentary, then is it even important to give that kind of a visibility on 1Q as well?

Prabhakar Atla : And you're right. We will work through Q4 and what we are doing right now. And you'll also take a fresh look at the framework in which we are providing guidance to all of us. And that is what we will work for FY25.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global.

Cyient Limited

January 23, 2025

Page 16 of 18

Dipesh Mehta: Thanks for the opportunity. First is the clarification. I think 16 percentage EBIT margin. I missed the comment you made on FY26, whether you indicated we are confident to deliver 16% EBIT for 26 or we made some other comment? Second question is about the order book.

Now we announced order book very strong and then 13 large deals with contract potential. So, I just want to understand definition of both the numbers, whether the overall order book includes this potential number as well or this potential number is not captured. And I just want to understand whether the potential what we capture in order book that is how we define it. Whether that potential, we have seen any slippage in the past?

Prabhakar Atla : So, to the first point that you made, what we said earlier was that we will hit 16% once again in FY26. And we are subordinating our margin goal for FY26 to revenue growth. Therefore, we are currently not commenting on the full year margin goal for FY26. We'll focus on driving revenue growth with the opportunities we have in hand. Just to repeat, we will reach 16% in FY26 once again wherein currently looking at the full year number at this point in time because we're going to work on rev

enue growth first . And the second question you had, can you just please repeat once again.

Dipesh Mehta: So, you gave two numbers. You gave total order intake number as well as 13 deals with contract potential kind of number. The question which I have is the contract potential number is part of the overall deal intake which you reported; if answer is yes whether we have seen any slippage in the contract potential number. So, if I give number 312 is the total intake, 234 is the contract potential in 13 large deals. So, whether these two numbers are included kind of thing in, let's say, total deal intake and if yes slippages we have seen in the potential number which we might have modelled , let's say, in previous three quarters?

Prabhakar Atla : Now both numbers and order intakes that we have reported, and one is the subset of the other.

Dipesh Mehta: So, if I understand correctly, 312 million include potential from these 13 large deals ?

Prabhakar Atla : Yes. The order intake, not a potential. So USD312 million is the order intake we had in Q3 of FY 25. That includes the large deals that we have won that we have reported.

Dipesh Mehta: So, whether it would be 234 million is captured in 312 or actual sign is only captured in 312, out of these 13 large deals?

Krishna Bodanapu : Only actual signed is captured in this period.

Dipesh Mehta: So out of 234, subset of the 234 million is captured in 312?

Krishna Bodanapu : Yes, that is correct because only if it's a signed purchase order against which we can bill legally. So, because in the 200 -plus TCV number, there will be deals where there is an intent and also there will be multiyear, but what is there in order intake is numbers that are backed by a signed purchase order.

Cyient Limited

January 23, 2025

Page 17 of 18

Prabhakar Atla : So, I just further clarify this. A part of the large deals that we won also order intake that is firm and committed for execution. That is included in the total number of order intake that we have provided right now. Krishna gave an example earlier that 75 million deals that we have won. But the PO of which is only for a short or a lesser value . So, whatever is the PO value is included in the 312 million, whereas the other number that you see include total potential that we have talked about in the last year that we have won.

Dipesh Mehta: Understood. And that is my second question related to it. In the past also, we have provided total contract potential for, let's say, last three - four quarters whether we have seen any material slippage in some of those numbers compared to what we anticipated at the signing kind of thing, any slippages there happening or it is broadly the similar trend we observed compared to, let's say, previous few years?

Prabhakar Atla : So, I'd say the past is perhaps not a great measure of how we can measure our future in terms of how things that are working out in the industries around us, but I would say in the current view we're taking -- order intake is very strong. It is what we have in hand. The potential of the deals that we have won, we are taking the way it is coming to us. The sentiment has improved significantly compared to the previous year. So going forward, we expect slippage if any that we have in the past to come down.

Moderator: Thank you very much. Next question is from the line of Vihang Subramanian from Zaaba Capital. Please go ahead.

Vihang Subramanian: Thanks for taking my question. Just one question from my side. Given over the last year through multiple interactions, I think management team has always come across extremely confident on the outlook and so on. Even when you just look at 2Q, you were extremely confident about 2H. So, the disconnect I'm trying to understand is when quantitatively, you're undershooting so badly, why not just tone down the guidance and not mislead investors?

Krishna Bodanapu : See, I'll say

we've been giving the view that we have and that's why if you look at what we have right now, what we have presented as the business outlook right now is what is the reality, that's what it is based on how the Q4 will pan out. Now what we're saying is we are -- having said that, what we're saying is we are confident for Q1 because of how the order book

has built. Yes, there might be a couple of quarters where we've missed what we said we will do. I will take responsibility for that. But we also have many years of experience of doing what we said we will do. So yes, we do have a challenge, or we did have a challenge on our hand which led to some of these businesses and some of these right shifts and so on and so forth, but our confidence also comes with our legacy of performance. I mean, if you look at the previous 3 years or 4 years, we delivered significant growth. We almost delivered about 50% growth over a 3 -year period before that. So, our confidence comes from what we are seeing as -- what we're seeing as the order book, what we're seeing our clients tell us and what we believe that we would like to see that. We don't want to -- we are not misleading anybody. We're telling you what we see as we see it and as we reckon what it means to our business.

Cyient Limited

January 23, 2025

Page 18 of 18

Prabhakar Atla : And Vihang, like I said before, going forward, we the refresh and revisit the framework within which we are going to provide a guidance.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Mr. Krishna Bodanapu for closing comments.

Krishna Bodanapu: Thank you very much. I'll just say that we are going through a transitionary period a little bit right now, but while there are going to be some challenges in terms of leadership and in terms of -- while there are going to be some challenges in any transition. As a leadership team, we're very committed to execute this. Like I said, the Board has reiterated their confidence in the entire leadership team and I'm very confident that we have a very motivated and strong leadership team. So, while there were challenges, I think we are now looking at an opportunity situation for us to execute and we will take this as the opportunity to execute and work towards a very strong FY26. Thank you, as always for your support. We will be in touch if there's anything specific, you'd like us to answer. All of us are available and please feel welcome.

Thank you.

Moderator: Thank you very much. On behalf of Cyient Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

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Dear Sir/Madam, Sub: : Transcript of the additional updates to Q3 FY Conference Call
Please find enclosed the transcript of the additional updates to Q3 FY Conference Call conducted on 27 January 2025.
This information will also be hosted on the Company's website at www.cyient.com

This is for your information and records.
Thanking you For Cyient Limited

Ravi Kumar Nukala Dy. Company Secretary

Page 1 of 13

"Cyient Limited - Additional Clarifications to the Q3
FY25 Earnings Conference Call"

January 27, 2025

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN & MANAGING DIRECTOR , CYIENT
LIMITED
MR. PRABHAKAR ATLA – PRESIDENT & CHIEF
FINANCIAL OFFICER , CYIENT LIMITED

Cyient Limited
January 27, 2025

Page 2 of 13

Moderator : Ladies and gentlemen good day and welcome to Cyient Limited Conference Call .
As a reminder , all participant s' line will be in the liste n-only mode and t here will be an
opportunity for you to ask questions after the presentation concludes . Should you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is be ing recorded.
I now hand the conference over to Mr. Krishna Bod anapu – Executive Vice Chairman and
Managing Director at Cyie nt Limited. Thank you and over to you Mr. Bodanapu.
Krishna Bodanapu: Thank you very much and good morning, ladies and gentlemen. I am Krishna Bodanapu –

Executive Vice Chairman and Managing Director and present with me on this call is Mr. Prabhakar Atla – President and Chief Financial Officer.

Firstly, I want to thank you very much for taking this time on Monday morning and we are having this call because we have received numerous requests for clarification on few of the statements made in the Q3 FY25 Conference Call which was held Thursday last week. We decided that it was best to address them in an open forum which is the purpose of this call. I would like to mention that some of the statements made in today's discussions may be forward looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor website which is also posted on our corporate website.

I will make the Opening Remarks and then open the floor for Q &A.

The first thing that I really want to reiterate is to say that, from an operational perspective and the business perspective the business is stronger than it has ever been. You saw the order intake number for Q3 which is the highest it has ever been. But I also want to reiterate that the pipeline is the highest it has ever been. The order intake was the highest it's ever been and the large deals, there were 13 large deals in the quarter itself and those are also the highest they've ever been. So, I am very proud to say that from a business perspective we are in a very strong footing, and I just want to reiterate that there is no further update that I can provide from a business perspective other than to say that things are going well, we are setting ourselves well for a strong growth Q4. I want to reiterate Q4 will be a decent growth quarter and then I will request my colleague Prabhakar to give a little bit of color on FY26. But again, please from a business perspective, I do want to reiterate that we are in a very strong wicket and I am very proud, incredibly proud of the work that the team has done to get us here which will only serve well going forward.

Now, I do want to address the issue of transition:

As you know, Karthik Natarajan was an extraordinary leader who has served us exceptionally well. I also want to reiterate one thing that the separation or the transition that is being planned, because the transition is not done, and I will explain that in a minute. The transition is being planned in line with what Karthik and I have agreed. Karthik has been extraordinarily supportive of Cyient Limited

January 27, 2025

Page 3 of 13

of the transition and has also only stepped down as the CEO of the company. He continues to remain an employee of Cyient Limited and he continues to be an advisor to me through the transition period and he will only step off from the employment of Cyient at a future date which is to be decided. I want to again thank him and I perhaps didn't do a good job on Thursday because of various things that were going on and various things that needed to focus on. But I just want to, in front of everybody, reiterate to you that Karthik has been a thorough professional who has really helped with the transition and who is acting with the utmost

integrity and the

utmost interest of the company and for which I will always be grateful to him and many of you may have also seen the heartfelt post that he put on LinkedIn the other day and we continue to remain great friends. And I want to say that there is nothing to this beyond the fact that Karthik and I over the last few weeks have sat down and had numerous discussions and came to the conclusion that the transition was the best thing for him and the company. Now, the reason why it was announced, when it was, is because now both the company and Karthik have to plan for the next steps. And once we start planning those next steps a lot of things start to emerge, a lot of people find out things, and these are customers and employees and potentially whatever Karthik's next steps in his career are. So, taking all that into account we thought it was best to be transparent and announce this transition as it is, rather than try to hide under things or hide things and therefore, we announced it when we did. Of course, there's always lessons learned and, on a lighter vein, I'd say I hope I never use these lessons ever but there's always lessons learned. We could have done things a little bit differently but the reality is that the Board decided that this was the best way and we believe that we will be able to manage this transition very well.

In terms of what happens next; personally, I want to say that this is not the role that I want to discharge, from any long-term perspective. I am very proud of where Cyient has evolved, with Cyient DLM, and what is happening with Cyient DLM, and the opportunity that presents with Cyient Semiconductor, which you will recall, we announced last quarter, as being spun off as a different company. We now have the leadership starting to fall in place and formally signed Semiconductor will start operating from the 1st of April. With all that is going on, I believe that I can add a lot more value in managing these various parts of Cyient and various pieces of Cyient. And that's where I would like to focus on, because that's where I can add most value. For that to happen, obviously there has to be a strong leadership in DET and I have agreed with the Board and the LNR Committee or the Nominations Committee, also, is fully involved in the conversations on what is the transition. And I want to reassure you that my taking on this role is

only interim. And I want to reassure you that we are very confident as a Board that we will have a clear plan presented to you, no later than the end of this quarter. There's a number of things going on, on evaluations with both internal candidates and external candidates. A large global search firm has already been appointed. They are also working on evaluating and giving us a good assessment of both internal and external candidates.

And I will say that from my personal perspective, nothing will make me happier than to see a strong CEO in place because I can, then, move on to doing things where I believe I add most value to Cyient, both from a strategy perspective and a governance perspective and not in the strategy just for the DET or the engineering business but for the strategy for the group. Because

Cyient Limited

January 27, 2025

Page 4 of 13

there's a lot of things that are happening in the technological world where Cyient is uniquely positioned and that positioning is what I want to build on. And if I may, I think that's what I am really good at, and that's where I can add most value. So, in that context, I want to reassure you that this is only an interim step. No later than the end of the quarter, again, I would say, we will present to you a solid sustainable way forward and a lot of work is identified on this. And our LNR Committee is fully involved, and I also thank them for the amount of effort they've put in, in the last couple of weeks, on

just helping me think through this transition.

So, net-net, I will again say that it was a bit sudden to have this call because I wanted to make sure that we have an open forum and an open conversation and not give out any selective information. But I also wanted to do two things, one is to reiterate that the business and the financials of the company are absolutely solid and I feel very confident where we are going with them and that we will deliver some good results for Q4 FY25 and for FY 26 and Prabhakar will just give a little bit of color on that and that also to say that the transition has been planned has been agreed with Karthik. I want to thank Karthik for being an absolute professional and an absolute friend in helping me take through the transition. A lot of what is happening is also based on his advice and also for executing it in a seamless manner such that we are really protecting the interests of our shareholders, interests of our customers and the alignment of our employees. I will just say that, yes, it seemed a bit sudden on Thursday but it's something that's been very well thought through. I am on top of things for now. Again, I want to say - for now, because this is an interim arrangement that we have come to. But I am very confident that by end of the quarter we will have a more solid long-term arrangement in place and I assure you that you will hear a fully executed plan by the end of this quarter. With that, I am going to hand it over to Prabhakar for a few minutes, just so he can highlight some of the numbers, just to substantiate what is happening in Q4 and FY26 before we take it or pass it over for Q & A. Prabhakar, over to you.

Prabhakar Atla: Thank you Krishna. Hello everyone. Thank you for your time today. I'd like to address two topics today which perhaps were not adequately addressed in the previous earnings call and my comments in this call are specific to DET and DET only. These two topics would be - What is our current outlook for Q4 FY25 and for FY25 in all and the second would be - What is our outlook for FY26 and where does our confidence arise from.

In terms of the outlook for FY25 and Q4 FY25; here is where we stand in terms of revenue. As you all know, we had a very strong Q3 with 2.4% revenue growth quarter-on-quarter in constant currency with two large and important verticals, Communications and Transportation leading the growth. As Krishna pointed out earlier, we had a very strong order book in Q3, which is the highest ever, which is up by 5% year-on-year and adjusting for tenure of purchase orders which is shorter this year compared to what they were last year, this growth would be much more than 5% in like-to-like terms. But these orders came in Q3 which doesn't leave us with enough runway to execute fully in Q4. Hence, we have taken a conservative view of how much we can execute in Q4 and fine-tuned our guidance now for the full year as a final update to the guidance we had provided previously at the end of Q1. Even with this conservative view, we do not see Q4 as a

Cyient Limited

January 27, 2025

Page 5 of 13

degrowth quarter in constant currency. We do expect FX to be headwind, but currency adjusted, we do not see Q4 as a degrowth quarter for revenue, and like previously commented at the end of Q1, H2 will definitely be stronger than H1 in the range of 3% HOH growth in constant currency. And we do have and we will have growth momentum with us as we execute or as we exit FY25 with three consecutive growth quarters. We grew the business in Q2, we grew the business in Q3 and we expect marginal growth in Q4 and therefore we expect that the growth momentum will be behind us as we exit the year in terms of revenue.

On the margin front; our margin is absolute and not in constant currency. We did have a

headwind to our margin in Q3 due to FX and we are not currently sure of how much

the impact

currency will have on margin for Q4. So, at the moment, we are guiding for 13.5% as the Q4 exit margin, on which we have a very good degree of control, and we will work on what best we can execute on the top of that basis the levers we currently have in hand.

So, in summary as we exit FY25, here is how we see our business; on the back of the 12.6% growth in revenue we had in FY24 which was a very good year, we expect a revenue degrowth in the current year in the range we had provided previously in the previous call. But we will also exit the current financial year with very strong financial metrics, especially around debt, around cash and FCF. If you look at our debt, as you all know, 2 years ago, we had \$90 million of debt in DET business and as things stand today at the end of Q3, we were able to clear all the long-term debt that we have and as things stand today, we do not have any debt on our books, long term debt. Our cash in hand is extremely strong at \$134 million, an equivalent of about 1,100 crores which gives us the required dry powder to execute growth plans that we currently have in hand for FY26 and going forward. Our FCF continues to be extremely strong over the past several quarters hovering at or above 100% every quarter. So, therefore, we believe we are going to exit FY25 with very strong financials as a good platform to drive the growth that we plan for in FY26.

Now, moving on to the second question that I wanted to address, what is the FY26 outlook we have as a company for DET and from where does our confidence arise from? Krishna talked about this before. We are looking at the following three objective metrics for a view on FY26.

First, the sales pipeline that we currently are looking at is the highest ever we had for DET business. It has improved significantly year-on-year and quarter-on-quarter. We spoke extensively about order intake for Q3 being the highest ever. We also spoke about the large deal momentum, 13 large deals won in Q3 alone. So, a combination of these three objective metrics that we track, plus as a result of various conversations we have been having in the last quarter and in the last one month, we see the client spend sentiment in key verticals has improved significantly compared to the previous quarter and compared to the previous year. Basis the above and basis the exercise that we are currently going through to fix the budgets that we will run for FY26, we are confident that FY26 will be a year of revenue growth once again and unlike FY25 growth will be spread throughout the year and will be from H1 onwards and not back ended like we had in FY25.

Cyient Limited

January 27, 2025

Page 6 of 13

We also expect EBIT margin expansion in FY26 coming from three areas, one is obviously the revenue growth. The second is as you all know, in FY24, we ran a very structured cost optimization program in the company because of which we were able to bring significant control on the margins that we delivered in that year taking them all the way to 16%. And we are now embarking on executing the Phase II of the same program which is already in place since Q3 of FY25 and we will execute through Q4 also, benefits of which will flow into FY26. The expectation is that this program that we are running right now will give us a margin expansion assurance of about 100 if not 150 bps for FY26 on EBIT.

And the third lever we are working on currently consistently is the offshoring percentage. As you all know given the nature of business that is global for us, given the recent acquisitions that we made across various countries in the globe, our offshoring percentage is very modest and moderate. We have been working diligently in the past few quarters to work on enhancing that and we believe that will be a very important lever for us and the lever that we currently have in hand to improve the EBIT.

EBIT margins in FY26. And as you all know as a company; we have demonstrated significant discipline in terms of how we can control our margins which we have shown in FY24 and we have also not stopped any investments in FY25 given the order backlog, given the order pipeline that we have and we will continue to make those as we speak. Basis all these things, we see the following outlook for FY26: One, we see it to be a year of revenue growth, we also see it as a year of margin expansion and we also see that the growth that we expect in FY26 will be throughout the year and not back ended. That's the summary of the comments I wanted to make on Q4 and FY25 and also the outlook we have in FY26. With this thank you for your time. I will hand out the call back to the moderator for opening up the floor for Q & A. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Sulabh Govila with Morgan Stanley.

Sulabh Govila: I just wanted to confirm if my understanding is correct. So, what we have said is that there is a plan in place and in the next 2 to 3 months we will have a longer-term transition plan with probably a new candidate in place and till that time Karthik is available for the transition. Is that

understanding correct?

Krishna Bodanapu: You are absolutely right. Till the end of the quarter, at least till the end of the quarter. That's when we said we will review it again. At least, till the end of the quarter he is available as an advisor to the company to help with any transition, be it any employee related issues, any customer related issues etc. So, you are right. He will be available till the end of the quarter. And like I said and what you summarize, by the end of the quarter a full-time plan will be in place or a long-term plan, not full-time, long-term plan will be in place for the new CEO.

Sulabh Govila: The second is our question based on the comment that we made last week in the last call. So, we sort of said that there are some of the areas where we find opportunities to fix in the company.

So, I just wanted to understand that what are these specific areas that we are looking to fix and

Cyient Limited

January 27, 2025

Page 7 of 13

how much time in our opinion we think that this could take irrespective of the transition plan that is there?

Krishna Bodanapu: Sulabh, as Prabhakar said, a number of these ideas, or a number of these issues have been identified and we are working on them already. So, I will say there are a couple of things, one is just on terms of the sales pipeline and order intake because I think that's the first element of what we need to do is focus on getting our order intake up, again obviously no secret in our business that the order intake converts to revenue. So, we need to make sure that our order intake is up. So, sales efficiency is one big piece that we are working on very aggressively. And I think a lot of the sales team is now aligned to what needs to be done and we are starting to see the results because what happened in Q3 is the first reflection of that. And of course, that will only continue going forward. The second element is some of the cost and the efficiency elements. Like Prabhakar also mentioned that we did this whole exercise last year and we got our margins up to 16%. Now some of that continuing margin was premised on growth because again as you know in our business there is always going to be cost increased pressures with salary increases etc. So, to negate that we needed to have the growth, which once the growth didn't come obviously the margins also are under pressure and therefore, we have also identified certain costs both from an operating perspective and from SG&A perspective that can be optimized. So, I will say, all of these are already in play because what will happen is we are loo

king at a sort of linear

growth, not just the second half growth for next year. Which means that as some of these initiatives kick in and growth comes back, we have a good margin trajectory. So, I will say, broadly the two categories that we are focused on are sales and increasing order intake. Again, various things including closure rates, capabilities, sales efficiency and, on the other hand, in terms of the operational costs and some of the operational costs that we need to address. The last thing that I will also say is on forecast accuracy and forecast improvement, there's a few things that we did but one of the things that I have also come to realize is there is a part of our business which is hunt and execute which is we don't necessarily have the view even at the beginning of the quarter of how many feet of fiber that we will deliver in that quarter or how many repair sheets that we will deliver to an airline customer that quarter because that is a very operationally dependent thing. Those areas of forecasting, I think, we have been unnecessarily very aggressive on, again this is not a huge part of our revenue, but this is the quarter-on-quarter 1%-2%-3% that makes the difference which is really the difference that we are still struggling with. So, we have also taken a view on how to forecast some of these things a lot more prudently rather than aggressively. And we believe that this is the other element that will really help with the forecast increase. Sorry for the long answer but those are the few things that we have identified in the last couple of quarters and I will also give credit to Karthik for some of these because I think a lot of these were done in the last 6 months or so but we are now diligently executing towards these.

Prabhakar Atla: Sulabh, just I will add one more thing to what Krishna just said. As we spoke in various calls earlier, we made significant investments in technology-based solutions for the last several years.

Many of them have very effectively been in very good POC stages. The focus for FY26 also is to convert those investments into revenue and margin streams.

Cyient Limited

January 27, 2025

Page 8 of 13

Moderator: Next question comes from the line of Sandeep Shah with Equal Securities.

Sandeep Shah: Krishna, is it fair to assume by when we report the quarter result which could be a full year result and may come at end of April or May, we could have identified the next candidate who will take over as a DET CEO?

Krishna Bodanapu: Yes, absolutely. That's my commitment, but certainly before the results. My commitment is actually by the end of the quarter. But certainly, before we announce results which will be the

third week of April we will have identified. Again, I just want to reiterate that we are looking at both internal and external options and the search agency is looking at both. But we will identify a new candidate who will be the CEO. And I will also say that I am also committed to making sure that there's enough room to operate because my objective is really to operate or to also focus on the other two businesses and therefore there will be more than enough room for the new candidate to operate. So, with all sort of due modesty, I want to say this is not something that I really would like to do on a long-term basis. So, it's as much in my best interest because I think I can really add value looking at an overall comprehensive technology picture for Cyient rather than just the engineering business.

Sandeep Shah: And in that process, you are saying at least till the search is on which may complete by end of Q4, Mr. Karthik would be there in the company as an employee or advisor?

Krishna Bodanapu: Yes, absolutely. That is correct.

Sandeep Shah: And just a second question. You have also mentioned that we want to increase the sales efficiency to drive better growth and ma

rgin in FY26. So, can you give us 3-4 concrete measures which you have taken in terms of improving the sales efficiency, so we can actually compensate the seasonal factors which generally affects the engineering R &D business or project completion. So, in terms of review process, in terms of going aggressive behind large deals, what all these concrete measures you have taken now?

Krishna Bodanapu: Prabhakar, may I ask you. Prabhakar has been leading this initiative quite aggressively over the last few months. Even 6 months ago we started this. I will let Prabhakar answer that and then I will add to it.

Prabhakar Atla: Sandeep, thank you for the question. There has been quite some work that we have been doing on this front. As you know we invested significantly in sales to drive the revenue growth for the company and in FY25, we have not been able to monetize the investments we made in sales. So, for the past several months we have been working very diligently on this expense exercise. A number of things we are doing but I will just call out a couple of them. The first is the strength and the differentiation of the proposition that we take to the market by marrying the investments we made in technology and differentiating our offering with latest technologies that are coming out to disrupt engineering as a segment. The first is the propositional clarity and differentiating it from what we were doing in the past and what we will do in the future. That was the first area that we were focusing on. The second area we were focusing on is to move from a relationship - Cyient Limited
January 27, 2025

Page 9 of 13

based selling to a value-based selling. Because the props we sell today which are very technology intensive are different from what we used to sell in the past, based on relationships. So, we have been focusing on training and tools to enable our current sales force to adapt more of concentrated selling than we were doing in the past. The third is, we now set a very clear objective framework for tracking the sales efficiency at an individual level. There are expectations clearly laid out for the revenue, the margin or the OI that every role has to generate and a very clear performance evaluation framework that hinges more on rewarding incremental revenue growth than continuing to maintain the current revenue streams even if they're growing. So, there are at least 7 new different items we are working on. I only called out the top 3 which is the proposition clarity and differentiation by infusing technology into that. Second is approach towards consultative selling as against the traditional relationship-based selling. And third is a clear expectation setting and performance management framework which hinges more on rewarding performers for driving the revenue and margin growth than to continue the status quo business.

Sandeep Shah: Just a last follow up. Are we also creating a large deal function separately within the company which would be responsible to work across horizontal and verticals?

Prabhakar Atla: Yes, we did create one. Because if you also look at it, we have built a very balanced yet diverse portfolio. And in each of these portfolios, our proposition also is relatively specific to that portfolio to that industry, like for aerospace or for communications or for energy what have you. But at the same time to carve out a large deal is also a structured exercise. We now have a large steel team working supporting the current sales leaders and sales managers to construct a deal from what we were doing previously, especially as we move towards the selling of technology in a consultative model. Our team will now help the sales leaders and sales managers to carve out larger deals from the current proportions we are currently tabling to the customers. It's also being done. That's one of the 7 things that I didn't talk com

pletely about. That's one aspect. And the 13 large deals that we have signed in Q3 is also probably it is a little bit early to take it as a trend but also is a good reflection of the focus that we were able to bring into that discipline and to carve out larger deals than what we were doing before.

Krishna Bodanapu: I will just add one thing that while we have always tried to push on how we are selling , sell more , sell relationships . I think what we were missing is what we are selling also because the market needs really a lot more technology driven solutions. And I think our ability to articulate and really strengthen the technology team was something that we were missing , because what we were selling wasn't necessarily what the market always wanted. I mean there's a lot of what traditionally we sold that still worked well but we also had to change to Prabhakar's point on how we sold to go from a relationship -based sale to a value -based sale which is essentially what is the problem that we are solving.

Moderator: Next question comes from the line of Sudheer Guntupalli with Kotak Mahindra AMC .

Sudheer Guntupalli : Firstly, Krishna on your thoughts on the tradeoff between an external and internal candidate.

Any external candidate may mean hitting a refresh button on strategy , go-to-market , growth and

Cyient Limited

January 27, 2025

Page 10 of 13

margin targets , both in the near term and medium term. So, how are you thinking on the strategy and go -to-market continuity?

Krishna Bodanapu: When we are talking to candidates , I would look at who can also , I want to say it cannot be somebody who will continue the status quo because that's not fair to the new candidate even an internal or an external candidate. So, when I am talking to people, I am looking at who would really take the positive momentum that we have created , the positive trajectory , but really build on it, what are the changes or what are the tweaks they would make , not necessarily wholesale changes because a new person who comes in and makes wholesale changes will disrupt the organization which might not be the right thing at least in the short term. Because all said and done you know we have built back some very good momentum , things are looking quite good. So, it's really okay. How do we use this platform to . sort of , ride the wave before you try to do something very different or very dramatic . So, the way I am looking at it is things are going okay , whoever comes in has to look at it as , let me make the tweaks and continue this growth momentum and then . over a period of time . of course , it's up to that individual to decide how they want to run the business. So, the LNR Committee and , of course , we are very conscious about a good transition because I think we have some great people. And again, Karthik has done a great job along with his leadership team including Prabhakar who's on the call here. So, we need to ride that momentum at least in the short term because there is good momentum. I mean we are not in any position of weakness in the short term. So, it's not that something has to dramatically change. And I would look at an individual who would look at it also from that perspective that there's a good thing going , how do we make it great , rather than saying there's a bad thing going and we have to now change everything. So, it's that balance and really my role in the new transition would be to just make sure that individual understands the balance so they can take their decisions after that.

Sudheer Guntupalli : And we have a very strong cash balance sheet and we are a very strong cash generating company. So, any thoughts of let's say in terms of capital allocation , looking around something , sort of , a buyback because the stock also seems to have corrected quite a bit and at least the market sentiment is that it's available at very attractive valuations ?

ons ?

Krishna Bodanapu: The Board will take that decision obviously because that's a Board decision. But , the Board is open to considering all the options on the table , obviously with buyback now there is another consideration on tax also , with I guess , buyback also being taxed at marginal rates etc. So, the Board is looking at all the options and we will keep you posted. But I just want to say the Board did talk about it and they've agreed to , during the course of the quarter , they will look at the option and see if that's a viable option. I will just say one thing that I also want to thank Prabhakar and the finance team for where we are on that . We are zero debt , in spite of being very aggressive in terms of acquisitions much of it was done with debt. We are now to zero debt with more than 1,000 crores of cash in the bank. So, that puts us in a very good position, and I think it's just a good time to acknowledge the finance team and Prabhakar for the work they've done there.

Sudheer Guntupalli : One last question to Prabhakar. That we understand that our business is not as linear and predictable as IT services and forecasting anyways is the job of analysts and not that of company

Cyient Limited

January 27, 2025

Page 11 of 13

management. And then it's a truth that 80 % to 90% of the time even analysts get their forecast wrong. And probably we are one of the few mid-sized companies which still have this guidance phenomenon. My question is what is your upside as a management team to give guidance which is an extra data point which nobody is asking for and be accused of , rather unfairly accused of misleading investors when you get the forecast wrong like anybody can get the forecast wrong ?

Prabhakar Atla: No absolutely , Sudheer. It's a very relevant and a very important point for discussion as we stand

here today. A couple of things, three things I will say. Firstly, as a result of conscious choice and a result of a lot of hard work from the entire organization, we have built a balanced portfolio of businesses in the last 5 years. The intent of building the balanced portfolio was that we would like to have a sustainable existence and growth as a company over the next decades and not just for the quarter or for the year. So, we have built a balanced portfolio. But having come this far, the second thing I'd say is that building a balanced portfolio is one part of the business. But if you look at our business today, it is fairly diversified into multiple segments and each segment having its own cycles its own specific propositions and some businesses operate in a program centric model like in Aerospace and some businesses operate in a project centric model which for example is Energy and some businesses can also be quasi-T&M. So, now we have come to a point of diversification where the previous guidance frameworks that we were using to provide a view of how we see the following year are not applicable to how we can forecast the business for the following years. So, to your point you are absolutely right. The previous guidance framework are not working for us which is what we have very clearly seen in FY25. We don't ever want to be here once again. So, we are working through what is the reframed or refreshed guidance framework that we can use for FY26 and that we will present to you all in the earnings call we will have for FY25 in terms of how we look at FY26, what those parameters will be and what that framework of guidance will be. I can assure you it will not be the similar framework we have used in the past because that doesn't serve the nature of business that we have evolved into consciously over the last several years.

Moderator: Next question comes from the line of Bhavik Mehta with JP Morgan.

Bhavik Mehta: Obviously Krishna you've given some soft targets or guidance for next year in terms of growth being linear over the

four quarters as well as the margin expansion. But the risk over here is you know whenever the new person takes over a CEO in April or May, then wouldn't he want to come up with his own strategy which might again derail some growth or margin momentum in the short term and again, you might have to go back on whatever the sort of targets you are giving right now?

Krishna Bodanapu: Fair question but I will say two things on it. One is I think this is the steady state. I mean at the end of the day; the steady state continues in the sense that this is the base case that I am talking about. Whatever the new person does really needs to add to the base case not replace the base case so to speak. And I think there is enough sort of spend in the system for us to repurpose.

Like if there is a change in strategy from a certain type of technology to another type of technology, for example there's already enough technology spend that it's really only a repurposing. So, it won't hit margins, it's only a repurposing of spend rather than coming up with

Cyient Limited

January 27, 2025

Page 12 of 13

new spend. Similarly, I will say that if you look at again within the revenue growth that technology is still not a huge part. Which means that even if the technology spend gets delayed by a quarter or two or because the new person wants a different strategy, the base case growth would still be there. So, I am quite confident on the base case and really what I would look from the new person is really how to accelerate the base case. Because if it's only the base case then that doesn't really serve our purpose of how do we really get back to the growth numbers that we would like to see. That's one point I made. The second thing is I think we also want to make sure that the transition is relatively, at least in the initial days, the transition is linear change and only once the person understands the business, it's a step change which means that it can be managed in such a way that the base case growth is there before we see any significant changes. So, in that context, I am quite confident that whoever the new person is, the base will remain quite solid because that's built on some existing capabilities what our existing customers are telling us, the order intake that you've seen etc.

Moderator: Next question comes from the line of Mihir Manohar with Cernelian Asset Management.

Mihir Manohar: Largely wanted to understand on the I mean an outlook that we are looking for FY26. I mean when we had started FY25, at that point in time we were expecting deal wins to pipeline to flow into deal and then to flow into revenue and that was resulting into a high single digit kind of a growth. What part of the confidence now is coming from this particular part of the framework for FY26? I just want to get a broader understanding around that. And second question was on the I mean the top 3 verticals that we are having. Even if we can give some color around the conversations that we are having with some of the top two customers in each of these verticals with respect to the budget spends that they are going to do with us for CY25 that will be really helpful here.

Krishna Bodanapu: Prabhakar do you want to give a quick answer? I think we have about two minutes before the markets open. So, would you just give a quick answer, and I will do a quick summary.

Prabhakar Atla: So, Mihir a lot more details on the second part you asked. Can I request that we have a separate parallel conversation on the specifics. But very broadly on the first question that you said, for us

at the end of Q1 FY25 we did have execution movements within the quarter in Q1 FY25. Therefore, we had a revenue degradation in Q1 of FY25 which led to the knock-on effect that we are currently seeing in the current year because we could not recover all of that in the current year. But that said like I

commented before, the three metrics that we talked about, the sales pipeline being the highest ever, the order intake in Q3 being the highest ever despite of having the shorter duration runway as compared to the previous year's order intake runway that we have had and the large deal momentum, combined with the fact that the risk profile of the execution ecosystem today is much different and much more healthier compared to what we have seen at the end of FY24 is what gives us the confidence that we are looking at a stronger base to look at how FY26 will look like compared to how we were looking at FY25 then. But more details we can discuss in the conversation later today Mihir if you are available. Krishna with this I will hand it back to you.

Cyient Limited

January 27, 2025

Page 13 of 13

Krishna Bodanapu: Thank you Prabhakar. And I think considering the markets open in a few minutes we should just do a quick wrap up. I just want to say thank you very much to everybody for taking this time on a Monday morning. I certainly don't want to be a Monday morning headache. I am sorry if this call was a bit sudden but I thought we should give you a bit of a color or a bit of an oversight of what happened and why certain decisions were taken and how they've come out. I just want to say you know from a people perspective we are in good shape, we have a good team, we are working on it. We will like I said have a new CEO, internal or external, by the end of the quarter, for sure, and I will keep you posted. Hopefully it will be much before that but I will keep you posted.

The second thing is I also wanted to just clarify Karthik's position, he's available. He's still engaged with me on helping me think through and sort out the transition. So, that is also going on quite well. And he's been a thorough professional especially when it comes to customers and some of the customer transitions. The third thing as we talked about on the numbers, things look fine. We don't really believe that we have a significant challenge. Yes, there are things that we need to do better. There are things that are still uncertain because of the nature of our business and because of the nature of how we work. But net-net, the business, I want to assure you, is in a better shape than it's ever been. And we will make sure at least in the interim I will make sure that things only get better. So, the new CEO starts off from a point of strength and a base of strength and we can really build on that strength for FY26 and beyond. In the interim Q4 will be a growth quarter and we are making sure much of that growth has been secured. So, thank you very much again for your time on a Monday morning. I want to assure you I don't want to be a headache. I will make sure that we do a good transition and we are quite confident on where things stand and how things will evolve. With that thank you very much.

Moderator: Thank you. On behalf of Cyient Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

Page 1 of 14

"Cyient Limited
Q4 FY25 Earnings Conference Call"
April 24, 2025

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. SUKAMAL BANERJEE – EXECUTIVE DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CYIENT LIMITED
MR. PRABHAKAR ATLA – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CYIENT LIMITED

Cyient Limited
April 24, 2025

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY25 Earnings Conference Call of Cyient Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Krishna Bodanapu, Executive Vice Chairman and Managing Director. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you very much, and good evening, ladies and gentlemen. Welcome to Cyient Limited's Earnings Call for the Fourth Quarter of Financial Year 2025. I am Krishna Bodanapu, Executive Vice Chairman and Managing Director; and present with me on this call are Mr. Sukamal Banerjee, Executive Director and Chief Executive Officer; and Mr. Prabhakar Atla, President and Chief Financial Officer.

I would like to mention that some of the statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available on our investor website, which has been e-mailed to you and is also posted on our corporate website. This call will be accompanied by an earnings call presentation, the details of which have already been shared with you.

As we delve into the highlights for the quarter, I will first share a few brief updates with you. Q4, as you would have seen the numbers, was a tad bit lower than what we had anticipated. I just quickly want to provide some colour on this. The quarter had started off quite well. We were quite confident of a reasonable quarter. The good news still continues that a lot of the deals that we have won continue to be in a ramp-up phase. A lot of the existing customers are doing quite well, which is also reflected in the growth of the top 10 and the top 20 customers. Having said that, we did have a bit of a bump in the third month, which is March. March was softer than what we anticipated, given some of the global uncertainties that are going on. We do not see any significant challenge because of this. Our customers still are very committed to their programs. The programs that have been awarded will continue to start during the course of the next few months. But what that has done is put a little bit of a kink in our Q4 numbers and will also lead to a softer start to the quarter in Q1. Again, I want to assure you and Sukamal will talk about the details, but I just want to assure you that there is nothing that is of significant concern. And we

are very confident that the strength of relationship with our customers and the quality of wins is as good as it has always been. I just wanted to address that issue upfront on the Q4 number, given that it was a tad bit lower than what we had originally anticipated.

Also, I do want to take a minute given that this is the end of the year to highlight the strength of the group on three vectors or three parameters. The first aspect is that the group revenue - the group revenue momentum is there. We have delivered the highest revenue ever for the company, and the revenue has doubled in the last 7 years and has grown 3x in the last 12 years.

This gives us a significant momentum, and this is a platform, which I'm sure we can grow or continue to grow on. Also, with the choices that we've made, I'm very proud to say that we have a very balanced portfolio along three parameters. The first, as you know, is DET or the Engineering Services business or the Traditional Engineering Services business, which, as you know, is now evolving into Digital Engineering Technology.

Cyient Limited

April 24, 2025

Page 3 of

14

The second vector is the semiconductor business, Cyient Semiconductor Private Limited, which has been spun off. And we're seeing tremendous interest in terms of what our customers want to do and also what our potential customers want to do with their turnkey ASIC projects and the requirements for semiconductor design.

And the third axis of course, is the DLM business or the Design -Led Manufacturing business, which continues to do well. And you may have seen that business grew about 27% year -on-year last year. The second thing I want to highlight after the growth momentum is the fact that we have a well -diversified business around three vectors. The third element I do also want to highlight is, even within the DET business, the diversification in the portfolio is working out quite well. We are not dependent on any single industry, any single geography, any single capability.

I believe we have built a good set of capabilities. The reason why I wanted to take a minute to highlight this is as we transition to Sukamal Banerjee as the CEO . I believe he has a tremendous platform to grow the business, especially as it relates to the DET part of the business. And I wanted to quickly highlight that as we go forward.

I also want to give you an update on the semiconductor business. As you know, we got the permission or we got the approval from the Board to spin off the semiconductor business as a different entity. We have appointed Suman Narayan as the CEO of Cyient Sem iconductors. Suman is an accomplished professional in the semiconductor industry. He comes with a proven and tremendous track record of managing large organizations and scaling businesses. His expertise is in the semiconductor industry. And I'm quite confident with Suman's leadership that business will grow. And like I said, we're seeing tremendous interest from our customers and more importantly, from our potential customers in terms of what they want to do with us.

Also, I do want to highlight two key wins and these are -- the reason why I want to highlight them is they are in very interesting areas and growth areas. The first is, I want to say we're very proud to have received a very large order for the engineering and of the first -of-its-kind green hydrogen production project, which will be used for Marine Transportation. The project, it's called Bodø, represents a major step in Norway's renewable energy ambition, and essentially, this is the generation of energy for the ferries that go between Norwegian islands. The project win is in a critical sector like hydrogen power is a testament to our very strong expertise. And now we're very confident that we will see that the growth momentum that we have in our energy business will continue. I also want to highlight the alliance with Micware Navigations in the mobility space. This partnership will deliver some very interesting solutions for intelligent mobility focused on same sustainable smart transportation system. And a gain, I wanted to highlight this because this is in the area of intelligent mobility, which is a growth area. And again, when Sukamal shares -- between Sukamal and Prabhakar will share, the results, you will see that the automotive sector has shown good growth for us and has continued momentum.

I want to also now take a moment to welcome Sukamal Banerjee. As you know, as I'm sure you know, Sukamal joined us as the Executive Director and Chief Executive Officer of Cyient, about 6 weeks ago. This is the first time that we're formally introducing him to our investors. So I just will first say we are very excited to have Sukamal onboard. I think Sukamal comes at a very interesting point where the base business is positioned very well.

Cyient Limited

April 24, 2025

Page 4 of 14

But as you know, we're also looking at how we can accelerate growth through the convergence

of technology -- through the convergence of techno

logy and engineering. And this is something that Sukamal has done and has done it at a significant scale earlier. Many of you know Sukamal. Sukamal is an accomplished professional and a n acknowledged leader in our sector. He spent much of his carrier with HCL Technologies. Finally, in the role of a Corporate Vice President, responsible for the engineering business. And most recently, he was the CEO and the member of the Board of Xoriant, which is a leading engineering company. So as we strengthen our core offerings and build technology -led intelligent solutions, I think Sukamal's experience will be a tremendous asset in transformation and in accelerating this phase of the growth. With that, I will again -- once again take this opportunity to welcome Sukamal to Cyient. Again, like I said, I -- we, as an organization, are very, very excited that we have a leader, who will lead us through this journey of acceleration and transformation and hand it over to Sukamal for his perspectives of where things stand and how he's going to take the business forward.

Sukamal Banerjee: So thank you, Krishna. Thanks for those kind words. Firstly, I would want to thank Cyient's Board to entrust me with this journey for Cyient on the go -forward basis. I am personally very excited and honored to get this opportunity. So just to give a perspective, as Krishna mentioned for the first six-odd weeks, my initial weeks have been spent in traveling across four continents, meeting 1,000 -plus of our employees as well as quite a few of our key customers, almost 100 of them. And if I h ad to summarize my takeaways, firstly, it is extremely impressive to see the quality of our customers, not just in terms of who they are as an organization, but also the partnership and their care for their partnership with Cyient over the years, some almo st 30 years, some 20 years, some 15 years and their commitment to continue to work with Cyient going forward.

I'm equally impressed with the quality of the engineering talent that Cyient possesses and the passion of this team to make it successful from a company perspective. Not to mention, like Krishna highlighted with a couple of examples, our deep knowledge in the vertical markets that we operate in, which again is of significance as we build for the future. However, I will acknowledge that there is some good amount of work to be done in the near future from an execution perspective. And that is going to be imp ortant for us to make sure that we make it happen. And I also want to add that this is something which has already started in all earnest over the last 5 -6 weeks.

So I would like to first start by sharing that we will be stopping guidance for now. Given the current macro environment, we believe it is prudent to utilize FY26 to build strength, predictability and stability across our portfolio. We will be working and ha ve already started working on reassessment of some of the areas of work and bring focus into the same. We will make sure that we are harnessing the investment which has happened into the technology area, as Krishna highlighted and making sure that these bets on digital and AI play out and become an engine of growth for us. And of course, to reenergize the o rganization to make sure that we are aligned for the road ahead.

This should provide us a good platform to build our organization for medium and long -term growth. And of course, in that vein, let me now share a few updates. Firstly, we have been working on boosting our leadership team, and I'm delighted to share that we welcome K. A. Cyient Limited

April 24, 202 5

Page 5 of 14

Prabhakaran to the Cyient family. He joins us as the Senior Vice President and Chief Technology Officer for our DET business. KAP, as we fondly call him, is an engine leader with a tenured career at Honeywell across aerospace, industrial process and other product areas, where he has worked bot

h on product development, technology adoption, as well as digitalization of these products and services. He will be a great asset to us as we move towards our journey. And as Krishna mentioned, the integration of our f oundational engineering work with the new generation of technologies and the emerging technologies and how we make sure that we are driving these aspects across products, plants and networks, both in the physical and the digital domain.

We also took a decision to break up sustainability vertical into its constituents, which are utilities, energy and mining and minerals. This allows us to be agile to respond to each sector, while there is a good amount of common leverage in these industrie s, we believe given the current times it is important that we have empowered leadership close to the customer, and they essentially are reacting and acting in conjunction with these different industry subsegments and harnessing that for growth. Our report ing formats going forward in FY26 will be aligned accordingly to reflect this change from next quarter onwards.

We have also taken a very important step, and we are already seeing the results for it, which is

focused on creating a GCC -focused BU. We have a leader who is focused on making sure that we can engage effectively and in the manner that GCCs in India expect from an organization like Cyient. And I'm sure we'll talk more about it as we go along and share our data points about the success we are seeing in this particular area.

We have also started working on, as I said, building back our talent. And one of the key areas of focus that we have done from that perspective is to bring back successful tenured employees of Cyient, who had left us in the near past. And one of them, I would want to call out Beatrice Lippus. She joined us back in Germany, and she will be leading our energy business going forward, and which also includes the team which has come from the Citec acquisition a few years back.

So with those initial remarks, let me just say that we are working very hard over the next few months to create a comprehensive go -forward plan, while we work on these tactical changes and realignments, which will make sure that we improve performance in terms of outcomes at the earliest and more importantly, make it stable and predictable.

With that, let me hand the floor over to our CFO, Prabhakar Atla. Over to you, Prabhakar.

Prabhakar Atla: Thank you, Sukamal. Hello, everyone. Thank you very much for your time today and for your kind participation in the call today. Before we proceed with the financials, a quick comment on the nomenclature. The nomenclature and segments under which we will report our group performance today, will remain the same as with the previous quarters, i.e., DET, DLM and others. The focus of this call will remain DET segment, which also includes our semiconductor business, and therefore, all metrics are like-to-like to the previous quarters.

Given that this is the end of the fiscal year, we will also present two sets of data; one for the quarter ending March 2025, which essentially is Q4 FY25 and the other for full year FY25.

Cyient Limited

April 24, 2025

Page 6 of 14

Therefore, please bear with me as the commentary for this call will be a bit broader than in the previous calls.

The Q4 FY 25 dollar revenue for DET stood at \$170 million a Q -on-Q degrowth of 1.9% in constant currency and a Y -o-Y degrowth of 3.4% in constant currency. In rupee terms, this revenue stood at INR1,472 crores with a Q -o-Q degrowth of 0.5% and a Y -o-Y degrowth of 1.2%. This Q4 revenue was lower than the previous expectation, given the rapidly evolving macro situation, which impacted the revenue portfolio and profile, especially in the last 2 months of the quarter. The DET EBIT margin for Q4 FY25 stood at 13 % down by 48 bps quarter -on-quarter. A

nd despite the revenue degrowth, we were able to mitigate the impact on margins due to tight operational control and focus on execution efficiency and in part due to the early benefits from the second phase of the cost optimization exercise, which we have embarked already at the end of Q3 of FY25. The Q4 FY25 PAT for DET stood at INR 163 crores, translating into a 32% growth quarter -on-quarter and a degrowth of 6% year -on-year. This also translates into an EPS of INR14.81 per share for DET for the quarter. DET FCF for Q4 FY25 stood at INR215 crores, one of our best quarters, resulting in an FCF to PAT conversion of 132% and in the following charts, we'll also see that our full year FCF has also significantly improved year -on-year.

In terms of the full year commentary for DET, the DET FY25 full year dollar revenue stood at \$687.7 million, a year -on-year degrowth of 3% in constant currency. And in rupee terms, this revenue stood at INR5,816 crores with Y -o-Y degrowth of 1.6%. The EBIT margin for FY25 stood at 13.5%, down by 261 bps year -on-year. This drop was primarily due to the movement in revenue, partially mitigated by cost optimization and efficiency measures during the year.

We've also chosen to continue to invest in sales and technology development through the year to support our growth strategy. The DET FY25 PAT stands at INR605 crores, translating into degrowth of 12.2% year -on-year. The translation of EBIT to PAT this year is much better than what we had in the previous year since we have significant improvement in items below EBIT. The DET FY25 free cash flow stood at INR800 crores, our best ever with an improvement of INR45 crores year -on-year, resulting from our continued focus on cash generation.

Moving on to the group numbers. The group numbers are a combination of all three segments we have, including Cyient DLM. As regards full year numbers for the group, in rupee terms, the revenue per group stands at INR7,360 crores at a growth of 3% year -on-year. This is the highest ever revenue for the group, and Krishna had made a comment on that already. The group PAT stood at INR622 crores, representing a degrowth of 15.4% year -on-year and the FCF at INR688 crores has also improved significantly by 6% year -on-year.

On reflection of FY25 performance for DET, we believe that we have three significant takeaways for us. The first obvious takeaway is that DET revenue and EBIT were below the previously guided views and expectations, but a strong FY24 with 12.6% revenue growth and 31% earnings growth year -on-year and with a soft FY25 to follow . Sukamal and Krishna has provided their

views already on what we see ahead of us in terms of growth and potential.

The second takeaway we have is that our cost control and efficiency improvement playbook has been very effective in managing the impact of revenue movements on EBIT. And the third key takeaway we have is that our focus on cash conversion and cash management has worked very well for us.

Cyient Limited

April 24, 2025

Page 7 of 14

well for us. We have strengthened our cash balance and reduced our debt exposure significantly in this year.

As you know, at the end of FY25, our cash position is the highest ever we've had at \$157 million for DET and the FCF for DET was INR800 crores, up by INR45 crores year-on-year. At the same time, we've also cleared all our long-term debt within the year, essentially meaning that DET is now a long-term debt-free business. Therefore, as we exit FY25, we believe that we have an efficient, stable and proven framework of cost and cash management, which we believe was critical to navigate the current uncertain macroeconomic scenario and to explore and exploit opportunities as we see them under the strong leadership of Sukamal.

We're also very happy to announce a final dividend of INR14 per share, which translates into a

full year dividend of INR26 per share. Lastly, as you are aware, as Krishna commented, we have recently concluded the carve-out of a subsidiary, CSPL, Cyient Semiconductor Private Limited.

And as previously communicated, CSPL financials will be reported as a separate segment starting Q1 FY26 onwards. With this, I'd like to thank you again for your time and for your support as we navigated a challenging FY25. And I will now hand over the call back to the moderator to initiate the Q&A.

Moderator: The first question is from the line of Karan Uppal from PhillipCapital India.

Karan Uppal: A couple of questions on the aerospace vertical. So one of our large customers in aerospace has given a profit warning due to the impact of tariffs and also U.S. Airlines last month have given profit warnings due to the weak travel demand. So how is it impacting the aerospace, especially on the MRO side? That's first question.

Krishna Bodanapu: I think that's a very good question. I think right now, we're not seeing any significant impact on the aerospace side. I think we will start to see some of that as we go forward. But at least as we see because a lot of the work that we do that relates to MRO is based on flying hours. The flying hours have not really decreased very significantly. So in that sense, the impact is quite minimal at the moment.

Karan Uppal: Okay. Secondly, on the green hydrogen deal, if you can comment what is the size of the deal and whether it will move the needle for the sustainability vertical? And has it already ramped up? Or is it expected to ramp up in the next couple of quarters?

Krishna Bodanapu: I think we haven't really announced the size of the deal, but I'll say it is meaningful. It does have an impact on the energy vertical. I'll just -- also, if I may just clarify to what Sukamal said. The sustainability vertical going forward, we will speak about it in 3 pieces, which is minerals and mining, energy and utilities and geospatial because that's the more meaningful way of looking at that business. But anyway, with that caveat, it will be significant for the energy business, and the ramp-up is in the process of happening. And we're already seeing some -- we're seeing the first of the revenues that we'll continue to see that over the quarters. But it is a meaningful deal for the overall business, not just for energy.

Karan Uppal: Okay. And last question, Krishna, is on the pipeline. So in last couple of months due to change in the macro, have you seen any impact on the pipeline? Is it taking more time to close deals? And within the pipeline, which segment are you seeing more traction?

Cyient Limited

April 24, 2025

Page 8 of 14

Sukamal Banerjee: So in terms of has it modified our pipeline or changed our pipeline, the answer would be no. Because stress also creates an opportunity to create a pipeline of a different nature. But has it caused or created a pause in decision making? The answer is yes.

Moderator: The next question is from the line of Sandeep Shah from Equirus.

Sandeep Shah: Congratulations, Sukamal. The first question to you, sir, I think Cyient always had a very great quality of clients as well as good capability, but somehow the growth volatility on an organic basis Y-o-Y has not been so great, and there are issues in terms of predictability of the growth at the start of the year and what we deliver at the end of the year. So how do you see this situation? And what are the corrective steps you are looking to repair this side of the predictability?

Sukamal Banerjee: Sure. Thanks for the question. I think, yes, there is, as I mentioned in my commentary also, that there is some near-term work to be done with regards to execution. And this is definitely one of

those areas of focus. I think it's much more difficult to build client base and competency and easier, I'm not saying it's easy to build a business rhythm with

both from a sales and delivery

perspective. So it is something which we will be working on together to make sure that given the current environment, irrespective of where the number goes, that we are able to provide that stability and predictability in terms of what our business outlook looks like. So to answer your question, it is an area of work that has been identified and work is in progress as we speak.

Sandeep Shah: Okay. So you are looking to restructure some of the leadership team? Or do you believe there won't be major overhaul in terms of the leadership? It will be more to do with our increased focus on execution at the periodic review. In terms of the overhaul and restructuring. Sir, are you expecting some change in leadership or churning our portfolio needs to happen? Or it's more an execution focus without any major overhaul in the growth strategy ahead?

Sukamal Banerjee: I think first and foremost, it's our focus on execution. I would reserve comment at this point in time about any future changes that we may have to do. But at the same time, there are areas of focus that we need to bring in, which the organization doesn't have, if I may call out one of them, like partnerships and ecosystem. So there will be leadership brought in -- new leadership brought in to address some of these areas which needs attention. But in terms of -- right now, what we are focusing on is to focus on execution. And in parallel, we are working on making sure that we can define our strategic road map which we can work on for the next 2 to 3 years once it's in place.

Sandeep Shah: Okay. And Krishna, sir, just a follow-up in terms of your opening remarks, you called out that the month of March has been a negative surprise. So is it fair to assume it will have a full quarter impact in the first quarter and even first quarter, we could be flat or declining on a Q-on-Q. And in that scenario, the full year positive growth or a flattish growth could be a daunting task. Is it the right way of looking at it?

Krishna Bodanapu: So I think in all fairness, there will be some of that impact that will be felt in Q1. I think, again, I just want to reiterate that it's not something that's very significant and a sustained impact. I think it was really a few projects that got pulled out or got put on hold to start execution etc. So I'd say there will be an impact on Q1. Again, I will -- if you pardon me, I will again reiterate that

Cyient Limited

April 24, 2025

Page 9 of 14

it's not a major or a massive impact. It is an impact. But having said that, I think to the point earlier also, we just want to be cautious on how we look at the year ahead. So I don't want to comment on the whole year at the moment, and that's why -- I think in all fairness, I should give Sukamal or we should give Sukamal the time to get a good grip on not just the business but also how we do forecasting and how we do budgets in the business. So in that context, I'd say -- I just want to say, yes, there will be an impact in Q1, but not a significant or a crisis level impact for sure. There will be a little bit of an impact. But from a year perspective, I would rather not comment because I would rather like that Sukamal gets his handle on the operations. And again, no secret, our ability to forecast in the last year or so has been a bit of a challenge. So I don't want to forecast when I'm not confident that we've overcome that forecasting challenge. But from a business perspective, if I look at what our clients are telling us, if I look at our pipeline, if I look at the confidence of the sales deals, I'm not overly worried on how the year will pan out.

Sandeep Shah: Okay. And just a follow-up. Can you give some commentary segment-wise or industry-wise in terms of DET demand entering FY26 because tariffs may lead to a supply chain disruption in many of your verticals where you focus. So will it lead

to delay in decision-making in many of

the sectors? So can you brief in terms of the growth outlook across most of your industry segment? And second, on margin, Prabhakar, sir, just wanted to understand, last time you were seeing by Q4 of FY26, we can reach back to close to 16% kind of a margin, which we want to sustain. Whether that assumption still remains true? Or it has been postponed further because of the macroeconomic issues?

Sukamal Banerjee: So I'll take the first part, which is in terms of subsegment-wise momentum. We definitely have some of the areas which has grown healthily in the last year. I'll call out health care as one of them. So definitely, it's an area where we have seen momentum. We have seen growth in some of the other segments as well like automotive, like Krishna mentioned some time back. So in terms of going into FY 26, we have a few segments which are coming in with momentum. However, I would like to add that this is a time where there is a degree of uncertainty. And will it play out exactly the same way in terms of how we close FY25 into FY26. While we are reasonably confident, but we cannot say for sure. It will need some work and some more time for us to be able to talk specifically about segments and their growth. Prabhakar?

Prabhakar Atla: See, on the question of margin, three things I'll say. The first is part of my repetition of what I said, the cost management framework that we had was very effective for us in FY25 and also in FY24, as you know. The second thing I'll say is that we intend to continue with wage hikes to our colleagues and associates, which is what we will do in FY26. The third thing I'll say is that we'll be a lot more prudent and focused on investments we will make in the current year towards outcomes. Now what these three things will mean for us in FY26 in the context of how Q4 has played out, is this that previously, we said that we will touch 16% sometime in the next 12 months. That's what we said in January. But we may have to recalibrate this to touching and even staying steady at 15% over the next 24 months. This is the current outlook, but as we navigate the following quarters, we will see what further updates and upgrades we can make to the margin trajectory.

Cyient Limited
April 24, 2025

Page 10 of 14

Sandeep Shah: So is it fair to assume now we are looking at 15% as a margin target over the next 24 months versus 16% earlier?

Prabhakar Atla: All we are saying is that these three things, we will manage the cost, the wage hikes and the investments. And we will look at a 24 months' time frame to stabilize the margin trajectory, at a number that is appropriate for the growth that we will deliver.

Moderator: The next question is from the line of Moez Chandani from Ambit Capital.

Moez Chandani: So I wanted to discuss on the connectivity and the new growth areas because both of them have seen a sharp decline this quarter. So was that also just largely the macro impact in the latter part of the quarter? Or was there something that you saw throughout the entirety of Q4? And has there been any incremental improvement here in the first 3-4 weeks of the new quarter?

Sukamal Banerjee: Okay. So I think in terms of connectivity and new growth areas, yes, I think we saw broad-based uncertainty in the month of March. So there is an impact, for sure. In terms of the first 3-4 weeks, it is spotty at this point in time to call out specific trends. And that is one of the reasons I said earlier, we're going to stop guidance for the time being. So I think the way we should think about is that what Krishna already mentioned that there are challenges which are there in spots and tactical, which does impact numbers. And in an environment where demand is there, but it's not robust demand. Obviously, it's having impact on a quarter-on-quarter basis.

Moez Chandani: Sure. Understood.

Prabhakar :

Let me also add to this to what Sukamal said. That of the 6 large deals we won in Q4, two were from aerospace and two were in communications.

Moez Chandani: Sure. Understood. And then I also see a very strong cash balance right now, which is close to about INR1,300 crores. So what are the plans for this? Is this largely for the semiconductor business? Or are there any other plans that you also have with this cash balance and also with very strong cash generation, I would think you would continue adding to this cash balance in the near future as well?

Krishna Bodanapu: So I'd say that there are two elements to it. One is the -- of course, we want to make sure that we continue the healthy cash generation that's been even in some difficult times in the past. We've always generated cash in the business, and we will continue to focus on that. So to your point, yes, we will -- what I see that the cash piece will continue to be quite strong. And as you know, we also did a lot of work in terms of reducing our capex spend, which at one point is almost 3% of our revenue.

We will continue to generate good, strong cash. There's two elements. One, of course, is on the usage of cash. One, of course, is the dividend that we pay out and we understand there's an obligation on our pay back to the shareholders, and that has happened. The Board also has taken a decision to review the dividend policy to make sure that we are investing and have enough cash available to support growth, which we'll come back with when that happens. But more importantly, I'll say, 1 is the semiconductor business. And 2 is, I think at least in the last 6 to 8 weeks in a lot of conversations with Sukamal, I feel very confident that we now have a good handle on what are the elements of our portfolio that have to be enhanced and where an inorganic

Cyient Limited
April 24, 2025

Page 11 of 14

play could come in to enhance these elements of our portfolio. As you know, our customers respect us for the capability that we've built in engineering, in the domain and so on and so forth. Yes, there are some gaps in terms of our competence on technology, especially some of the emerging technologies. So we will continue to look at ways to enhance our portfolio using M&A and the use of the cash will also be for that. Of course, it's -- before a question on M&A, I'll just

say as with M&A, as you know, it's too early to talk about any specifics and the only right time to talk about a specific M&A is when it happens. But I will just say that we are very, very focused on. Again, it's a great opportunity to enhance our portfolio and plug in some gaps that we have in our portfolio, which we will be looking for. And of course, the semiconductor business will also require cash. And like I said, we're seeing some very, very strong inbound interest from customers. So we'll also -- we'll also put that to good use.

Moez Chandani: Got it. And Sukamal also mentioned something about increasing your focus on GCCs. So can I get a sense or a little more details in terms of what we're doing in terms of working with the GCCs? And what's the revenue and margin profile of some of these projects that we're doing?

Sukamal Banerjee: Sure. That's a very good question. I think first and foremost, we now have a local leader based out of India, focused on GCC. Somebody who comes with established credentials in the market working with GCCs for a period of time and which extends to a couple of decades. So somebody who understands the market very well, who understands the needs of the market very well. And we have aligned many of our accounts, which were largely GCC-centric to his business unit and making sure that it operates as an independent business unit, given that if not 100%, close to 100% of the revenues are actually being generated from the GCCs and decision-making in the GCCs. In terms of margin, when it comes to

our EBIT, and we would ensure that the way we are operating and managing this business, that our EBIT does not get diluted because of this. There might be different mechanisms in terms of how we price and hence, what gross margin we generate. But we definitely will work towards making sure that the overheads that we invest into this business is definitely significantly lower than the overheads we have to do in terms of investment from a geography-based business. So we will ensure that EBIT is not diluted from this business.

Moderator: The next question is from the line of Sulabh Govila from Morgan Stanley.

Sulabh Govila: My first question is more of a clarification. So Krishna, I just wanted to check. Maybe I could not hear it correctly. But in the presentation, we mentioned that we expect the challenges or the uncertainties to last at least through the first half of FY26. So while in the comments that were made in the opening remarks, I heard that it is only 1Q. So I just wanted to check what should we consider?

Krishna Bodanapu: I think, yes, it's just prudent to start with 1Q. I think it's too early right now. As you know, with uncertainties, the nature of uncertainty, is that it's hard to predict. So I'd say in 1Q, we do have some challenges and uncertainties. But again, nothing to the level that we should be very concerned about. Yes, the world is what it is and we just need to work through. So I'd say we'll start with -- I would imagine that through the quarter, things will stay at least from a macro perspective, from a company perspective, I'm not too worried about. So I'd say it's more a Q1 issue to start with. If that continues, we'll come back and let you know.

Cyient Limited

April 24, 2025

Page 12 of 14

Sulabh Govila: Okay. Okay. Understood. And the second is that this process of stopping the guidance, I just wanted to get clarity. Is this more temporary in nature? Or it's going to be a permanent phenomenon from here on? And if it's temporary, then how much time should we expect that process to get back?

Sukamal Banerjee: So the guidance stopping we are doing is temporary. We will come back as to when we are going to release that guidance.

Krishna Bodanapu: If I may just comment on that from a Board perspective, I think the Board wanted to make sure that Sukamal has enough time before he can really comment and more than comment, I'd say, commit on the business. I think in all fairness, we just need a little bit of time to build that stability on how Sukamal is able to understand and articulate the nuances of our business. Again, we're coming off of a place where we did not have the greatest -- or we do not have the greatest track record in terms of giving guidance. Therefore, we thought it was best -- or the Board, sorry, I'd say this was something that the Board also strongly recommended to us, to Sukamal, Prabhakar and me. So I think we just want to step back, so Sukamal gets a complete handle. So we can be a lot more sharp and focused on the guidance or the range.

Sulabh Govila: Understood. Very clear. And then when I look at the numbers for Q4, the segmental performance, both from a vertical standpoint and geography. While from a vertical standpoint, we've degrown in most of the verticals, except sustainability. From a geographical standpoint, most of the decline has come in from Asia. So just trying to understand what are the nuances here. Just some clarity there would be very helpful.

Prabhakar Atla: Sulabh, structurally, what you say is right. The impact was felt of the macro across all geographies. We were expecting to grow a lot more in North America than what you've seen in the current numbers. That's how it played out. Some part of this change in APAC was structural to that particular quarter. But otherwise, the growth in North America was muted compared to

what we thought it could be.

Sulabh Govila: Understood. Und

erstood. And if I could also check from a top client profile perspective, top 5 clients, particularly, are you seeing any sort of client -specific issue that you would want to highlight at this point in time?

Prabhakar Atla: Sulabh, not at this point in time. Actually, if any, -- the top 5 customers grew by 4.5% year -on-year for us, and the top 10 clients grew by about 9% year -on-year for us. So if any, this represents a very strong platform for us like Krishna spoke before and Sukamal later, but the client confidence, especially in top clients remain the same way it is in what we do for them and what they expect us to do in future.

Sulabh Govila: So there's -- currently, there is no impact on top 5 clients that you expect in the coming quarters?

Prabhakar Atla: The impact was broad -based across the spectrum, but all I'm saying is on a full year basis, we still had a strong growth in top 5 and top 10 clients for last year.

Krishna Bodanapu: And I think just add to that, I don't see that there's any structural change because I think, especially in the last 6 weeks, we spoke to all of the top 5 as a part of introducing Sukamal. And I think it's quite clear that there isn't a structural change. I think what has happened is in May

Cyient Limited

April 24, 2025

Page 13 of 14

with all the confusion, a lot of things got side railed or side-tracked . But I think in general, at least I feel quite confident having that conversation along with Sukamal that we are in a very strong place with all the 5.

Prabhakar Atla : And to further quantify that, of the 6 large deals we have won 3 came from our top 10 clients in Q4.

Moderator: The next question is from the line of Shradha from Asian Markets Securities.

Shradha: You indicated that 1Q would be soft, but generally, we see seasonality of weakness in sustainability because of holiday in Europe. So do you expect that seasonality to play out in this year as well? And given that, do you expect 2Q to be equally weak as versus 1Q?

Sukamal Banerjee: Yes. So I think it's too early to talk about Q2. But you are right that there is a European holiday which plays into our numbers for Q2. And we have to work now to make sure that we work on mitigating it to the extent possible. So I would say that let's stay with the commentary that Krishna has already mentioned about Q1. And given the decision we have taken on stopping guidance, I think we probably should leave it where we have left -- I mean, mentioned so far in terms of our commentary.

Shradha: Right, right. And on connectivity, I understand that macro has changed quite a bit in the last few weeks. But during 3Q earnings call, we had suggested that we expect connectivity to grow in the second half of '26 based on the order book that you had in hand and the execution of that was planned for second half? So do you expect any deferrals or delay in execution of those deals that have already been awarded to in communications vertical?

Krishna Bodanapu: I think we don't see any major change in what our customers are looking at. I think the deals that have been awarded . Yes, there have been some timeline issues or timing issues. But in general, we see that the deals that have been awarded, et cetera, are continuing. I think we also see a good amount of fiber that will continue to be designed and rolled out at least for the next couple of years. So we might have a timing issue around there .

Sukamal Banerjee: And to give some color , especially with regards to March as well as to an extent, Q1, we were renewing our contract with one of our major customers in connectivity, which has happened.

And during that process, there was definitely some slowdown of business award -- new business being awarded. And I think we are over that now with the contract being signed in April.

Shradha: And just if I heard it right, you mentioned that you are cutting down on the dividend payout. So

any number that you would be looking at for the new dividend payout policy?

Krishna Bodanapu: No, no. I just want to say for right now, we hold with the policy. I'll just -- the Board has -- will review that during the course of the year. Again, that will only happen in conjunction with our ability to invest and grow. We first need to also understand that side of the equation because like I mentioned earlier, I mean, one of the great things about our business is we are a very, very solid cash -generating business. So any adjustment, I'd say, as any adjustment that we will make to dividend will really be so that we can -- we see an opportunity immediately to invest that cash. Otherwise, we wouldn't do that. So my point is, the Board is very supportive of all initiatives, organic, inorganic. And the Board is also very cognizant that they will make available to us the

Cyient Limited

April 24, 2025

Page 14 of 14

capital to make the investments. But any adjustment to the dividend policy will only happen when those investments are made .

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments.

Krishna Bodanapu: Thank you very much. And ladies and gentlemen, thank you so much for being here this afternoon with us. I understand that today is a busy day, so I really greatly appreciate you taking the time to speak to us. As I said, while Q4 was a bit of a challenging quarter towards the end and of course, a tad lower than what we had initially anticipated. I just want to reiterate that the business continues to be very strong. I'm also very proud and happy and very, very eagerly anticipating Sukumal's role as the CEO of Cyient because as you've already heard from him . Sukumal has a great understanding of the business, has a great understanding of the technology business and the engineering business.

But more importantly, I'm confident that Sukumal has a good understanding of some of the challenges that Cyient faces that need to be addressed. But more importantly, of the strength of the organization because we are still one of the largest engineering, one of the most highly regarded engineering and technology providers in the world, and that is because we deliver a great service to our customers. So I'm very confident that Sukumal will use that platform to significantly grow the business and significantly accelerate not just the strategy but also the numbers. It will take a little bit of time. It's really an issue of just executing more diligently. So that means that the time is very short. We just need a little bit of time, but that's not a huge amount of time in the grand scheme of things. But I am confident where we are. And I'm also very confident that we will be back into a very strong growth mode in the coming quarters. So I just want to make sure that we commit -- or sorry that we communicate the confidence that the leadership team, I and the Board have in the business. So thank you very much for your support. Again, if there's any specific questions, we're happy to answer them later. But thank you, and we will speak again next quarter.

Moderator: Thank you. On behalf of Cyient Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Jul 2025

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Dear Sir/ Madam,

Sub: Transcript of the earnings conference call

Please find enclosed the transcript for the Q1 FY26 earnings conference call conducted after the meeting of Board of Directors held on 24 July 2025.

This is for your information and records.

Thanking you

For Cyient Limited

Ravi Kumar Nukala

Dy. Company Secretary

Page 1 of 15

Cyient Limited

Q1 FY26 Earnings Conference Call

July 24, 2025

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED

MR. SUKAMAL BANERJEE – EXECUTIVE DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CYIENT LIMITED

MR. PRABHAKAR ATLA – PRESIDENT AND CHIEF
FINANCIAL OFFICER – CYIENT LIMITED

Cyient Limited

July 24, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Cyient Limited Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu. Executive Vice Chairman and Managing Director. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you very much. Good evening, ladies and gentlemen, and welcome to Cyient Limited Earnings Call for the first quarter of FY26. I'm Krishna Bodanapu, Executive Vice Chairman and Managing Director. And present with me on this call are Mr. Sukamal Banerjee, Executive Director and Chief Executive Officer; and Mr. Prabhakar Atla, President and Chief Financial Officer.

Before we begin, I would like to mention that some of the statements made in today's discussions may be forward -looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which has been e-mailed to you and is also posted on our corporate website. This call will be accompanied by an earnings call presentation, the details of which have been already shared with you.

With the carve -out of Semiconductor from DET, the nomenclature and segments under which we report our group performance will be updated from the current quarter . These segments will

now include DET, which is our engineering, technology and digital business in the traditional engineering business, but does not include the semiconductor business. DLM, which, as you know, is Cyient DLM, which is our manufacturing business in which Cyient holds about 52% ownership.

The Semiconductor business, which is now a fully owned subsidiary but a separate subsidiary with its own leaders, with its own management and with its own structure. And a segment called Others, which is the few smaller businesses, which are not very material. The nomenclature with which we will report going forward will happen in four segments.

The focus of this call will remain the DET segment, and to that extent, all numbers for the DET segment are like -for-like to the previous period, which means that the numbers have been restated to exclude our Semiconductor business. The group numbers will include performance of all four segments.

Coming to the highlights for this quarter, it is my pleasure to announce that the Semiconductor business carve out process is completed as planned. As you know, the Semiconductor business will be run as a start-up investment positioned for accelerated growth in an extremely fast-growing market where we have a strong value proposition. With our strong IP portfolio, domain expertise, global talent and long-standing customer relationships, Cyient Semiconductor is very well positioned to tap into the high-growth opportunity in this Semiconductor market. We have seen significant interest in the business from our customers, our partners and investors. For this business, the order intake for this quarter has exceeded budget by about 10% reflecting growing customer interest in both our turnkey ASIC solutions and service options. This positive traction

Cyient Limited
July 24, 2025

Page 3 of 15

is already translating into early wins of large-scale ASIC programs. I'm happy to report that we have onboarded several key hires, and I can confidently say that we're building one of the most competent high-performing teams in the industry, led by Suman Narayan as the CEO and Ramya Mohan as the CFO.

We also have a stellar advisory board of industry veterans for helping us set up the business and generate business.

Like I said, this is a start-up kind of an investment positioned for accelerated growth in a fast-growing market, and we believe we have a very strong value proposition for this market, which will play out in the coming quarters and years.

The semiconductor business is a very ecosystem business, and I'm happy to say that we're building a very strong partner ecosystem. Along these lines, we have partnered with MIPS to develop Custom RISC-V-based intelligent power solution for AI power delivery, industrial robots and automotive markets. All these markets, as you know, are fast-growing markets, which holds immense potential for growth. Our collaboration with MIPS allows us to build together embedded intelligence and advanced power architecture in custom silicon platform built on a scalable and open platform.

Coming to the DLM business, I am pleased to announce that we are seeing increased traction in our Build-To-Spec or B2S business. These tap into our design-led manufacturing capabilities that leverage both the design capabilities that reside with the Cyient DET and the manufacturing capabilities that reside within Cyient DLM. Leveraging our aerospace expertise, Cyient DLM and DET will deliver a unique world-class cabin management solution for the D328eco class aircraft. This deal reiterates the distinct value proposition that Cyient brings to its customers in terms of full scope product development and manufacturing, especially for safety critical sectors like Aerospace.

Further, and as you know, Cyient has always been a forerunner in building a skills ready India to address global opportunities and the global capacity constraints in R&D and technology sectors. We are proud to announce our partnership with AICTE in this direction and believe that this will be a significant step towards realizing India's potential as a global innovation powerhouse. I believe that this initiative will help build an R&D industry-ready diversified talent pool beyond just Tier 1 cities, which is really the need of the hour.

As you know, Mr. Sukamal Banerjee joined us as the CEO in the middle of the Q4 of last year. This is his first quarter as the CEO or the first full quarter as the CEO of Cyient Limited, and he will now take us through the business. But before that, I want to thank Sukamal for a very strong start to his inning and a very strong quarter to start the year. With that, Sukamal, over to you.

Sukamal Banerjee: Thank you, Krishna, and good evening, ladies and gentlemen. Thank you again for joining our Q1 earnings call. Let me walk you through our Q1 FY26 performance and also share some key updates from a business perspective.

Firstly, on headline results. We closed the quarter with revenue of \$162.7 million or in rupee terms INR1,393 crores. That translates to in US dollar terms a growth of 0.9% quarter-over-quarter and a 1% year-over-year growth. In constant currency terms, that translates to a decline

of 1.5% quarter -over-quarter and remained flat year -over-year. Our EBIT stood at 12%, down 63 basis points quarter -over-quarter and 61 basis points year -over-year.

We have seen strong traction in our new deals and opportunities, that is our non -renewal business from an order intake perspective. And as a measure, this has grown from 18% of our order intake in Q4 to 21% of our order intake in Q1 . We will continue to monitor this from a new business perspective. This momentum is expected to continue as we shift our pipeline to more of our growth areas and the deals that we are creating from that perspective.

As we mentioned in the last quarter, we have disbanded the aggregated business unit, which we used to call Sustainability, and we operate these business units with respective market focus.

Hence, we are also redoing our reporting se

gment starting this quarter. And we will ensure that you get all the comparatives from this perspective. We will be reporting henceforth in three reporting segments, the first one being Transportation and Mobility, which is the erstwhile Transportation business of Aero and Rail. And we will be including Auto and Mobility as part of this. Second would be Networks and Infrastructure , which used to be our Connectivity business and the Utilities and Geospatial business. We are bringing this together for various reasons, including similar focus in terms of service lines. Also, it creates the focus around intelligent management of networks and grids that we see good interest and traction and common technology basis to be leveraged. And the third, we would be calling it the Strategic Units, which constitutes of Healthcare and Life Sciences, Mining and Minerals and Energy.

So to share some business unit performance based on these three reporting segments, Transportation & Mobility grew for us 2.5% quarter -over-quarter. These numbers are in US dollar terms and 7.3% year -over-year, led by strong performance in the Transportation segment. Networks and Infrastructure declined 2.9% quarter -over-quarter and was flat year -over-year with a 0.2% marginal decline. The strategic units saw a decline of 1. 9% quarter -over-quarter and 6.3% year -over-year.

Within these three business units, which constitute strategic units, two of them grew and one of them saw a double -digit quarter -over-quarter growth. From a focus of go forward, we have talked about the investments that we have been making around technology and how we are going to take technology as our go -forward growth engine, building on the core businesses that we have built over many years. The key thing here is to ensure that we differentiate with our strength, which is our strong domain knowledge in each of these industry segments, each of the product areas and the product life cycle areas that we have been operating in for a long period of time.

Hence, from our perspective, it is domain plus AI and domain plus digital, which is our G TM focus. This quarter, our CTO team has sharpened our focus with 3 core tech -driven offerings supported by 4 strategic technology bets. The 3 areas being asset life cycle management, AI -driven engineering and quality and regulatory assurance. And from a core technology bet area perspective, they are data engineering, AI, platform software and embedded and product security.

As we take this to market, customer response has been quite encouraging, and our strong foundation in core engine helps us to build credibility in these new areas from a domain -led digital transformation and technology transformation perspective.

Now to share some deal wins that we have had during this quarter. Firstly, happy to share that we won a deal with an APAC -based communication service provider for nearly \$23 million for their wireless infrastructure rollout. A global medical devices leader selected Cyient as their AI partner to establish the AI Center of Excellence to build and scale operational and clinical solutions.

Vodafone selected Cyient's AI -powered global network visibility management solutions VISION, the platform supported by data -driven intelligent configuration analytics results in almost 50% decrease in errors and the time to fix these errors. This was a selection at a Vodafone corporate level, giving us the opportunity to take this offering across all entities across the globe, which is Vodafone entities across the globe.

For a leader in private jets and airframe manufacturer of private jets, we won a deal against one of the big 4 incumbents, a deal to digitize technical publications, demonstrating our domain plus digital technology prowess in the market. In this quarter, we added 14 new logos . Apart from

the initial deal

s closed in Q1, we see a continued pipeline of opportunities from these customers.

In US dollar terms, our key accounts, which constitutes of 36 accounts, grew 11% year-over-year and 4% quarter-over-quarter. And from the top 20 accounts perspective, it grew 10% year-over-year and 6% quarter-over-quarter, showing the focus that we are bringing on our top customers and how business is moving from that.

From an employees and customer engagement perspective, I'm happy to share our associate satisfaction survey for 2025 put us in the top quartile of all tech companies with a score of 90.

Our CSAT survey, our customer satisfaction survey, is the highest score that we have got since 2011, again, placing us in the top quartile amongst tech services industry.

We have also taken a step unlike many of our peers, to commit to our employees by going ahead with a phased merit increase rollout in Q1 of FY26. We remain committed to rewarding performance while staying prudent in the current market environment. However, we would also like to ensure we stay focused on People First derived from our Values First ethos.

Quickly, let me add some leadership updates as we have been building up our leadership team and the changes that we have brought and the necessary talent as we go forward in our journey.

We welcomed Kavita Kurup as our Chief People Officer. She joins us after a near 6-year stint at UST Global, where she played the Chief People Officer and other strategic roles through a high-growth phase of that company. We welcome Arunav Roy slightly earlier in this quarter after a stellar career in Tech Mahindra to become the SVP of our Connectivity business unit; and Ram Chittoor, who joined us to lead the HLS BU, Healthcare and Life Sciences BU, who had a long stint at HCL Tech focused on med devices and has joined us last quarter as part of our leadership team and as we build out our leadership team.

We also got recognition from several analysts -- let me share -- I'm happy to share that Zinnov selected us in the leadership zone across 11 key zones, which includes Tier 1 status in aerospace, Cyient Limited

July 24, 2025

Page 6 of 15

telecommunications, semiconductor and healthcare. And from a technology perspective, we were recognized for digital engineering, Industrial, Industry 4.0 and Data and AI engineering. ISG chose us as a leader for aerospace and defense services in North America and Europe and a rising star in software-defined vehicles. HFS acknowledged us in terms of our presence as an enterprise innovator in Energy and Utilities and Everest Group ranked us as a major contender for Industry 4.0. So, to close, as announced last quarter, we continue with our no guidance policy for Q2 and the remainder of FY26. We see this as a phase of stabilization of our business. I fully believe that Cyient is well positioned to capitalize on emerging opportunities driven by focused tech investments, a strong industry mix, a robust customer base and a foundation of delivery excellence.

With that, let me invite our President and CFO, Prabhakar Atla, to share some more details around the financial results.

Prabhakar Atla: Thank you, Sukamal. Hello, everyone. Thank you very much for your time today and for your kind participation in the call today. As a quick summary, here are the key financial highlights for the quarter. As mentioned by Krishna and Sukamal, the DET numbers are excluding our Semicon business and all DET comparators are like-to-like for the previous period. DET revenue for Q1 came in at \$162.7 million, a growth of 3.6% year-on-year in rupee terms and a degrowth of 1.5% quarter-on-quarter in constant currency terms. These numbers include Cyient DET intercompany charges to Cyient Semicon, which are marginal and interim in nature. DET EBIT for Q1 came in at 12%, which is a 63 bps drop quarter-on-quarter, primarily due to the first tranche of wage hi

kes we announced in this quarter, as mentioned by Sukamal earlier. The DET PAT for the quarter remained very strong at INR163 crores, representing a 7.4% growth quarter-on-quarter and a 30% growth year-on-year.

This quarter, we had significant tailwind in our PAT from unrealized FX gains due to favourable currency movements. The FCF to PAT conversion is around 70% for this quarter, owing to one-off payments we had in the current quarter for previously provisioned expenses. As regards group performance, which now includes all the four segments, group revenue grew by 2.2% year-on-year in rupee terms, while the PAT grew by 7% year-on-year.

The FCF for Q1 was quite strong at INR200 crores, which represents a 125% FCF to PAT conversion for the quarter. Both at DET level and at group level, our cash position continues to be extremely strong due to consistent focus on FCF. And at group level, our cash position improved by about INR 262 crores quarter-on-quarter, and we will continue to focus and remain focused on cash flow as an important area of interest for us.

With this, thank you again for your time, and I will now hand over the call to the moderator for

Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: Just one observation. There has been a significant reclassification. So looking at the PPT and Annexure, we are unable to compare the performance, especially on DET, which is a core business as per the earlier definition. So we would have liked at least for the next 4 quarters, we
Cyient Limited
July 24, 2025

Page 7 of 15

could have continued with the presentation in the old format as well, because both on DET, including semiconductor, it looks like there is a big decline as well, and there is a big decline in the EBIT margin, because DET, Semiconductor revenue has declined, Semiconductor has posted a loss. This is not fully reflected in the current new reclassification.

I do agree the strategic plans are different. But how to look at Semiconductor as a business on a going forward basis? Will it continue? Any estimate in terms of at a segment level, what kind of losses it can generate in this year and when you expect that turnaround? And second, within the new classification DET-wise, can you give us some clarity in terms of growth prospects as per new subsegments of DET?

Krishna Bodanapu: So why don't I first answer the Semiconductor piece. I think this quarter, yes, there was a degrowth in revenue and there was a degrowth in EBIT margin, but that was deliberate because in the new the new structure, there are a few things that we had to do onetime which will just not reflect going forward. That business is built for a certain scale, which is for a certain revenue, which is roughly, give or take a \$10 million a quarter, we should be back to at least DET level margins in Semiconductor also. And with the order book that we have in the first quarter, we are quite confident that if not in the second quarter, then definitely in the third quarter, we will at least start to deliver in line with the DET margins in the Semiconductor business. The reason why we've split it out as such is it has very different strategic plans. And this quarter, we also implemented a few things to help those strategic plans in terms of letting go some business, in terms of the investments that we've made. Like I said, we have aggressively built a very strong leadership team because we do want to go down the turnkey path very quickly and aggressively. So we think we definitely are confident that that's the right thing to do to really reflect the capabilities and the strengths and the focus that we have in that business. And also, like I said, we've done a lot of work even in the previous quarters, and we'll have the right kind of business

ess

or right kind of order intake is in place, which gives us confidence that by Q3, we should be back to DET kind of margins in Semiconductor also with -- about that \$10 million, give or take, revenue kind of a run rate, we will be back into that. So I'd say Semiconductor is just here and now, we're just working through the execution realities of running it as a separate business. For the prospects in the redefined DET business, I'll hand the call over to Sukamal to talk about it.

Sukamal Banerjee: Yes, sure. Thank you, Krishna. So just to bring some color on the question you asked, as mentioned, transportation, mobility, aerospace, rail and automotive together, you saw the results for this quarter, which has grown in this segment. And we feel reasonably confident about this trend to continue. We are seeing aerospace being the leading driver for the growth. And we will also have deals come our way from a cost takeout perspective from rail and automotive. So we do feel reasonably confident to continue in some growth phase in this particular segment.

Network & Infrastructure, which is connectivity business and utilities and geospatial, this segment will take a couple of quarters to stabilize and start growing. But we feel very confident. I mean you heard the announcement I made regarding the selection by Vodafone.

So as we change over our service offering and service portfolio from a little bit of the past portfolio to the new portfolio and the areas that we want to focus on the future, we should start seeing growth. So from a more or less year-over-year flat to a 2.9% quarter-over-quarter decline, we should start seeing reasonable numbers in a couple of quarters. In the strategic units, as I
Cyient Limited
July 24, 2025

Page 8 of 15

already shared, two of the three business units grew. One of them grew double digits. And if I leave one specific major program out of the third business unit, which is energy, that unit also grew. So we are seeing the momentum in these units, and we would like to continue to make sure that we focus on doing the right level of investments so these two business units can continue to grow. Hopefully, that answers your question.

Moderator: Our next question comes from the line of Kanchi Shah from MC Research.

Kanchi Shah: I just had one question. So is it possible for you to provide us with the order intake for DET in

terms of US dollar terms, if that is possible, sir? Like last time you -- till last quarter, you used to provide that. But I get it now that Semiconductor is not part of it, but can you still give us certain light over it?

Sukamal Banerjee: Sure. So we'll come back to you on this data point. I mean it is something that we were trying to work out in terms of how to present it. We will make sure that we get the data set. One data point I wanted to add, which I already talked about in my opening commentary, which is the growth in the non -renewal business. And that is the primary tracker that we would like to follow and ensure that we get the growth in the right areas. So overall, I can assure you that our order intake is going well.

Moderator: Our next question comes from the line of Shradha Agrawal from AMSEC.

Shradha Agrawal: So just two questions. How should we look at margin buildup for the coming quarters in terms of puts and takes ? What are the plans for salary hike? And how do we look to defend margins in the coming quarters for the year?

Prabhakar Atla: Shradha, Prabhakar. Thank you for the question. Did you have a second question also before I respond to that?

Shradha Agrawal: Yes. And within transportation, you did indicate that Aero is doing well for you? So within Aero, what are the demand trends? Is it more around MRO -related work still? Or we have seen some green shoots of design -related work also coming in aero?

Prabhakar Atla: Sure. So thank you, Shradha. I'll take the first

question on margin and pass on to Sukamal for

the second question on the aerospace business. As we speak about margins, we're working on three different elements, which anyway are also three different moving parts. The first is our continued investment in sales because we see a significant opportunity in the technology area by the pipeline and by the wins that we are currently seeing. The second is the wage hikes that we already announced for the first quarter, the first tranche of them. These two, we don't see them as headwind. The first is basically investment in the future and second is recognition to our people for the efforts that they put in. But to mitigate this, we are currently working on the Phase 2 of the cost takeout program or cost optimization program, which is now much broader picture of margin expansion year -on-year. So as things stand today, these three elements that I spoke of the investment in sales, the wage hikes that we gave in the first tranche and the Phase 2 of optimization of costs, but to synchronize them with the revenue as a trajectory as it evolves in the year.

Cyient Limited

July 24, 2025

Page 9 of 15

So to sum it up, in short term, we think it is too early for us to comment on the full year picture, and we will develop this picture as we execute all the three levers that we spoke of earlier and also the revenue trajectory. But for the medium term, two things I'd say. One is we have, in the past, very clearly demonstrated the ability, our ability to control our costs and expand our margins. And you know where we were able to take the margins to in the past. So we are fairly confident of what we can control. And therefore, we retain our earlier view and our earlier goal that this business has the potential to get to 15% EBIT margin in the medium term. That remains still our view and our assertion .

Shradha Agrawal: So last thing, you have indicated that 15% is our aspirational margin over the next 24 months. So that still remains, right?

Prabhakar Atla: So we're calling it a medium -term position, and we are sticking to that view as being planned.

Sukamal Banerjee: And this is Sukamal here, if I may respond to your question on aerospace. I think we are seeing opportunities across the board. So I shared some of the progress we are making around digital deals as our customers modernize many of their processes in areas like tech publication and tech documentation. We are seeing progress because, as Krishna mentioned, the Deutsche Aircraft Group and the announcement that we have done with regards to complete design to manufacturing in many pockets. We are seeing substantial scale up from many of our customers, not so much in terms of new designs, but just scale up of their businesses as the number of units in the market needs to, in some cases, even triple just in the next 5 years. That leads to many manufacturing, engineering opportunities as well as opportunities with regards to how we help them scale up in that overall process. And we are also seeing opportunities because of defense, both directly, but more importantly, because of the surge in defense spend. The outsourcing, which is going on around commercial work is going up.

Moderator: Our next question comes from the line of Moez Chandani from Ambit .

Moez Chandani: So my first question is on the global uncertainty that you called out, which happened sometime in March. So how did that evolve throughout the quarter? Any sense of that changing as we enter July and your outlook in terms of Q2 based on the global uncertainty.

Sukamal Banerjee: Sure. So firstly, as we had shared last time, March and April were definitely a phase where there were higher uncertainty and lack of decision -making in our customer base. That has definitely

eased since then, especially in May and June. And I think some of it, as our customers figured out, how to manage the new reality. And

also, obviously, as you are well aware, some of the deals that we talked about and now are slowly starting to fall in place. So I think it has probably reached more of a stabilization phase. Does it affect business for our customers and hence the answer still remains yes. But definitely, it's not in a freeze mode like it was in March and April. Moez Chandani: Understood. And then maybe from a geographic perspective, it looks like Europe seems to have seen a bit of a decline this quarter. Anything specific in that segment, particularly because you had issues with projects from the Citec acquisition in the past. So anything you'd like to call out there?

Cyient Limited
July 24, 2025

Page 10 of 15

Sukamal Banerjee: No, I would not say that there is any holistic trend, which we are observing in Europe in terms of why Europe numbers are down. I think this is just how the numbers have played out. I think both Europe and North America, I would say, remain strong.

Moderator: Our next question comes from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: Yes. So the question is about let's say, sequential revenue growth trajectory, considering the leadership augmentation as well as the investment which we are making in sales. Are we confident now going forward, our sequential revenue growth trajectory is on the upward curve? That is question one.

Question two about the strategic unit. I think the comment which you made about two of the three business units grew. But when I look overall performance of the segment, it is sizably weak, decline kind of, when I look Y-o-Y, Q-o-Q. So if you can provide more detail around what constitute and how big is this segment -- subsegment rather? And if you can provide some detail around each subsegment growth trajectory or maybe demand kind of trend?

Krishna Bodanapu: Okay. So I'll let Sukamal answer this prognosis for growth, and then I can talk about the Semiconductor.

Sukamal Banerjee: So I hope we have understood your question. Your line was definitely a little bit of a challenge. But from a perspective of what I took away from the question, firstly, in terms of sequential growth, as we have stated, we are not providing guidance. And I shared that we believe we are at a stabilization phase of our business, and that is where I would like to leave it from a quarter-over-quarter guidance perspective. For specifically the strategic business units and explaining the numbers, yes, two of the three segments grew quarter-over-quarter. And one of the segments degrew and that is what resulted in the overall decline. And within the segment which degrew, which is energy, it is one project and which is coming to an end in the near future is what is affecting those numbers. And if you leave that project out, even energy saw a quarter-over-quarter growth.

Krishna Bodanapu: And if I may just add color on semiconductor, which was the other piece. We also saw sequential degrowth, but that is very point-in-time thing. We have made the investments. We've brought in a lot of right people and we're very confident on the prognosis for growth.

Moderator: Dipesh sir, your line had dropped. I have unmuted your line once again.

Dipesh Mehta: Yes. Sorry, my line got disconnected. And can you maybe, if possible can you repeat the answer?

Sukamal Banerjee: Okay. Would you want from the beginning? Or did you hear a part of it?

Dipesh Mehta: That would be helpful, if possible.

Sukamal Banerjee: So just to summarize again, what I shared is, as we have mentioned before, we have stopped giving guidance. So from a quarter-over-quarter perspective, I would like to leave it there. And as I shared, we are reaching a stabilization phase of our business, which is what I would leave the first part of the question with.

Cyient Limited
July 24, 2025

Page 11 of 15

On the strategic business units, yes, to repeat, two

of the three business units grew quarter-over-quarter. The third one also grew quarter-over-quarter, leaving one project out. So we are facing a one project issue, a significant project, which will get over in the next couple of quarters. So underlying momentum in all the three businesses remains strong.

Dipesh Mehta: I understand. And that project is fairly large in size, which is leading to some kind of overall performance getting impacted. That's how one should understand?

Sukamal Banerjee: That is correct.

Dipesh Mehta: And whether this project is closer to end, which can provide headwind for growth?

Sukamal Banerjee: If your question was, if it's going to provide headwinds for growth in future quarters for 1 or 2 more quarters, yes.

Moderator: Dipesh Sir, do you have any further questions?

Dipesh Mehta: No, thanks.

Moderator: Our next question comes from the line of Vivek Gupta, an Investor .

Vivek Gupta : So I have a basic statement to make, which might push management for some kind of introspection. So how does management feel when they lay out the false guidances in previous quarters, then not meeting those guidances, then they stopped giving the guidances. So the kind of downfall the Cyient has faced, how does management introspect and what are the thoughts to create stakeholders' value in the company?

Moderator: Sorry to interrupt Vivek, sir, your line was not that clear. If you're using a speaker phone, may I request you to use handset and please ask the question once again?

Vivek Gupta: Is it better now?

Moderator: This is much better, sir. Yes, please go ahead.

Vivek Gupta: So I have a basic statement to make. So I wanted to understand that how does Cyient management feel like the downfall which they have faced from past couple of quarters, like from giving guidances, not meeting those guidances and then they eventually stopped giving those guidances then -- and the downfall which they are facing in the business.

So what are their plans, like how they are planning to create stakeholders' wealth in the company? Let me complete once, please. So it's a very easy statement to make that we have stopped giving guidances and all those things. But at one given point of time, management used to sound very confident over calls. And that confidence has been shaken. And that's clearly evident from the kind of statements which management is making.

Krishna Bodanapu: I respectfully disagree that we are not confident where the business is. We are very confident where the business is.

Vivek Gupta: Sir your voice is not clear.

Cyient Limited

July 24, 2025

Page 12 of 15

Krishna Bodanapu: Is my voice clear now?

Vivek Gupta: Little better.

Krishna Bodanapu: So I'll say -- I can reiterate that we're very confident where the business is. If you look at the guidance question, where we are in our business and if you look at a lot of the peer set in our business, most companies don't give guidance because we can only tell you what the lay of the land is, how the business is looking. And we will let you use your best judgment in terms of what you believe the numbers will be and what you believe the stock price should be.

Vivek Gupta: No, no, I'm not talking about the stock price. So I'm not talking about the stock price in totality. So I'm talking from the business standpoint. So the downfall the business has seen. So see, eventually...

Moderator: Vivek, sir, may we request you return to the question queue for any follow-up questions, please.

Vivek Gupta: But this question itself has not been answered.

Moderator: Sir, there are other people waiting in the queue.

Vivek Gupta: At least let management conclude, please, then I'll not put any further questions.

Krishna Bodanapu: So I'd just say I do not agree with the gentleman's view. I think we have been very fruitful in terms of where the business is going. Not giving

guidance is a choice. It's a choice that most companies who are our peer set make and that's because we give you a color of where the business is so you can decide what the valuations, etc. are.

I am very confident about the business. I don't -- I do not agree that we have made any statements that make us feel less confident. If you look at the performance of the business this quarter compared to our peers on the DET side, it's better than any other peer or better than most of our peers if you consider the ER&D business and ER&D subset. So while we've had some challenges in the past, we are very confident that we're over those challenges, and we will continue to deliver some very, very strong numbers. So I do respectfully disagree with the gentleman's statement, but I will leave it.

Moderator: Our next question comes from the line of Bhavik Mehta from JP Morgan.

Bhavik Mehta: So Sukamal, it's been a few months since you took over. So just wanted to understand the key strategic changes you have brought into the business. And what are the key metrics you'll be monitoring to gauge the success of those initiatives going forward?

Sukamal Banerjee: Sure, Bhavik. Thanks for your question. I think there are two, three key things that I have already kind of shared, and I will probably bring it back in terms of the question that you asked. So first and foremost, the focus on new business and the metrics that I shared about percentage of new business that we are booking versus renewals. That is something that we're going to focus on intensely. Second is our focus on growing the growth areas. And as I mentioned, the key focus

that we are trying to drive is the sharp focus around technology in terms of what do we do with technology. What Cyient is known for in the market is its domain strength around the product areas, the areas of plant operations and the networks that we operate.

Cyient Limited
July 24, 2025

Page 13 of 15

And how do we make sure that we are bringing technology to those aspects to bring a domain plus AI and a domain plus digital play into the market. Our wins against much bigger competition with this approach just in 1 quarter brings confidence about the approach we are taking. Of course, there are far more detailed steps that we have to talk about from a strategy perspective, which probably is best left for a follow-up call.

But essentially, three things: how do we improve our go-to-market and the elements within go-to-market like new business areas and new business bookings. Second is with regards to the technology focus and what we do with the technology focus. And third, of course, overall organizational effectiveness and the changes that we are making with regards to leadership and how we align our team with regards to the new direction.

Moderator: Our next question comes from the line of Pritesh Thakkar from PL Capital.

Pritesh Thakkar: So I just have one question. Correct me if I'm wrong, we are in the journey of replacing the project-led revenues to more of an annuity sort of top line. So how far have we reached in that journey? And if you can also provide the concentration mix of annuity versus project-led revenue at this level?

Sukamal Banerjee: So starting with the last part of your question, which is with regards to annuity versus project-led. So a large portion of our revenue tends to be annuity, even though the content of that work keeps on changing. As you can understand that the domain knowledge and the engineering knowledge, which our teams build up over a period of many years is precious to our customers. So even though actual project work or the nature of work may have shifted, it tends to be more annuity in terms of leverage of that knowledge.

We do have some project work, especially in some businesses like Energy. But leaving those aside, it mostly tends to be annuity in nature. And then, of course,

as we win new programs, they

quite often, especially in the technology space for digital and AI, they tend to start in the project mode. And as we build up like the AI COE win I shared, it originally started off with a small proof of concept. We went to a couple of projects after that and then it eventually became an AI COE, that's what we're going to run for them for the next 2 years. So yes, from a starting of an engagement perspective, it may be project-based, but eventually, it tends to become annuity. Even if that annuity may not be forever annuity, but at least for a 2-, 3-year period, it is.

Pritesh Thakkar: You can also, if you provide the contribution mix of annuity versus project-led at this level?

Sukamal Banerjee: I don't have that answer handy, and that is not a metric we manage or measure because there's constant change in that data. But if there is any specific follow-up, we will have our Investor Relationship team get back.

Moderator: Our next question comes from the line of Ankur Pant from IIFL.

Ankur Pant: So my first question is, Sukamal, how do you think the quarter panned out versus your expectations at the beginning of the quarter? So what were the positive and negative surprises? And was the growth in line with what you were expecting or better or worse? How did you see the quarter?

Cyient Limited
July 24, 2025

Page 14 of 15

Sukamal Banerjee: Sure. I think if you look at -- as Krishna called out a little while back, we -- all of us are in a tough market right now. And if you do our immediate peer comparison, we have done the best amongst the peer group. So from that perspective, obviously, it feels gratifying. In terms of where we started versus where we ended, it definitely built-up momentum towards the second half of the quarter.

So we did better than we were expecting in the beginning of the quarter, something that we intend to take forward into Q2. But again, there are always uncertainties given the current environment, and that is what we reflected in our guidance as well. From a perspective of things that surprised us, we were hoping some of the programs that we wanted to close definitely had a right shift because as I called out, March and April were a standstill time frame, and that delayed some of the processes. But again, those are not deals lost. They are deals which are right shifted. And hopefully, we should be able to get them over the line.

Ankur Pant: Sure. And secondly, what -- were you able to implement the changes that you had planned during the quarter? I mean, the pace of these changes, is it going slower than expected or in line? And

what are the key pain points that you are trying to resolve at this point?

Sukamal Banerjee: So there are three kinds of change, right? Change that you can do immediately and the results also show up immediately. There are changes that you can do immediately, but the results take time, and there are changes which take time and the results also take time.

So I would say the first one is obviously something we have done. And we are also seeing some results of it. I shared some of those metrics. Some of the areas of focus that we brought in technology area and the deals that we have won, which are things for evidence of how we can bring change in a quick manner.

There are things that results will show up over a period of time, which are reflecting in our pipeline right now and the recency of our pipeline and eventually will translate to results. And yes, there are some changes which take time. And I think those are things that we have already initiated as various change initiatives within the company. And in 3-4 quarters, they will start showing results.

Ankur Pant: Okay. And finally, I wasn't quite clear as to what was your commentary on margins, both DET and Semiconductor business. Like how are you viewing that? If you could please explain that?

Sukamal Ban

erjee: Sure. I'll let Prabhakar take that question.

Prabhakar Atla: So on margins, Ankur, just to repeat what I said earlier, it is too early for us in the year to comment on the full year picture of how the margin might evolve. And anyway, we are not providing guidance for the year as we informed. But for the medium term, we are fairly confident and maintain our view that the DET business has a potential and its goal to get 15% EBIT in medium term.

Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to Mr. Krishna Bodanapu for closing comments.

Cyient Limited

July 24, 2025

Page 15 of 15

Krishna Bodanapu: Thank you very much, and thanks to everybody for participating. Like I said, this has been Sukamal's first full quarter as the CEO. And I'm pleased that we've made some very good progress. Like I said, in a difficult quarter, we have outperformed most of our peers, especially the ER&D company. We have set up a lot of good things in place, both from a revenue growth perspective and a margin perspective. We want to be prudent in how we comment. And therefore, at this point, as Sukamal said, stabilization has come in. Of course, stabilization is the first step before growth comes in, but we're quite confident that stabilization has come in, which means that now we can work really on what will drive and deliver growth from a Cyient DET perspective.

From a Cyient DLM perspective, I just want to assure everybody that, that business is set up for great growth. The first quarter, while from a revenue perspective, it was expected just because there were things that were moved around, cleaned up, et c. But from a growth and margin perspective, by Q3, we should be -- from a margin perspective, we should be at the Cyient DET level. Of course, growth trajectory is something that we are watching out closely for, because we deliver -- we believe that, that business will deliver accelerated growth. So thank you very much for all the support and the questions. We will again speak next quarter. Thank you.

Moderator: Thank you. On behalf of Cyient Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2025

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Dear Sir/ Madam,

Sub: Transcript of the earnings conference call

Please find enclosed the transcript for the Q2 FY26 earnings conference call conducted after the meeting of Board of Directors held on 16 October 2025.

This is for your information and records.

Thanking you
For Cyient limited

Sudheendhra Putty
Company Secretary

Cyient Limited Q2 FY26 Earnings Conference Call

October 16 , 2025

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE CHAIRMAN
AND MANAGING DIRECTOR , CYIENT LIMITED
MR. SUKAMAL BANERJEE – EXECUTIVE DIRECTOR &
CHIEF EXECUTIVE OFFICER , CYIENT LIMITED
MR. PRABHAKAR ATLA, PRESIDENT & CHIEF FINANCIAL
OFFICER , CYIENT LIMITED

Cyient Limited
October 16 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Cyient Limited 's Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then " 0" on your touchtone phone. Please note that this conference is being recorded. I now ha nd the conference over to Mr. Krishna Bodanapu

– Executive Vice Chairman and Managing Director. Thank you and over to you, sir .

Krishna Bodanapu: Thank you, very much and good evening, ladies and gentlemen. Welcome to Cyient Limited 's earnings call for Q2 FY 26. I am Krishna Bodanapu – Executive Vice Chairman and Managing Director, and present with me on this call are Sukamal Banerjee – Executive Director and CEO, and Prabhakar Atla – President and CFO.

I would like to mention that some of the statements made today in the discussions may be forward -looking in nature and may involve risk s and uncertainties. A detailed statement in this regard is available on our investor website which has been emailed to you and is also posted on our corporate website. This call will be accompanied by an earnings call presentation, the details of which have already been shared with you. As of the beginning of this financial year, we are reporting group performance under four segments : DET, which now excludes our semiconductor business, DLM, Semiconductor , and Others . The focus of this call remains the DET segment, and to that extent all numbers for DET segment are like -for-like for the previous period, which means that these numbers are restated to exclude our semiconductor business, and the group numbers will include performance of all four segments.

We have a slightly longer session today and thank you for accommodating our request for this session. We wanted to do this because we want to cover a few important group updates in greater detail, particularly as regards semiconductor, to provide you with a comprehensive overview of our strategy, performance and growth outlook for the sector. Also, over the last two quarters, Suk amal has brought in a significant positive momentum and sharpened our focus on these strategic priorities. You will hear from him on some of these key initiatives that he has taken and his perspective on the growth opportunities that lie ahead for DET and how he is looking to structure and grow the business both on the revenue front, margin front, and also in terms of our capabilities.

Coming to the group 's update in Q1 :

We carved out our semiconductor business, Cyient semiconductor , with a mission to design and deliver intelligent, efficient, and secure semiconductor solutions that power the world 's next generations of systems . Data centers, humanoids, industrial automation, and electric mobility being some of the examples that we are focused on. We offer turnkey i.e. end-to-end concept of silicon service covering architecture, design, verification, prototyping, and production enablement. We are supported by a robust supply chain which includes foundry, i.e., the production houses, OSA T partners, i.e. test and packaging partners and test houses in India and abroad.

Cyient Limited

October 16 , 2025

The opportunity here is to create a DLM li ke story for Cyient 's shareholders through Cyient semiconductors. Our growth momentum in this business looks very positive, and I am pleased to announce that we have delivered a strong rebound in Q2 with a 12% quarter -on-quarter growth in revenue reflecting a renewed focus on execution and customer momentum. This follows the challenging Q1 where revenues declined 35% quarter -on-quarter owing to our strategic choices to exit low value deals, non -strategic deals, and also market factors like trade tensions an

d tariffs. With

these headwinds behind us, we are now building the business back on a stronger, more sustainable foundation, positioning Cyient semiconductors for steady growth in the coming quarters. We are also seeing order intake rebound to previous year's levels with A SIC, that is the turnkey end -to-end solution now contributing to 66% of the business and a \$100 million pipeline plus for the year. Although we reported negative EBIT this quarter, and this was primarily driven due to revenue absorption, but more importantly, our ongoing investments both in sales and R&D, i.e., creation of IP that can be reused and resold. We expect the business to stabilize our burn by next quarter and we will become EBIT -neutral sometime in FY27. Our confidence is driven not only by the current performance but by strong underlying momentum and qualitative gains that are not fully reflected in the numbers.

We have significantly strengthened our semiconductor ecosystem, expanding strategic alliances and partnerships with companies such as Global Foundr ies, Anora which enhance our design to manufacturing capabilities and ensure supply chain resilience across technologies and geography. At the same time, we have brought onboard a number of seasoned industry leaders from companies like Navitas, Allegro, Cadence, Am kor etc., who's expertise and strategic insight add depth and credibility to our vision of building a world -class semiconductor company from India.

Complementing this, we continue to attract top tier talent across design , operations and supply chain, creating a high caliber team fully aligned with our mission to establish a globally competitive, innovation -driven semiconductor business. This sustained focus and strategic execution has been recognized through our selection among the top three of the 28 bidders for the government of India 's semiconductor complex modernization program, underscoring our technical depth and execution capability .

Looking ahead, the key marke rs to watch in the near -term are consistent growth in revenue for the next four to five quarters, a revenue run rate of \$50 million and an A SIC pipeline of \$100 million by the end of FY27 apart from becoming EBIT -neutral in FY27 . I want to reiterate, given that we have

invested quite significantly in Q1 and Q2 business es that we will be EBIT -neutral in FY27 and the maximum organic investment towards building this business will be \$15 million and again that will be consumed in FY26 and in some part of FY27 because net-net for 27, we will be EBIT -neutral. As we continue to invest in scale in the ASIC solutions business, we expect this growth trajectory to evolve substantially . Historically, turnkey ASIC companies have commanded valuation multiples nearly 3x those of semiconductor services firms, and as we gain ownership and control over IP, these multiples increase even further. This is a trend that is well established in developed markets and one Cyient Limited

October 16 , 2025

that I see shaping well here and therefore I want to reiterate that we have the opportunity to create a DLM-like situation. I am personally excited about the business prospects, especially given that semiconductors are at an evolving stage or a maturing stage in India with 20% of the world's design talent and no standalone semiconductor company from India. I look forward to your continued support in this very important endeavor for Cyient.

If I may take a moment on DLM, as you know Cyient owns 52% -plus of DLM. I am also pleased to announce that our business has demonstrated substantial increase and sustained positive momentum across key performance indicators such as order intake, revenue, margin, and cash flow. We added two new logos, both very significant, reported a 130% year-on-year growth in order intake for H1 and a much stronger revenue mix which resulted in double-digit margins. I am con

fidant that we will

sustain these margins going forward. Our design-led manufacturing proposition is resonating well with customers, and we have secured a large multi-year B2S deal with the Japanese eVTOL company for design and manufacture of parts for flight control systems. We continue to expand into new market segments such as sustainable mobility and in that regard have been awarded a multi-year manufacturing contract for electric charging systems. These strategic wins reflect our commitment and focus on tapping into the growth potential of emerging sectors. Also, this period of tariff uncertainty has given us a unique opportunity to maximize the impact of our US operations for our clients. We are excited about the opportunities on the horizon and anticipate that the second half of the year will see further acceleration in growth.

I also would like to take a moment to talk about Cyient AI Labs . Given that building a skill-ready India for ER&D and technology sectors has been a strategic priority for Cyient. In this spirit, we launched AI , STEM and Robotics labs in 50 government schools in Visakhapatnam and Andhra Pradesh, empowering over 2,500 students. The initiative brings cutting edge tools and hands-on learning experience to students fostering innovation, future-readiness, and hopefully helping us build a robust workforce for the future.

I am also pleased to report that the board has declared an interim dividend of Rs.16 which is higher than any other interim dividends we have given in the past. The board deliberated quite a bit on this, but was very confident on the growth prospects and the cash flow generation for the DET business . To signal this confidence and reiterate their support and commitment in the management, the board also wanted to declare the highest ever interim dividend to support the confidence that the business has for growth going forward. With this, I will hand over to Sukamal who will take you through some of the key initiatives underway and the business performance of the quarter.

Sukamal Banerjee: Thank you. Thank you, Krishna. Good afternoon, everyone, and thank you again for joining our Q2 FY26 earnings call. Today , I will share my thoughts around , firstly, the views and assessment on Cyient , our focus and priorities and some initiatives that we have launched and close with the business performance for Q2.

Cyient Limited

October 16 , 2025

As I conclude two quarters that passed , I thought it would be prudent for me to communicate to you my impressions of Cyient and our thoughts and how we are looking for a very exciting future ahead for all of us at Cyient. The last few months have been a revelation of our enviable strength at Cyient and the sheer excellence we bring to the table every day with a quiet resolve to help our customers do better. Despite various macroeconomic and geopolitical uncertainties that continue to prevail , we have been focused with a strong sense of resilience and perseverance .

Like I mentioned in Q4 FY 25 investor call, we need to enter a phase of stabilization. I believe we are now over that phase. The results have been strong , moving from a revenue degrowth of 1.9% in Q4 of FY25 to a degrowth of 1.5% in Q1 of FY26 to a growth of 0.5% in Q2, which is the previous quarter in constant currency terms. We will speak more about this details in the call as I go into more details of the Q2 performance .

To talk about the six months' perspectives and initiatives taken, let me start by calling out some of Cyient's clear strengths. First, the engineering DNA and the sole focus on engineering. From day one of my interactions, I felt a deep pride in Cyient's engineering heritage. With over 30 years of solving complex engine challenges across the globe , our expertise across core domains is both rich and enduring. From my experience and vantage point, I can say there is a clear difference

ntiation here.

For example, the design and engineering of jet engines where Cyient contributes to more than half of the engine outcome which by the time we are done with this call will power 250 takeoffs and with nearly 50,000 passengers is a testament to the safety criticality work that we do. We have designed scores of full scope power plants across 12 categories be it fossil fuels, nuclear, hydrogen, and increasingly looking at newer areas like ammonia to cater to the ever-increasing energy demands across the globe, especially driven now by AI data center.

Over the last two decades, we have helped half of the world's population. Yes, that is half of the world's population connect and communicate through our network solutions across spectrums and technologies. That is a very enviable set of credentials to replicate, which comes from decades of engineering excellence. In short, a rich and global expertise across the value chain of products, plants and networks.

If I touch on customer relationships, in my last two quarters, I met hundreds of Cyient customers. One common standout theme is praise for our customer centricity and our strategic commitment through their up cycles and down cycles. Further, we are also recognized by many as a benchmark for excellence. In simple terms, Cyient enjoys a true partner status in our customers' mindshare. From my 30 odd years of experience in the IT and engineering industry of having built large businesses across the globe, I can vouch that this is a very powerful trust that Cyient can harness to build for the future. Delivering for the world, Cyient is truly a global engineering and technology leader that has been focused on creating value for our customers with localized proximity through global delivery centers.

Cyient Limited

October 16, 2025

Over the years, Cyient has been carefully and consciously investing in capabilities and its presence across the globe to our truly world-class engineering and technology solutions partner. More than 90% of our workforce across geography are local nationals, thus driving local agility and leadership, a cornerstone of how we are managing to minimize the execution and business risk in today's macro uncertainty.

Finally, let me talk about values first:

Our foundational principles are anchored in values first are not just statements. They are lived experience across the organization. This is demonstrated in our ability to attract senior talent from other organizations which today suffer from a deficit in this area. Given our business is about people, leadership, and what they produce and what they do, I firmly believe that this is a strength that we can harness, and we can harness fully.

Of course, there are areas to work on. To ensure we sustain the right-to-win in the market, we have to work on two primary vectors:

- First, a performance culture to drive growth and predictability back into our business.
- And second, the technology investments and adoption of the same in our business so that we can further strengthen our value proposition in high growth areas.

I will talk broadly about how we are addressing the above improvement areas and our focus initiatives there on. We plan to host an Investor Day later in Q3 of FY26 where I will cover more details, but to give you a preview, let me focus on some of the priorities of this transformation. Our transformation agenda is anchored around three, four pillars. We have launched many initiatives across these pillars that demonstrate good progress and results.

- First and foremost, marketplace impact.
- Second, technology such as digital and AI, its adoption and acceleration.
- Third, organizational effectiveness.

From a marketplace impact perspective:

If I talk about go-to-market, we have launched a few key initiatives. Firstly, sales and focus of sales on new business. We have streamlined sales

and restructured responsibilities to allow sales

to focus on new business whether it is from existing customers or new customers while our proven Delivery Engine manages our existing business and its renewals. These initiatives are expected to yield concrete results and measurable outcomes over the next couple of quarters, but we already see early signs and good direction indicators of sales effectiveness and its metrics.

Cyient Limited

October 16, 2025

Key account mining:

As I talked about our enviable portfolio of clients across the industry, I firmly believe there remains a significant headroom for growth for us through deeper account mining, cross-selling of our services from across BUs and from both the core and the new offerings that we are defining under technology. We have taken specific steps and we will continue to make some changes to bring the full impact for the same.

Large deals as a growth driver:

This is an area which we need to invest and ensure we can convert the trust we have earned from our customers over years and decades into large, long -structured deals. We are putting together the necessary leadership in H2 of FY26 to ensure we start seeing the results in the latter half of FY27. Having said that, it is not that we are barren of large deals today. We will continue to enhance that and make it more structured as we go forward. Sales incentive something I touched upon in our Q1 call as well. We simplified our sales incentive policy to bring clarity and focus on parameters for sales. We should be focused on deal wins, including large deals, new logo acquisitions, revenue growth, and remove several back -office performance parameters from the incentive.

Performance monitoring :

Our focused approach on measuring and monitoring key metrics is yielding results in the right direction , reflective in the momentum we have built over the last two quarters. Importantly, we are seeing an increase in pipeline by about 10% quarter -over-quarter and a steady improvement in the quality of our E M and N N deals pipeline. We expect this to improve and stabilize by early FY27 to further build our actions on. In fact, the E M and NN percentage of our overall order bookings or order intake has gone up 50% and the technology portion of our pipeline has doubled over one quarter.

The second aspect, if I may focus, technology adoption and acceleration :

Cyient 's reputation in engineering is well established. We have been managing and transforming engineering and operations data and data models for our customers in various industries for decades now. Data quality, data maturity, and most importantly, the expertise to look for appropriate data sets and parameters become extremely critical for any effective technology solution, especially AI. For this reason, customers trust Cyient with solving their dig ital transformation challenges as we understand what needs to be solved for. Many of these customers have a very complex technology that again something we are very familiar with.

I can cite a couple of recent examples. In Q1, a healthcare client selected Cyient to establish an AI center of excellence to test new cases across their product development, quality and regulatory processes. This was possible because of intimate understanding of their processes, their products, Cyient Limited

October 16 , 2025

and data, and our innovative business model in addressing exploratory AI use case s. We are glad to say we delivered our first set of use cases and the overall scope and hence increased to cover a potential of 200 -plus use cases based on this success. In Q2, a major aircraft tool name chose Cyient for digital transformation of their manufacturing plan s. The customer was facing challenges due to multiple systems at the operations layer leading to siloed information and no single source of truth . As a result , the ability

of the support teams to make decisions was severely hampered. Our comprehensive know -how of data and workflows across aircraft systems, engine ering and manufacturing workflows across the value chain positioned us to develop a more relevant and responsive data -driven intelligence solution for the customer. This was a key reason on why they chose us over the competition which included several tier -one IT players.

We are also proactively enhancing and expanding our capabilities across data, AI, and digital platforms, deliberately strengthening our domain -led advantage. To scale this advantage further, we are investing further into our CTO organization to develop focused offerings, rationalize our portfolio, build capabilities, and for ge strategic partnership. From a rational ization perspective, I had talked about the 3 x3 approach in our earlier call. We have seen good success in both driving these key offerings enabl ed by three technologies, and we will now start continuing to build on this m etrics to start creating new offerings and launch them to move to a 4 x3, 5x3 as time comes. So, sharp problem statement , built on years and decades of domain knowledge infused with modern technology.

All of this is obviously not possible without strong technology leaders. We are strengthening our technology capabilities to accelerate these objectives. In Q2, we appointed a head of technology delivery to oversee all projects within our technology group ensuring execution excellence . He comes with a tenured engine ering leadership experience from a global networking turned hyper scalar giant and recently had work experience, working with a global industrial player in platform development across several pro cess industries. We are also building a team of AI architects to infuse the latest developments and expertise to par offerings and solutions. Equally important is how we adopt technology inter nally. To improve this, we have established an office of AI and transformation to ensure we do not miss out on this opportunity

Therefore, rather than just jumping on the latest industry bandwagon of the AI -first, we are clearly focused on investing in intelligent engineering which is underpinned by a domain plus AI strategy. Our uniqueness is not just being part of the AI bandwagon but being a domain -first and AI -infused company. Our priority is to leverage technology to effectively solve our customers ' challenges through intelligent engineering solutions built on deep domain expertise and the appropriate infusion of digital and AI.

Cyient Limited
October 16 , 2025

Finally, let me talk about organizational effectiveness :

We launched a variety of initiatives over the last two quarters focused on margin improvement , process simplification, and leadership development to drive agility and empowerment and sustainably improve and maintain our profitability.

Firstly, on margin improvement :

We have initiated a margin and efficiency improvement program in view of changing technology and customer requirement. It is focused on driving sustainable margin expansion in streamlining operations and prudent management of discretionary spending. The program is on track and majority of the actions have already been initiated with value realization over the coming quarters. The program is one of the key initiatives in our journey towards 15% EBIT by Q4 FY27, which is a commitment we stand by .

Process Simplification :

The objective here is to simplify or eliminate processes to improve speed and effectiveness and ensure alignment with the market and speed up decision -making , ensure decisions are being taken at the right level s.

Leadership refresh and development :

Over half of our business unit leaders have been in their roles now for less than six months. This fresh leadership, both internal and external, brings renewed energy and perspective to reboot some of our

business and accelerate some of it. Our Chief People Officer, our Chief Technology Officer, and our new CMO, and I have all joined Cyient in the last six or seven months. They bring experience in high growth organizations and what it takes to adopt and drive those.

In addition, we also have a new head of corporate development and strategy to ensure we have alignment between strategy and strategy execution and how we align strategy with the inorganic investments that we would like to prioritize. And we will continue to build and enhance leadership across all levels. People are the core assets of Cyient. We do not just say that , we actually put our money where our mouth is. We have rolled out merit -based increments to nearly 90% of our associates starting in April over the last two quarters with remaining set to be covered in this particular quarter. We have consciously done this ahead of the entire peer group as we firmly believe this is an important aspect of ensuring success versus tactical margin management

In addition, we continue to invest heavily in development initiatives. These include leadership development programs across all levels, a dedicated woman leadership program, and a significant investment in technology career ladder for associates focused on technology excellence, especially focused on AI.

Cyient Limited
October 16 , 2025

In summary, I am extremely proud to be part of this very rich legacy of Cyient rooted in values first and in customers and people centricity. I am very confident and excited that my leadership and I are scripting the decisive next chapters and evolution of Cyient in it, to build a Cyient that is stronger, better, and bolder than before.

I would now like to turn to Q2 FY26 performance results and share some quick views on the same :

Cyient DET grew by 3.3% quarter -over-quarter and 4.5% year -over-year in INR terms, which is 1% quarter -over-quarter and 0.1% year -over-year in US dollars. In constant currency terms, this translates to 0.5% quarter -over-quarter and a negative 0.6% year -over-year more or less flat.

The EBIT percentage margin stood at 12.2%, up 16 bps quarter -over-quarter despite wage hikes, several seasonal headwinds, which reiterates the steady progress I mentioned previously that we are working towards quarter -over-quarter.

Importantly, Q2FY26 witnessed a very strong recovery across our major business units.

Transportation and mobility unit and the network and infrastructure units delivered 3.9% and 3.6% quarter -over-quarter respectively driven by focused account mining and sales approaches across the value chain of our customers. Strategic units cluster witnessed a degrowth which was anticipated and driven largely by holiday season impact in Europe and the ramp down of a large program that we have already talked about.

In terms of Key Business Highlights , I am very happy to report that we added seven new logos of strategic importance across industry. As I mentioned in the previous quarter, our unique built -to-spec proposition in conjunction with Cyient DLM to design and deliver end -to-end products continues to remain strong.

A leading aerospace OEM has chosen Cyient as their B2S partner to deliver high value electronics component that will be delivered for over several years and decades. Our key accounts continue to demonstrate strong revenue growth at 3% quarter -over-quarter and 11% year -over-year, thanks to

our focused account mining as I mentioned previously.

I am also happy to announce that Cyient has been shortlisted for the "Best Mobile 5G Service Innovation Award" at the Global Connectivity Awards 2025 for the Value delivered through Cyient VISMOM AI, our industry-leading AI product that intelligently detects and resolves network issues for leading communication providers.

Cyient also won the prestigious recognition as a "Value Engineering Supplier for 2025" from one of our esteemed customers, Honeywell, for its stellar contribution in innovation of products and processes and optimization of total cost of engineering in oil and gas project. This award is a testament to our strong expertise and customer centricity in driving value beyond engineering to our customers.

Cyient Limited
October 16, 2025

Overall, I think Q2 is a demonstration of resilience and recovery of performance across key verticals, building momentum to deliver strong H2 of FY26. With this, I now conclude my remarks and would like to hand over to our CFO, Prabhakar Atla to provide more color on our Financial Performance for Q2 FY26.

Prabhakar Atla : Thank you, Sukamal. Hello, everyone. Thank you very much for your time today and for your kind participation in the call today.

Krishna and Sukamal have covered much of this in their update, but as a quick summary, here are the key financial highlights for the quarter. And as with the previous quarter, the DET numbers are excluding our semiconductor business. On revenue front, we had a healthy quarter for DET which delivered revenue of \$164.4 million, which is a QoQ growth of 50 bps in constant currency. In rupee terms, at INR1,438 crores, a QoQ growth is at 3.3%. That we delivered this growth despite a fluid macroeconomic environment and the fact that Q2 is a challenging quarter for us due to vacation period in Europe, we believe it is a good directional indicator of the quarters ahead. With this, we also believe that the H2 for DET will be stronger than H1.

On EBIT front, DET EBIT for Q2 came in at 12.2%, which is a 16 bps expansion quarter-on-quarter. The headwinds behind in this quarter include the second tranche of wage hike. And we are happy to report that we were able to fully mitigate this impact with the cost optimization program which is already delivering tangible results. We also had two one-off items in this quarter. One is the headwind of restructuring costs which had a negative impact of about 200 bps on EBIT for the quarter, most of which is one-off. And the other was a one-off tailwind of insurance reimbursement for legal expenses incurred and accounted for in the previous period. Both the above items are included in our margin numbers for the quarter. And the one-off tailwind has to some extent mitigated the one-off headwind in the quarter. With all these puts and takes, we believe that the net EBIT improvement of 16 bps quarter-on-quarter is a quite a good outcome for the quarter.

DET PAT for the quarter is at INR137 crores representing a 16% degrowth quarter-on-quarter and a 16.4% degrowth year-on-year. While EBIT expanded quarter-on-quarter, the overall unrealized FX came as a tailwind to our PAT for the quarter, but at the same time, the QoQ negative momentum of PAT, QoQ and YoY is because these tailwinds were much stronger in the previous quarters compared to the current quarter. Our cash conversion for DET continues to remain very strong. And for Q2, the FCF to PAT conversion was 114% and we remain very focused on cash generation as a key business goal.

Moving on to "Group Performance," which now includes all the four segments of DET, Semicon, DLM, and others. Group revenue grew by 3.7% year-on-year in rupee term, while the PAT grew by 29% year-on-year. Much of the PAT movement year-on-year is due to the negative movement of unrealized gain between these two quarters.

FCF for Q2 was quite strong at INR173 crores, which represents a 117% FCF to PAT conversion for the quarter at group level. We are also very pleased to announce the approval of the Board for interim dividend of INR16 for the current financial year. This is a reflection of our intent to translate the benefits of our strong cash generation with our shareholders. And on that, we also like to take a moment to express our sincere appreciation to all our investors and analysts for all your support and steer as we navigate a fluid macro with some unprecedented macro challenges but laced with some very interesting opportunities which Krishna and Sukamal addressed in their comments and which we believe we are here to exploit.

Cyient Limited
October 16, 2025

With this, thank you again for your time and then hand over the call back to the moderator for Q&A.

Moderator: Thank you very much, sir. We will now begin with a question-and-answer session. The first question is from the line of Moez Chandani from Ambit Capital.

Moez Chandani : Yes, hi, good evening and thank you for taking my question. So, my first question was more in terms of the near-term in terms of Q3 and Q4 of FY26. So, we have seen a very strong rebound in the

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of the near-term in terms of Q3 and Q4 of FY26. So, we have seen a very strong rebound in the

transportation segment. And do you think the segment is going to continue to drive growth for you in the near future? And then also in terms of networks and infrastructure where you have seen a good rebound. So, how do you see things even for that segment going into the second half of FY26?

Sukamal Banerjee : Sure. So, thank you for your question. Firstly, on transportation, we do believe that from the strength of our presence, the market and our positioning, we should be able to sustain growth. And, while I would like not to comment about quarter specifically, if I take a horizon of the next four to six quarters, we definitely see this as an area that we can depend on for consistent and significant growth. When it comes to networks and infrastructure, as I had called out in Q1, and our primary focus right now and our high focus on energy is to actually change the service mix which is far more critical for us, and not that growth is not critical, but while growth is good, we would like to first make sure that we are focused on changing the service mix because that is significantly important for the mid-term and the long-term. So, our focus would be more on how we drive metrics around the mix of services from wireline to wireless mix as an example, but on transportation, we remain confident.

Moez Chandani: Understood. And then on strategic units you mentioned that you know there is one part of it which is holiday-driven and the other was also due to the ramp down of a large project. In terms of the ramp down, do you see that ramp down continuing in Q3 or do you think that that is broadly done going forward?

Sukamal Banerjee: I think we are mostly done with it. There will be still some ramp down in Q3 but I think materiality to overall numbers has gone down substantially.

Cyient Limited

October 16, 2025

Moez Chandani: Alright, understood. And then maybe just speaking on the broader macro environment, right, so you have seen some improvement in terms of growth, Sukamal you called that out in the beginning of the call as well. So, now in terms of macro, in terms of deal flow conversions, etc., do you see some improvement in the macro versus where you were in 1Q, in, deal ramp ups, deal signings, etc.?

Sukamal Banerjee: So, yes, so, obviously, Q1 including the months of April and March, where obviously we had a significant freeze on decision-making and significant spike in uncertainty. I think most of our customers and industries have now understood and digested the changes that are going on in the global macroeconomic situation. So, it has definitely improved. However, I would not like to say that the market environment is strong. I think market environment is definitely much better than the early part of Q1.

Moderator: Next question is from the line of Shradha Agrawal from AMSEC.

Shradha Agrawal : Yes, hi. Congrats on a steady quarter. Two questions from my end. One is you indicated that there was a one-time restructuring expense of close to 200 bps in this quarter. So, what was it related to and any indication on that?

Prabhakar Atla: Firstly, thank you for the question. It is related

ed to the cost optimization that we were doing under which we have to restructure some part of the operation, especially around people that we have and therefore much of it is one-off for the quarter.

Shradha Agrawal : So, is it related to employee layoff and one-time severance payment to such people?

Prabhakar Atla: Yes.

Shradha Agrawal : Okay. So, this entire impact is baked in for this quarter, or we expect some residual impact in next quarter as well?

Prabhakar Atla: Much of it is in the current quarter. There could still be some more continuous activities we do as a part of the business-as-usual operation that we optimize capacity capability. But what you see right now is the largest piece of what we would do in the current year.

Shradha Agrawal : And what was the quantum of the one-time gain on the insurance reimbursement benefit that you got?

Prabhakar Atla: It is actually a bit lesser than the headwind. So, the headwind was about 200 bps on restructuring and tailwind was much a bit lesser than that.

Shradha Agrawal : Right. And in terms of aerospace and transportation, while you have indicated that macros have gotten a little better, but in terms of growth for us, is it still led by MRO activities or have we started seeing some green shoots of recovery in design-related activities as well?

Cyient Limited

October 16, 2025

Sukamal Banerjee: So, I think it is a mix of service areas that we are seeing recovery. So, I would not call out design as a significant contributor yet. As you know obviously whenever a new design gets announced, it is pretty worldwide public news and no such announcement has happened. So, while we continue to do design for business jets for many other smaller aircraft carriers or airframe manufacturers there are always variations and extensions that are done to existing design, which is also design work. While that continues, our work remains varied across the product as well as the aftermarket of the products. We are seeing significant traction in cross selling across digital and AI. So, our technology infusion across aerospace and the transportation sector in general has also picked up significant momentum.

Shradha Agrawal : Right. And so you indicated that your second half would be better than the first half. This is despite

furlough's impact. I know for us the furlough impact is relatively higher in 2Q because it is holiday season, but in terms of growth trajectory going into 3Q, do you expect 3Q would have better growth compared to 2Q on a QoQ basis despite the furloughs in other verticals?

Sukamal Banerjee: Yes, so, I think first thing, as we mentioned previously also, we maintain our no guidance policy. Second, our intent is to continue the trend I talked about in terms of quarter-over-quarter improvement, in our quarter-over-quarter performance. So, that trend is something that we are very committed to making it happen. Third, as we have discussed, we have a healthier pipeline on our near-term programs and projects that we can convert for Q3 and Q4. I would probably leave it there in terms of giving you an answer for the H2 versus H1.

Shradha Agrawal: And we have discontinued giving our order intake number, but any qualitative indication on what that number should be as in how much is the improvement in order intake number for this quarter in terms of any improvement in the closure cycles that we have seen or what has been the improvement in the pipeline buildup?

Sukamal Banerjee: Yes. So, order intake remains healthy. As I mentioned, our order intake not just in terms of absolute numbers, but quality of order intake, which is essentially new business as a percentage of overall order intake is going up. Our order intake as a percentage from a technology standpoint which is digital and AI which is critical for Cyient growth strategy is going up. So, I think definitely we are in the right direction. So,

o, it is not just an indication from pipeline, order intake is also in the right direction.

Shradha Agrawal: I mean generally every year 3Q we do see a good amount of renewal happening and that trend would follow this year as well?

Sukamal Banerjee: That is correct.

Shradha Agrawal: Okay, thank you. That is it from my side.

Moderator: Thank you, sir. Next question is from the line of Sulabh Govila from Morgan Stanley.

Cyient Limited

October 16, 2025

Sulabh Govila: My first question is a bit bookkeeping question. So, I just want to check this order intake number that we were calling out, which is the non-renewable portion, which was 21%, last quarter. What is that number for this quarter?

Sukamal Banerjee: That number is 27% now.

Sulabh Govila: Okay, understood. And then, secondly, with respect to networks, when we talk about change and mix that we are trying to do from a medium to long-term perspective, I know you called out, wireline going to move towards wireless, but from a service line perspective if you could highlight what is it that we are trying to change and what can that change lead to?

Sukamal Banerjee: Sure. So, you might be aware that Cyient's business has been built significantly on our strength on fiber technology, and essentially doing fiber design, fiber rollout, and essentially creating access to the wireless side. That has been the core strength of Cyient for quite a few years and I would say even decades. Obviously, fiber roll out and fiber investments continue to be healthy. So, it is not a business that we see any kind of significant challenges in the near future, but, where we believe the real growth and the technology harnessing can happen is from the acquisition we had done with Celfinet two, three years back, where we have capabilities on manageability, observability, around wireless networks including the WISMON AI platform, which I talked about a little while back which got awarded even in Q2. We would like to create service offerings which are more focused around how do you drive network automation and more importantly network autonomy. Leading network carriers today in the world are between level 2, level 3 autonomy, and everybody aspires for level 5 autonomy in the next four to five years or even sooner in some cases, and we are working with them and the CTO organizations of the network carriers to help them adopt autonomy of their networks, which is where we are spending most of our energy in terms of building a network.

Sulabh Govila: Understood, understood. The next question is with respect to the changes that you highlighted, it is quite a bit of I would say, detailed level of changes that were mentioned and it actually covers the breadth of the organization. So, from an outside perspective it is difficult to understand those how they are progressing, etc., but just wanted to understand that whatever you have seen so far, what areas within these would you classify that are the most difficult or would take the most amount of time for you to see some sort of results?

Sukamal Banerjee: I think there was a similar question in the last call as well, so I will probably repeat the answer from that, which is changes which are more with regards to areas of focus, policies, how to do reprioritizing of focus, which are more concrete. Black and white is always easy to do. And most of them have fallen in place. There is definitely a change management aspect, which is necessary in order to adapt to the performance culture that I referred to. That is something which will take some time. We will definitely make sure that we stay patient and stay perseverant in making that change happen.

Sulabh Govila: Understood. And then lastly on the margins bit, just wanted to understand that while on growth, we called out that H2 will be stronger than H1. From a cadence perspective, how should one think about

the margins in the rest of the year? And given that you have already started with some bit of wage hike for most of the associates, so how should one think about H2 on growth better than H1, how should the margin cadence pan out?

Prabhakar Atla: Thank you for the question. In line with the revenue commentary on the second half the year, we also believe that the H2 margin will be stronger than H1.

Sulabh Govila : Okay . And that will be a function of operating leverage on growth or there are other levers which will help with that?

Prabhakar Atla: Both. It is not only revenue dependent, it is also a number of things that we are doing. We spoke a little bit about the cost optimization program in the earlier part of the conversation. So, the results are becoming more and more tangible today. So, we also see benefits coming from that and a number of others.

Sulabh Govila : Understood. Thanks for taking my question.

Prabhakar Atla: Thank you, sir.

Moderator: Thank you. Next question is from Nitish Rege from ChrysCapital.

Nitish Rege: Hi, thank you for the opportunity. Just following up, my questions will be on EBIT margin from next quarter. So, since we do not have any restructuring costs in the next quarter, can we expect a 100 basis points to 200 basis points expansion in margin because there will be a benefit on the cost side, right?

Prabhakar Atla: So, tempting as it is, we will refrain from commenting on the quarterly guidance for revenue or margin at this point in time . I will just come back and say that you have very good observation. We believe that H2 is going to be better than H1 by margin.

Nitish Rege: Okay, thanks so much.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments. Thank you and over to you, sir.

Krishna Bodanapu: Thank you very much everyone for taking the time for this call this evening. I thought it was important to give you all a good overview of the semiconductor business considering it is very strategic and it is still in investment mode. I also thought it was important for Sukamal to give an overview of the state of the business and the way forward. And if I may say, the way forward looks very promising thanks to a very strong focus Sukamal has brought on operations, leadership, and technology adoption. Sukamal will of course keep you updated periodically on the progress of these

Cyient Limited
October 16 , 2025

changes. The board also strongly believes in the growth prospects signaled by the increase in the interim dividend. So, all in all, I believe we find ourselves in a good place and well positioned to deliver as Sukamal and Prabhakar said a stronger H2 both in revenue growth and margins compared to H1. Thank you for your support and I look forward to speaking to you again next quarter.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Cyient Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Dec 2025

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24 December 2025

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Dear Sir/ Madam

Sub.: Transcript of the conference call

Please find enclosed the transcript of the conference call held in connection with Cyient Semiconductors
Acquiring Majority Stake in Kinetic Technologies on 18 December 2025 .
This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 13

Cyient Semiconductors Conference Call

December 18, 2025

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE CHAIRMAN
AND MANAGING DIRECTOR , CYIENT LIMITED
MR. PRABHAKAR ATLA - PRESIDENT AND CHIEF
FINANCIAL OFFICER , CYIENT LIMITED
MR. SUMAN NARAYAN – CHIEF EXECUTIVE OFFICER ,
CYIENT SEMICONDUCTORS
MS. RAMYA MOHAN – CHIEF FINANCIAL OFFICER , CYIENT
SEMICONDUCTORS

Cyient Semiconductors
December 18, 2025

Page 2 of 13

Moderator : Ladies and gentlemen, good morning and welcome to the Cyient Semiconductors
Conference Call hosted by Cyient Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal the operator by pressing * then 0 on your touchtone phone. I now hand the conference over to Mr. Krishna Bodanapu from Cyient Limited. Thank you and over to you, sir.

Krishna Bodanapu: Thank you very much, Ryan and good morning, ladies and gentlemen. I am Krishna Bodanapu – Executive Vice Chairman and Managing Director of Cyient Limited and present with me on this call are Prabhakar Atla – President and Chief Financial Officer, Cyient Limited; Suman Narayan – CEO, Cyient Semiconductors and Ramya Mohan – CFO, Cyient Semiconductors.

Firstly, thank you very much for joining us today, especially on very short notice. I am very excited to share some transformative developments that position Cyient Semiconductors as a leader in India's semiconductor ecosystem and a global player in power efficient solutions for AI and industrial applications. As I have stated before and in prior calls, we carved out Cyient Semiconductors with a mission to become India's first and largest semiconductor company, owning intellectual property and delivering chips through a fab less model. This was done only about nine months ago and I am very proud to say that we have made significant progress in this journey and that is the reason for requesting you to be on the call today to update you on a very significant milestone, but also give you some color on some other announcements that we have made in the very recent past.

There are three parts to our journey. There are three objectives or three goals. First is delivering high -end services. Second is providing end -to-end custom chips that is owning the design of the chip, manufacturing of the chip, OSAT, which is the fabrication, testing and packaging, which we refer to as turnkey ASIC, and lastly, developing our own custom chips for specific applications. I am very pleased to say that on each one of these pillars of growth, we have made significant progress aligning our strategy and setting ourselves up very well for next year. A testament to our strength in services is our recent win with the Semiconductor Complex of India Limited, an announcement which SCL themselves had made and which reflects growing customer confidence in our ability to deliver complex semiconductor programs, especially those of national interest.

Cyient Semiconductors

December 18, 2025

Page 3 of 13

In the second pillar, which is custom ASIC, we have worked with Azimuth to design and deliver India's next generation smart meter chip, which you may have seen Minister Ashwini Vaishnaw himself launched, which is a great testament to our capability and again, another very important part of the initiative to support the government's focus on developing intellectual property for semiconductors in India. Now coming to the third pillar, i.e., the pillar of developing our own custom products for specific applications. Given our strength in power and power management, our focus is to develop our own products for power -related applications, especially for applications that consume a lot of power, data centers, artificial intelligence, electrification, including electric mobility and industrial applications. Worldwide, leaders have pointed out the fact that power is the single biggest deterrent to the adoption of AI. You may know that a single AI query consumes a hundred times as much power as a Google query. Globally, the AI electricity demand will reach 21% by 2030, which to put it in context is roughly the same as the combined electricity use of

India and Japan put together today, and this is just to let servers run. It is clear that one of the biggest problems to scaling AI at scale, and of course, AI is one element, but like I said, other elements like electrification, electric mobility, data centers, is having dramatically more power -efficient chips. We are developing our own custom products to cater to this particular market. We have completed a product portfolio definition. We have filed for patents and we are well on our way to define the product architecture, and this is a remarkable achievement within a six -month time frame, which establishes the company and provides a solid foundation, and I especially want to compliment the leadership team, two of whom, Suman and Ramya are on this call, but a much larger leadership team who are working on product development, product architecture, etc., and I'll reiterate that what we have achieved in about nine months now is remarkable. This third pillar is what the majority stake in Kinetic Technologies, which we had announced last evening India time, comes in. It is not an expansion, but it accelerates our product strategy. Like I said, we have defined a product strategy, the product architecture and execution, and this accelerates this execution. Kinetic already has proven products and 100 plus intellectual properties, which almost doubles the market size that we can address for data center, AI, and industrial applications. This acquisition

thus plays a critical role in further strengthening and accelerating our IP -led play, which will subsequently position Cyient Semiconductors for substantial growth, greater revenue visibility, and strong longer -term returns. Kinetic Technologies has over 20 years of experience in the industry. They were founded around 2006, deep customer relations, and they not just build products and IP, but more importantly, the ability to participate in the ecosystem, which accelerates our journey significantly. The Cyient Semiconductors
December 18, 2025

Page 4 of 13

acquisition is expected to be EPS accretive from year two, but will be EBIT accretive right from year one, which will be our FY27.

In line with our mission, we have made targeted and disciplined investments and partnerships over the last 6 to 9 months. These significantly strengthen Cyient Semiconductors foundation and position the business very well for substantial growth. These investments have focused on strengthening talent, expanding capabilities, and building a robust partnership ecosystem and you would have seen multiple announcements along those lines with companies like Navitas, GlobalFoundries, MIPS, etc., to say the least. We also have maintained a clear line of sight for revenue and margin expansion.

I am personally very excited about the business prospects, especially given that semiconductors are at a ripe stage for evolution in the Indian market. 20% of the world's design talent is available in India for this segment, but there are no standalone semiconductor leaders from India, and that is what we are excited to address and build on. Cyient Semiconductors is uniquely positioned to fill this gap, scale globally, and in nine months, we have made tremendous progress towards our goal and strategy and have demonstrated strong executional agility, which gives me the confidence that we will succeed. We have the opportunity to create a very substantial business along the three pillars of high -end services, turnkey ASIC, and custom products and I am confident that we will make history as the first semiconductor product Company from India with products for the world, but of course, underlined by a strong demand in India itself for these products. I continue to look forward to your support in building this business out.

With this, let me hand it over to Suman, who will take us through some of the details of this acquisition, that is of K

inetic Technologies, and more importantly, lay out the broader strategy and his growth plans for Cyient Semiconductors. Over to you, Suman.
Suman Narayan: Thank you, Krishna, for setting the context and framing the journey we are on. Let me now walk you through the thinking behind our business, the transaction, and most importantly, where this journey is taking us. The first question the investors naturally ask are, why is there a three -pillar strategy? Who are we trying to become? And how does Kinetic fit into this investment thesis? Having built and run multiple semiconductor businesses over the last 30 years, one lesson stands out clearly to me. True product differentiation, scalable and profitable growth, and long -term shareholder value in a semiconductor business is created through sustained investment in R&D, Cyient Semiconductors
December 18, 2025

Page 5 of 13

control of the semiconductor ecosystem for cost reduction, and the ownership of intellectual property and patents. The Government of India recognized that the country lacks global -scale R&D and IP -owning semiconductor companies, and is actively pushing to change this through policy support and ecosystem investments. This creates a powerful structural tailwind for companies like us that are willing to make this transition. Our services business, the first pillar of our strategy, delivers three outcomes, cash generation, near -term revenue growth and continuous technology refresh for our teams. Over the last 20 years, we have built deep credibility in semiconductor service and evolved from a staff augmentation to a high -end outcome -driven engagement, creating a stable foundation to fund and de -risk our product strategy. A clear proof of our high -end service offering is our win to execute the SCL fab in Mohali for a 180 -nanometer process upgrade, a complex multi -partner program that demonstrates our ability to orchestrate ecosystems, integrate global technology partners, and deliver large -scale, mission -critical semiconductor programs. Growth opportunities in semiconductor services lies also on advanced nodes below 7 nanometers driven by AI and high -performance compute. Our second pillar of the business is our custom ASIC turnkey, a bespoke model that is

built to order. This is our mid-term growth strategy engine for the next 2 to 3 years. Demand for custom chips is growing three times faster than standard products, yet the market remains structurally underserved, and mid-tier customers are left without dependable partners for higher levels of integration and low volume production. And this is the gap that we are targeting. With over 600 IP blocks, 40 delivered ASICs, and decades of experience, we offer a differentiated execution model, front-end architecture led from Europe, and the back-end execution scaled in India. Our ability to deliver high integration, form factor reduction, seamless customer IP integration and efficient low volume production uniquely positions us to win in the custom ASIC market. As Krishna mentioned, our smart metering SoC developed entirely in India is a great example which demonstrates our ability to deliver high customized silicon at scale from architecture to production.

In short, our ASIC business combines the above market growth, deep customer stickiness, and capital efficient execution, forming a strong foundation for our third pillar of the strategy, which brings us to the ASSPs or application-specific standard products, where we are targeting specific end markets with our own custom IP and design flows to build custom products in power. These are high-value custom power platforms designed for high growth markets, AI data centers, Edge AI, industrial automation, and electrification markets, where performance, efficiency, and reliability directly translate into pricing stickiness, higher margins, with large volume production.

Cyient Semiconductors
December 18, 2025

Page 6 of 13

As global electricity demand continues to be driven high by AI, we need more power semiconductors over time to drive power conversion. In fact, power semiconductors are the largest analog and mixed signal market with over a \$40 billion TAM, and it's most disrupted because of AI. As Krishna mentioned, we already completed a product definition across two product portfolios that are focused on high-voltage 800 volts AI data center custom products to address this challenge. In just 3 to 4 months, we have engaged with 15 plus customers, iterated on product architecture, and filed patents around our differentiated approach. We are now entering the build and revenue phase, which requires both time and investment, and this is where Kinetic Technologies becomes transformational in this acceleration for us. They are experts in improving efficiency for power conversion and reducing losses.

What excites me the most about Kinetic comes down to four reasons. First, the acquisition doubles our addressable market to \$8.5 billion and gives us a clear path to leadership in power conversion technologies for Edge AI and data centers, where Kinetic already has proven offerings. Second, Kinetic brings about 250 ASSP products and 100 plus product patents, which we can cross leverage both across our third pillar of ASSP custom products for the power market, where we own our own IP, and our second pillar, which is custom ASICs. This is why we believe that future revenue growth will be non-linear for us.

Third, Kinetic customer relationships are exceptionally deep. Most customers have been with them for 10 plus years, reflecting strong product conviction, high switching costs, and the enduring value of their IP. Their ability to pivot and extend core IP to increase transient response is particularly compelling.

Fourth, Kinetic is immediately financially accretive. It will be more than double semiconductor revenue for Cyient Semiconductor, along with positive EBIT, cash generation, and sustainable EBITDA margins, meaningfully higher than our services business.

In summary, Kinetic accelerates our power strategy by years, expands our market opportunity, strengthens our IP model, and improves our financial profile, making a critical step in building a high margin global power semiconductor company from India for the world.

You may have heard of our recent partnerships we announced in the semiconductor ecosystem. Let me explain how they fit into our strategy. Building a successful semiconductor company requires five critical building blocks, and we have been

Cyient Semiconductors
December 18, 2025

Page 7 of 13

deliberate about assembling each one. First, the fab access and wafer economies. You need a foundry partner that provides reliable supply and favorable pricing because the wafer alone accounts for up to 60% of the cost. That is why our partnership with Global

Foundries is very important. Second, assembly, packaging, and test. Assembly and packaging are the second largest cost components and also a source of product differentiation. This is where our advisors like S hiva from Amkor brings deep expertise. Third, EDA tools access and alignment with India's semiconductor mission. Here's where Jaswinder Ahuja plays a clear key role for us. He's the advisor to the ISM and former head of Cadence, the leading EDA vendor, and gives a strong alignment on tools, talent, and policy. Fourth is tests and validation at scale. Power products made will succeed only if they perform reliably in real -world conditions. That's why we partner with Anora, a leading test solutions provider in semiconductors, for validating our products at scale. Finally, we have access to compound semiconductors like G aN for data centers by partnering with Navitas to deliver system -level solutions for high -voltage G aN technology is essential, and ou

r partnership with Navitas, a global leader in G aN, allows us to co -develop new products and service the Indian market effectively. This is how partners and advisors have come together to fit and align with our strategy. The result is a business with durable margins, expanded profitability, and profits that grow faster than revenue , exactly the model long -term semiconductor investors reward. In short, with this ecosystem partnership, Kinetic accelerates our roadmap, strengthens our mode, and moves us decisively towards building a high -margin, globally relevant pow er semiconductor platform.

In summary, our mission is to build India's largest semiconductor custom product company, serving global demand through three -pronged strategy that we talked about on services, custom ASIC, and proprietary products, driving long -term growth and sustainable value creation. The acquisition of Kinetic significantly accelerates its journey by doubling our revenue, doubling our addressable market, and will be accretive by the year two. Importantly, we will be the first company in India with a meaningful proprietary custom product portfolio and own semiconductor IP, a distinction that fundamentally sets us apart. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will n ow begin the question -and-answer session.

Please note, this call is being hosted for Cyient Semiconductor. We request participants to kindly restrict their questions to the semiconductor business. Queries related to other Cyient group companies will be addressed by the management separately. We take the first question from the line of Sandeep Shah from Equirus Securities .

Cyient Semiconductors

December 18, 2025

Page 8 of 13

Sandeep Shah: Thanks for the opportunity and congratulations. The first question is, just looking at the financials of the acquired company, despite you are highlighting it is into domain of power consumption and efficient power consumption, which to some extent world over because of the proliferation in AI led infra and data center , the consumption has actually gone up while the revenues of this company has come down. So, what has led to this? And in parallel to that, do you believe 3.5x price to sales is an expensive multiple?

Ramya Mohan: Thank you, Krishna. I can take that. So, two parts to the answer. The first one is with respect to their own revenue, the Company did pivot away from , earlier there were focus sed a lot more on consumer. They pivoted away from consumer and smartphone a few years back. So, they are in the build journey back. And the second is they did divest some of their non -core, non -strategic business, which has also resulted in some of the drop in revenue. So, the momentum going forward is pos itive. That's the first question.

The second question is in terms of the multiple for this particular company or for this particular deal, overall the multiple will work out to be around three times revenue. And if you look at semiconductor company in terms of the global benchmarks, the median multiple for this kind of a company is anywhere between 5 x to 6x. So, even the lowest end is 3x. So, we have a very competitive multiple in terms of the deal structure itself.

Sandeep Shah: Okay. So, can you give us the color in terms of current revenue and the industry mix? Is it largely now power and industrial product?

Ramya Mohan: Sure. The current revenue of the Company estimated for this year is \$40 million. The mix, the products are predominantly in power. In terms of the applications, it's spread across a few segments - Industrial, data center, consumer is also a big segment, which is essentially smartphones, computers, and Edge AI applications.

Sandeep Shah: Okay. And when you say EBIT accretive , that means it makes absolute positive EBIT, right?

Ramya Mohan: Yes. Next year, the EBIT will be positive, barring D&A from acquisition .

Sandeep Shah: So when we say EBIT positive is excluding the intangible amortization?

Ramya Mohan: Yes, for the next year. But in the longer term, that's why EPS accretive from year two.

Cyient Semiconductors

December 18, 2025

Page 9 of 13

Sandeep Shah: Okay. And just in terms of source of finance, how we are looking to finance this in terms of internal accruals and debt?

Prabhakar Atla : Thanks for the good questions. Firstly, as you know, we have adequate cash to meet all these requirements. You're already aware of the cash position we have. We will be able to provide cash to fund this transaction immediately as needed. But that said, we will look at all possible instruments to optimize the shareholder value as we execute this deal, including some instruments such as debt.

Sandeep Shah: Okay. And just the last thing, for this acquisition, we would like to build up organically, try to digest this because this is a new domain or are we still open to scale up growth through inorganic, especially in semiconductor as a segment?

Krishna Bodanapu: I think if I may just answer that, Sandeep, I'll say that our intent is to really rapidly scale this business. I think this gives us a very, very good foothold. So, at least from a scaled acquisition at the moment, we will really look at how we can digest, integrate, and really grow this. Of course, there might be tactical acquisitions, which will help us with a certain IP, certain parts of the product portfolio, etc. But we believe that this is a very good starting point from a scaled product IP portfolio. It gives us a big portfolio. It really sets the ball rolling. So, right now, we would first try to get this integrated, digest it before we do too much, at least from a large strategic perspective, even in Cyient Semiconductor s.

Sandeep Shah: Okay. Thanks and all the best.

Moderator: Thank you. We take the next question from the line of Raja s from Chrys Capital Clarus .

Rajas: So, the outsiders, I mean, could you please give us some idea about the peers that you have across all your three business segments that you highlighted earlier, so that we can get a better understanding of whom to benchmark against in all these three different products?

Suman Narayan: On the services businesses that we have Tessolve that would be a peer. On the ASIC, turnkey ASIC business, there are several folks that like EnSilica and folks in Europe and ICsense would be competitors for us. And on the ASSP business, we are really on the custom ASSP business, we are primarily looking at folks like MPS, who are high growth power company, would be our peer group.

Rajas: Understood. And, looking at the revenue trajectory here on for Kinetic, how should one really think about that? And along with that, the margin profile, you highlighted Cyient Semiconductors

December 18, 2025

Page 10 of 13

that will be EBIT positive next year. So, what should really drive this margin trajectory within Kinetic there?

Suman Narayan: See, the margin in semiconductor businesses, about 60% of the margins comes from wafer pricing. And that's why I said that the ecosystem partnership is super important for that to get a really good wafer pricing. And that's really the reason for the partnership with people like, either it's Dongbu Hi Tek or if it's Global Foundries , you need that partnership. The rest comes into assembly and test. And the last is primarily, looking at year -on-year reduction on the COGS side, it's usually we are looking at a 3% to 4% reduction, which maintains your margin. In this sort of business, mid 45 % to 50% margin is definitely possible. And that's where I think we will end up next year as well for this business.

Rajas: Okay.

Ramya Mohan: And that's at a gross margin level, just to add. At an EBIT margin level, we will be in the medium term, a few percentage points higher than the service busin

ess.

Rajas: Understood. And at an overall consol level, how should one think of the P&L, let's say, in CY 26, possibly? Once this is integrated, once Kinetic is integrated into our standalone semiconductor business, how should one look at the overall consol P&L, one or two years out?

Ramya Mohan: We stick to our commitment of delivering flat EBIT for organic business by the end of next year. That's the goal we are working towards. And some of the deals also help in that trajectory. So, overall, towards the longer term, the combined entity should be EBIT generating and growing. Obviously, right now, we are still in the signing phase. So, we have to get to the closing phase, and we have to look at the combined business plan, etc. So, that's going to take a few more quarters.

Rajas: Okay. All right. Thanks a lot. Thank you. Wish you all the very best.

Suman Narayan: Thank you.

Moderator: Thank you. We take the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. A few questions. First, just to understand what is the client concentration in this business? If you can give some sense on that, and how would be typical engagement plays out here, and renewal and maybe a recurring kind of part, if Cyient Semiconductors

December 18, 2025

Page 11 of 13

you can help us understand. Second question is about revenue growth profile. What kind of revenue growth one should expect this business to deliver or medium term kind of thing? Third question is about current revenue mix across three pillars, which you indicated. If you can give some sense, what is the current mix and how do you expect it to evolve over medium term? And last question is, as per the press release of 65% of off stake which we intend to get after the transaction, any line of sight to get full control? Thanks.

Ramya Mohan: Maybe I'll go from the bottom and then Suman can talk about the customer mix and customer concentrations. So, the deal is structured such a way that we should be getting anywhere between 70 %-75% at the end of the deal. That's why it says about 65%. We have allocated some unlisted options and ESOPs for employee retention, etc. So, in the longer term, we might be anywhere at 65 %-70%. For full control, the line of sight to that is a four -year horizon, where at the end of the four years, we do anti cipate to provide some kind of a liquidity even t to the founders, which is linked to the performance of the Company. So, that's the line of sight towards the full ownership of the business. That's your last question. In terms of the third question, which is around the revenue trajectory, the revenue trajectory of the business is driven by multiple factors, but we are looking at somewhere around 15 %-20% growth consistently year - over-year from that particular business alone. On the customer mix and the distribution mix, I'll hand it over to Suman to respond.

Suman Narayan: So, thank you, Ramya. So, the top 10 customers probably account for like 40% of the total revenue. 60% of the business really goes through distribution, which is pretty normal course in the semiconductor business for these customers.

Dipesh Mehta: One question is pending. Current revenue mix between the three pillars which you indicated?

Ramya Mohan: The current revenue mix for us internally, the ASSP business, as we said, is in the start phase. We are just in the product definition phase. So, that revenue is zero. Between ASIC turnkey and the services business, the share of ASIC turnkey has been consistently increasing. Today, it's roughly around 35%, last quarter it was around 35%. And in the long term, in the medium term, we expect ASIC turnkey to be above 50% of the revenue mix. And then in the longer term, of course, ASSP will take lea d. This is the organic business.

Dipesh Mehta: Understood. Thank you.

Cyie

nt Semiconductors

December 18, 2025

Page 12 of 13

Krishna Bodanapu : Ramya, perhaps you can just give a little bit of color of how the business will look like once Kinetic has also acquired, how the revenue mix will look ?

Ramya Mohan: So, at the end of FY 27, the revenue mix should be that the ASSP business, which is the third business, the custom product IP business, thanks to Kinetic will be almost 50% of our business, or 50% to 55%. The custom ASIC turnkey at that level will be 30% of the business and th e rest of the services, thanks to the SCL deal that we won.

Krishna Bodanapu: And I'll also add to that, that our intent is to really maintain a good balance, which is really 50 % plus ASSP, 30% to 35% from turnkey ASIC and really the services business to remain around at 15%. We believe from a margin perspective, but more importantly, from what we are also building strategically, it will be a very good mix. And I think I just want to therefore highlight the SCL deal also, because that helps us sustain the services business, which as Suman said in his opening remarks, is very important for cash flow and sustainability. So, I think we are headed towards the right mix that we wanted. And that's very important for this sustainability.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Prabhakar Atla for his closing comments.

Prabhakar Atla: Thank you, moderator. Thank you everybody for joining this call in such short notice. Thank you for participating in our journey. Thank you for your interest and for your time today.

In summary today, we had three messages that we were trying to deliver. The first one is this, that semiconductor is a rapidly evolving and a very interesting space for us to be in, with the potential for significant growth for Cyient. The second message is this, that our ambition in this business is to become one of the world's leading fabless semicon houses, especially out of India. I'll underline, especially out of India. The third message we were delivering is this, that our strategy and approach for this business in semicon is around three vectors. The first vector is the vector of competency and proposition. The second vector is the vector along the segments in which we will play. The third vector is the approach we will take to build this business. As Suman spoke eloquently before, along the vector of competence and proposition, we are focusing on three elements. One, the services; two, the turnkey ASIC, and three, the ASSP, which is application-specific special products. Along the second vector of segments, we are very clearly focusing on data centers and AI, networking and industrial, and automotive with the electrification trend that we are seeing increasingly in the world. Cyient Semiconductors
December 18, 2025

Page 13 of 13

today. In all these segments, we are focusing on power management as a key theme and a key differentiator for us. The third vector of approach, we are focusing on three elements. One, the organic business, developing it with investments. Second, building of partnerships. And the third is inorganic approach that we have just talked about in the call today.

And all the steps you have seen, we have taken so far in this business of Semicon, including setting up of a subsidiary, including building a very strong leadership team including Suman, Ramya, and a number of others that we have in the business today. Building partnerships such as with Azimuth, the pursuit of the large deal in India that Krishna talked about, and now with this acquisition, all these steps are very clearly articulated, very carefully choreographed and very consequently executed steps in the above direction. And as you will see, each of the steps we talked about so far will fall into at least two, if not three, of the

the above vectors we spoke of earlier. And with what we already have in this space as a legacy, with what we have done so far, and with what we will execute going forward, and with all your continued support, we are very confident of achieving our ambition, and to repeat ourselves, our ambition of being and becoming one of the world's leading, fabless Semicon houses, especially out of India, and create appropriate stakeholder value in this business. With this, I'll thank you all for your time, I'll wish you a good day, and we will stay engaged with you. Over to you, moderator please.

Moderator: Thank you. On behalf of Cyient Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your line.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

Call: Jan 2026

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Scrip Code: 532175 Scrip Code: CYIENT

Dear Sir/ Madam,

Sub: Transcript of the earnings conference call

Please find enclosed the transcript for the Q3 FY26 earnings conference call conducted after the meeting of Board of Directors held on 22 January 2026.
This is for your information and records. Thanking you For Cyient limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 17

Cyient Limited Q3 FY26 Earnings Conference Call

January 22, 2026

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR , CYIENT
LIMITED

MR. SUKAMAL BANERJEE – EXECUTIVE DIRECTOR
AND CHIEF EXECUTIVE OFFICER , CYIENT LIMITED

MR. PRABHAKAR ATLA – PRESIDENT & CHIEF
FINANCIAL OFFICER , CYIENT LIMITED

Cyient Limited
January 22, 2026

Page 2 of 17

Moderator : Ladies and gentlemen, good day, and welcome to Cyient Limited 's Q3 FY 26 Earnings Conference Call .

As a reminder , all participant s' lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishna Bodanapu – Executive Vice Chairman and Managing Director. Thank you, and over to you, sir.

Krishna Bodanapu: Thank you very much, and good evening, ladies and gentlemen. Welcome to Cyient Limited 's Earnings Call for the 3rd Quarter of Financial Year 2026.

I am Krishna Bodanapu – Executive Vice Chairman and Managing Director; and present with me on this call are Sukamal Banerjee – Executive Director and CEO ; and Prabhakar Atla – President and CFO.

I would like to mention that some of the statements made in today 's discussions may be forward - looking in nature and may involve risks and uncertainties. A detailed statement in this regard is available in our investor update, which has been e -mailed to you and is also posted on our website. The call will be accompanied by an Earnings Presentation , the details of which have already been shared with you.

At the beginning of this financial year, we are reporting group performance under 4 segments: DET, which now excludes our Semiconductor business and is the crux of the Technology Services business of Cyient. DLM, which is Cyient DLM and design -led manufacturing, semiconductors and others.

As always, the focus of this call will remain the DE T segment. And to that extent, all numbers for D ET segment are like -for-like to the previous period, which basically means that these numbers are restated to exclude our Semiconductor business . And the group numbers will include performance of all 4 segments put together.

Coming to the key highlights and updates for the quarter, I will first spend a few minutes on the group companies , while Sukamal will spend a majority of time of this call on DE T and providing you an update on DET.

Firstly , on SEMICON :

As I have said in earlier calls, we carved out the Semiconductor business as Cyient semi conductor with a clear mission to build India 's first and largest semiconductor company. Our intent is to own IP and deliver chips through a fab -less model, and I am pleased to say that Cyient Limited
January 22, 2026

Page 3 of 17

we firmly remain on the growth path that w as envisioned with several transformative updates this quarter.

We delivered strong Q3 growth , 10.7% on top of 12% in the previous quarter. Order intake is up 36% year -on-year, which is a healthy indicator for the business. And though we are still loss - making, margins have stabilized over the last quarter.

Some key achievements include the strengthening of our analog and power leadership through a definitive agreement to acquire a majority in Kinetic Technologies , who are a leader in high - performance analog, mixed signal and analog semiconductors for power -related applications. They have 250 products and over 100 patents, and this will give us a much larger access to markets, which are driven by data centers, power applications and related industries. So, in our intent, to become a product company in the power space with semiconductors, Kinetic will be an important milestone, and we look forward to closing this soon.

We also secured a strategic role in the modernization of India 's oldest integrated semiconductor fab, SCL. This is under MeitY's semiconductor program. Cyient semiconductors has been selected as the preferred partner for the critical package centered around technology , IP, design enablement and automation responsibilities.

You may have seen a press release from MeitY , where 3 partners have been selected and the total value of the project is about INR 4,500 crores. And we have 1 of the projects. I will just say, it's not one-third of the revenue does not come to us, but we are a significant partner in the whole pie.

We are also advancing GaN adoption in India, very simply a majority of semiconductors or chips are made using silicon , but for where high-power , high-voltage is involved, GaN or gallium nitride is the material , and this material becomes very important in AI -driven data centers, given how much power that they consume. With the partnership with Navitas, we will now be able to bring high -voltage, high -power GaN chips to India, which again, like I said, are critical for AI data centers and AI infrastructure. We also launched India 's first indigenous silicon platform for smart utilities. This was developed with Azimuth AI , a chip called ARKA GKT -1, and this was unveiled by the Honorable Union Minister for Electronics , Shri Ashwini Vaishnaw about 2 months ago. And again, this stands as a strong endorsement of our custom silicon capabilities and design leadership , and our ability to execute to scale. Looking ahead, our marke rs remain unchanged from the last quarter, which is consistent revenue growth over the next 4 quarters, integrating Kinetic Technologies , an ASIC pipeline of over \$100 million by Q4 and becoming EBIT neutral in FY 27.

We expect the Kinetic transaction to close in March or April, and then the integration will start.

But following the closure of this transaction, Cyient Semiconductor will be India's largest chip company, and we are excited about what lies ahead and appreciate your continued support.
Cyient Limited
January 22, 2026

Page 4 of 17

Very quickly on DLM. DLM witnessed a revenue degrowth of about 30% year-on-year, but this was driven by some customer specific pushouts, year-end holidays, and of course, the tariff uncertainty. So, this was expected. But I will say that over the years, we have talked about the criticality of that business delivering double-digit EBITDA margins, and this quarter, we delivered double-digit EBITDA margins. They grew 207 basis points year-over-year. And this was because we did higher value programs and, of course, better execution. Our order book momentum remains strong. We had a book-to-bill ratio of more than 1 for 3 consecutive quarters, which means that we have a very strong order book. And that order book is increasing because we have also significantly increased the capability of the sales team there. Net-net, with the healthier mix of customers, the increase in revenue momentum, the industries that we are focused on, we believe that the revenue momentum there will significantly increase from Q4 and margin trajectory will continue to increase, and there are not many companies in that sector that consistently deliver 10% operating profit, which we are confident of delivering going forward.

Lastly, on Cyient AI Labs, as you know, we have consistently prioritized the development of industry-ready skills to support India's ER&D and technology landscape. In this spirit, we are working towards accelerating inclusive AI scaling across India through several flagship initiatives. And the intent here is to empower youth and advance the national vision of Viksit Bharat 2047.

We believe these technology-led skilling initiatives will help create a resilient and employable workforce at scale across the country. And as you know that workforce is also very important for Cyient as it enables our future growth. With this, thank you very much, and I will hand over the call to Sukamal, who will take you through some of the key initiatives underway in DE T, and the business performance for the quarter.

Sukamal Banerjee: Thank you, Krishna. Good evening, everyone, and thank you again for joining us

for our Q3

FY26 earnings call. Today, I will focus my comments on 2 areas: Firstly, on Cyient's point of view on AI and how it's resonating in the industry; and second, the business performance and the key highlights for the quarter.

So, to start with, in the last quarter, at a time when the market was leaning hard on AI-first chorus, we made a bold choice not to join that theatre. We stayed true to what has always worked for us. Intelligence must be human and domain-led, built into engineering, and carried through to outcomes. That commitment was anchored with our publication on November 19 last year, when we officially launched Embracing Intelligence publicly. This was not a reaction to market noise. It was the articulation of work that had already been underway for more than 6 months and an expounding of the intelligent engineering focus, we spoke about at our 2023 Investor Meet.

Today, that view is gaining acceptance across Engineering Services industry. The industry is beginning to recognize that an AI-first approach on its own, is not sustainable or scalable. Human

Cyient Limited
January 22, 2026

Page 5 of 17

knowledge, domain expertise and ethics come first. AI offers a clear opportunity for acceleration and compression of time to market as well as optimizing, maintenance and lifespan. However, as we stand today, AI is an amplifier, a value multiplier and not the solution stand-alone.

This is now being validated by broader industry publications. Recently, findings from the January 2026 Anthropic Economic Index highlight a critical theory, which is education matching principle, which is the complexity of an AI's output is a direct reflection of the education level of the user's inputs. In high-stakes field like software engineering and system engineering, that data shows that high-value outcomes require a baseline of at least 14 years of specialized domain knowledge. For Cyient, this reinforces a simple truth. Our domain expertise is the intelligence that enables AI to operate at expected standards for product engineering. Our approach, embracing intelligence is key to building assured systems that required defined authority, escalation paths and evidence with human embedded throughout critical control points not as an ethical add-on, but as an engineering necessity that ensures accountability and explainability.

At Cyient, we apply Embracing Intelligence across the product life cycle, from design and development through manufacturing, supply chain operations, maintenance and life cycle extension. Intelligence is applied in context, grounded in domain understanding and engineered for the realities of mission-critical systems and processes. From a business perspective, this

holistic life cycle support fundamentally changes our trajectory , by moving beyond our traditional engineering services partner viewpoint to our product life cycle partner, we significantly expand our addressable TAM by nearly 10x and deepen our integration into our customers ' most critical value chains.

With that, now let me turn to our performance for Q3. Before I talk about the results, I want to take a moment to thank the Cyient leadership team, all the associates for the journey over the last 9 months. It has been a challenging one, and of course, an exciting and a fulfilling one. I would also like to thank our key customers, our Board members , for their encouragement and belief as we navigated through the challenges. That is what has gotten us to the results that I now present.

Cyient DET grew 1.9% quarter -over-quarter and flattish year -over-year, about 0.7% down in constant currency terms, which is 1.5% quarter -over-quarter and 0.9% year -over-year growth in USD terms ; and in INR, that translates to 3.5% quarter -over-quarter and 6.5% year -over-year growth. The EBIT margin also expanded by 25 bps over Q2 to 12.4%.

In this quarter, we saw the seco

nd quarter of increasing head count with 481 net additions. These

results reiterate the message I have shared in previous quarter calls regarding the progress expected in FY 26. We expected a period of stabilization , followed by consistent growth and improved profitability. This is exactly the path we are on.

When we look at the performance so far, this year in constant currency, we have demonstrated improving quarter -over-quarter growth trajectory for each of the last 3 quarters. What I would like to call out is also the progress across all our business units. Transportation and Mobility

Cyient Limited

January 22, 2026

Page 6 of 17

grew by 2.9% quarter -over-quarter ; and Network and Infrastructure grew 2.5% quarter -over-quarter driven by focused account mining and sales approaches across value chain of our customers. Strategic Units cluster remained flattish Q3 with a marginal drop of 0.2% in line with our anticipation as we continue to build up our presence into some of these critical sectors for the long term.

In terms of key business highlights, I am happy to report a number of key deals that we closed in Q3. A mining producer chose Cyient to deploy an asset management data uplift program across their global mining operations. This program will be executed over the next 2 years. A major aerospace manufacturer chose Cyient for software support for a new airline program.

A global off -highway equipment manufacturer chose Cyient to scale focused autonomous and perception systems for their construction equipment. A global aerospace OEM chose Cyient to support multiple systems for requirement management, verification and certification support using the help of AI. An APAC -based utilities company chose Cyient for network data capture services. This was a customer we won back from competition after a period of few years.

These wins reflect the breadth of our capabilities from core engineering such as verification to advanced software, perception systems , and asset management across a wide range of industries , demonstrating how our positioning around embracing intelligence is translating into real client outcomes across the product life cycle. We support our customers design new a ge systems and products , and are with them to ensure smooth, efficient operations throughout the product life cycle, which can last a few decades. I am also very happy to report that we have added 8 new logos of strategic importance across industries. In addition, as I look forward, we have a robust funnel buildup over the last few months, with large deal s funnel being the highest ever in Cyient history. Our key accounts continue to demonstrate strong revenue growth with a 5% quarter -over-quarter and 15.5% year -over-year growth performance, continuing the growth we have seen in earlier quarters, driven mainly due to our focused account mining efforts.

Cyient was recognized in 2 major categories by ISG, firstly as a leader in manufacturing services and solutions globally; and second, in power and utilities for smart metering and grid modernization for North America. In addition, Cyient has been recognized as a top employer in India for the first time. We also received the HR Association of India Awards in 2025 , reinforcing our strong and differentiated people 's practice.

In this quarter, we also worked on adding to our leadership strength with 2 key hires focused on the growth trajectory for technology. Harjott Atrii joined us as a Chief Business Officer, responsible for technology growth and high -growth markets, which we could not cover in the past. Bhabesh Acharya joined us as the Chief AI architect , responsible for building depth and differentiation in our Data and AI Services. Their expertise will help accelerate our journey in helping customers embrace intelligence in meaningful ways.

Cyient Limited

January 22, 2026

Page 7 of 17

Overall, I think Q3 FY 26 is

a demonstration of growth, based on some fundamental initiatives we have been hard at work on. I am confident to say as an organization, we have turned a corner and built the momentum for continued consistent growth in the future.

With this, I now conclude my remarks, and I would like to hand this over to our CFO, Prabhakar Atla, to provide more color on our financial performance for Q3 FY 26.

Prabhakar Atla: Thank you, Sukamal, and hello, everyone. Thank you very much for your time, and for your kind participation in the call today. Krishna and Sukamal have covered much of things in their previous update. But as a quick summary, here are the key financial highlights for the quarter.

As with the previous quarter, the DET numbers are excluding our Semicon business and all previous period DET key metrics have been accordingly restated.

On revenue front, we had a strong quarter for DET, as Sukamal spoke, which delivered a revenue of \$167 million, a quarter-on-quarter growth of 1.9% in constant currency and 3.5% in INR.

That we delivered this growth despite a continued fluidity in the macroeconomic environment, and the fact that Q3 is a seasonally challenging quarter for us due to furloughs, we believe, is a good indicator for the quarters ahead. Also, this Q-o-Q growth was driven by healthy performance of our core segments, as Sukamal explained previously, and a significant positive movement in contribution from our top 3, top 5, and top 10 clients, which grew by about 5% quarter-on-quarter.

On EBIT front, the normalized DET EBIT for Q3 came in at 12.4%, which is a 25-bps expansion quarter-on-quarter. The headwinds we had in this quarter include the third tranche of wage hikes for the year, and we are happy to report that we were able to fully mitigate this impact with the ongoing cost optimization program and the recovering revenue momentum, which is very clearly visible.

We also had 1 exceptional item in this quarter. As you all know, the Government of India has published new labor codes applicable to all our employees in India geography. We are fully committed to compliance with these codes. And towards this, we have taken a one-time provision of INR 40 crores in Q3 towards truing up our past period provision for liabilities such as gratuity, resulting from this regulatory change.

We have presented this one-time provision as an exceptional item in our results, and we have normalized the Q3 DET EBIT and PAT to that extent. The DET normalized PAT for the quarter is at INR 150 crores, representing a healthy 9% growth quarter-on-quarter, and a 40% growth year-on-year. This year-on-year positive movement in PAT is significant, since in Q3 of last year, we had a currency-driven headwind in our other income for that period. Our cash conversion per DET continues to remain very strong. And for Q3, the FCF to normalized PAT conversion was at 158%, and we remain focused on cash generation as a key business goal. Our net cash position for DET at the end of Q3 stood at INR 1,434 crores, which is the highest net cash position we have had over the last 9 quarters. As regards to group performance, which

Cyient Limited

January 22, 2026

Page 8 of 17

now includes all the 4 segments of DET, Semicon, DLM and others. The group revenue grew by 3.8% Q-o-Q in Rupee terms, while the normalized PAT increased by 0.7% quarter-on-quarter. On a Y-o-Y basis, the INR revenue degrew by 4%, owing to quarterly revenue movements in our DLM business, while the normalized PAT remained steady year-on-year. In summary, with 2 sequential quarters of revenue and margin expansion for DET business. With the visible progress we are making in DET along with transformation initiatives, including GTM acceleration, technology adoption, and leadership addition, with the strengthening leading metrics of our business, including key account growth, and with the very strong financ

ial

fundamentals, including our strong cash position, which enables us to actively invest in future growth opportunities, we remain very confident of our immediate and medium-term prospects of DET business. Very importantly, under the differentiated theme of Intelligent Engineering, which Sukamal spoke of earlier. And we are fully committed to execute the growth plans we set out for ourselves. And with this, thank you again for your time, and I will hand over the call back to the moderator for Q&A. Thank you.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. The first question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity, and congratulations on a good execution as well as good growth in the DET. The first question is, just wanted to understand, there is a consistent growth in the aerospace. So, what are the subsegments which is driving? And in a furlough quarter, if we have delivered 1.9% CC growth, there could be a possibility of recoup of furloughs in the 4th Quarter. So, is it fair to assume the growth in the 4th Quarter would be higher than the third quarter? And what is the impact of furlough? It would not have been there, what would have been the growth

in 3Q ?

Sukamal Banerjee: Yes. Thanks for your question. This is Sukamal here. Let me address your 3 parts to the questions. Firstly, on Aerospace. I think we are seeing traction across multiple areas of work across the product life cycle. Of course, with no major designs which are going on at this point in time, a large part of it is driven by MRO and aftermarket services. Many of our customers are experiencing significant volume ramp-up that they have to deliver with the growth in commercial aviation, and that is driving a large part of the growth. We are also seeing new designs coming from various parts of the world in terms of new aircrafts, more the mid-sized aircraft, and we are seeing traction in terms of doing design work over there. And of course, given the expertise we have now built up in the technology front with digital and AI, many of our customers have leveraged our domain understanding across the product life cycle and awarded us several digital programs that we are executing across manufacturing, supply chain, and documentation, aftermarket support and so on. So, it's a very broad set of areas that is helping us drive the growth in aerospace. In terms of the growth expectations for Q4, as we have maintained, we do not share guidance. We have obviously, the recovery of furlough, but also the number of billing days in Q4 is lesser. So, it will be a mixed bag in terms of ups and downs, but we obviously will strive to ensure that we continue our growth momentum.

Cyient Limited

January 22, 2026

Page 9 of 17

Sandeep Shah: Can you quantify the impact of furlough in the third quarter?

Prabhakar Atla: Sandeep, since we have not experienced that, we are not quantifying it anymore. All we are trying to say to Sukamal's point is the underlying business momentum is so strong that we are not seeing these impacts anymore. And we think this momentum will continue into Q4 and going forward also. This is all I would say for the Aerospace business. And there's also broad-based growth across various subsegments of Aerospace, not just in 1 sub-vertical or the other.

Sandeep Shah: Okay. And just a follow-up. In the 4th Quarter, is it fair to assume even strategic growth units and sustainability will also drive the growth?

Sukamal Banerjee: So, that is definitely our intention, is to make sure that we drive growth in a broad-based manner, and that is what the team is busy working on. And in terms of setting expectations, all I can say is if it's a possibility, the answer is yes.

Sandeep Shah: Okay. And just last 2 questions. Prabhakar sir, your target of achieving

the EBIT margin at closer

to mid-teens or 16% by Q4 of next year continues to remain intact? And second, on the semiconductor, one can assume at least in the 4th Quarter, there will not be any support from the inorganic and the large deal win. In that scenario, loss may continue to remain between \$2 million to \$3 million, which we have guided earlier.

Krishna Bodanapu: On the semiconductor, I will answer first. That is correct. We will not see any upside from the deals that we won or from the inorganic. So, yes, there will be a loss in Q4 along those lines.

Like I said, our goal is to break even in FY 27, and we are on track for that.

Prabhakar Atla: And Sandeep, on the medium-term goals we set for ourselves for a 15% EBIT for the current business we have, we very much remain on track to that.

Sandeep Shah: Just to follow-up, Krishna sir, when you say breakeven in the semiconductor in FY 27 excludes the large deal and the inorganic, right? On an organic basis, you expect.

Krishna Bodanapu: Yes, on an organic basis. Absolutely. The large deal, obviously, is a part of that, because that's ongoing business. So, the profit from the deal help break even, but not from any inorganic.

Sandeep Shah: Okay. Okay. I will come in the follow-up. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Thank you for the opportunity, and congratulations on the good show on the DET side. So, sir, just wanted to know that in DET, our EBITDA margin expanded to 12.4% despite wage hikes.

So, what portion of this improvement is structural versus cyclical or forex-related. And another, will it be fair to assume, like high-single digit to low double-digit revenue growth trajectory for DET in s27. So, what's your take on that side?

Cyient Limited

January 22, 2026

Page 10 of 17

Prabhakar Atla: So, on the margin expansion, thank you for the question. All of it is fundamental to our business, structural to our business. And secondly, at this point in time, we are not giving any visibility for FY 27 as we complete the exercise that we will do for planning for FY 27. We will come back and update this forum on what we see next in the medium-term view of the business.

Jyoti Singh: Okay. Sorry, sir, I missed on the margin side.

Prabhakar Atla: Talking about margin for FY 27?

Jyoti Singh: No. On the explanation on the margin side, I just missed.

Prabhakar Atla: Okay. On the first part of your question, the current EBIT margin that we reported, the significant improvement or actually the improvement we have been showing quarter -on-quarter since Q1, Q2 and Q3 is all fundamental and structural to our business , in the sense that this is all driven by operational efficiencies, scale, cost optimization etc. And not much of FX -related headwinds or tailwinds in that. And for FY 27, like you commented, we will take a position on the next year as we complete the current exercise we are currently in , for planning for FY 27.

Jyoti Singh: Okay. And sir, on the DSO side, that has improved Q-o-Q. So, what is the normalized DSO range that we are targeting, especially as a semiconductor and large program scale up.

Prabhakar Atla: The numbers that we have shown in this deck are primarily for DET. The current number is a fairly healthy number , compared to our previous track record, so to speak. And we aim to stay at the same or similar numbers going forward. And for Semicon, as the business evolves, we will report that metric separately because currently, it 's in an early stage , in terms of the pipeline, the nature of deals, the type of deals and the complexion , etc., and those we will report as they evolve separately.

Jyoti Singh: Okay. Thank you, sir.

Moderator: Thank you. We will take the next question from the line of Shraddha Agrawal from Asian

Market
Securities.

Shraddha Agrawal : Congratulations to the team on a good quarter despite seasonality of furloughs . Sir, 2 questions . In our Network s and Infrastructure division, would it be possible to split the growth between connectivity and utilities.

Sukamal Banerjee: So, Shradha, we are not disclosing that number as we have talked about. But to give you some color, the growth was led by connectivity and utilities also had a solid performance.

Shraddha Agrawal : Because I suspect that there was some project rundown that was expected in utilit ies in this quarter , so are we behind that ?

Sukamal Banerjee: Sorry. Please go ahead.

Cyient Limited
January 22, 2026

Page 11 of 17

Shraddha Agrawal : Yes, so despite that rundown, we had a good growth in utilities.

Prabhakar Atla: Yes. It definitely contribute d to the results that you see.

Shraddha Agrawal : Okay. And in terms of our sustainability portfolio, many other peers have been sounding very positive on this portfolio given power companies, which have seen good growth , because of the need for power consumption , because of data centers that ha ve gone up. So, how do we look at the outlook for our sustainability portfolio going ahead?

Sukamal Banerjee: So, in terms of potential and pipeline that we see, we are definitely very confident. This may not be immediate term results for us. But mid -term, in the next 2 -3 quarters, we feel very confident that we will see robust growth.

Shraddha Agrawal : Right. And s o, of all the 3 segments , on which segment are we the most positive about as we get into FY 27?

Sukamal Banerjee: I think it is something which is an evolving topic, as you can imagine. At this point in time, based on order book and immediate -term funnel, it will remain transportation and mobility. And some of this also has to do with some of our other businesses being a little more project -centric. So, when it comes to project -centric business, there 's always a churn that we have to earn our business back , that causes less of a visibility. So, I will probably say it is transportation and mobility. But in terms of funnel, it is pretty robust across the board, including in some of our smaller verticals.

Shraddha Agrawal : Right. Can we assume that from here on Strategic Units will get to positive sequential growth because you had 3 -4 consistent quarters of sequential decline in this vertical ?

Sukamal Banerjee: Sorry, which vertical it was? I missed you.

Shraddha Agrawal: Strategic Units.

Sukamal Banerjee: Strategic Units. So, we are more or less there in terms of making sure that we get to growth and that definitely is our intention for next quarter.

Shraddha Agrawal : Got it. Thank you, sir. And all the best.

Sukamal Banerjee: Thank you.

Moderator: Thank you. We will take the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yes. Thanks for the opportunity. Two questions. I think first question, you partly answered, but just want to get more detail . Outlook and growth driver across vertical and subsegment, if you can provide, particularly strategic unit, subsegment if you can give same in Transportation and Mobility. Aero you touch ed upon, but if you can touch upon Rail and other segments there.

Cyient Limited
January 22, 2026

Page 12 of 17

Second question is about the 15% EBIT margin which you indicated medium-term, I am not very clear whether we have any timeline to achieve that part. Thank you.

Sukamal Banerjee: So, I will address the second question first. On the EBIT part, we had talked about Q4 of FY 2027 with our current business mix that we have is what our target is. For the first part of the question, in terms of different segments, we touched upon Aerospace. From an overall funnel perspective, I would say almost all of our industries have very strong funnel. Certain industries are leading

with regards to large deals, which means 2 things. One, possibilities of significant growth in the future, but also a question mark on timing, because large deals, as you know, can slip a little more than regular deals tend to do. So, I think to say a quarter-over-quarter for each of these verticals will be a little difficult, given that we do not talk about guidance in general. But our overall approach remains that as a portfolio, we will continue to drive the quarter-over-quarter growth momentum that we have built up for Q4 and beyond. In terms of some of the segments like Rail, and the only point I will make is the growth driver will come back with substantial deal wins, which we are working on. But without those deals, the business will probably remain in the current trajectory without those transformation deals that we have developed. Only when we convert will we be able to change the trajectory.

Dipesh Mehta: Sir, just on the large deal intake, we have a healthy momentum and everything. Can you share some numbers? And if you can give context also, let's say compared to prior period, 4 quarters, 3, 9 months, whichever way you can give some sense about how this deal closure is changing and how pipeline is changing.

Sukamal Banerjee: Was your question on order intake, sorry, you were not very clear.

Dipesh Mehta: Yes, order intake.

Sukamal Banerjee: Yes. So, we stopped sharing order intake numbers, as you are aware. But to give you some color, our Q3 quarter order intake was robust. It was better than what we experienced in Q3 of last year. What was the second part of your question again?

Dipesh Mehta: The pipeline also, because you said pipeline is at all-time high. If you can give some context, let's say, whether it is growing 10%, 20%, 30% or 1%, 2%, 3% percentage or something of that sort, to give some sense.

Sukamal Banerjee: Pipeline growth is in double digits. I think what matters more is the qualified pipeline and the large deal contained in the pipeline, which has seen definitely robust growth, which is what makes us feel confident, but we will be able to guide those into revenue only once we start converting them as deals.

Dipesh Mehta: Okay. Thank you.

Moderator: Thank you. We will take the next question from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.

Cyient Limited

January 22, 2026

Page 13 of 17

Vikas Ahuja: Hi. Thank you for the opportunity. Sir, coming to your opening remarks, it seems like the outlook has turned a little bit more constructive. You talked about spending, order intake, record funnel, rising contribution from top clients. But in the past, we have seen the growth has been dragged because of the portfolio churn, muted client spending. So, what, according to you, has changed this time or any risk you want to highlight? Thank you.

Sukamal Banerjee: See, first and foremost, obviously, if there are any macro events, that always remains a risk, like what we experienced in April of last year where we pretty much lost 2 months of momentum from a business deal cycle perspective where there was a complete stall. So, any such event always remains a risk. Leaving those kind of risks aside, in terms of the conversations we are having with our customers and the areas we are having conversations with our customers, these are more or less essential investment areas for them. So, we may always have some projects which are future ROI-related, which tend to be from a technology perspective, which can get right-shifted from 1 quarter to the other.

But the deal pipeline that we are working with, the part which are qualified, I think we feel pretty confident with the timelines and the deal cycles we are dealing with, in terms of their closures. But again, there may be some industry-specific or account-specific things which can come up. For example, in Q3, we were impacted by one of our top customers'

CEO change, which

happened, which put a halt to several of the initiatives that we were expecting to close in the last quarter. So, those are very difficult to call out. But leaving those kind of risks aside, I think we do not see any at this point in time beyond the macro and account-specific situations that may come up from time to time.

Krishna Bodanapu: And if I may just add to that from sort of previously what happened to now, I think there's a lot more focus on not just on pipeline, but quality of pipeline and not just execution but readiness and execution. So, I think a lot of what we are talking about this time around is really based on

some very solid numbers, which is what gives us the confidence that they execute. We will not have the execution hiccups that we have had in the past or the misses that we have had in the past. So, I think it's the quality of pipeline and the quality of, execution that at least gives me confidence to substantiate what Sukamal had said at the beginning of the call.

Vikas Ahuja: Sure. Thanks a lot.

Moderator: The next question is from the line of Pratik Kulkarni from Kosh Wealth Management. Please go ahead.

Pratik Kulkarni : So, I had two questions regarding the semiconductor part of our business. So, we have created a bit of holistic ecosystem regarding new partnerships and acquisitions in the semiconductor part.

And as the deals come through, which part of the business are we most positive about?

Bodanapu Krishna : We are positive about the whole Semiconductor business . Like you said, it 's a holistic business that goes from design to sourcing the chips, which includes many other things in the middle, including testing, packaging etc. So, we are quite confident about the whole value chain of the Cyient Limited

January 22, 2026

Page 14 of 17

Semiconductor business. We have also clearly identified where we want to focus on , more mature nodes, power -related applications, et c. So, I think we have a very strong and well -defined focus , and we feel quite confident that we will be successful across the Semiconductor value chain , in the areas that we are focused on.

Pratik Kulkarni : Okay. And another question is what I have seen is we are more focused toward power -based semiconductors, creating a more niche for us. So, any reason to focus on this segment rather than going for general semiconductors that are manufactured by NVIDIA or AMD?

Bodanapu Krishna : Okay. So, it is a different scale and a different focus what we are talking about. If you look at the chips that we work on, the chips that we work on are typically, like I said, more mature nodes, which means that they are typically in 180 to about 400 nanometers. So, the design cost of each chip, for example, will be in the \$5 million -\$10 million range per chip. Now, if you talk about NVIDIA or AMD, the AI and those kind of chips that they make are really the 5 nm -12 nm chips, and each chip costs about \$1 billion to design. So, our intent is, look, every chip that goes into the world now will need a power chip next to it. So, yes, it's not as sort of glamorous as being an NVIDIA, but we believe that this is a much more stabler way for us to break into the chip industry, not just the semi, chip meaning the entire chip lifecycle. So, I think it's not going to be easy for anybody to replicate what an NVIDIA does , unless they are willing to spend tens of billions of dollars even to have a chance of success. So, I don't think we are playing that game. We are playing a more sort of manageable game at a part of the value chain where there is going to be a significant amount of growth.

Pratik Kulkarni : Okay. Thank you. That 's all from my side.

Moderator: Thank you. The next question is from the line of Has Mukh from Tata Mutual Fund. Please go ahead.

Has Mukh: Yes, hi. Thanks for the opportunity. My question is around the quality of b

usiness. So, in past,

we have called out that mechanical engineering forms a good chunk of our business. So, what we are doing to diversify from that , and whether there is any material change over the last 9-12 months , because end market for mechanical engineering may not be growing as fast as what we want to grow from an overall business perspective, so?

Sukamal Banerjee : Yes. Just to confirm, you mentioned mechanical engineering, right?

Has Mukh: Yes.

Sukamal Banerjee: Okay. Yes. So, we have several initiatives going on, and some of the wins that I shared with you, if you look at it, none of them were about mechanical engineering. So, it is not that we are not winning mechanical engineering programs, but some of the larger programs we are winning are in the new technology areas. They are about software development. They are about platform software. They are about data engineering. And of course, several of them are on AI or at least influenced by AI.

Cyient Limited

January 22, 2026

Page 15 of 17

So, I think we have a robust pipeline which is built up for technology, as we call it, which is in significant double digits as a percentage of our pipeline. So, we think that both from the wins that we have talked about, the funnel that we have for near -term closure, we are definitely seeing a diversification in our services portfolio. Also, as we have talked about in the past, we definitely are also active from an inorganic perspective to shift our service portfolio in a way that moves away from some of the traditional areas which have a slightly moderated growth, I would say, compared to the new technology areas where the growth vectors are more robust.

Has Mukh: Understood. Understood. Thanks a lot.

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant : Hi. Good evening, and thank you for the opportunity. My first question is for Sukamal. Sukamal one of the problems that has impacted Cyient in the past, is the predictability in terms of revenue trajectory? Could you highlight what you are doing to improve on that front? And related to that, is the revenue growth cadence that you look at now. So, is it that you aim to improve growth with each quarter versus the last quarter? Or is it to keep it in a band as you move along each quarter? What kind of predictability are you looking at in the business?

Sukamal Banerjee: Sure. So, let me first address predictability. It was not that it was not there, I think we just had to do some tweaks and changes, to ensure that we have a predictable mechanism for our forecasting and, more importantly, the governance around tracking on that forecast, what we are doing in terms of executing within the quarter. I think from a predictability perspective of how we feel at the beginning of the quarter and how it ends up at the end of the quarter, I think we have come a long way, and probably from my past experience, I can say we are on par with anybody else. When it comes to the second part of the question you asked, obviously, there are always ups and downs in our growth. It's not always possible to keep increasing the pace of growth each quarter, even though that is our intent. But the first goal that we have taken for ourselves is that within our immediate peer group, we would like to be the top performer in terms of growth on a consistent basis in the future. That is our first goal. And obviously, we have ambitions beyond that as well. But as the first goal, that's what we want to achieve.

Ankur Pant : Thank you. And my second question is in terms of margins, Prabhakar, what kind of a growth are we penciling in to get to our margin target in DET business? How much are we dependent on a particular growth number for getting to that target?

Prabhakar Atla: See if you look at the margin trajectory, and thank you for the question, Ankur.

Two things I

will say. One about the past, and second about the future. The immediate past, you have already seen, the revenue momentum is coming back. The margin expansion program is kicking in and showing some tangible results. And we have 2 sequential quarters of margin expansion. That's about the immediate past in the current financial year. The second thing is going forward, we have 3 important levers that we believe will work in our favor. One is the revenue momentum, though we will not quantify at this point in time what we are going to capture as an assumption for FY 2027 for a 15% exit for Q4, but revenue momentum is just one part of it. The tech

Cyient Limited

January 22, 2026

Page 16 of 17

adoption, both internal and external, is another part of it. And whatever investments we made so far in technology solutions, we are yet to fully monetize them. And that's the third lever.

These 3 will be the levers that we will be actively working on in FY 2027 and beyond to expand the margin. Of course, there are other, so to speak, very attractive lever is to work on offshoring. It is a significant lever for Cyient, because the offshoring percentage currently is less than 50%. But we are comfortable where we are, because where the world is today, we are happy to be a global company. We are proud to be a global company. And the local content of work we do in various geographies, acts as a significant buffer for us against the current trends we see of localization. So, net off, we would have had 4 levers, we are focusing on 3 of them. The fourth one will be one that we will take as we go forward.

Ankur Pant : And any sense of the exit margin for this year? Any target on that front?

Prabhakar Atla: We are not commenting on the full year numbers, as you know, Ankur. But I will just repeat what we said in the previous call, our H2 margins will be better than H1 margins.

Ankur Pant : Thank you, sir. And just 1 final data keeping question. So, you have quantified new business as a percentage of total deal?

Moderator: Mr. Pant, I will request you to kindly rejoin the queue for follow-ups, please. There is a queue, sir. Thank you. We will take the next question from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity. Sukamal, you spoke about on the verticals outlook. Just wanted to check on the geography front, there is a lot of noise around the tariff war against restarting between U.S. and Europe. So, macro uncertainty remains high. So, within that, if you can provide the outlook on various geographies in terms of U.S., Europe and APAC. And also, a related question is in terms of the confidence on the pipeline conversion, given this macro backdrop. So, are you confident of converting the pipeline in Q4 and beyond. Yes, that's the first question.

Sukamal Banerjee: Sure. So, firstly, as you are obviously well aware, that tariff is not a direct topic for us, but it is a topic for our customers across the board. I think most of our customers, if not all of them, have a far more robust mechanism in place than they had last year or beginning of last year, in terms of dealing with tariff. So, their ability to take decisions despite some of these, I would say, macro discussions that keep coming up once in a while is far more robust, and there is much more confidence they have in that process. So, that's the first thing I would say. To answer your

question in the second part, if the level of uncertainty is where we are and which are more short-term bursts of uncertainty and things settle down very quickly after that, I do not see that as concerning or challenging. But if it gets extended and drags out for a few weeks or months, obviously, it delays some of the deal processes. But if it is just a one-week surge and quietening down, that should not make a huge impact on our deal cycles, so to speak.

Cyient Limited
January 22, 2026

Page 17 of 17

Karan Uppal : Sure. Any color in terms of the geography front in terms of the pipeline ?

Sukamal Banerjee: Sure. No, I think, obviously, in Q3, our growth in the U.S. has been higher or North America has been higher, which is largely U.S. But from a pipeline view perspective, it is quite evenly distributed, which is reflective of the current distribution of our revenue across the U.S., Europe, and Asia-Pacific. And from a large deal perspective, it is both across North America and Western Europe.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Krishna Bodanapu for closing comments. Thank you, and over to you, sir.

Bodanapu Krishna : Thank you. And I can confidently say we are back in the phase of stable growth after the challenges of the last 2 years. Our stated aspiration is to be an industry-leading growth player, which we are working towards. But I am proud and pleased to say that we are steadily making progress in the last 3 quarters, and this is an important step of achieving our stated goal of being an industry-leading growth player. Thank you for your patience, and thank you for your support in this journey. And we will again speak at the end of next quarter. Thank you.

Moderator: Thank you, members of the Management. On behalf of Cyient Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy

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(no extractable text — likely a scanned image PDF)

Call: Jun 2026

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Dear Sir/Madam,

Sub: Transcript of Conference Call

Please find enclosed the transcript of the conference call held on 26 May 2026 on the subject
"Semiconductor Strategic Financing Transaction and Growth Roadmap."

This is for your information and records.

Thanking you
For Cyient Limited

Ravi Kumar Nukala
Dy. Company Secretary

Page 1 of 11

"Cyient Semiconductors
Conference Call"
May 26, 2026

MANAGEMENT : MR. KRISHNA BODANAPU – EXECUTIVE VICE
CHAIRMAN AND MANAGING DIRECTOR – CYIENT
LIMITED
MR. SHRINIVAS KULKARNI – CHIEF FINANCIAL
OFFICER – CYIENT LIMITED
MR. SUMAN NARAYAN – CHIEF EXECUTIVE OFFICER –
CYIENT SEMICONDUCTORS
MRS. RAMYA MOHAN – CHIEF FINANCIAL OFFICER –
CYIENT SEMICONDUCTORS

Cyient Limited
May 26, 2026

Page 2 of 11

Moderator : Ladies and gentlemen, good day, and welcome to Cyient Semiconductor Conference Call hosted by Cyient Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krishna Bodanapu , Executive Vice Chairman and Managing Director from Cyient Limited. Thank you, and over to you, Mr. Bodanapu.

Krishna Bodanapu : Thank you very much, and good afternoon, ladies and gentlemen. Along with me on this call are Mr. Shrinivas Kulkarni who is the CFO of Cyient; Mr. Suman Narayan, who is the CEO of Cyient Semiconductors; and Mrs. Ramya Mohan, who is the CFO of Cyient Semiconductors. I am delighted to share an update on behalf of Cyient Semiconductors since today is a significant date not just for Cyient, but for India's semiconductor story. About a year ago, as you know, we carved out Cyient Semiconductors with a clear ambitious mandate to become India's first and largest fabless semiconductor company, owning IP and delivering chips. In 12 months, we have moved fast. We've built strategic partnerships with GlobalFoundries, Navitas and M IPS. We won the semiconductor complex of India modernization program, which is a landmark program for India's semiconductor self -sufficiency. And we made a very ambitious and defining acquisition of Kinetic Technologies, which fundamentally shifted our model towards custom silicon and proprietary products. This is a products and IP company and an R&D play to create a sustainable and substantial model for the future.

And today, I'm proud to announce that Cyient Semiconductors has signed a definitive agreement for its first external funding route, a total of INR300 crore s with equity valuation at INR4,650 crores from EAAA Alternatives who were formerly known as Edelweiss Alternatives. This is the first tranche of our fund raise. This is Cyient Semiconductor formally stepping out as an independent company with its own identity with its own capital structure and its own ambitious plan for growth.

What was encouraging for me is over the last few months, we've had a lot of inbound interest from marquee investors from global funds, from strategic players, and we are delighted to sign this definitive agreement with EAAA, our first partner in this journey. Going forward, we will continue to partner with right partners who will add value beyond capital to us. Cyient is also committed to our original investment thesis of up to \$100 million based on capital needs and context of our group companies.

We believe this is a period where disciplined investment can create disproportionate value in the long term, particularly as the Indian semiconductor ecosystem grows into a strong, vibrant globally sustainable player. As a growth stage semiconductor company, we will continue evaluating capital requirements based on market opportunities, product road map expansion and strategic acquisitions.

However, we will also remain disciplined on dilution and capital efficiency. I want to highlight three things. First, as I've said before, most experts concur that power is the single biggest bottleneck for data centers. While new power plants are coming up, they are not coming up fast

Cyient Limited

May 26, 2026

Page 3 of 11

enough, which means that optimization is the only way that we can generate enough power for the data centers. The share of power for data centers is going up from 2% in 2025 to 8% in 2030. We at Cyient Semiconductors are building power solutions to enable AI scale and accelerate faster. In order to create a differentiated solution here and w

in in this space, we need to accelerate

our business quickly from a services -led model towards a product and IP -led semiconductor model. The second is that the market timing is exceptional. India's semiconductor mission is a national priority, which has government backing, policy trade tailwinds and a growing demand base. We're not just riding the wave ; we're building the infrastructure that makes the wave possible. And this just makes the timing ideal for a fund raise now.

Lastly and most importantly, we are early. USD500 million valuation today for a company with this technology, these partnerships, this pipeline and this market background is a good testament of what is expected to come. Semiconductors companies valuations are driven by IP, future potential revenues and the market that we serve, and we are confident that we are very well positioned to avail this opportunity. The capital that we are raising will directly go into R&D, lab infrastructure and working capital to execute on our growth road map. Every rupee is going towards building modes, these are technology modes that take years to replicate and are impossible to copy. I have been in this industry for a long time, and I do not say this lightly when I say we are building at Cyient semiconductors a once in a generation opportunity and organization. This intersection of India's ambition, global semiconductor demand and AI power demand has created a window. We intend to own the window that this opportunity creates. I'm confident that you'll see a lot more from us in this sector in the coming days, and I'm excited to

keep engaged with you. For now, I would like to hand over the call to Mr. Suman Narayan CEO of Cyient Semiconductors to talk through the business update.

Suman Narayan: Thank you, Krishna. I want to give you all a clear picture of where Cyient Semiconductor stands today and why we believe the next couple of years are going to be fundamentally pivotal for our semiconductor story. As Krishna said, we are building one of the most differentiated semiconductor companies in India, deep custom chip capability, proprietary products, power semiconductors and a front row seat to two of the biggest structural trends in the industry right now, the AI data center power evolution and India semiconductor mission with a goal to become the largest custom power semiconductor company based in India.

Our business today operates across 3 complementary areas. First, semiconductor design services where we provide advanced IC development and chip engineering for leading fabless semiconductor companies and IDMs globally, second custom ASIC turnkey solutions where we design and develop custom silicon platforms strengthened with our foundry and OSAT partnerships for customers requiring differentiated architectures and long product life cycles. We are a one-stop shop for silicon.

Third, and more strategically, the power application-specific standard products, where we are building proprietary silicon products and IP that create scalable and recurring revenue streams. To accelerate this vision, in March 2026, we completed the acquisition of Kinetic Technologies for approximately \$85 million.

Cyient Limited
May 26, 2026

Page 4 of 11

The acquisition significantly expands our low-voltage power semiconductor portfolio, strengthens our customer reach as meaningful analog and power management IP along with the proven product road map. In partnership with Navitas as well, we launched 7 new GaN products, specifically targeting the Indian market.

Let me tell you about 5 wins that I believe define this company. First, we built a robust partnership across the semiconductor ecosystem with companies like Global Foundries for competitive wafer pricing, with MIPS for partnership for us to create intelligent power solutions, with Anora for test and validation at

scale and with Navitas for access to GaN technology. We also onboarded key industry veterans across the semiconductor industry as our advisers. Second, we have built the first set of robust leaders across senior and mid management with deep expertise to execute in semiconductors. Third, power semiconductors represent one of the fastest-growing segments of the semiconductor industry today. With our acquisition and internal investment in low- and high-voltage product strategies, we're positioning Cyient semiconductors to participate in the addressable market opportunity of approximately \$8.5 billion. Fourth, we also continue to strengthen our innovation and industry leadership position. And during the year, we filed 4 patents focused on high-voltage DC architecture and advanced delivery systems for AI data centers along with NVIDIA, Google, Meta and other hyperscalers and infrastructure companies, we're also contributing members of the open compute platforms, (OCP), helping shape the next-generation AI data center power architecture and infrastructure standards.

And finally, commercially, our ASIC pipeline includes approximately \$100 million of qualified opportunities, and we were selected as the L1 bidder on the SCL semiconductor modernization initiative, one of India's flagship semiconductor programs supported by the government of India. In parallel, we continue to invest aggressively in internally developed next-generation high-voltage power semiconductor custom products.

As Krishna highlighted, FY26 was focused on building the foundation for long-term growth, strengthening our sales engine, execution capability, R&D investments, IP portfolio and strategic partnerships. In FY27, our focus shifts to execution at scale, successfully integrating with Kinetic accelerating our ASSP product road map and converting our growing ASIC and ASSP into sustained revenue growth.

So, in summary, these investments that we talked about are going to help us with expanding our power semiconductor road map, including GaN and intelligent power solutions, scaling our ASSP and ASIC product development and R&D, integration and growth initiatives following the Kinetic acquisition and increased investments in sales channels, building our ecosystem partnerships and global engagement with our customers.

We believe we are at an important inflection point. The acquisition is complete; the pipeline is strengthening the market opportunities around intelligent power and AI infrastructure continue to expand rapidly. For decades, India has designed chips for the world. We believe that the next chapter is building globally relevant semiconductor products from India.

Cyient Limited
May 26, 2026

That is a company that we're building at Cyient semiconductors . A semiconductor company that is Indian in origin, global in ambition and strategically positioned for the next decade of AI and semiconductor growth. I will now hand over this to Ramya, our CFO, to talk about the specifics of the deal.

Ramya Mohan: Thank you, Suman. Before we get into the Q&A, let me take a few minutes to address the questions, I know many of you will have after reading the press release and the SEBI disclosure yesterday. The first question, why raise the external debt when there is cash with the parent? As Krishna and Suman highlighted, the growth opportunity in front of us is massive. Building differentiated semiconductor products demands long -cycle R&D investments, sustained product development, customer qualification cycles and the ability to support complex execution programs over multiple years.

Since financing structure gives Cyient semiconductor the dedicated capital base and the strategic flexibility needed to accelerate road map investments, it creates real operational discipline and financial separation from the parent. Our goal is to build Cyient Semiconductor

as a stand -alone

business with its own governance, its own accountability and its own long -term optionality that includes potentially a future spin -off path. The second one being why debt financing and not equity financing. As Krishna mentioned, when he was speaking, we had a lot of interest on the equity side. Multiple capital pools approached us and those conversations are still ongoing.

But we made a deliberate choice not to issue a large amount of equity at this stage to protect it against dilution and preserve the shareholder value we are working to create. Debt at this stage was simply the more flexible instrument. The next question, why not a bank debt over a structure financing debt. As we started evaluating our options, bank debt with a structured financing. It was clear that debt financing gave us flexibility to manage the cash outlay. And we have the ability to bring in debt and equity together in a combined structure at a valuation we believe is right for the company at this pace of growth term transformation. And then the next question, the valuation of \$500 million. There are 3 ways to think about the valuation of the round that we just raised. This valuation roughly works out to be 6x revenue to 7x revenue, depending on which revenue we consider, FY26 or '27. The way to think about it is along these 3 lines: trading comparables with global semiconductor companies. Most semiconductor companies today are trading anywhere between 5x to 15x revenue depending on the ir profile. These are the big names in the industry, and all of these are larger , low-growth established companies. And if you look at smaller, high -growth companies, including our own partners, the trading multiples are much higher. Compared to those, the 6x revenue is extremely well aligned to the market.

Comparing recent M&A transactions. If you look at some of the recent M&A transactions, again, publicly available information, the valuation paid is upwards of 10x revenue. What is factored into the price in semiconductor valuation is not today's revenue. But today's IP and product road map, which will lead to tomorrow's revenue and moat. And lastly, the only listed company in India focused on services is trading at upwards of 7x after all the market corrections. So, when you put it all together, we believe \$500 million valuation is a well -grounded number. Yes, semiconductor is a new industry for India, but the capital markets around the world , do not value a semiconductor industry, just for today's revenue but actually for future potential.

Cyient Limited

May 26, 2026

I also want to highlight that we continue to receive significant inbound interest, and we'll continue to engage, but selectively. We're not in a rush, and we're not going to dilute for the sake of dilution. If and when we bring in additional partners , it will be because , they had general strategic value. We will take our time to get that right. With this, I will hand it over back to the moderator.

Moderator: Thank you. We will now begin the question -and-answer session. Anyone who wishes to ask a question, may press star and one on your touchtone telephone. If you wish to remove yourself from the question queue, press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Stavan Thakkar with Kriis PMS. Please go ahead.

Stavan Thakkar : Hi. Thank you for the opportunity. Are we expecting anything on the Navitas side for NVIDIA , this year or the year after?

Suman Narayan : I think obviously, Navitas will be in a better position to comment for the NVIDIA side of the equation. But they're on the reference design for the NVIDIA board from a Navitas standpoint.

We are working closely w

ith Navitas to get GaN enabled in India, and the 7 products that we launched in India are primarily on the 650 volts of GaN.

Stavan Thakkar : Okay. And have you guys developed any GaN technologies for the 800 -volt BU S architecture ?

Suman Narayan : Yes. We are actively working not just on the GaN side of the equation for the 800 -volt architecture. We are working on the 800 -volt to 50 -volt power architecture , and GaN will be one of the components of that architecture.

Stavan Thakkar : Okay. Can you give us specifics , any sort of pipeline sort of orders that could be coming in, in the next year or so?

Suman Narayan : So, it is pretty early in the 800 -volt architecture. As I said, we're part of the open compute platform right now, the OCP, open compute project , where we are actually working on defining that architecture.

Stavan Thakkar : All right. Thank you.

Moderator: The next question comes from the line of Chinmaya Bhargava with Badrinath Holdings .

Chinmaya Bhargava : I have a question on the Navitas partnership in India that you spoke about. Can you tell us if you have a distribution partner or how you aim to get these parts into either domestic data center build out or in other high -power application ?

Suman Narayan : Yes. So, we just recently hired someone to head our sales in India as of last week . He hails both from Arrow as well as from Texas Instruments. The gentleman is actually evaluating distribution companies right now to work through the India ecosystem. So, we will have that solved in the next month or so from a distribution standpoint.

Chinmaya Bhargava : Small follow -up on the pipeline that you said that has about \$100 million, could you talk about which end in the industry that's currently . How that's broken up?

Cyient Limited

May 26, 202 6

Page 7 of 11

Suman Narayan : Yes. So, our ASIC and ASSP pipeline is usually targeting industrial and medical applications, that's where bulk of our pipeline is based out of.

Chinmaya Bhargava : Okay. Thank you.

Moderator: The next question comes from the line of Pratik Kulkarni with Koch Wealth Management. Please go ahead.

Pratik Kulkarni : So, in the beginning brief note, you said that there are 3 segments in the semiconductor company, design service, custom ASIC turnkey solutions and power applications semiconductor product.

Could you just give me an expected mix from revenue contribution f rom each of the segments?

And what margins you think ? What would be the strongest in segment among the three ? And like, first, you would target the turnkey solutions and then move towards the design service and more towards power applications. So how is that dynamic?

Ramya Mohan : So today, Power ASSP s including Kinetic is roughly 50% to 60% of our business. The rest of the business is split between services and ASIC turnkey. As we progress and we develop our own products which we are working on, we do believe that ASSP revenue share will increase in the next 3 -4 years , because there is an R&D development cycle of almost 2 years to 3 years for the product to commercialize. From a gross margin standpoint, ASSP given it is product and IP driven will have the highest gross margin typically in the 50% to 60% range, depending on which customer segment you sell, followed by custom ASIC turnkey followed by services. Now in the near term, we do believe that custom ASIC turnkey will grow faster compared to the other segments. But in the longer term, ASSP will continue to remain a significant portion of our business.

Pratik Kulkarni : Okay, Ramya. Second question would be in the custom ASIC turnkey solutions. Mostly will be which foundries would be using for providing manufacturing services for our customers?

Suman Narayan : So primarily today, our custom ASICs are using the TSMC foundry. We use the 180 -nanometer Gen2 primarily for our custom ASICs , and some of them also have a dual chip on

th em. So, for

the microcontroller, we might be in a 40 or 55 -nanometer also from TSMC, but we will be transitioning some of those opportunities with the Global Foundries as well moving forward.

Pratik Kulkarni : Okay, sir. Thanks so much .

Moderator: The next question comes from the line of Jimit with Emkay Global.

Jimit: I just have a few questions. One is with respect to the Kinetic acquisition that we did. So, is it a complete fabless sort of solution that we have or do we have any sort of in -house manufacturing there? Second, in terms of the Semicon financing that we did so previously, we did Kinetic acquisition that was out of the consol balance sheet cash. So are we looking to fund any more Semicon initiatives with the DET as a balance sheet? Or are we just looking at external pathways as an option going forward?

Krishna Bodanapu : I'll let Suman answer the first part of the question on Kinetic, and then I'll answer the second.

Cyient Limited

May 26, 202 6

Page 8 of 11

Suman Narayan : Today, Kinetic is a fully operational fabless semiconductor platform and with product execution

and customer programs and capable ASSP infrastructure, as we talked about, it's about 250 products and 100 IP from a patent portfolio standpoint.

Krishna Bodanapu : On the funding, Cyient remains committed, like I said, to the \$100 million. We've already put in about \$30 million. So, rest of the money is available. Depending on what opportunities are available, and what is the best use of capital, etc. we will definitely put in more funding if it comes to that. But we think that at this point, it is best that Cyient Semiconductor has its own capital structure, because if I may just draw a parallel to Cyient DLM the way semiconductor business works is more like a DLM kind of a structure where you do have a higher capital investment, you have design, which takes upfront capital or upfront money, etc. So, we think it's better that Cyient Semiconductor has its own independent capital structure with the kind of investors that want to participate in that capital structure, and we thought this was a good starting point. Therefore, we will take any decisions in that construct or keeping that in mind. But if required or not just as required, if it makes sense for Cyient, especially if there is something around design that Cyient would want to co-invest with Cyient Semiconductor. In that case, absolutely, we would be willing, able to support with the rest of that \$70 or so million that's available.

Jimit : Okay thank you for the answers. Just if I can squeeze in one follow-up question. So as far as I understand, the initial GaN portfolio that we have essentially targets around 650-volt applications from that includes the AI DC power supplies that we have and even USB, Laptop Chargers, adapters and those kinds of other solutions. So, I checked that the Navitas is actually exiting the low-margin business, which is the consumer mobile end. So, what are we kind of looking at in terms of our portfolio buildup as we move ahead in the build-outs phase. If you can just share some broad thoughts on this?

Suman Narayan : Yes. Actually, it's a good question. If you look at some of the adapters that we have, a lot of the adapters are starting to migrate to GaN, especially on the laptop side as well of the segment. So that does use a lot of the 650-volt. So, I think over time, what we will see the migration to with the higher voltage and 800-volt class architectures as well as the higher density power supplies the infrastructure, power delivery, industrial and intelligent power solutions. So, it will be a higher-margin, differentiated power semiconductor solutions as we kind of partner or close deal with Navitas.

Jimit : Okay, thank you for your answer on this. If I want to summarize, you are trying to focus more on the AI Power DC side but right now, the portfolio allocation

also includes the adapters and chargers sort of variant. Is that right understanding?

Suman Narayan : The 650-volt GaN is actually applicable across multiple applications. So yes, today, I think if you look at it, our primary market for GaN has been the chargers, but they are migrating to a lot of the other power supplies as well especially on the industrial power supply side.

Jimit : Perfect, sir. And just one last question in terms of your growth prospects that we are looking at for semicon. So, we initially mentioned in the last earnings call that we are looking to break even by FY27 and FY28. So is that intact or given more of our investments going forward, we are shifting our goalpost to that you mentioned earlier, just from light on that, please. Thank you.

Cyient Limited

May 26, 2026

Page 9 of 11

Ramya Mohan : Yes. They're still looking at a breakeven, but as we're speaking to the investors and as we see market opportunities, given the growth expectations and the momentum that we're building, we're looking to see what is the right way to generate or extract value. So, for now, we are still looking at a breakeven late FY27, early FY28. But based on the investor conversations, we'll come back.

Krishna Bodanapu : And I'll just say that from a Board perspective and a Cyient investment perspective also. I think what we are seeing is the opportunity is very, very significant. Of course, we'll have to make the trade-off in the right sort of balance between growth and profitability. But at this point, I won't let go of an opportunity or we won't not invest in an opportunity because I think the opportunity set that is available to us is very, very significant. So, I just want to say, I mean, our intent, of course, remains that we break even quickly. But I would just say maybe a quarter or two shift, we wouldn't worry too much or I wouldn't worry too much as an investor because just the opportunity set is also here and now, and we don't want to lose out because we don't have any investment dollars. And creating that investment dollars is also obviously one of the key reasons why we've gone down the fund-raising path.

Moderator: Thank you, Mr. Jimit please rejoin the queue for more questions. The next question comes from the line of Moez Chandani with Ambit.

Moez Chandani : First, I just want to understand the restructuring for the fund raise and the debt that you've announced. Can I get a sense of how much is the debt raised at, what interest rate has been raised at?

Ramya Mohan : So, the deal is a combination of debt and equity, debt at 200 crores, equity at 100 crores. It's a

competitive rate. We can't disclose the rate because we're still not close to deal.

Moez Chandani : All right. Understood. And then just on the related terms, we completed the Kinetic acquisition on April 8. So, can I just get a sense of how the deal is structured? Is there any equity, is there any cash payout that you're doing? How are you raising funds for the cash? Is it equity from Cyient Semiconductors' balance sheet? Is it further debt that you expect to make for the payment? Or are you expecting infusions from the parent company into Cyient Semiconductor?

Ramya Mohan : Sorry, you're asking how did we fund Kinetic?

Moez Chandani : Yes.

Ramya Mohan : We funded Kinetic through debt raised at Singapore entity because we got pretty good rates and we felt like that's a good use of our capital.

Moez Chandani : Understood. So, the acquisition was funded entirely by debt raised by the Singapore entity, is my understanding correct?

Ramya Mohan : That's right.

Moez Chandani : Okay. Perfect. And then also just to understand that. I understand your EBIT profitability targets maybe end up by FY27, early FY28. Any sense of PAT profitability when do you expect to get that?

Cyient Limited

May 26, 2026

Page 10 of 11

Ramya Mohan : I mean in the lighter vein and say w

e'll get to EBIT profitability first, and PAT profitability

because our focus right now is business growth, building the right product segment and aiding the growth. That's where a lot of our focus is right now at.

Moderator: Thank you. Mr. Chandani please rejoin the queue for more questions. The next question comes from the line of Sandeep Shah with Equirus Securities . Please go ahead.

Sandeep Shah : Yes, thanks for the opportunity I do agree where size is small, opportunity is big. But the issue in the ASIC and custom design, sometimes the end product also has a lot of innovation in terms of new chips coming in the market at a gap of 6 to 9 months which we are seeing from NVIDIA because what they launched 6 months before may not be relevant 6 months after. So how will we make sure on a longer -term basis the scale will keep happening without leaking buckets in terms of revenue growth?

Suman Narayan : I'll take that question. So having been in the semiconductor industry for the last 30 years, I think that's true of any chip development. There's always progress being made every day. What I can tell you is based on my experience, you have to be tightly coupled with the customers that you're working with. And today, on the ASSP business, the customer relationships are very strong. So, if you're defining an ASSP, which is an application -specific standard product, then the customers help you with their definition and they, by default, are the teaching customers. So, they have a good view of what's going to happen in the 9 to 11 months out from when the chip comes out. So, we believe we are in tight partnerships with our customers, both on the high voltage and on the low voltage Kinetic side. So, we have a good understanding of what the market needs are. And that's also the reason why Krishna highlighted the need for R&D . If you look at an average semiconductor company, they continue to buy, burn R&D for new product development.

Sandeep Shah : Yes, thanks. And just a question in terms of Kinetic energy debt. That will also flow through the Semiconductor balance sheet, not the parent. So, the earlier debt which we have taken is closer to \$90 - \$95 million to fund the candidate. And over and above that, there will be additional \$20 million through the transaction we just announced ?

Ramya Mohan : That's right, 80 plus 20, 100 in total on semiconductor balance sheet.

Sandeep Shah : Okay. And this totally would be foreign currency debt?

Ramya Mohan : No, the 80 will be foreign, the 20 is India.

Moderator: Thank you, ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I now hand the conference over to Krishna Bodanapu for closing comments.

Krishna Bodanapu : Thank you very much, and thanks, everyone, for joining, especially in the middle of a trading day. As I said, this is a very exciting opportunity for us and one that we're very keen to capitalize on. We are in a very interesting convergence of opportunities, both the India story, the use of semiconductors in various industries. Of course, the geopolitics with diversification from certain geographies. But I'll say, most importantly, Cyient's capabilities. I think over the last couple of years, we've built some fantastic capabilities, both in digital and more importantly, in mixed - signal digital and analog and I think it's time to leverage on those capabilities.

Cyient Limited

May 26, 2026

Page 11 of 11

I think we've built a fantastic team. Obviously, two members of the team are here, but more importantly or equally importantly , there's a whole technology team that supports the new product design and who are focused on creating these new ASSPs and intellectual properties

that can support growth. So, we are very excited about where things stand. And I think the opportunity will play out in a very meaningful manner, very quickly, and I don't think

this is

something that we'll have to wait for a very long time. It will play out very quickly. So, thank you very much for being here and listening to our story, and thank you very much for the support.

Moderator: Thank you. On behalf of Cyient Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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